

# SKF India (SKFINDIA)

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## Call: Aug 2022

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 2nd August, 2022

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NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Dear Sirs/Madam,

Sub: TRANSCRIPT Of ANALYST/INSTITUTIONAL INVESTOR MEETING ON JULY 28, 2022

Reference: Intimation Dated 21st July, 2022 & Intimation dated 29th July, 2022 for Audio Link

Pursuant to Clause 15(a) of Schedule III, Part A, Para A read with Regulation 30 (2) and Regulation 30 (6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time), please find enclosed herewith transcript of Analyst / Institutional Investor Meeting on 28th July, 2022

Transcript will be available on website of the Company.

The above is for your information and record. You are hereby requested to disseminate the same on your respective websites.

Thanking you,

Yours faithfully,

SKF India Limited

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Ranjan Kumar

Company Secretary & Compliance Officer

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SKF India Limited

Q1 FY 22-23 Earnings Conference Call

July 28, 2022

Management:

Mr. Manish Bhatnagar – Managing Director – SKF India Limited

Mr. Ashish Saraf – Chief Financial Officer – SKF India Limited

Ms. Aparna Srivastava – SKF India Limited

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Moderator: Ladies and gentlemen, good morning and welcome to the SKF India Finance Limited Q1 FY2023 Earnings Conference Call. For the smooth conduct of the meeting, all participants are in the listen-only mode. A brief question and answer session will follow the formal presentation. Should you need assistance during the conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. As a remainder this conference call is being recorded. I now hand the conference over to Ms. Aparna Srivastava from SKF India Limited. Thank you and over to you Madam!

Aparna Srivastava : Thank you Michelle. Good morning everyone and thank you for joining our investor call today. With us we have our Managing Director, Manish Bhatnagar and Chief Financial Officer, Ashish Saraf. Before I turn the call over to the management, I would like to remind you that in this call some of the remarks contain forward-looking statement which are subject to risks and uncertainties and actual results may differ materially. Such statements are based on management beliefs as well as assumptions made by and on the information currently available to the management. The audience is requested not to place undue reliance on these forward-looking statements and making any investment decision. The purpose of today's call is to purely educate and bring awareness about the company's fundamental businesses and the financial quarter under review. Let me turn the call over to SKF India's Managing Director, Manish Bhatnagar who will give an overview of the company's business activities and development for the Q1 FY2022-2023. We will then open the call for Q&A. Over to you Manish!

Manish Bhatnagar : Aparna, thank you very much and welcome to everyone who has joined this call. We have a two-hour call set up and hopefully we can address all questions and comments on this call. We do not have a formal presentation for this call because we wanted to make it more Q&A and answer your

questions about SKF, but certainly I will make a few comments to open the discussions around the quarter just went by.

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We are truly in an environment which is extremely inflationary. We are seeing increases in cost on material, on freight, on a number of things that impact us but despite that we had turned out a very, very good quarter in terms of revenue and profitability, both. Our revenues for the quarter

are up 52% over

the previous year but having said that we all know the previous year is not a great comparison because of the COVID impact in the same quarter last year, but even if you compare quarter to quarter, sequentially compared to the previous quarter up by 1.4% on revenues.

Likewise, on PBT while we are up 66% over the same quarter last year the more important one, I think the more relevant one is we are up 21% sequentially over the previous quarter so really a good performance, a good set of numbers by SKF and the future is frankly anyone's guess right now. We have to see how inflation pans out. We are seeing some slackening on steel prices which is a big expense for us. We are not yet seeing a demand slow down so the order book still remains fairly robust across segments and we can talk about that if the questions are on the order book but having said that we know what is happening in the world around us whether it is Europe or other parts of Asia or Americas, we are seeing a demand slowdown. We are seeing high inflationary environment around the world so I would not be hesitant to say that India will be outlier. So, we are preparing for winter. Now when that winter comes, we do not know but I think it is better to be prepared for it then to be taken by a surprise.

I will stop and we just kind of say that we have had a good quarter, strong growth, good price realization, good mix changes, good working capital actions and we have been able to offset the inflationary impact in our numbers that you have already seen and analyzed it. So, thank you for listening to my opening comments and I will open it now for questions in the order that they received it.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mukesh Saraf from Spark Capital. Please go ahead.

Mukesh Saraf : Good morning. Thank you for the opportunity. My first question is on the relevant mix if you can give some sense on how the revenue is across your segments auto, non-auto and then within that OEM aftermarket this will be for FY2022 as well as the first quarter? My second question is regarding the localization targets that we might be looking to achieve especially when I looked at the annual report I see that traded bearing revenue is still about 43% of our broad revenue and this is in line with three to five years average that we have that localization has not changed much but I do believe that there would some target of localization so how do we look at this traded bearing revenues in the future, how are we expected to move and is there a localization plan and capex around that?

Manish Bhatnagar : I will hand over to Ashish Saraf, our CFO to answer the first question on the revenue mix by percentage auto industry etc. and I will come back for the second part of question.

Ashish Saraf: For the current quarter, the automotive share was around 42%, industrial was around 49% and for exports it was around 9% so that was the overall mix for this quarter. For the full year automotive was around 42%, industrial was 47, and exports was around 10%.

Manish Bhatnagar : Thank you Ashish. On the localization question Mukesh yes, we have to localize much more than what we have done in the past. You are correct in terms of has localization moved at the pace we would have liked to over the past few years, no and that localization is something that we will need to pick-up pace and it is still a little bit of unfair comparison because the last couple of years has been very, very disruptive, we know what happened there so now we have to play catch up. If we wish away what happened in 2020-2021

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with COVID and everything else and the supply chain disruptions. Now is the time to catch up and I think, you will be hearing and seeing a lot more localization plans. I do not want to give a target we want to go from X to Y but certainly we want to localize a lot more than what we have d

one so far but I

will give you some benchmarks and then you can ride on conclusions so automotive for example today almost 95% to 97% local so it is almost you can say fully local. On industrial we are about 35% to 40% so clearly our ambition and aspiration is to get as close to the benchmark that we have internally which is a very high level of localization which of course will not happen overnight it will take time but that is kind of our ambition and aspiration and that is what we are working towards.

Mukesh Saraf : Any capex numbers that you want to mention in line with this utilization or in general?

Manish Bhatnagar : In general, I can say we typically do about 100 to 150 Crores of capex every year and that has not changed over the past few years now that number will change going forward. What that number will be right now I do not know but it will be at least 30% to 40% higher than what we have done in the past.

Mukesh Saraf : Just a follow-up you did mention in your opening remarks that you are preparing for winter that does not reflect any of your capex plans as such, is what we should understand?

Manish Bhatnagar : Well certainly it impacts but the difference between preparing for winter and capex is that our capex plans are not based on one winter and even if we start to think about investing a new manufacturing line it takes almost 12 months for start of production so even if the winter does come I think it will be a short lived may be this quarter, next quarter, this year etc. It does not impact our capex plans in general but when there will be a slight delay that is of course possible depending on how severe the winter is.

Mukesh Saraf : Understood. Thank you so much I will get back in the queue.

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Moderator: The next question is from the line of Sandeep Tulsiyan from JM financial. Please go ahead.

Sandeep Tulsiyan : A very good morning and congratulations on excellent set of numbers. First question is pertaining to the sales break up if you could further split up your automotive and industrial sales between OEM and aftermarket how we need to share and if you could also give a comparative number for fourth quarter of FY2022 to see how that mix has changed sequentially that is the first question.

Ashish Saraf: The OEM share is around 55% for this quarter and after market is 36%, exports is around 10% and quarter over quarter I would say OEM share was 52% and after market was 34% and exports was around 14% so not a significant movement quarter over quarter I would say in terms of the mix.

Sandeep Tulsiyan : I wanted the split between the OE and the industrial. Within auto what was the split between OE and after market and within industrial if you could share the same.

Ashish Saraf: Within automotive the OE share was around 62% and the overall VSN share was around 40% for this quarter.

Sandeep Tulsiyan : Okay and the industrial OE share would have been.

Ashish Saraf: So, OE share will be around 65% and VSN share would be around.

Sandeep Tulsiyan : VSN you mean after market.

Ashish Saraf: Yes, that is right.

Sandeep Tulsiyan : Okay understood. Second question is pertaining to some of the aftermarket product that we have mentioned in our annual report that we will be doing sprockets for two-wheeler, steering suspension for PVS as well as lot of belts for different two wheelers as well as EV. If you could just give us an overview,

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are we manufacturing all of these if not these are traded products, then that would continue to keep our traded products share high what is the overall strategy, is this a new market or is it a market which is already penetrated to some extent by us some colour on these products if you could provide overall, I please.

Manish Bhatnagar : Sandeep first of all thank you for reading the annual report. I am glad someone is reading it, but the spirit of the question is how the new products is panning out in the vehicle aftermarket space as you know traditionally, we have been

predominantly bearing company. In the past we have also added on some ancillary products like greases, lubricants etc. but we really want to make a splash beyond our traditional friction reducing products and therefore the names you mentioned sprockets etc. fall in that category. The reason we said we have a good ambition and a good potential to succeed in the new category is because we already have access to the retail market where these

will also get sold in addition to bearings and secondly we have an engineering center in India which is anyway working on product developments for these new product which we sale elsewhere in the world so it made complete sense because we had the equities in house and we had market access to also launch these in India. Today they are still very small. They are not more than 5% of our total aftermarket business but keep in mind it is only about less than a year that we have launched it so we are right now penetrating this market with the traded route. We are not manufacturing these in house, over time if this 5% and we hope it will become maybe 10, 15 whatever it becomes that is when we will start thinking about manufacturing these in house.

Sandeep Tulsiyan : That is clear. Second question was on another product that we have discussed was the HUB 3 solution that we have developed for electric LCD player. If you could give some more colour what is the differential in terms of cost for regular engine vehicle versus this solution that you have developed for the EV player and what kind of a potential that you see in terms of conversion for this product going forward for other players.

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Manish Bhatnagar : I do not have information on the cost etc. so we will have to come back on that, but I think what you really want to know are the margins on this higher than the margins on the highest products that maybe more relevant question to ask her. Certainly margins on extra vehicles product in general are better because these are high performance bearings, you are talking about hub 3 but I could add a number of other bearings to it because these are certainly technologically more superior bearings that our traditional ic engine bearings whether it is noise or friction or insulation or any other property that are important to that manufacturer so the margins are better now how material would this margin increase be in the overall results really depends on the adoption of electrification in the industry so today the electrification in the industry is being led mainly be two wheelers and then we expect passenger vehicles to pick-up, we expect commercial vehicles to pick-up so we do expect electrification to proceed at a pace which is not uniform across all segments. Going back to your question on hub3 specifically, hub3 is both for passenger vehicles and you could extent that mainly some LCV so as you know we work with a number of manufacturers in both these spaces and our penetration in these segments really depend on the penetration of these OEM players in that space.

Sandeep Tulsiyan : Yes, I have one more follow-up question on the railways piece. I think on the railway side we have major presence on passenger cars as well as on locomotives while the presence on freight wagons continues to be limited where we were expected to become eligible for bidding for 100% of quantity. Where we are on that road map for class 3 bearing and what kind of share are we targeting going forward within railways, freight wagon fees specifically.

Manish Bhatnagar : We have approval Sandeep now for class E and also class K. There are two kinds of bearings. The class E bearing is lesser load carrying bearing and class K are higher load carrying bearing. We have approvals for both the bearings. We have also supplied a sample order to the wagon manufacturer.

On freight as you know that the Indian railways laid out a tender for a three-

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year requirement, I think about 90,000 wagons over three years so 30,

000 a

year. Why that numbers become important is that the total wagon population for freight in the country is about 300,000 and that is being developed over decades of freight, but the railway is now adding 10% of that wagon capacity every year for the next three years so we think freight will be the next big growth opportunity and because we are now approved locally it also becomes a big opportunity for us.

Sandeep Tulsiyan : So, any indication you would like to give because this order used to get divided between two players earlier and you know the new players had a very small share so how will that look going forward between the four players.

Manish Bhatnagar : We are working with all the wagon manufacturers to make sure that SK bearing also get purchased along with their legacy players, so we had discussion with all of them. We have placed pilot orders with a few of them and depending on how the relationship progress we hope to start seeing share gain in the freight in line with what we are seeing in the past in passenger and locomotives.

Sandeep Tulsiyan : Understood. Thank you so much Manish for taking these questions.

Moderator : The next question is from the line of Alok Ranjan from IFFL AMC. Please go ahead.

Alok Ranjan : Good morning. Thanks for taking my question. Sir my first question is on the transfer pricing so if you can highlight in terms of both export and stated goods that we get how does the pricing works whether it is cost plus or whether it is sales minus so if you elaborate on both sides of transfer prices.

Ashish Saraf : So Alok the transfer pricing works from the net margin method right which is we are buying in goods from our sister company right. All the significant amount of risks are borne by the manufacturing entity and relatively the sales entity takes limited risk so considering that the margins for the sales entity is  
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relatively normal than the manufacturing and same is the case when we are exporting any goods from SKF India to any of our related party company in that situation since SKF India is manufacturing those bearing the significant amount of risk is borne by SKF India hence SKF India gets a better share of margins compared to the related party.

Alok Ranjan : In relation to that in terms of the mix of the product, in terms on the industrial side the localization percentage is lower can we say that if the mix towards the industrial side increases our gross margin and EBITDA margin will get deteriorated compared to when the auto mix is higher.

Manish Bhatnagar : So, can you repeat the question. I am not very clear in terms of your question. Are you saying that if we have more localization in the industrial market?

Alok Ranjan : Sir my question is that our localization percentage is different in auto and industrial on the auto we are highly localized 95 to 97% while on industrial side 35 to 40%, a shift in the mix towards industrial in terms of the sales mix, how the margin on the gross and EBITDA changes.

Ashish Saraf : That is right. If the industrial mix increases and we do not have an increase in the localization overall margins will come down because our traded products would be relatively lower for the goods which are being traded by us but if we increase our localization in SKF India, then our margins for the industrial products will be higher. In general, the industrial products have a better margin compared to the automotive products so if you localize more and increase the share of industrial products then our overall margin will improve for SKF India.

Alok Ranjan : Sir one clarification in terms of the localization. On the auto side generally, companies work from just in time basis so generally a different market, have a very localized manufacturing for auto side but on industrial side since these are low volume products and generally you need higher capacity to ensure  
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that every market is having their own localization so can you say that the localiza

tion percentage on the industrial side will continue to remain lower.

Manish Bhatnagar : Logically yes because the industrial that sizes are much smaller than automotive pad sizes so automotive for example one manufacturing line can easily churn out 10 million bearings a year because there is demand for 10 million bearings a year maybe from one customer on the industrial on the other demand could vary from 5000 bearings to a million bearing it is a very large mix of SKUs. It has a large tail of smaller volume SKUs so there is no way that industrial localization will get to the level of automotive simply by the nature of the business that is correct but having said that it will certainly increase beyond today 35% to 40% but it will not get to it is not feasible for it to get to 100% or close to that like automotive is.

Alok Ranjan : Got it Sir. Sir one question on global scheme of things on Europe and Ukraine side we are seeing lot of disruption happening and SKF is having a bigger plant in Ukraine. In the near term can India be an alternate source of supply if there is any disruption which is happening in the any of SKF Europe or Ukraine plant. Can you please comment on this?

Manish Bhatnagar : We have one plant in Ukraine which is right now functioning. It has not shut down. Certainly disruption is there but it has not shut down but I think more importantly as and when the disruption becomes larger maybe in Ukraine or some other parts of the world can India pick up the manufacturing slag, the answer is yes and even over the last few months our Indian factories have been supporting our European customers by producing bearing as and when required assuming of course we have the capability to produce those bearings so the answer is absolutely yes.

Alok Ranjan : Got it Sir. Sir just one last clarification on the wind turbine gear box side generally we have cylindrical roller bearing, which was there, now there are some alternatives which are there like Groove bearings, which other

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companies are talking about. Wanted to ask whether SKF is looking this as a threat or how do you see the new product Groove bearing compared to the normal bearing that used to be there in the wind turbine gear boxes?

Manish Bhatnagar : I do not have knowledge of what you are talking. I am sorry so we will have to come back to you on this new bearing you are talking about. I have not heard this as threat so far but maybe I am just informed so let us investigate this and come back to you if it is okay with you.

Alok Ranjan : Sure Sir. That is all from my side.

Moderator : The next question is from the line of Bharat Sheth Quest Investment. Please go ahead.

Bharat Sheth : Sir good morning and congratulation on good set of number and thank for the opportunity. Sir talking on this localization on industrial side you are right that in large bearing number of pieces are low so localization is bit difficult so which part of industrial side are we really looking for a localization and how big is the potential of that market that is one part and within industrial there is lot of cases of spurious bearing in aftermarket so what exactly we are doing to resolve that and lot of these bearing are coming from China and looking at China so are we really getting a traction making a good enroll in the industrial side so if you can give some colour on that will be great and lastly K bearing what we talk on these heavy so who other have got approval apart from us.

Manish Bhatnagar : Who all have got the K class bearing approval you will have to ask our competitors. I am not privy to that information, so it is best to ask them. The second question was around localization and what kind of products are we looking at. It really depends on what segments we expect growth to come from. We expect the industrial growth story in India to be led by infra structure to a large extent which means construction equipment, cement, steel etc. and many of these segments and some

segments that support these growth

segments like gear boxes, pumps, compressor, motor etc. many of them use

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small and medium DGBBS or SRBs spherical roller bearings and deep-groove ball bearings, so we expect a localization effort therefore to be also in line with these products and these segments. Did I answer all three of your questions, Bharat? Your first question was on counterfeit bearings.

Bharat Sheth : And aftermarket overall industrial what is our strategy to grow that?

Manish Bhatnagar : The strategy to grow in the aftermarket is actually pretty straightforward and it is also linked to counterfeit bearings. It increases our reach as much as possible. In industrial segments an industrial customer do not buy counterfeit bearings because it is cheaper or because they want counterfeit bearings but very often they cannot run the risk of running their machinery on counterfeit bearings. They are forced to buy counterfeit bearings because they do not have access or they cannot reach authorized SKF distributors for genuine bearing and very often you will be surprised to know they end up paying higher price for counterfeit bearings then they would to distributor for SKF or the genuine and of course counterfeit bearings leads to failure etc. so a strategy to mitigate the counterfeit problem and to increase our aftermarket business is to increase reach of our bearings to every customer who needs SK bearing. Today our distribution network reaches about 10,000 pin codes in the country. We have about 20,000 pin codes totally in the country, so we are at about 50% penetrated. The rest is where we need to work on through an online channel or through more distributor or master distributors or direct and that is the ongoing effort on increasing after market.

Bharat Sheth : What stage in this journey we are currently?

Manish Bhatnagar : Well, we have launched a E shop and E marketplace in January, and we are now seeing very, very large footfalls into that marketplace. I do not know the numbers, but I think we are doing about 4 or 5% of revenue for specific segments through e market players so it is still new early days, but we expect this to become larger in the days to come.

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Bharat Sheth : And second question some on the auto side. Our larger presence in two-wheeler vis-à-vis, PV, tractor, and CV so what is our strategy to grow the share of remaining part of this business.

Manish Bhatnagar : Our strength is two-wheeler both OEM and aftermarket that is where than half of our revenue in the automotive comes from and we will continue to play to our strength. On the other segments passenger, commercial and agriculture we will go ahead and work with specific customers and specific subsegments. Passenger vehicles we do not have a very large share and we are okay with that. On commercial we work with the largest player in the country and we have a good market share with all of them and again like in two wheelers we will keep working to increase that share and increase our business, also keep in mind commercial vehicles have not grown at the same pace as two wheelers for the last couple of years for various reasons that you are well aware of so commercial vehicles will be a good segment for us but the growth rate are slower than two wheelers, agriculture tractor etc. is not a large market but we have a decent size share there.

Bharat Sheth : These import of this product from the sister group are largely in euro term or dollar and if euro has depreciated vis-à-vis rupee so do, we get benefit or is there any reset clause is there automatically.

Ashish Saraf : So generally, most of our imports are in Euro or SK which is Swedish Krona and both the currencies have depreciated. For the traded products, the product risk is typically borne by the manufacturing entity so now in this case since it has depreciated the benefit would go to the manufacturing entity. In case these currencies depreciate the negative impact will n

ot come to SKF

India so that is how we are structured.

Bharat Sheth : Okay thank you very much and all the best Sir.

Moderator : The next question is from the line of Mukesh Saraf from Spark Capital. Please go ahead.

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Mukesh Saraf : Thank you again for the opportunity. My question is on market share. In the annual report you had mentioned that our market share has gone up in FY2022 could you give some sense on which segments we are talking about and probably if you could give some numbers around how much is the market share right now.

Manish Bhatnagar : Our market share depending on the segment varies from high teens to mid-twenties in terms of which segment has it improved. On the automotive side we are seeing improving shares on the two-wheeler side and on commercial vehicles. On the industrial side we are seeing gains in cement, in steel, in construction equipment and in prices and again this is on account of focus in these segments and the same four segments you can recall Mukesh I had mentioned in earlier question. These are the high growth segments where we are seeing good growth and we are also investing resources in making sure we gain share and we expand our portfolio in these high growth segments, so these are kind of six or seven segments where we are seeing share gains. It does not mean we are losing share in rest; all it means that we are static in the rest.

Mukesh Saraf : In continuation with that when we say market share gain is it more to do with import substitution or is to do actually the competitor losing our business or is like a business opportunity that we are getting more is there like a pricing not a pricey war but is that like a pricing competition?

Manish Bhatnagar : Import substitution is not a big play. A few exceptions are not importing bearing directly, they are still buying locally from people like us so when we say share gain of course there is some import substitution but that is not the big driver for the share gain. The big share gains we are seeing is taking share from competition.

Mukesh Saraf : My second question is regarding in general you are having margins and with steep increases steel cost we are still seeing that your gross margins are

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minting around that 40% mark within the first quarter FY2023 so this does obviously tell us that we have been able to pass through a lot of your cost increases my question is what happens steel starts cooling of how much of this we can retain and hence margin upside can be higher or do we have to pass through the cut in prices especially aftermarket.

Manish Bhatnagar : So, it really depends on the segment, it depends on the customer, and it depends on the market in general automotive OEMs the prices are linked to steel index. When the steel prices goes up our prices go up when steel prices go down our prices go down it is fairly straight forward that is the industry practice and we are no different. On the aftermarket we certainly pricing



power so the aftermarket we do not increase or decrease prices every month depending on steel going up or steel coming down, so we typically take a price increase in the aftermarket it stays. I cannot recall a time in the last five years we have taken a price down in the aftermarket, so we have taken a price increase and it stays. On the industrial side it is a bit more complex. On the industrial side unlike automotive OEMs these are not linked to the steel index instead we have binding contracts with large industrial OEMs these could be three months, six months, one-year etc. so we have to play out the entire time duration of the contract before we can go and ask for price increase. The obvious resolution here is we should limit our contracts to a smaller time period as possible with steel being volatile it would be foolish to tie in five year contract because we do not know our prices will move but this is knowledge in hind sight so all our contracts going forward as we negotiate new cont

racts either there are smaller time period contracts or we are including in the contract a clause to link it to steel prices so we hope to see that taking share going forward.

Mukesh Saraf : So, what I understand is in summary the aftermarket price we can probably retain a lot of this benefit if at all you see a good correction in the steel prices.

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Manish Bhatnagar : The aftermarket is sticky. It will stick on the OEM side. It is question of negotiation and duration of the contracts.

Mukesh Saraf : Right. Got that. Thank you so much.

Moderator : The next question is from the line of Sameer Dosani from ICICI Prudential AMC. Please go ahead.

Sameer Dosani : Thanks for the opportunity. Just one request if you can do that frequently that will be good for us. Overall, when you speak about increase in localization, I assume that includes our unlisted entity as well so when you increase the localization whether that share will come to the listed entity how does that split to listed versus unlisted and can you share some colour on the export strategy is there some strategy to shift business may be manufacturing or making India as hub for the global parent.

Manish Bhatnagar : Sameer two questions you have asked me gets asked at our investor call and I give the same answer at every investor call, and I will say it again here.

Number one our strategy is not based on exports. Bearings by their very nature of our business is to serve local customers and it may differ for other competitor of ours but for SKF we want to be as local as possible, so our strategy is not to increase exports. We use exports as a filler so from some reason we have a gap in our manufacturing lines for low demand we would use that to fill the lines to export something or if we have a war in Ukraine and they need our help we will step in and make some bearings for them but we do not salespeople out there in world trying to sell India made bearings to increase share so that is not our strategy. So, our strategy is not to increase exports. We use exports as a filler so if for some reason we have a gap in our manufacturing lines for lower demand we would use that to fill the lines to export something or if we have a war in Ukraine and they need our help will step in and make some bearings for them, but we do not have salespeople out there in the world trying to sell India made bearings to increase share so

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that is not our strategy. Exports is not where we want to focus on. That is a conscious decision we have made which may be different from other competitors but that is alright. That is our strategy. On your first question on the two entities, we have in India there is no magic formula here. There is nothing like saying okay 50:50 or 20:80 or 60:40. Both these entities are serving different segments and have different manufacturing capabilities. The listed entities that we have the ones that we are talking about right now is specifically set up to serve automotive customers and industrial small and medium size variants, which means if the demand increase we see comes from these segments we will have to invest in the SKF India facilities there. The other entity is more an aggregation facility where we aggregate demand for large size industrial bearings around the world. In response to your previous question, I have said industrial bearings their batch sizes or the requirement can vary from 5000 actually sometimes even 500 to 5000 to 50,000 so fairly small numbers as compared to the small and medium size bearings so that other facility in Ahmedabad has been set up very differently to make large size bearings. Even if you wanted to make those bearings in

our Pune plant in SKF India we could not do that because we do not have the capability and likewise if wanted to make small and medium bearings in the Ahmedabad facility we cannot because we do not have the capability there, so it is not question of a choice we are making internally where to in

vest. It is

a choice that customers make for us where is the demand. The demand comes for large size bearings, it will go to Ahmedabad. If the demand comes for small and medium it will go to the listed entity.

Sameer Dosani : Fair point so just a follow-up so increasing localization is it going to be smaller size bearings or is it going to be on the larger bearings that you see?

Manish Bhatnagar: Yes so, the big market is in the segments I mentioned construction equipment, steel, cement, motors, and gearboxes is all small and medium size bearings. It is not to sell large size bearings will have no investments, Elvis for example are large size bearings, and wing is large size bearings.

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That investment will need to go Ahmedabad but for everything else it will have to come to the Pune, Bengaluru, or Hyderabad.

Sameer Dosani : Sorry just try to say larger part will come to the listed entities I think?

Manish Bhatnagar: We do not know the answer. It depends on the demand from customers. If tomorrow the wind business in India really picks up. If it becomes 10 times our current volume that investment will need to go to Ahmedabad because we cannot make the wind bearings in another plant, but if tomorrow our tractor business increases by 50 times that investment will need to come to Pune or Bengaluru because we cannot make that in Ahmedabad.

Sameer Dosani : Understood and lastly you spoke about gaining market share in specific segments in India just to India what kind of efforts or what are the benefits that are playing out in our favor what actions are we taking to gain this market share in India just to understand that?

Manish Bhatnagar: I will answer a large question on strategy. Strategy is as much about doing certain things as it is about not doing certain things. We cannot be doing everything and with that on strategy. That is insanity so we have a strategic plan that we laid out of couple of years ago which got delayed because of COVID but now with COVID is behind us we can kind of reevaluate it a strategic plan and decided that here are the few segments we will focus on and when we say we focus on these segments it means doing a number of things. It means making sure we have the right products to service so I will give you one example so for example in construction or heavy industry. There are segments around idlers, segments around conveyors and pulleys and segments around crushers. Now our strategy will have to inform us do we have the right products for all these segments or not and what we have learnt now in the last 18 odd months that while we have products in some segments, we do not have some in some other segments so then we put our entire product development team in India to work on those new products in some

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segments so for example in crushers or in dump trucks we need different technology and our teams are now working on developing those products so that is on the engineering side. The next stage is on the manufacturing side. After we develop those products and making the right investments to manufacture those bearings to where they are needed and third is on the go to market side as we are hiring more people. We are hiring people who come from a bearings background or are we hiring people who come from a segment or industrial background so I would much rather have a guy who knows the cement industry and can walk into a cement plant and speak to the cement factory manager and talk to that manager in his language versus have a person who comes in who knows only bearings so these are some examples of changes we have made in the last 18 months or 24 months and that is bearing fruit now.

Sameer Dosani : Understood lastly if I can squeeze one what is the margin trajectory going to be for SKF as a whole because in the backdrop of steel prices cooling off a little so can you just share some insights on that thanks?

Manish Bhatnagar: I have no idea, frankly. I have no idea. If you can give a tra

jectory of steel

prices and freight prices and forex, I can tell you trajectory of margins.

Sameer Dosani : Thank you. Thanks that is it from my side.

Moderator: Thank you. The next question is from the line of Harshad Patel an Individual

Investor. Please go ahead.

Harshad Patel: This is Harshad from Equirus Securities. Sir my first question is on the overall auto bearings industry so could you give us a sense on what would be the overall bearing content in a typical two-wheeler passenger vehicle and the commercial vehicle in the value terms and similarly how is the overall industry value would be bifurcated between energy and transmission, and so on and so forth that would be my first question?

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Manish Bhatnagar: That is a very specific question. I am sorry I do not have the answer for you right now in terms of value by vehicle, etc. I can tell you in terms of number of bearings per vehicle. I think you are looking for a more market research kind of an answer so I will have our teams come back to you.

Harshad Patel: Sure, even if you could answer on number of bearings even that will be very helpful if that is possible?

Manish Bhatnagar: I can answer for two wheelers as an example. Two wheelers typically use between 12 and 16 bearings between the wheel and the transmission and the engine.

Harshad Patel: Sure, Sir thank you. Sir my second question would be on our rotating equipment performance business, so you have elaborated quite a lot in the annual report as well? Sir could you light as to what proportion of our overall sales did we derive last year from these activities and also going ahead which will be the end user industry that we are targeting?

Manish Bhatnagar: It is today at about 5% to 7% of our business is REP rotating equipment performance. The industries we are targeting is where the cost of failure is more than the cost of the replacement which means what does that mean. It means where we have to target industries like steel or cement or wind turbines for example where they cannot afford unplanned down time. They cannot afford failure because the cost of a bearing failing in wind turbine or the cost of a bearing failing in a steel mill or steel converter or cost of a bearing failing in a cement press it is not just the cost of the bearing, bearing. It is the cost of the loss of production so those industries cannot take the chance.

Therefore, they would much rather work with someone like us to be able to predict failure before it happens so what these industries hate the most is unplanned down time. They would very like to like basis see if that is okay here is an SKF bearing in my converter. Today it is being monitored by SKF through a remote diagnostic centre and based on the data we are sending to

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them we think in the next three weeks sometimes this bearing is probably going to fail. With this information that factory manager can then make a call in the next planned downtime on a week from now. He will call SKF when the machines are stopped, pull out that bearing and meanwhile the SKF guys have come with a new bearing to install to replace the taken out bearing so that the machine starts running all over again when the planned downtime is over and the SKF guys go back and take a look at that bearing and see what needs to happen there in terms of evaluation or remanufacturing or what have you so in these industries the cost of failure is much more than the cost of replacement and therefore these are the industries we are targeting with our reps.

Harshad Patel: Understood Sir and if I can just squeeze in one last question so you have given quite a lot of idea on the initiatives that we are taking on the freight wagons front wherein we are coming from a very low base so could you give us an idea about our overall market share in passenger coaches and locomotives where we are one of the dealers of the market that would be my last question? Thank you Sir.

Manish Bhatnagar: We are

around 30% to 40% in those two segments.

Harshad Patel: Thank you very much Sir for taking my questions.

Moderator: Thank you. The next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.

Bhargav Buddhadev: Good morning team and thank you for the opportunity so I have two questions. The first on the aftermarket side you mentioned that availability is one of the most critical drivers. Whilst an online platform will help but in India typically you need physical presence so is it possible to quantify what has been in the increase in terms of channel footprint since our focus has been arising on the aftermarket side and have you budgeted any increment in terms of channel footprint over the next two years? The second question is

on the roadmap on localization? You mentioned 35% is the localization on industrial side but is there any roadmap in terms of where do you want to reach in the next two to three years and has the capital allocation been sort of pinned down to sort of reach that target and who takes the decision in terms of capex? Is it the Indian entity or is the parent entity in terms of capex to be incurred on the localization front? These are my two questions.

Manish Bhatnagar: Again, the last question is easy. Our localization will be somewhere between 35% and 95%. 35% till date and like I said earlier the benchmark is 95% for automotive. Obviously, it will not hit the very high number of automotive for the reason I gave earlier so it will be somewhere in between this and that number and of course it will not happen overnight. It will happen over a phased approach and also depends on which segments we focused on, which bearings we will make, etc., and that plan we will share with you as and when we can. The capex decisions linked to these investments are made locally by us and as they should be because this our business and we know it best. On your first question on the aftermarket side, I think you mentioned automotive but the e-market place or the online marketplace is more geared towards industrial. On the automotive side we are fairly well penetrated through our distributor network and then the retail network and then the tertiary mechanic network. On the industrial side is where we have some work to be done. The example I gave earlier about counterfeit bearings and the 10,000 pincodes was in relation to that so that is where want to increase our footprint not by adding more distributors but by adding more accessibility to all the pin codes in the country that need our bearings.

Bhargav Buddhadev: Understood. Thank you very much.

Moderator: Thank you. The next question is from the line of Sonal Gupta from L&T Mutual Fund. Please go ahead.

Sonal Gupta: Good morning and thanks for taking my question. Just going back could you give on a full year basis for FY2022 like a little more granularity in terms of the revenue mix so auto like you said is 42%? How much will the aftermarket as a part of autos?

Ashish Saraf: We already answered that right. We said out of auto around 35% is aftermarket and the rest 65% is OEM.

Sonal Gupta: Okay I thought that was for the quarter fine and industrial would you be able to break this up as to how much would be wind and railways just trying to understand?

Manish Bhatnagar: Industrial is much more diversified. None of our segments are more than 8% of the total industrial business so you can make a good guess. It is about 7% to 8% for the total business and not the industrial business so wind, railways, etc., are ballpark in their range of 7% to 8%.

Sonal Gupta: And industrial would have a meaningfully large after market?

Ashish Saraf: Yes, that is right.

Sonal Gupta: Would you be able to share what is it?

Ashish Saraf: It is around 45% to 60% would be the aftermarket business in the industrial.

Sonal Gupta: Got it and just my last question was again on the auto aftermarket side what we are seeing is that a lot of t

he OEMs are also trying to grow their aftermarket revenues? They are getting into traded products. They are trying to enhance their share of the pie especially on the two-wheeler side. We are seeing fairly aggressive move so does that really impact you in any way? Do they source from you for aftermarket, or will they be sourcing from other suppliers for aftermarket just trying to understand?

Manish Bhatnagar: That is a good question. We are seeing a number of OEMs in the automotive space also get into what is called OEs (original equipment space) not just in bearings but across the entire space product line. Bearings have become a very critical part of this portfolio. Unlike let us say a bulb in a headlamp or a blade in a windshield wiper. A bearing contributes a lot to the performance of that vehicle so if a two-wheeler manufacture has put in a SKF bearing as an original equipment and they try and sell OEs they would want to make sure the same bearing that they put into their original vehicle also gets put as a replacement so really the OES market derives its share or its volumes from the OEM market. I would be very hesitant to say that an OEM manufacture out put SKF in their original equipment and then put some other

brand or other traded product from another country in their OES because that is called reputational damage to that OEM if that bearing fails in the aftermarket so in all these cases you are mentioning we are seeing a very, very tight cooperation between SKF and that manufacturer. Of course, it depends on the relationship we have with them at the OEM level first.

Sonal Gupta: Got it but these OES supplies would count as OEM for you or do you count it because it is going I guess the packaging, etc., will be different for that?

Manish Bhatnagar: Well, it today counts as OEM because it goes to the OEM but today it is not that material, frankly. It may seem like a lot, but it is not that much.

Sonal Gupta: Got it because again in these segments we are seeing fairly large share of aftermarket revenues and like you said bearings is a key product in there, but you are saying as of now it is not very?

Manish Bhatnagar: As of now it is not. It is not to say it will not become large in the future. What I am saying as of today it is not a large part of even their revenue.

Sonal Gupta: Right and the point I was getting towards is there is no cannibalization of your aftermarket because of this or because of OEM sourcing?

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Manish Bhatnagar: On the other hand, I would say it is actually beneficial to us because if a large OEM manufacturer now puts out an OES under their brand name let us say SKF inside that packaging it is more likely than not that the mechanic now would then use that OES to retrofit a two-wheeler versus putting in place some other bearing.

Sonal Gupta: Got it great. Thanks a lot.

Moderator: Thank you. The next question is from the line of Jitendra Khatri from Tata Mutual Fund. Please go ahead.

Jitendra Khatri: Thanks. My questions have been answered. Thank you.

Moderator: Thank you. The next question is from the line of Salil Desai from Marcellus Invest Managers. Please go ahead.

Salil Desai: Good morning gentlemen. Sir the first question in the annual report you have some references to patents filed I think 14 filed and three in process so I wanted to clarify these patents are we part of what the India R&D centre with global technical centre does or do you do separately you own R&D also product development for your business?

Manish Bhatnagar: It is actually a combination of both so we do some. R&D is predominately done at the engineering centre but the patent filing can happen at both entities.

Salil Desai: So, these would be stay in India specific product that you are developing and so for that you file a specific patent? That will largely be kind of geographically it will be implemented in India?

Manish Bhatnagar: Yes.

Salil Desai: The second question globally, a

re you seeing or at least we are seeing that most of the larger bearing players are trying to have a more industrial

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orientation in the business, right? Most of the auto originally and there has been a fair bit of M&A in this regard? Do you see that as a sign of arising competition on the industry business where you have earlier more established business today?

Manish Bhatnagar: Sorry just repeat your question. It is not clear to me. What are you asking exactly?

Salil Desai: Globally what we have done is that some of the peers at least the large global players some of them have been trying to increase the share of industrial business in their overall revenues? A couple of them also done some large M&A transactions in this field would you think that given your strong presence in the industrial market this is the kind of say rising competition as the market gets more consolidated on the industrial side if you have any reviews or if you have seen a trend like this?

Manish Bhatnagar: You say is it a sign of surviving competition.

Salil Desai: Do you see more competition on the industrial side this consolidation right let us say your larger peers are acquiring a smaller name and they increase their industrial shares versus auto and you are already a larger industrial player globally so would you think it is a treat or how would you respond to that?

Manish Bhatnagar: I will restrict my comments to India. I do not want to comment on what is happening globally if it okay with you. In India, we are about a 50:50 between automotive and industrial, but our industrial business is growing faster than the automotive business. Globally we are about 70:30 in favor of industrial so

I think overtime we will also move towards that mix so in terms of growing our share of industrial in India and that is where all the discussion so far around localization, new product development, aftermarket development, and share gains so lot of effort is going towards increasing our industrial footprint and industrial businesses so to that extent we will certainly hope to become an even stronger player in the industrial space than we are today. We are the

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market leader today in industrial, but we will consolidate that even more through all these efforts. Specifically on M&A we have looked around the country. We really have not found anyone that interests us that much from the industrial M&A perspective, so we are not going down the M&A route to consolidate and strengthen our industrial position. It will also be organic or through our own efforts.

Salil Desai: Great. Good to know that and Sir finally just one clarification when you say localization are you referring to kind of a like to like replacement of what is being imported to a complete manufacturing of that product in India, but is it a mix of some local procurement versus some parts still getting imported?

Manish Bhatnagar: So, localization for us is not just the manufacturing of bearing. This is an industry where the supply chain can be very complex. To give you a very simple example Salil and I am making it simplistic here, but a bearing would have the rollers or the balls, would have the cages, would have the inner ring and the outer ring so let us say the four components and of course there are a couple of other more components, but for the sake of simplicity let us keep these to these four components. When I say localization it also means localizing the suppliers for these components. Sometimes it could be the steel we are sourcing. Sometimes it could be the component we are sourcing and of course it will also be the bearing we are assembling or manufacturing so when I say localization I mean localization of the entire value chain. It is not as simple as SKF setting up a new line to assemble their rings because if you are still importing that steel from China, it is still not fully localized.

Salil Desai: Perfect. This is very useful to know and Si

r lastly on the REC business model

so there is a kind of bearing supply component to it and then there is a service component where we must be charging on the monitoring of the equipment so if you can explain in detail how the model works? You charge a fee on the service part I assume right and then there is the hardware supply and between the two I think you had to sale contract where you can put some

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basis then would that involve a fee and fiber component also or it is just completely per tonne basis so may be an explanation how the model works?

Manish Bhatnagar: The classic RED contracts are performance contracts. They are not linked to a fee or the bearings or anything like that. These are really linked to performance so for example we have a contract with the steel supplier. It is a pay per tonne contract. The more steel you produce the more you will pay us because we have been guaranteeing you uptime on your steel mill so by guaranteeing you a higher up time through our bearings or our diagnostics or our insights you are able to produce more steel and therefore, we would like to a share in that additional steel you are producing so it is pay per tonne contract. In some other contract it could be reducing mean time between failures. It could be increasing availability. It could be down time, so it is really demands Salil on the customer and what are their pain points and therefore in response to an earlier question I had commented that when we hire our go to market people now or our salespeople now we are now hiring industry experts. We are no longer hiring bearing experts so the cement guy needs to be able to walk into a cement plant and at a glance identify the pain points for that factory manager and then propose an RDP solution which will then mitigate that pain point and not just talk of bearings because when you are reduced a supplier of a component versus being a true partner in the performance of that factory so that is what we are structuring RDP contracts as.

Salil Desai: Great Sir. Thank you so much and all the very best.

Moderator: Thank you. The next question is from the line of Vijay Sarthy from Anand Rathni Shares and Stock Brokers Limited. Please go ahead.

Vijay Sarthy: Thank you for this opportunity, Sir. Sir just one question Sir it is generally perceived that the bearing is basically a buyer's market, and the perceived quality is almost same among the customers and given that the pricing is

more of competitive are concerted in some cases but what is it unique positioning point for you increase market share because you have mentioned market share has increased? How does this work if you can help us understand it thanks?

Manish Bhatnagar: Well obviously I will disagree with you, but we can totally disagree. We do not think bearing is a buyer's market. If that was the case it would be a simple price gain and a race to the bottom. Then the cheapest bearing would have the highest market share but that as you know is not the case. We are by no means the cheapest in the market, but we have the highest share so that I would just put out there a data point for you to say I would disagree that it is a buyer's market, but more importantly how do we gain share. Let us take and again I will repeat an example I gave earlier on in terms of industrial customers. The cost of a bearing frankly is very, very small in the larger scheme of things for a factory manager. It is a very small part of that machinery. The cost of a bearing in a commercial vehicle is very, very small compared to the cost of the entire vehicle so would customers really go and risk the performance of their vehicle or their machinery by buying the cheapest bearing I would imagine not why because the cost of failure is so much higher. They could go buy a cheaper than SKF. They could buy a Chinese import and put it in their machinery and if the machinery fails that will cost them a much more-higher loss of production and r

evenue and profits

than if they had paid the premium to SKF at the beginning so that is where we need to gain share on. We need to gain share on technology. We need to gain share on performance. We need to gain share on availability. That by the way has become an increasingly increasing point to differentiation today as compared to two years ago. With the recent supply chain disruptions, during the COVID world and this current Ukraine war, etc., availability and reliability of supplies is a big differentiator for people who want to gain share. No one wants an assembly line stopping because "oops we could not supply the bearing and it is stuck on the sea" in some port in Chennai so these are

all the differentiation points I am laying out for you in terms of shared gains that are important that we are working on.

Vijay Sarthy: Sure Sir. One more question so what can obstruct you to achieve your long-term target of localization in industrial business?

Manish Bhatnagar: Well, obvious answer is demand. If the demand comes off the cliff which we are not seeing by the way but that is the obvious answer short of demand falling off the cliff there are no other obstructions.

Vijay Sarthy: Fair enough thank you Sir.

Moderator: Thank you. The next question is from the line of Dhanush Mehta from JM Financial. Please go ahead.

Dhanush Mehta: Sir most of my questions have been answered. I just had a small question. I just read in one of your press releases that SKF had partnered with Indian Railways for remanufacturing of bearings and they have successfully recycled close to 20,000 bearings so can you just throw some light on that?

Manish Bhatnagar: Yes, the Indian Railways as you know runs the world's largest or second largest train network anywhere so our bearings go into the bogies, and I will pick an example only of passenger wagons right now leaving aside locomotives and freight, so our bearings go into these bogies and as and when these bearings have a life. It could be number of kilometers or time, etc., or just monitoring their condition through diagnostic. Whatever railways will use, and it varies region to region they have two options. When that marker is over it could be time or it could be duration or mileage or condition monitoring, they need to bring those wagons back to their workshops and Indian Railways runs many, many workshops around the country. You know all the names the CLWs, etc., and then they take out those bearings because they cannot run the risk of a bearing failing when the train is running. Again, it goes back to an earlier answer with the cost of failure is so much higher

than the cost of the placement for a train wagon. If a bearing fails the train derails and there is loss of life so the Indian Railways will not take a chance of the bearing failing so when that marker that they have set is met, they will pull that wagon back to the locomotive workshop, take out those bearings and sent to SKF for what we call remanufacturing. The bearing has not failed

but it comes back to SKF for checking the quality of the bearing. In many cases we will say that the bearing is okay. It has so much more life left on it or we will say it needs some bit of refurbishing and what we call remanufacturing so we can do that in our factories and send it back to the railways and that is what is our 20,000 bearings per year remanufacturing program.

Dhanush Mehta: Okay so basically this would be more of repair and maintenance work?

Manish Bhatnagar: It would be. Yes, I would call it refurbishment or remanufacturing but yes on the same lines.

Dhanush Mehta: I have seen Sir from late from 2010 to 2022 the last 12 years we have seen our sales rising from Rs.2000 Crores close to around Rs.3,500 Crores to Rs.4000 Crores now whereas in the same time period the net block has gone up from Rs.280 Crores to Rs.400 Crores? I just wanted to know that with the increase in capex that we are planning every year that i

s around 30% to 40%

increase in an annual run rate for capex can we see our gross block going 2x in the next three to four years?

Manish Bhatnagar: So again, it is not going to be 2x but again it will all depend on the capex investments that we made so given that we are looking at investing under Rs.100 Crores to Rs.150 Crores right per year I do not think it will be 2x.

Dhanush Mehta: Okay thank you Sir and good luck for the coming quarters.

Moderator: Thank you. The next question is from the line of Virag from Simple. Please go ahead.

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Virag: Thanks for the opportunity. Most of my questions have been answered just one on REC so maybe there are parts to the question? Firstly, we have been offering this particular service solution for a little more than a year and a half to two and a half and we have been quite ahead of the competition and also in terms of rolling out and catering to customers so just want to understand what will be our share currently in the market please for REP? Will it purely be a solution for the Indian market which will be catering from SKF India or we will also look at eventually rolling out to other geographies say South East Asia and the likes that is part two and part three is since this is a more performance related pay kind of a revenue model what changes on the cost part you would have to do to make sure that the business is profitable and is the business right now still in investment stage or it is quite profitable any perspective you can share thank you?

Manish Bhatnagar: I will address it now first to India if it is okay with you and not comment on South-East Asia that is out of scope of this call. In India, our REP business is today an investment stage. We launched it about couple of years ago but it has been a very difficult couple of years because of the pandemic and everything else here so it is also a learning we have around which industries are most accepting of a performance contract and which industries are not so there is no point selling a REP contract to an industry where the cost of failure is less than the cost of replacement it simply does not make economic sense for the industry and therefore we are now focusing our efforts in REP. It is a learning we have had on some specific end segments and some names I mentioned earlier. In terms of share of REP is very, very early days. It is about 5% or 7% of our total revenue. I do not know what that translates in terms of market share in the segments. I do not even if other competitors have comparable offerings that we have, maybe they do, maybe they do not, but still very, very early days to compare market shares. It is more important right now to figure how many customers can adopt these performance contracts as quickly as possible because that leads to a multiplied effect, and we should

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be less concerned about market share and more of an adoption so that is where our focus is right now and certainly with our new focus on some specific industries, we are seeing better progress than we have done in the past.

Virag: Sir on the first part if you can share because it is more of a performance driven kind of a pay model as against your product base which we have traditionally been more accomplishment?

Manish Bhatnagar: Right the cost most of these performance contracts are linked to data being streamed from the bearings into a remote location. If you ever come to Pune for example, we will be happy to show you around what we are calling the remote diagnostic centre. These are a bunch of engineers who are basically monitoring assets on some large screens in front of them 24x7 across the



country but again these engineers are not doing it firsthand. They are not doing it themselves. They are monitoring algorithm and machine learning programs that are monitoring the data from all these assets and the engineers are there to mainly alert the customers if the algorithm point towards an abrasion so for example if a bearing

in a steel mill converter starts to show signs of failure it will alert our engineers who will then cross check the data to make sure the algorithm is saying what is supposed to say and then work with the customer to make sure they understand the consequences so the only additional cost that I would say are the cost of setting up this remote diagnostic centre and engineers we need to higher to monitor that. That of course gets amortized. It becomes easier the more assets we start monitoring so it is in investment stage right now but overtime it will become more and more part of the business and those costs becomes very insignificant compared to the performance gains we get from them.

Virag: So, one business kind of reaches a steady state or a mature state how would one understand where the margin structure and this kind of business? Any learning from how it would have evolved at the parent level anything you can share on that front?

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Manish Bhatnagar: The margin structure will certainly be better than selling only products that is obvious because this is not about selling more there. It is about selling better meantime between failures. It is about selling more up time, etc., and the contracts will be structured in the future where we can gain in the share of profits of customers so if we can help the customer increase uptime. Let us take the example I gave earlier the pay per tonne contract we have with the steel mill. The more you produce the more we get paid. Beyond a point our incremental cost is zero here apart from of course the cost of bearings we need to supply to them to make sure the converter keeps running on time so the margin structure will be far superior to the bearing product line in steady state. Now what that number will be I do not know right now frankly. That depends on adoption of the RAP contracts by segments and customers and certainly the more profitable the segment that adopts the higher the margin will be.

Virag: Thank you and good luck.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: Congratulations for very good set of numbers. Continuing on the previous speakers question so REP business is 5% to 7% of our total annual turnover right now where do you see it over the next three to four years Sir?

Manish Bhatnagar: Our state-wise ambition is for it to get to 20% of our business in the next three years.

Vipul Kumar Shah: So right now, can I ask whether that business is EBITDA positive or negative?

Manish Bhatnagar: It is right now neutral.

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Vipul Kumar Shah: Neutral and what should be the margin trajectory if it reaches 20% of our turnover?

Manish Bhatnagar: It will be better than the bearing products line.

Vipul Kumar Shah: Significantly better?

Manish Bhatnagar: Yes, I hope so that is the intent we are doing it and again to elaborate on the previous answer it depends on the adoption of performance contract. It depends on which industries, and it depends on what performance is we promising so if we are only promising incremental gains, we will only have incremental profitability. If we are promising major gains, we will have major profitability and that is an education we need to do in conjunction with the customers to make sure we are sharing in the profits equally.

Vipul Kumar Shah: Okay Sir thank you and all the best.

Moderator: Thank you. The next question is from the line of Jason Soans from Ashika Stock Broking. Please go ahead.

Jason Soans: Thank you for taking my question, Sir. Sir I just wanted to know about in terms of this EV transition how is it going to play out so obviously IC engine bearings will probably slowly phase out and then you will have those bearings which will cater to the EV applications and you did mention that there are higher margin products and technologically superior so just wanted to know from a landscape perspective what is your sense on o

f it is going to pan out in terms

of probably the volume of bearings will come down but there will be more specialized bearing so in terms of a product mix perspective and there will be more higher value bearing what is your sense on that just wanted a perspective from your side for that?

Manish Bhatnagar: Sure, the short answer is that while the number of bearings will go down the price per bearing will go up and our estimate tells us that we will be

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revenue neutral in the electrification game and we may be margin positive because of higher performance and better margin bearings. That is the short answer. The longer answer is that electrification is today crawling at a fairly slow pace. There is more noise in the market than reality. Also, the adoption of electrification is very different across different segments and within the segments across customers. Two wheelers as we know is probably the farthest along the block in terms of adoption and then followed by passenger vehicles followed by last mile commercial vehicles followed by intracity buses, etc., so it really depends on the adoption curve of electrification to give you a better answer in terms of margin improvements over the years.

Jason Soans: Sure, thanks Sir and just a question in connection with that so I was reading about your hybrid de-groove ball bearing which is a combination of ceramic rolling elements as well as steel rings so do you see an increased usage of ceramics for EV bearings going ahead?

Manish Bhatnagar: Yes, they are actually made for exactly that purpose. The hybrid ceramic bearings and you are right. The ceramic refers to the balls or the rollers, everything else is still steel. They are meant for exactly that purpose. They are better insulation, lower noise, less friction, high speed, etc., and we expect the hybrid bearings to lead the way in electrification.

Jason Soans: Sure Sir and just one final question from my side you did mention so bearings are a local play and the exports are just a filler so in terms of locally there is a lot of focus on infrastructure initiatives from the Government of India and a lot of other initiatives as well looking at positioning India as a viable in a strong manufacturing alternative to China so I just wanted to know what is your sense in terms of a ground level what do you see and what is your sense of the manufacturing landscape here in India and how do you see it going ahead for the next three to five years?

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Manish Bhatnagar: I think it is a little naïve to imagine or to say that we will replace China supply chain excellence in three to five years because that excellence has been build up over decades so all those who talk about replacing China with Made in India is a little naïve about that but having said that there is certainly a demand from customers and industries to de-risk China the so-called China plus one or China plus two strategy. Now when you say plus one or plus two India is one of the many countries which could be plus one or plus two. It could be Bulgaria. It could be Mexico. It could be Vietnam. It could be another country. I do not think we are there yet in terms of our supply chain excellence. We may have good manufacturing capability, but we do not have world class logistics for example. We do not have world class clearances, so I think a lot more needs to happen on the ground to be able to say that we are a credible treat or a creditable player in the China plus one or China plus two game.

Jason Soans: Sure Sir. My question was clearly China is a bear mouth and yes definitely but are you seeing some gradual concrete steps my own question was that so even if a small position is diverted towards India that is also is a big on a base it becomes a big jump, so I was talking about from that perceptive?

Manish Bhatnagar: Absolutely. I think the small incremental shifts we are seeing of course we are seeing that but to see that large incremental shift that will

be more than a

rounding we are yet to see that.

Jason Soans: Sure, Sir thanks for answering my questions. Thank you.

Moderator: Thank you. The next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead.

Sandeep Tulsian: Thanks for taking my follow-up question. I had a couple of years more questions. First one was on the pricing versus volume growth if you look at the last three years CAGR for our sales it is somewhere between 10% and 11%? I know it is not very simplistic. There is a big portion of mix change over

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here also but if you give us some sense how much of this 11% annualized

growth rate would have come from pricing increase and how much of that would have been volume growth?

Manish Bhatnagar: I do not have the numbers for three years CAGR Sandeep, but I can give you a sense for the last year. This is what I have top of memory right now. Pretty much our sales volume is led by volume about 40% and price mix change about 60%.

Sandeep Tulsian: Sorry price change is what?

Manish Bhatnagar: Price and mix both about 60% and volume about 40%.

Sandeep Tulsian: Understood. The second question was pertaining to the OES sales part that you explained what we have seen is that typically with a lot of these Korean car manufactures the tier one supplier tend to be a Japanese sort of coding company so would that be a hindrance in increasing the OE sales as and when that piece grows?

Manish Bhatnagar: Specifically for those examples you mentioned we are not a large player in any of those segments.

Sandeep Tulsian: Okay that explains it. The third part of the question was on the comments made by a global CEO on the investments in Asia Pac? He mentioned that current share of Asia is at 60%. He would want to increase it to 85% and would want to make all incremental investments towards manufacturing plant in Asia? I am assuming India is a large part of that, but you did mention exports does not feature in our overall strategy of growth so was that reference more towards the unlisted entity or how do you just tally these two views?

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Manish Bhatnagar: No, that reference was more to localization. It was not in reference to a specific plant. It was meant in terms of more localization therefore more manufacturing in the country.

Sandeep Tulsian: Okay do you foresee that kind of a growth within the Asian end market is what we are referring to?

Manish Bhatnagar: Yes.

Sandeep Tulsian: Okay understood and one last data keeping question is on the 4Q mix what Ashish said was on the OE aftermarket side and its spots if you could also, please share the automotive and industrial mix for Q4, so we get a proper sequential compression thank you?

Manish Bhatnagar: So, last year for the Q4 the mix was automotive was 40%, industrial was 47% and export was 14%.

Sandeep Tulsian: Thank you so much for taking my questions.

Moderator: Thank you. On behalf of SKF India Limited that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

END

## Call: Aug 2022

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 2nd August 2022

National Stock Exchange of India Limited,

"Exchange Plaza" 5th

Floor, Plot No. C-1, G

Block,

Bandra Kurla Complex, Bandra

(East), Mumbai – 400051BSE Limited,

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Towers, Dalal Street,

Mumbai - 400001

NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Dear Sirs/Madam,

Sub: Intimation – Transcript of 61st Annual General Meeting held on July 27, 2022

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith transcript of 61st Annual General Meeting held on July 27, 2022.

Transcript will also be available on website of the Company.

The above is for your information and record. You are hereby requested to disseminate the same on your respective websites.

Thanking you,

Yours faithfully,

SKF India Limited

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Ranjan Kumar

Company Secretary & Compliance Officer

161st AGM - SKF India Limited, 27th July 2022

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-A very good afternoon dear members. I welcome you all to the 61st annual general meeting of SKF India Ltd. convened today, which is 27th July 2022, 3:00 pm Indian Standard Time through video conferencing. It's our pleasure to meet you virtually. On behalf of the Board of Directors, please accept our sincere thanks for joining us today. Your support, confidence and encouragement even in these difficult times strengthens our efforts of making our SKF stronger. Before I begin, I would take this opportunity to introduce the Board of Directors of your company present at this meeting.

-I now start with Ms. Anu Wakhlu is the independent director of the company and chairperson of Audit committee and NRC and also member of stakeholder relationship committee and CSR committee. She is participating in this meeting from Mumbai, Maharashtra.

-I would like to introduce Mr. Manish Bhatnagar, Managing Director and Chairman of the CSR committee. He is participating in this meeting from Mumbai, Maharashtra.

-Next, I would like to introduce Mr. Shailesh Kumar Sharma, whole time director, who is also proposed to be re-appointed as director liable to retire by Rotation. He is participating in this meeting from Mumbai, Maharashtra.

-In this AGM, we also have, Mr. Ashish Saraf, Chief Financial Officer who is attending this meeting from Mumbai, Maharashtra.

-Mr. Ashish Saraf – CFO SKF India Ltd.:

-Hello everyone!!

-Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-We also have Mr. Ranjan Kumar, Company Secretary and Compliance Officer, who is attending this meeting from Mumbai, Maharashtra.

-Mr. David Johansson, Mr. Joakim Landholm (whose appointment as directors are placed before the shareholder's meeting) couldn't join this meeting due to their pre-occupancy.

-The company has made all possible efforts under the current circumstances to enable the members to participate in the meeting through video conferencing facility and work electronically. I would now request Mr. Ranjan Kumar, our Company Secretary and Compliance Officer to check and confirm the quorum of this meeting and also share some important information about this meeting with the shareholders. Over to you Ranjan Kumar.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

2-Thank you Honorable Chairman. So looking at the number of members present, I confirm that the requisite quorum as required by the law for this meeting is present. As per various circulars issued by Ministry of Corporate Affairs and SEBI, the shareholders who are attending this meeting using audio video means have also been considered for the purpose of quorum. Now I would like to confirm and record

the

presence of our auditors. So M/s. Price Water House and Company, Bangalore LLP, the statutory auditor of the company for the financial year 21-22, M/s Deloitte Haskins & Sells, statutory auditor of the company, appointed with effect from 11th May 2022, M/s Parekh & Associates, Secretary and Auditor and M/s RA & Co., cost auditor, presently all the auditors are present at this meeting using audio video means accessed by the company to them.

-Now a brief announcement for the convenience of the shareholders. The shareholders who have registered themselves as a speaker will be allowed to speak when the names are announced with the request to speak and accordingly we will switch on the audio and video facility for those shareholders. The shareholders may further note that the recorded videos of the proceedings of this meeting will be made available on the website of the company as well on the website of NSDL. The transcript of the meeting will also be placed on the website of the company. These information would also be communicated to the stock exchange where the shares of the company are listed, that is BSE Ltd. and National Stock Exchange of India Ltd. Now I would like to brief the shareholders about the statutory records which have been kept for inspection. So all the statutory records have been put on the website of the company for inspection of the shareholders electronically. I will name a few for the convenience of the shareholders. So the register of directors and Key-managerial personnel and their shareholding as maintained by your company under Sec 170 of the Companies' Act, the register of contracts and arrangements maintained by your company under Sec 189 of the Companies' Act and all other documents have been referred in the Notice and Explanatory Statement sent to you all have been put on the website of the company for the inspection of the shareholders. So the shareholders may go to the website and have the inspection of these documents. Members may also note that the annual report of the company for the financial year 21-22 was already circulated to them by email on 5th July 2022. The updated annual report with some typo corrections were also circulated to all the shareholders on 21st July 2022. The same is available on the website of the company for quick reference of the shareholders that has also been communicated to the stock exchanges where the shares of the company are listed. With this, I will refer back to honorably for sharing his outlook on the business environment of the company. Thank you so much shareholders for your patient hearing.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you, Mr. Ranjan Kumar. Dear shareholders, good afternoon ladies and gentlemen. On behalf of the board members and the entire SKF India Team, I warmly welcome you all to the 61st Annual General meeting of SKF India Ltd for the financial year 2021-2022. It's a pleasure to connect with you all and although virtual, it's indeed my privilege to host you today. Hope you and your families are safe. As this was a very successful year for SKF India Ltd., therefore I would like to make few comments about the year past and the year that lies ahead of us.

3-First the financial performance . Firstly I would like to say that we recognize the importance of the meeting, shareholder expectation and therefore we are always committed to delivering long term shareholder value.

-We recorded exceptional revenue growth in the financial year 2021-2022, even though we had the severe impact of covid in our quarter 2 performance. A profit before tax for the financial year 2021-2022 stood at INR 5,309.6 million and revenue from operations at INR 36,658.9 million, which is up 37.26 % for the financial year 2021-2022. A robust performance is a testimony of our company's commitment to ensuring operational efficiencies across its facility maintaining high level of customer centricity and market share in the addressable businesses a

nd markets. Thus, all of this leading to

a strong financial performance and increased shareholder value. These results were achieved despite many major challenges including turbulence in the macro economy, supply chain constraints, geo-political challenges and an unexpected and extended period of inflationary trends. Against such a backdrop, your company's performance in FY 2021-2022 makes it very pleasing. The company's accounts for the year ended March 31st 2022 along with director's and auditor's reports are already with you and with your permission, I would like to take them read.

-I would now turn to business environment . As our country's GDP is regaining and

poised to reach pre-pandemic levels of growth, the broad business outlook remains positive and the company is looking to leverage many growth opportunities upon its head. The infrastructure, railways, transportation, all the paper, AV and e-commerce sectors continue to see robust demands in India. Considering the company's strong product portfolio across automotive and other sale segments, long standing relationship with customers and the goodwill around us from distributors, suppliers and all other stakeholders, the business operation of the company is expected to report satisfactory financial results in the coming months. People are strength and an organization's growth depends upon the dedication and the commitment of its employees towards its vision and mission. At SKF, we consider employees as our most important asset. All our employee oriented activities and initiatives are guided and deeply embedded core values and drivers. To augment the workforce in tune with your company's sustained growth, major initiatives towards training, talent acquisition, employee engagement and retention have been continued in FY 2021-2022 as well. Your company continues to invest in human resource development to provide an open work culture and rewarding career opportunities to all its employees.

-I next turn my attention to CSR and sustainability . Your company has always given top priority in fulfilling its obligations under CSR. We intensified our community empowerment activities with a special focus in the areas of education, skilled development and environmental sustainability. By choosing long term sustainable projects, if company has taken an approach which brings steady and long-lasting impact on the society. As a part towards our focus towards sustainability, your company is committed to reduce its carbon emission and intending to increase its resilience and reliance on renewable energy to meet energy requirements. We sourced 42 % of our energy from renewable energy sources which helped us to reduce specific CO 2 emissions by 21,850 tonnes during the year.

-New strategic framework – SKF Group has defined a new strategic framework based on 2 concepts – intelligent and clean. Intelligent means, its providing connected and tailored offerings for our customers, as well as using technology to make our operations 4more efficient. Clean reflects our ability to enable a more sustainable industry while running our own business in a transparent and responsible manner. These concepts will guide us as we embark on an exciting journey to become a more focused, innovative and profitable player in the industry.

-The board and management of SKF Ltd are determined to ensure vigorous execution of our new, intelligent and clean strategic framework so that we are well positioned to meet the growing customer demands and grow profitability over time.

-Outlook – we are very proud of what we have achieved together. The outlook is positive. The conditions are favorable and the business is positioned to continue to do well in the future. While we are optimistic, we will remain vigilant and be focused on the key value drivers of our business. We continue to assess opportunities to drive growth and deliver long term value to our stakeholders. It will be challenging, we recognize that So we will co

ntinue to keep a close eye on all the costs. Your company

has continued to build on its legacy of unique application insight, the right products, technologies and solution to help customers to achieve their performance.

-Conclusion – before concluding, I once again wish to convey my sincere thanks to the dedicated employees of the company. Without their efforts and commitment, the company could not have maintain a sustained performance during these challenging conditions. I would also like to thank SKF India management for their continued, strong and unequivocal support towards making SKF stronger. I show my gratitude to customers, suppliers, distributors and various government authorities for their continued interest and confidence in the company and its management. I thank the fellow board members for their continued leadership and unwavering support to the company and its employees. As I end, I would like to sincerely thank you, our valued stakeholders. We look forward to your continued support and encouragement. I urge each one of you to stay safe and stay healthy. Thank you.

-I now request Mr. Manish Bhatnagar, Managing Director to present to members with the company's performance during the year under review FY 2021-2022. Over to you Mr. Manish.

Mr. Manish Bhatnagar – Managing Director, SKF India Ltd.:

-Thank you, Mr. Chairman, and welcome to all our shareholders and everyone who has joined this meeting. It certainly gives me great pleasure to join you all in the 61st AGM of SKF India.

-Our agenda for the next few minutes is to of course bring you up to speed with our strategic focus which Mr. Chairman mentioned in his opening remarks. We walk you through results of the last year and the quarter that just went by. We will talk a little bit

about what are we doing to drive responsible growth, not just for today but also for generations to come and finally we will summarize our observations and outlook.

-Mr. Chairman mentioned the new strategic framework laid out by the group a few months ago and which is built around these two new premises of intelligent and clean. None of this is new to us but I think what we want to do is take these premises to the very next level. Intelligent is all about making operation Intelligent around information, around data, around insights, around analytics, not just for our own manufacturing 5insights but also for our suppliers and customers and clean is about caring for the environment, again not just for us as an example in terms of what kind of energy do we use but also for ourselves and our customers, we certainly have laid out net zero goals for 2030 and 2050 and through this new strategic framework that we hope to achieve all those goals. The framework is built around 4 themes. Strategy is all about investing in high growth segments. So we will identify what segments are important for India and we will invest in those Of course, just identifying those segments are not important. We also need to make sure we have the right technologies enabled for us to drive growth in those segments and especially for someone like us, our services business and our after-market business is an equally important part as compared to our segments in the OEM business and we will focus on that and finally strategy is also about managing our portfolio, what to keep and what not to keep, where to focus and where not to focus, there are also forms of this new framework that we have laid out. The enablers of course will accelerate technological development. We digitize our full value chain. Full value chain extends all the way from strategic sourcing to collections of cash. We will exhume volatile world we have to be more competitive and build a more regionalized or sometimes even localized supply chain. We have to de-risk our supply chain and in not doing so, has its consequences as we have seen in the past pandemic couple of years ago and Mr. Chairman mentioned our strive to be as customer centric as possible a

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that means we have to learn to operate much more efficiently as close as possible to customers. None of this is possible without having the right leadership and the right people and we are so proud of everyone who works at SKF, who show us the way every day, who inspires every day to achieve our strategies and hit our strategic goals.

-So last year 21-22, we had the 2nd and 3rd wave of covid and its been a little bit easier since then. But as you can see the numbers over a 5yr period, despite the headwinds around covid, despite the headwinds around inflation, the company has delivered an outstanding performance in terms of net sales. 36 billion rupees of net sales last year. PBT (profit before tax) are at an all-time high in the last 5yrs and earnings per share also at an all-time high of almost Rs.80/-. So almost on all financial parameters, SKF India has delivered in a year which was pretty tough and that goes out to the dedication of our employees and the confidence that our customers have shown in us. I thank all my employees and our customers and suppliers ensuring we meet our goals and commitments.

-Specifically in the past quarter, we had exceptionally strong performance despite inflation which is all around us. In our everyday life, you and me as consumers, we see inflation but also as business leaders, we see inflation around us, whether its freight, whether its raw materials or everything. And despite those inflationary trends, the company has delivered a revenue performance of 51.8% year on year but again you have to see this in the light of last year, the same quarter which was impacted by covid. So 51.8% is extremely good but its also to be seen in comparison of a weak quarter the previous year. A better comparison would be quarter on quarter. I think a 1.4% increase in quarter-on-quarter revenue is a very very strong performance because we are really competing like to like it. Material cost however is not a great story 645 basis points increase in material cost over the previous year same time but we are seeing some slackness now on material cost. We are seeing a decline, 169 bps quarter on quarter. But material cost is the single largest cost for our business. So it has an outsized impact on profitability and our margins. That is something that we certainly need to watch for especially around steel and freight because those 2 make up a big part of our cost levels. 6We have to be sensitive to these inflationary pressures and make sure that we are able to absorb that or pass them on. So with our surprised realization or changing our mix towards more profitable clients, we have to be able to manage it going forward. Profit before tax, a strong performance and that's a percentage number so 149 bps up year on year to 273 bps up quarter on quarter. A 17% PBT number is extremely strong and be great performance by the company.

-Networking capital, adversely 1.8% compared to the previous year but down 2% quarter on quarter. We are right now trending at about 21.2% which is healthy but I think we should do and we could do a lot more to make it better.

-So in summary, I think we are green on growth and profitability. We kind of wait and

watch on cash flow, networking capital and certainly we are red on inflation and what we need to do to offset all that inflationary impact through prices, growth and focused networking capital productions.

-We want to share with you a few examples around beyond just financial numbers. How your company is driving responsible growth, how we are behaving responsibly for today and for tomorrow, whether its customers or innovation or employees or community's environment. So we may have one example in each which will hope to give you a flavor of what we are trying to do.

-Responsible innovation – now this is a large steel manufacturer in India and they have these freight cars which have wheels, which run on bearings. So we have taken a product that we have, which is a unitized solution for t

he passenger vehicle segment in

India and we have taken that product and translated that into wheels for freight cars for a steel producer. Now this producer in particular has about 300 such freight cars and that they use a number of bearings and we are really trying to help them by reducing their total cost of operation by increasing mean time between failures by increasing uptime and most importantly by reducing their grease consumption because now they no longer need to unpack those bearings as they used to do earlier. Now its one closed net unitized solution so they don't need to dismantle, grease, re-grease and put it back. Now its all in one unitized half which helps them in reducing their own carbon footprint. That's a good example of taking a product in a different industry and applying it to something when you would normally not think about applying it. So that's responsible innovation across industry.

-We are also helping our customers improving their manufacturing footprints from India. This is an example of a leading automaker which has now decided to make India their global sourcing hub and cater to many geographies from India. But of course, they would not be able to do that unless they had commitment from people like us. Because its not enough for only the automaker to move their sub-lines to India. It's also important for their suppliers and bearings are very very important supplier to an automaker because we are technologically very very important for the automaker's performance. So we are being responsible towards our customers by helping them develop their India footprint by making sure we are walking with them in helping them develop our own footprint.

-We are responsible towards our customers is another example, now again this is an example about using a modular solution as opposed to a separate solution. We have 7 customers who are now coming towards us saying, "help us reduce our effort of our customers. Help us reduce our carbon footprint by not asking us to grease and de-grease that unit after 1000kms." So we are now addressing those challenges by removing the mounting operation and the fitment operations and making sure that we are able to provide to them a ready to mount unitized application for wheels.

-I mentioned I improvise at the beginning – we are who we are and we deliver what we deliver and our strong performance is around our employees. We would not be where we are without the strong support of our employees and in turn we owe them progressive policies. We owe them progressive processes. This is an example about creating meaningful choices for our employees. Like any large company, we have many many policies that we hope are beneficial to employees. But we also understand that one size doesn't fit all. So we are now in the process of creating choices for the same policy. So for example, if they need to have a flexible vehicle policy, how can we make it even more meaningful to them by allowing the employee to choose a vehicle which is most appropriate for them. Likewise, whether its childcare or insurance policies or other policies, our whole intent right now is to create meaningful choices for our employees.

-Our communities, we don't exist in isolation. We exist in a community and we are very thankful to them and what can we do to give back to them. So this is an example of, it's a play on the Hindi word for science, 'vigyaan' and we are calling it, 'WeGyaan'. So what can we do to our CSR efforts to help encourage, STEM education to children who not only deserve it but very often don't have access to it. so we are now working with 35 schools across 6 locations, more than 15000 students, making sure that we enhance their STEM learning through innovative educational tools. We are seeing this picture of a STEM lab. This is not about classroom training, its not about text books, its about using real life or application models to help the students learn about science and technology by hands on do

ing and not just classrooms.

-Finally towards the environment. We have a couple of examples here. Railways is, we have one of the largest rail networks in the country and these trains run across the length



and the breadth. For them its important to make sure trains run safely but also, they have a large recurring expense of bearings. These bearings need to be constantly in top operational condition and not come back for refitting or turn into scrap. So what we try to do in railways is that, use their workshop and use our workshops, combination of both to be able to take back their bearings that are nearing end of life before they fail. We manufacture them and give them back to the railways. This way, they will increase their profitability, lower their OPEX but also more importantly, we are manufacturing less bearings and that's good for the environment. And the word that we have at SKF is re-manufacturing. So we are refurbishing those bearings and making sure we give them back to the railways.

Last example is around caring for the environment, whether its water or energy or paper. All kinds of natural resources around us. So we have a lot of our CSR efforts geared towards lake rejuvenation, waste segregation and such activities to make sure that we are caring for environment everywhere, not just in our own immediate communities but as far and wide as can throughout this country.

-So, in summary, and I'll close here, we are continuing to deliver on our new strategic priorities around clean and intelligent. Hopefully you saw in the examples I laid out ; 8some glimpses of both clean and intelligent. We are continuing to improve competitiveness in high growth segments. We will drive a strong price realization and, I may add, even a mixed realization. So, it is a combination of price and mix to offset a very adverse inflationary environment that we're seeing around us. We will keep on focusing, as we always have done, on optimizing productivity and efficiency. And finally, we will of course invest in our future but more importantly, as relevant to all of you on this call, we will keep on delivering attractive returns to all our shareholders. So, with that, thank you very much. I hand back to the Chairman.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you, Mr. Manish Bhatnagar. Now, I wish to apprise the members of our Statutory Auditor Report and Secretarial Audit Report of the company for the year FY2021-2022. I'm happy to share that there is no qualification, observation, comments, disclaimer or adverse remark in the audit report of your statutory auditor for the year 2021-2022. Also, there is no qualification reservation, adverse remarks, comments, observations or disclaimer in the Secretarial Audit Report for the year 2021-2022. I would like to now request Mr. Ranjan Kumar, Company Secretary, to brief the members about the voting facilities which are available to them. Over to you Ranjan Kumar.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you, Honorable Chairman. So, quick info about the voting facilities made available by the company. So, I would like to inform the shareholders that in compliance with the provisions of the law and various circulars issued by Ministry of Corporate Affairs and SEBI from time to time, the shareholders were provided the facility to cast their votes using remote e-voting platform which was extended by the company to the shareholders. This was kept open from 9:00 am of 24th July,2022 it was open till 5:00 pm of 26th of July,22.

-The facility of casting votes is also available to the shareholders during this meeting. So, the shareholders who are part of this meeting and have not casted their votes using remote e-voting platform can cast their vote during this meeting.

-The e-voting facility is currently active and will be closed after 15 minutes from the conclusion of the proceedings of this meeting. If the shareholders have already casted their vot

es using remote e-voting platform, those shareholders are not required and not eligible for casting votes during this AGM.

-The shareholders whose names were appearing as on the date of 20th July on the register of members, which was the cut-off date, those are the shareholders who are eligible to cast their vote, right.

-Since this meeting has been convened using audio-video means there would not be any voting by show of hands.

-Now a piece of information about the scrutinizers. The shareholders may please note that the company has appointed Mr. P.N. Parikh, the practicing Company Secretary, who is representing Parikh & Associates as scrutinizer to scrutinize the votes casted by the shareholders on the general items of this notice. They're also attending this meeting 9using audio-video means extended by the company. The combined results of the remote e-voting facility, I mean, the votes casted on the remote e-voting platform as well as the votes casted during this meeting would be published by the company after receipt of this report. The results of the voting along with the scrutinizers report will be placed on the website of the company which is [www.skfindia.com](http://www.skfindia.com) as well as on the website of NSDL which is [www.evoting@nsdl.com](http://www.evoting@nsdl.com). It will also be communicated to the stock exchanges where shares of the company are listed i.e. BSE Ltd. and National Stock

Exchange of India Ltd. We will also display the results of the voting on the notice board of the company at its registered office.

-Thank you so much, shareholders. That's all I have on the voting. With this, I'll refer back to the Chairman for taking forward the meeting.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you, Mr. Ranjan Kumar. Before taking up the resolutions, I'd like to reiterate the process of taking your queries or questions as already covered in the notice. This year being the virtual AGM following members will be eligible to share their views and are asked their questions, as explained the notice to this AGM. Members who have already registered themselves as a speaker at the meeting by July 15th, 2022 on first come first serve basis as per the process explained in the notice of this AGM. Members who have expressed their views or have shared their questions on the designated email address on/by July, 15th as requested in this notice. Others, if anything, please send your questions to our registered email id which is investors@skf.com We'll try to reply over email unless the same as already been covered or answered during this meeting.

-Shareholders, now, I'd like to take up the resolution set forth in the notice shared June 28, 2022 of 61st AGM. There are four ordinary businesses listed as agenda item number 1 through 4 and six special business listed as agenda number 5 through 10. For draft resolution, explanatory notes and other details, the shareholders are requested to refer to the notice of this AGM.

-I would now start with the ordinary business and request the members to cast their votes, if not done already, on each of the agenda item. The facility of e-voting is available to the members till 15 minutes after conclusion of the proceeding of this AGM.

-Ordinary business.

Agenda No 1(Ordinary Resolution) for adoption of auditor stand alone and consolidated financial statement of the company for the Financial Year 2021-22 together with the reports of the Directors and Auditors thereof.

Agenda No 2 (Ordinary Resolution) for declaration of final dividend of Rs. 14.5 per equity share of Rs.10/- each for the Financial Year ended March 31,2022 which is 145% which has been approved and recommended by the Board of Directors of your company.

10Agenda No 3 (Ordinary Resolution) for appointment of Director in place of Mr. Shailesh Kumar Sharma who retires by rotation and being eligible offers himself for reappointment.

Agenda No 4 (Ordinary Resolution) for appointment of M/s. Deloitte Haskins and Sells LLP Chartered Accountants as statutory auditors

of the company for a term of five years.

Next Special Business resolutions

. Now I'll take up special business. Agenda number 5 through 10 of the AGM notice.

Agenda No 5 (Ordinary resolution) for appointment of Mr. David Leif Henning Johansson as the Director of the company who was appointed as an auditor with effect from June 28, 2022 who hold office up to the date of this Annual General Meeting, and being eligible, offers himself for appointment as a Director of your company.

Agenda No 6 (Ordinary resolution) for appointment of Mr. Karl Robin Joakim Landholm as a Director of the company who was appointed as an Additional Director with effect from June 28 ,2022 took the office up to the date of this Annual General Meeting, and being eligible, offers himself for appointment as the Director of your company.

Agenda No 7 (Ordinary resolution) for amendment of resolution passed by the shareholder through postal ballot regarding the appointment of Mr. Shailesh Kumar Sharma as Whole-Time Director of the company to make him retire by rotation.

Agenda No 8 (Ordinary resolution) for approving appointment of M/s Deloitte Haskins and Sells LLP Chartered Accountants as statutory auditor of the company to fill in the casual vacancy arising due to the resignation of M/s Price Waterhouse & Co Company and Bangalore LLP statutory auditors for the Financial Year 2022-23. The Board of Directors of your company had filled this casual vacancy at its Board Meeting dated 11th May 2022.

Agenda No 9 (Ordinary resolution) for approval of transactions with SKF GmbH Germany, SKF group company.

Agenda No 10 (Ordinary resolution) ; to ratify the remuneration with the cost auditors for the Financial Year 2021-22 in terms of Section 148 of the Company's Act, 2013. Read with rules made there and then.

-We have gone through the whole agenda items of this AGM. Thank you, members, for your participation on these agenda items. I would now request Mr. Ranjan Kumar,

Company Secretary, and the Moderator to facilitate inviting the members who have registered themselves as speakers. On announcement of the name, audio and video facility of the respective member will be opened. I'd request the members to summarize their views and questions in two minutes so that other members they also get suitable opportunity of expressing their views or raise their questions. Questions raised by the speakers shall be addressed comprehensively once all speakers have spoken. Manish, 11Ashish and Ranjan to take management questions the proceedings and take the notice. Over to you, Moderator, to facilitate question and answers.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you. Thank you, Chairman. In the interest of time and for the benefit of the shareholders I'll keep a time check, so shareholders are requested to sort of confine their views in two minutes. With this, I'll request and invite the first speaker which is Mr. Hiranand Kotwani. You are muted, Mr. Kotwani. No still not able to hear you, Mr. Kotwani.

Mr. Hiranand Kotwani – Shareholder:

-Yeah-yeah, hello?

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Yeah, it is okay now.

Mr. Hiranand Kotwani – Shareholder:

-It is okay now.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Sir, go on, please.

Mr. Hiranand Kotwani – Shareholder:

-Yeah, hello? Yeah.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Yes Sir, you are audible.

-Mr. Hiranand Kotwani – Shareholder:

Namaste to all; respected Chairman, other dignitaries attending this meeting and my fellow shareholders. I am Hiranand Kotwani from Kalyan. It's a great pleasure to join you gentlemen. The great organization, great reputation, good working. Generally I criticize at various levels for the betterment of the organization, to improve that this field but certainly no room to criticize because the good profit, Rs.80 EPS, Rs.40 crore pro

fit on Rs.50crore capital. Certainly, we have earned reward at this juncture but one apprehension regarding the inflation, I want to know from the management that how the new orders, existing order and new orders, will be affected? And what are our order position, particularly the Indian railway and other heavy industry in India? And our global orders are there, are global...this Germany counterpart is are taking, please throw some light how the order positions are there. No room to criticize because already and just there's difference between virtual and physical. The gentleman reads all the resolution, but not need to read. He would circulate it. So, to save the time we should 12not have read. So, only convey my good wishes to all the SKFiens. The company is doing well. How the future, particular the inflation concern and global inflation and rupee-dollar equations, which will affect our not affect? How Indian market and Indian position with the related inflation? How you're going to increase the rates in order rates? And our order position, particularly for, long way to go. Innovation and new product; what is our new product and R&D. In particular I want like you said 'innovation', so comment on that also. Thank you and good luck!

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you, Mr. Kotwani.

Mr. Hiranand Kotwani – Shareholder:

-Thank you.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you for the views and all. Now we invite our next speaker shareholder, Ms. Nisha G Shenoy.

Ms. Nisha G Shenoy – Shareholder:

-Hello?

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Ms. Shenoy.

Ms. Nisha G Shenoy – Shareholder:

-Yeah. Can you hear me, Sir?

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Yes Ma'am. We can hear you, Ma'am.

Ms. Nisha G Shenoy – Shareholder:

-Hello? Can you hear me? Hello?

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Yes, we can.

Ms. Nisha G Shenoy – Shareholder:

-Okay. I'm Nisha G Shenoy from Bombay. Respected Honorable Chairman, Shri. Subramanyam ji, other dignitaries on the Board and my fellow shareholders, good evening to all of you. I received the Annual Report well in time which is simple, 13 knowledgeable, informative and contains all the information as per the corporate governance. I thank Mr. Ranjan Kumar and his team for the same. I should not forget to thank you once again for reminding me of today's meeting, which I had already forgotten, and given me the link for the same. It is because of him I'm in a position to speak. Thank you, Ranjan ji, once again.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

Thank you, Ma'am.

Ms. Nisha G Shenoy – Shareholder:

-The Chairman Gopal Subramanyam ji and Ganesh ji has given a beautiful picture. It's thin and thick of the company. I'm very-very thankful to them and it was very-very nice. And on the outset, I would like to thank the management for receiving various awards. And, I'm also thankful to the Board for recommending dividend for the Financial Year 21- 22. On the outset, I'm very glad to know that the company has done outstanding work in the field of CSR activities. Chairman Sir, I have one or two questions. What is your roadmap for next two years? Question number two, what is the CapEx program? And my last question is, how are we planning to progress towards digital future? I wish the company good luck for a bright future and pray god that the profit of the company shall reach the peak in due course. Sir, I wholeheartedly support all the resolutions put forth in today's meeting. Thank you Chairman Sir.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you Ms. Shenoy. Now we can invite and speaker shareholder Ms. Lekha Shah.

Ms. Lekha Shah – Shareholder:

-Hello? Can you hear me, Sir?

Mr. Ranjan Kumar – Company Secret

ary & Compliance Officer, SKF India Ltd.:

-Yes Madam, you are audible.

Ms. Lekha Shah – Shareholder:

-Hello?

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Yes.

Ms. Lekha Shah – Shareholder:

-Thank you, Sir. Respected Chairman Sir, Board of Directors and my fellow members, Good afternoon to all of you. Myself Lekha Shah from Mumbai. First of all, I'm very thankful to our Company secretary Mr. Ranjan Kumar Ji and his team, especially Dilnawaz ji and Mayuri Ma'am, for extending very good investor services and also 14 sending me the AGM notice well in time which is full of knowledge, facts and figures in place. Thank you, Chairman Sir, for explaining us about the company. Congratulations for excellent work, Sir. Sir, I pray to God that he always showers his blessings upon you. Thank you, Manish ji, for such an informative and wonderful presentation. You gave such a good presentation that there are no questions to ask, Sir. You continue to perform so well and all the shareholders pray to God that company should keep prospering in the future, Sir. Still, simply, I will just as 1-2 questions. Has there been any impact of COVID second wave on the company operations? My second question is, are your employees working from home or they are working from the office? My third question is, what is the roadmap for the next two years? So, I would like to say I strongly support all the resolutions for today's meeting and my best wishes always for our company and its prosperity. Thank you, Gopal ji.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you Ms. Shah. Thank you so much for your good words. Now we can invite our next speaker shareholder, which is Mr. Homayun Beruz. Mr. Homayun, yeah.

Mrs. Homayun Beruz Pouredhehi – Shareholder:

-Hello? Can you hear me? Hello?

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Yes Ma'am, we can hear you.

Mrs. Homayun Beruz Pouredhehi – Shareholder:

-Yeah.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Yes Ma'am, we can hear you.

Mrs. Homayun Beruz Pouredhehi – Shareholder:

-Yeah-yeah. Yeah-yeah. I'm Mrs. Homayun Beruz Pouredahi. Okay, my husband used to attend and even we used to attend your AGM every year, year after year after year. We are proud of SKF. We were taken for a plant visit in Pune. My God! The 100 acres you had purchased. We just want to know, what have you done with that plot? Of course, you have been mentioning on and off. We are very proud of your land purchase in Pune. Your presentation, of course, was excellent. We just want to know we don't come under essential services, so was our factory completely closed during lockdown and pandemic? It must have been so difficult! And, now everything like all the workers are they back, employees are they back in the factory? We just want to know that. And, regarding the supply-chain, what challenges you must have faced with regard to getting 15th parts and you know making use of them and starting the factory and operating the factory and supply chain? REALLY, I tell you, it needs a man of real steel to face all these situations and SKF did face everything for that. And that's all I want to say. And any new products, have you done research in it? You have mentioned about the customers, customers make your job easy and on and on, have you produced/been able to produce, improvise on any products? Because we are not able to visit to your plant and get an idea. We just visited once and we still remember; we have such fond memories about it. I wish our company all the best and looking forward to still better days ahead. Of course, I cannot thank enough your Dilnawaz and your secretarial team who have been ringing me up, following up with us to come to the speaker's platform. It is not so simple and easy as it looks. Thank you very much and all the best for all of you. Thank you.

Mr. Gopal

Subramanyam – Chairman, SKF India Ltd.:

-Thank you.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you. Thank you, Ms. Homayun. Thank you so much. Now we move on to the next speaker shareholder, Miss. Kirti Shah. Can we have him on line, please? Miss. Kirti Shah. Moderator, do we have Miss. Kirti Shah on line? If not, can we move on to the next speaker shareholder, Mr. Dinesh Bhatia? Yeah. Mr. Bhatia, are you able to hear us? You're muted, Mr. Bhatia. We are not able to hear you. Still not. Still not able to hear you, Mr. Bhatia since you have muted yourself.

Mr. Dinesh Bhatia – Shareholder:

-Hello? Can you hear me now, Sir?

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-We can hear you, Sir. Now we can hear you, Sir.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Yes.

Mr. Dinesh Bhatia – Shareholder:

-First of all, I would like to tell Chairman and Managing Director that through your presentation we got a lot of information. Firstly, I would like to congratulate you and your entire team as our company gave an excellent performance. In the pandemic year also revenue is excellent; Rs. 3,666 crore revenue was made and this is actually your hard work paying off. The profit that our company is Rs. 394.96 crores. This is also an excellent figure. Even in the pandemic year you made this much of profit and that's really amazing. Our Net Profit is Rs. 394.96 crores. Our Earning Per Share like for Rs. 10 share we got earnings of 29.90%. This is really excellent. Thanks to all of. I would suggest one thing from my side, Sir, if possible like currently the Rs. 10 share is being traded in the market at Rs. 2998, so if possible split the shares into Rs. 1 or Rs. 2. If you split the share to Rs. 2 also then I feel market liquidity and trading of the share will increase and if the price is less then more people will purchase and that way volume of our shares will increase and even value will increase. If you split into Rs. 5 then next year also the rate will remain the same and it will be above Rs. 3000 only but if you split into Rs. 2 then I can guarantee that rate will be between Rs. 500-Rs. 1000 for sure. So, if possible...In current scenario I won't tell you anything about the bonus that we have so much reserve and so much profit and so you declare bonus because if understand declare a bonus that adds on our capital but if you will split into Rs. 2 or Rs. 5 share that won't have any effect on our Balance Sheet and just that number of shares with the shareholders will increase. So, if possible, consider this suggestion of mine. I agree to all the resolutions. I have a request for you, the previous speaker also said this, that arrange for a factory visit. If situation and everything improves then arrange for a factory visit and I insist that don't take repeated people but give preference to people like me who haven't visited the factory even once. Take shareholders based on your convenience but at least give preference to those who have never visited the factory. I thank the Secretary and the secretarial department for their feelings towards the shareholders. They reminded us yesterday also and today also we got the invite. Today

there are AGMs of 5 companies and all were to commence at 3.00 pm but your secretarial department invited me and I gave the preference to you only. Yours is the first meeting that I am attending. After finishing your meeting I will think of joining another meeting, But I am very happy and you and your secretarial department are doing an excellent work. Thank you. All the best.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you. Thank you, Mr. Bhatia. Thank you. Thank you so much. I'll just call upon again Miss. Kirti Shah as she has rejoined. I'll take a pause for a few seconds, if you can connect Miss. Kirti Shah. Mr. Shah.

Mr. Kirti Shah – Shareholder:

-Hello?

Mr. Ranjan Kumar – Company Secretary & C

ompliance Officer, SKF India Ltd.:

-Are you able to hear us?

Mr. Kirti Shah – Shareholder:

-Hello? Hello? Chairman Sir, can you hear me? Chairman Sir, can you hear me?

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Yes, we can.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-We can hear your voice.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

17-I am listening. I am listening.

Mr. Kirti Shah – Shareholder:

-Chairman Sir, your secretarial department hasn't sent me the Annual Report till date. I have requested for a physical copy but still you haven't sent that to me. So, in future take care of this. I will email you my queries and you can reply to me after 15 days or whenever. Wish you all the best. Thank you very much.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-Thank you, Sir. Thank you so much.

Mr. Ranjan Kumar – Company Secretary & Compliance Officer, SKF India Ltd.:

-So, with this we have concluded with all this speaker shareholders. I will go back to Honorable Chairman. Honorable Chairman, back to you.

Mr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you, shareholders. Thank you, shareholders, for your views and questions. May I request Mr. Manish Bhatnagar, Managing Director, to answer the questions received from the shareholders during this AGM. Over to you, Manish.

Mr. Manish Bhatnagar – Managing Director, SKF India Ltd.:

-Okay. Thank you, Gopal. And to all the shareholders who spoke, thank you for challenging us and thank you for asking for questions and your comments. We truly appreciate it. I will try and answer all the questions that we heard today and hopefully we'll satisfy all the shareholders.

-So first of all, Mr. Kotwani, Ms. Shenoy, Ms. Shah, Ms. Beruz, Mr. Bhatia thank you all. Thank you all for your kind wishes and best wishes and we hope to keep delivering as per your expectations in the years to come.

-Specifically, there were a couple of macroeconomic questions on inflation etcetera; Inflation, currency etcetera. Let me address those first. Yes, we are in a high inflationary environment whether it's raw materials or it's freight. Both are an important part of our cost cake, in fact, much more than many other companies. And on both these fronts we've seen very-very high inflation that we had not anticipated in the last six months or so. We are seeing some leveling of inflation on these categories but not back to where we began from. So, inflation does remain a big concern for us. How are we trying to mitigate those inflationary concerns, is through a very judicious mix of cost, price and mix. So, how best can we manage our cost levels, how best can we get price increases and can we change our mix to more profitable products. So, that's an ongoing exercise which is part of any business imperative but it's all the more important in this inflationary environment. And, hopefully, you've seen a positive impact of that in our performance in the last quarter.

-Specifically on SKF there were questions on our CapEx plans and our roadmap for the next couple of years and innovation and new products etcetera. So, I'll take those next. Our roadmap for the next couple of years is fairly straightforward. It's in high growth segments and it's about localizing as much as possible. So, today we still import, whether it's raw materials or finished components or even the finished product itself, from many places outside of India. Our strive and our ambition and our aspiration are to localize that as much as possible. And linked to that was the CapEx question. So, our

CapEx plans will be linked therefore towards localization. We typically do about 150 crores of CapEx a year and we'll keep marching to that same beat but possibly even higher, given our new localization ambition.

-On innovation; there were a few questions on innovation and new products. We are constantly innovating.

These are not innovations that are mega innovations but we are constantly innovating because we need to. We invented bearings and we are seen as the most technologically advanced bearings company in the world. So, whether it's a small innovation on clearance or a small innovation on dimensions or small innovation on metallurgy, we are constantly innovating. In addition to that, we constantly work with customers and partner with them to make sure we deliver the innovations they want. It's not enough to innovate what we want to do or what our capabilities are but we also want to innovate in line with what our customers want us to do. So, whether it's electrification or whether it's investments in new construction equipment or whether it's investing in new performance capabilities or whether it's investing in new diagnostic capabilities; any of those investments which are making sense to our customers we will keep on investing and that has not changed over the past many-many years.

-There were a few questions on Covid and second wave and impact of that on our operations and whether we're working from home or not. Well, we are a manufacturing company, we certainly cannot make bearings at home. So, our factories are fully operational. Everyone is back at home and we're making those bearings in our factories. All our staff is back in our offices. I think, the Covid, we have to learn to live with Covid whether it's second wave, third wave or ninth wave whatever it happens now. Every one of us is fully vaccinated. Many of us have booster shots, so we have a very-very safe environment to work in. And there was a specific question on the impact of Covid second wave on our production. Yes, of course, our factories did have to shut down for a few weeks, both in the first wave and in the second wave, but we opened the factories up as soon as we were allowed to with the right safety and hygiene factors in place. So, while we are back to work full-time, certainly the supply chain constraints keep on lingering. There was also a question on that. So, whether it's supply coming from outside India, whether it is freight, whether it's delays in shipment, logistics, transportation, inflation etcetera, the supply chain challenges continue to linger, and therefore, my comment on localizing as much as possible is also around de-risk in the supply-chain challenges and that's what we hope to de-risk more and more going forward.

19-So, I hope, I've answered all the questions that were asked and I appreciate your participation in this meeting and thank you once again for your best questions. Back to you, Mr. Chairman.

Mr. Ashish Saraf – CFO, SKF India Ltd.:

-It seems we have covered the views and questions from the members. However, if we have missed any of your questions, please send them to our registered email id [investors@skf.com](mailto:investors@skf.com). We will try to reply over email unless the same has already been covered or answered here. Thank you everyone. I would now request honorable Chairman to take the agenda item forward.

sMr. Gopal Subramanyam – Chairman, SKF India Ltd.:

-Thank you. Now, since all the listed items have been appropriately dealt with, I declare the conclusion of this meeting. I take this opportunity on behalf of the entire Board and the management team to thank all of you for your effective participation, useful suggestions and encouraging words. We look forward for your continued support. The voting facility online will be open for the next 15 minutes for the shareholders who have not yet casted their votes. Thanking you once again. Stay safe. Stay healthy. Thank you.

(E-Voting)

END OF TRANSCRIPT

## Call: Mar 2023

SKF India Limited

Registered Office: Chinchwad, Pune 411 033, Maharashtra, India

Tel: +91 (20) 6611 2500., Fax no: +91(20) 66112396 , Web: www.skf.com, www.skfindia.com email id:

investors@skf.com

CIN: L29130PN1961PLC213113

Date: 2nd March 2023

National Stock Exchange of India Limited,

"Exchange Plaza" 5th

Floor, Plot No. C-1, G

Block,

Bandra Kurla Complex, Bandra

(East), Mumbai – 400051 BSE Limited,

Phiroze Jeejeebhoy

Towers, Dalal Street,

Mumbai - 400001

NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Dear Sirs/Madam,

Sub: TRANSCRIPT OF ANALYST/INSTITUTIONAL INVESTOR MEETING ON  
FEBRUARY 23, 2023.

Reference: Intimation Dated 20th February 2023 for Meeting & Intimation dated 24th February  
2023 for Audio Link.

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30  
(6) & Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015  
(as amended from time to time) ("SEBI LODR"), please find enclosed herewith transcript of Analyst /  
Institutional Investor Meeting on 23rd February 2023.

Transcript will also be available on the website of the company.

We request you to take the above information on record and disseminate the same on your respective  
websites.

Thanking you,  
Yours faithfully,  
SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer

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"SKF India Limited  
Analyst Conference Call"  
February 28, 2023

MANAGEMENT :



Ashish Saraf (SKF): Again to be honest, nothing much has changed compared to, I think what, when we spoke last six months back. I think we are on a similar trajectory. If you look at the environment at such still globally, it still continues to be volatile. So as a company I think we continue. We know that India is an outlier compared to the global market.

So, from an India perspective aspect nothing has changed. Again, the growth story continues to remain. We continue to focus on driving profitable growth for the company both in the industrial segment and the automotive segment. And I would say the challenges around inflation continue to remain as a company. So we continue to kind of work with our customers to make sure we kind of offset that with getting the necessary price increases from the market, if needed.

And definitely again, I would say 2023 based on the GDP predictions and the inflation, I think both of them are going to hopefully slowdown. So to that extent I think we should see some impact on the growth as we're going forward. But overall, I think we are on a right trajectory, if you've seen the last quarter results as well, I think the results with respect to all the financial parameters have been relatively good.

Mirae Asset: Just on financial note that we obviously have much on quarterly -- but last two quarters your gross margin has been have been very strong in an inflationary environment. I think in Q3 there were some other expenses that impacted the overall margin. But still gross margin has been very strong in the last two quarter, so...

Ashish Saraf (SKF): So as I said, primarily, the reasons why our gross margin has been higher is, one is, we've had impact on a lot of inflation. So as a company we are focused on making sure that we are offsetting those costs. So we are taking a lot of proactive steps since last year, where we are continuously looking at our cost, which is kind of helping us offset. Secondly as a company, I think one of the strategic decisions that we took in 2022 is that we want to drive profitable growth.

So lot of things that we are doing around portfolio management, looking at our mix, so looking at our customers, which are loss making, going back to those customers and asking for either a price increase or changing the mix of the products or exiting some of the loss making business if needed to make sure that we improve our gross margins. So adding all of these things have kind of helped us in terms of improving our profitability.

Mirae Asset: Okay, so mix which used to be typically 50:50 industrial/auto that has changed?

Ashish Saraf (SKF): That has changed, right. So, if you look at our mix currently around industrial is around 50%, automotive is around 42% and exports is around 8%. So we as a company see that our industrial is good. See typically if you look at SKF, globally, 70% is industrial and 30% is automotive. In India is an outlier because traditionally it was started off as an automotive company and gradually it became industrial. So that's where you see a lot more or a faster growth happening on the industrial side.

Having said that, we continue to have the same level of focus on the automotive market as well.

So it's not that, we are moving away from the automotive market, but definitely India is a growing market across industry. All industry, all sectors are growing. So there is a lot more potential to grow in the industrial side compared to the automotive side.

Mirae Asset: But over here, I am really confused because industrial, a large portion is imported or either purchased from SKF Technologies. So in a way that should be a lower gross margin business for us, is that understanding correct?

Ashish Saraf (SKF): That is right, in a sense that because it's a traded product. So if you look at our industrial, 35%

of our products are manufactured locally, 65% of our products are still imported. So we as a company, one of the focus is to localize and improve our localization effort. As we localize, our margins should improve. On the traded products, relatively our margins are lower because the larger business risk is taken by the manufacturing entity and not by the selling entity. So relatively the margins are lower for traded products compared to own manufacturing.

Mirae Asset: Within the 65%, how much do we source, let's say locally from SKF Technology and how much might be the imported?

Mirae Asset: Yeah, on the flip side of the question is, 35% includes, when it's a local sourcing, it includes

sourcing from SKF Technology or it is like manufactured within SKF, the listed entity?

Ashish Saraf (SKF): See overall, if you look at SKF India, around 58% of our entire production is local and the remaining 42% is imported at an overall SKF India level. I was answering you a question specifically for the industrial business. For the industrial business, 65% is imported or either imported or purchased from SCLI and 35% is basically manufactured in SKF India.

Mirae Asset: So that was the point. I think that when you say within industry, 65% is trading within that, let's say how much might be the SKF Technologies portion and how much might be the direct portion?

Ashish Saraf (SKF): I don't have a number right now in front of me to tell you exactly that.

Mirae Asset: And but just overall perspective on this, when you localize a product in SKF Technology, so does it benefit the listed entity also in terms of margins or the entire benefit is retained by SKF Technology? Just trying to understand the thought process?

Ashish Saraf (SKF): There are two aspects to it. One is, its definitely helpful to SKF India from a perspective that once we localize a product in India, you are able to source better, you are able to manufacture it at a cheaper rate. Whether you are manufacturing it in SKF India or SCL IPL, it doesn't matter. The other entity of it -- the non-listed entity of SKF. So one is sourcing is better, you localize, availability for our customers are better because you are able to supply products to a customer. We are far more competitive because the competition is manufacturing that product in India. We are insulated to the inflationary impact that we are seeing in Europe. So with that, we are able to grow well in the Indian market.

Now, in terms of margins, the margins will be similar from a perspective that what we have for an imported product, it will be similar to what we have with the local entity vendor because they are pretty much governed on the same routes.

Mirae Asset: But obviously, if cost of manufacturing goes down, that helps you in terms of increasing volume?

SKF India Limited

February 28, 2023

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Ashish Saraf (SKF): That helps me increasing the volumes and getting a better market share. The other thing which you need to look at it is that, from an investment standpoint, SKF India is also like recently in the last quarter, we got an approval to do an intercompany investment. So we basically went and gave a loan to a sister entity, which is also where SKF India will earn interest. So it may not reflect directly in your PBT, but it will come in as another income. In terms of your -- it may not be a direct business income, but it will come in as another income on the total investments that we are making.

Mirae Asset: This through the SKF Technologies, how much is the amount that's invested?

Ashish Saraf (SKF): We have created a credit line, so it's not that we have kind of offered it as of now, but around MINR 2500 is what we have kind of -- INR 250 crores. So that's what we've kind of got an approval for from the shareholders, as well as from the Board the last quarter.

Mirae Asset: What's sort of interest rate?

Ashish Saraf (SKF): So that is basically

market linked. So I think its seven-year yield interest rate plus 150 basis points. So it's going to be roughly in the current market, I would say easily 9%.

Mirae Asset: I mean, this SKF Technology it has become profitable or its still in a loss?

Ashish Saraf (SKF): So SKF Technology is currently, I think at overall level, I'll have to check the numbers -- I would say it's currently at a breakeven level. It's not that it's not at an EBITDA level. So it's not that it's making a lot of money right now. It's got other businesses apart from the bearing business, got some other businesses as well. So they make lubrication products as well as seals.

Mirae Asset: Coming back to the core verticals and how much is the exports you can elaborate on that. But we have a good auto year in a domestic market and the base of going to high it's probably very modest growth from here. So is there any outlook or guidance you're suggesting next two years, let's say on this?

Ashish Saraf (SKF): See, we are not giving any outlook or guidance as such. But again, in the automotive sector also we see tremendous potential. One is, yes, two-wheeler is a market which is currently getting challenged from a perspective that exports are down for all the two-wheeler sector and that's kind of impacting the overall growth. But if you look at the only two-wheeler, two wheeler is almost 10% of our total business. So, it's not having such a significant impact.

We are seeing strong growth in passenger vehicles, we are seeing strong growth in commercial vehicle market and if you look at our VSM or automotive aftermarket that is also growing well from a perspective that, our strategy of reach, range and availability is kind of helping us. If you look at -- earlier our penetration in the aftermarket was probably 50% to 60% and the last one year we have kind of focused on increasing our availability by appointing lot many distributors across India.

So that's kind of helped us improve our overall reach to 70% and slowly and gradually it's increasing. So there is a lot of potential in terms of pure market penetration and what we are also

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doing is, we are trying to ensure that we increase availability, as well as range for our products which is going to kind of help us grow in the automotive sector.

Mirae Asset: So here after the replacement market, how are the trends of imports from China and is that also changing?

Ashish Saraf (SKF): Not really. I would say that overall the market remains like people who are typically buying SKF they are buying because the challenge for us is, more of counterfeit bearings and availability so we are kind of addressing that by ensuring that there is availability of our products. If you look at in the aftermarket what end customers or retailers are really constrained as to whether I need this type of bearing, is this bearing available for me to set? So that's what we are focusing on. Where we are kind of working with our distributors to make sure that we make availability, like create last mile availability for our network so that its kind of helpful. And that is where we are seeing signs of growth coming in in the VSM market and similarly on the industrial side as well.

Mirae Asset: Through this kind of background. You think autos can touch the overall thing, including replacement can touch double digit?

Ashish Saraf (SKF): See the way overall, I would say overall, considering the economic situation where we are in and we don't know how the future would be, typically if I look at our GDP is expected to grow between anytime between 6% to 7%. Inflation is going to be around 5%. So if you look at 12% is the bare minimum, I would say as a company that we are targeting at for next year at an overall level.

Yes. Again, internally we are even trying to aim higher. But it has to be like one of the things that we have kind of set a goal

ask for ourselves is that it has to be a profitable growth.

Unfortunately, in the past we had a good amount of customer base, especially in the OEM side where we're not making money, but we're still doing large volumes. We are kind of focused as to how we can turn that around for us, so that it's kind of return for us as well as for our shareholders.

Mirae Asset: Including industrial as well?

Ashish Saraf (SKF): I'm talking about overall in general for SKF. Again, it's not a formal guidance...

Mirae Asset: Mr. Bhatnagar was on television interview recently and he gave some sense about margins going forward. So, I mean, what's the internal thought process because Q1 and Q2, it was around 19 odd percent and Q3 was 17%...

Ashish Saraf (SKF): I saw that interview as well. It's a mix of, I would say, manufacturing margin and trading margin. And I would say the margins that you see right now is relatively what we as a company aim at. But for traded products, it's kind of governed by the transfer pricing rules as well. So, because of which there could be like a couple of percentage up and down on an overall basis. Because what happens is that, it's kind of calculated on a transaction net margin method which is dependent on what price I've actually sold to the customer and then what is it that I should be kind of passing it on. And I cannot do that real time. It always happen in a lag. So because of SKF India Limited

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that, you might always see a bit of a fluctuation in the overall margin. But our overall guidance is that we want to be in the similar range of 17% to 20%. It's not a guidance. That's what as a management, we are trying to come up with.

Mirae Asset: Transfer pricing calculation happens on a yearly basis, it is once in a year?

Ashish Saraf (SKF): That's right.

Mirae Asset: So quarterly provision might be – so generally on this traded goods, let's say in your own manufactured portfolio, if you are ended up making 20%, so does the traded goods, you end up making 15% and that is how blended 17%, 18%?

Ashish Saraf (SKF): See the way in a transaction, net margin method as I said the risk for a selling entity is lower compared to manufacturing entity. So in that kind of environment, even if I sell a product at a loss, I will make a margin in SKF India. It's so controlled because the major risk is kind of managed by the manufacturing unit or borne by the manufacturing unit.

So relatively the margins are lower compared to manufacturing margin, that's why our focus is to increase localization and that will help us kind of improve profitability for the business. The more localization we do, there will be a bigger risk as a company that we would be able to take and that will kind of help us drive a higher margin for us.

Mirae Asset: That's why we are trying to understand, what is that net margin that...

Ashish Saraf (SKF): I cannot give a fix number.

Mirae Asset: Give us range or some indication. It will be helpful in our modelling.

Ashish Saraf (SKF): See it varies. As I said, overall, I would say typically 6% to 8% is what is a transfer pricing guideline, which is there for a traded product. But it can go up as well because I cannot go if I

have sold something at a higher margin, I will not go and reverse it on a full year basis. The tax rules doesn't allow me to do that. Because I am importing this product, so I cannot go and change the price of the product at which I imported.

Mirae Asset: The adjustment will happen next year?

Ashish Saraf (SKF): So that adjustment will not happen next year. Once the financial year is closed, it's closed. It's a start again from zero. So typical guidance is 6% to 8% but in some years we have done way higher than that. In some years you have done slightly lower, so its very, very relatively difficult. But typical guidance is 6% to 8%.

Mirae Asset: So for the balanced portfolio you are like 30% or maybe h

igher margin?

Ashish Saraf (SKF): Again, as I said, it depends in a sense of what I am doing. And my traded product margin has been, to give you an example, has been actual margin has been way higher compared to what it should be for this fiscal year.

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Mirae Asset: So when you say increase let say, localization manufacturing at an entity level, you said 58% is local manufacturing and with an industrial, obviously that proportion is lower. So are we trying to put more sort of capex or is it a function of certain threshold volumes and then only you can localize?

Ashish Saraf (SKF): So again, for the automotive sector it's easily to put in capex because you get a visibility of the volumes upfront. Like when you're manufacturing, say for Bajaj, you know what kind of volumes they're going to buy. So, it's much more easier to put in the capex. Whereas in industrial there are lot of SKUs. It's practically not possible to have 100% localized because for a certain bearing you might be only selling 5,000 quantities. So it may not make sense for us to put a full channel.

Plus, you also need to have a like typically industrial bearings require different grades of steel which requires vendor support infrastructure as well. So they have to go through a certain steel qualification. So we have to create a entire -- it's not just setting up a new channel, but we also have to create a entire supply chain to kind of support our industrial business.

So that is where it takes a lot more effort in terms of localizing an industrial bearing because we have to look at demand as to whether we'll have enough demand for us to cater to the Indian market and we have now in fact looking at an overall SKF Group strategy level we are also looking at Southeast Asia as to where can we cater to the Southeast Asian market as well.

So looking at those aspects, we are making a decision of whether to do capex investments.

Mirae Asset: Southeast Asia from India?

Ashish Saraf (SKF): Basically Manish, who is also responsible for Southeast Asia market as well. So wherever feasible, when we are looking at making investments, if there is a demand requirement for India, as well as a similar demand requirement for Southeast Asia, we are evaluating the total demand and then making a decision with respect to investments.

Mirae Asset: As a question, there are certain assumptions you might have had on capex, but is there anything you are suggesting?

Ashish Saraf (SKF): Yes, as I said. And the other aspect that you also need to understand is that SKF India predominantly has the capability to manufacture small size bearings. Whereas the other entity has capability to manufacture in mid and large size bearings. So the investments, when we're talking about industrial, most of the bearings would typically fall in mid and large size category. And that is where the investments are going in that because our Ahmedabad factory has capability to manufacture mid and large size bearings.

And that is where we can establish a credit line to make that investment there. So at an overall basis, yes, our investments are going up. You may not see that significant spike in SKF India, because SKF India, the investments would be predominantly for the smaller size bearings for automotive market or for industrial, where the size of the bearings are smaller in nature.

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Even for SKF India, you would see a spike compared to last year, you would have seen there are the investments that slightly gone up. But you may not see such a significant spike, even though at an overall level we are making investments, if you combine both entities together, there is far more investments going in.

Mirae Asset: For the listed company, are you looking at somewhere around INR 100 crores?

Ashish Saraf (SKF): I would say somewhere between INR 10

0 crores to INR 150 crores is what we are looking at.

Mirae Asset: So any specific area where, let's say, some of these investments in, let's say, SKF Technologies,

the other entity specific area which might help us...

Ashish Saraf (SKF): See our focus as a company, as a strategy in India, the way we are looking at industrial, we see growth happening in heavy industries. We see growth happening in construction sector. We see growth happening in drives. We see growth happening in railways and wind to a certain extent, because of the sustainability drive. Basically, the entire globe is moving towards sustainability. So these are the sectors. So typically our focus is to put in investments in these sectors from the industrial side.

On the automotive side, predominantly our investments are linked where we are working with our large customers and depending on the requirements and how their demand evolves. We are making more investments in automotive side.

Mirae Asset: Out of these four, five sub-segments, where lies the most opportunity where we can bring down overall cost and can let's try to gain market share or where, as of now, we might be weaker in there...

Ashish Saraf (SKF): As I said, our focus is on these heavy industry, construction and drives. These are the three sectors which we are focusing on because we feel India growth story will be infrastructure. And that is where the market will grow and we will grow along with that. And that is where we are making investments in those sectors to localize, so that we are equally competitive in the market and we are able to grow with them.

Mirae Asset: These four sectors, heavy industry, drives, rail and wind...

Ashish Saraf (SKF): Heavy industry, drives and construction.

Mirae Asset: Construction and rail is also in that railways and drive,,,

Ashish Saraf (SKF): Railway is definitely we are focusing on. In both these sectors, we have a bit of a challenge on profitability. Railways and wind. So that is where, as I said, the focus is to drive profitable growth. So we want to be really, really make sure that we are cost competitive in these two sectors and then drive profitable growth for the business.

Mirae Asset: But my question is for these sectors, these are mid and heavy. So, when you say capex, whatever investment is going to be done through technology?

Ashish Saraf (SKF): In the industrial side.

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Mirae Asset: And not in the construction, not in the drive. Drives and construction will be through listed?

Ashish Saraf (SKF): Yeah. So say for example, drives would require smaller size bearing. So there the investments will happen through SKF India Company.

Mirae Asset: And what about you mentioning is the profitability challenge in rail and wind. So these are mid and smaller or are these...

Ashish Saraf (SKF): These are large sized bearings.

Mirae Asset: We are coming from the listed committee -- falling more is the domain and the economies of these...

Ashish Saraf (SKF): But we are selling through SKF India. So all of the sales happen through SKF India. So effectively it will come to SKF India. But yeah, in terms of manufacturing, currently either they are imported or manufactured out of Ahmedabad, which is through the non-listed entity.

Mirae Asset: Including for railways and the wind. So what's the way there; how do you get that economy...

Mirae Asset: Ultimately it's a two clear market. If I'm not Timken and you and still you are saying it's very competitive.

Ashish Saraf (SKF): It's not same thing with railway. It's a tender business. So railway will typically look at costs only while deciding on quality.

Mirae Asset: It's too critical for them to compromise.

Ashish Saraf (SKF): But it goes through a tender. See, they have their own process of validating whether the bearing will meet their requirements or not. So there's a separate exercise. But typically once you qual

ify

then in terms of decision making as to whether they want to go with a particular vendor or not, it's always LI, which is the lowest bidder. So it's all governed by that. So that is where we see challenges on profitability and that is where we are kind of having a lot of projects internally to drive costs.

Mirae Asset: And otherwise headline news would suggest that a lot of potential railways you have the Vande Bharat...

Ashish Saraf (SKF): That we are growing. I think it's not that all sectors of railway we are having a profitability challenge, but definitely some sub sectors within railways is where we see some challenges.

Mirae Asset: Overall, we will have what, 30%, 40% market share in railway?

Ashish Saraf (SKF): I think it will be lower. See, because there is not just Timken, there's NEI also and there is a Schaeffler also.

Mirae Asset: And this profitability wise you are saying some of the sub segment challenge is also because your extent of manufacturing and localization might be lower versus other players?

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Ashish Saraf (SKF): That's right.

Mirae Asset: Just coming back on this nine-month number, 22% sales growth, what could be the bulk of volume growth for us?

Ashish Saraf (SKF): I would say 50:50

Mirae Asset: And 11% volume growth also. But pricing growth will also be so...

Ashish Saraf (SKF): It is again, I can't differentiate between price and mix. So when I say 10%, 11%, it's price and mix put together and remaining 10% is volume.

Mirae Asset: And growth across different vertical how it might have been, let's say during nine months, your automotive and industrial, just ballpark?

Ashish Saraf (SKF): We have seen growth across all our segments. But if you ask me, in the automotive sector, we have seen growth in our car division, trucks division, even two-wheeler division. And on the industrial side, we are seeing growth on metals, on wind, on distribution, on general machinery, as well as railways. So, again, in terms of sector, all sectors have grown for us.

Mirae Asset: Headline level, let's say automotive as a bucket put together might have grown out of, let's say this 22% is complete?

Ashish Saraf (SKF): No, both are equal. Both are equal. In terms of industrial and automotive, both are grown at around 25% each and exports have grown by 1%. Because as a company we've kind of relatively less focused on exports compared to the domestic market.

Mirae Asset: And aftermarket also have grown at around similar base 25%, let's say within both auto as well as industry?

Ashish Saraf (SKF): More for industrial, industrial aftermarket has grown at around 25%, whereas automotive aftermarket is grown by around 14%.

Mirae Asset: How is the progress on REP and how much it is contributing now?

Ashish Saraf (SKF): So, overall as a services business, our objective is that, it should become at least 5%-6% of our overall revenue. As a company, we are not just looking only at REP. Yes, REP is one of the products which has got a lot of potential. But as a company, at an overall level, we are looking at least having services business around 5% to 6% of our total revenue.

Mirae Asset: Which is as of now is 1% to 2%?

Ashish Saraf (SKF): I would say 2% to 3%.

Mirae Asset: And just on the export piece, so I know you have huge facilities in China as well. And yet sometimes we used to hear statement that you also kind of become bigger suppliers in the global ecosystem within this year. How is that panning out? Because on one hand you are saying that

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it's not such a focus area. And you know we hear of this China +1 and all those things. So is there any tailwind you are getting?

Mirae Asset: And just to extend this question, actually our competitors, they have talked a lot about India being a manufacturing hub. If I can name Scheffler and Timken in India the

y are really doing a lot of exports...

Mirae Asset: Last time Manish was saying that positioning or time position itself is a global thing. Is it that outcome is known that there is no go and therefore now you are saying no or are they not?

Ashish Saraf (SKF): I wouldn't say that there is no go. It's not that we are, but as a company, our focus, my focus or

Manish's focus is to grow the local market which is India market and grow in that. Typically SKF has a regionalized supply chain given the volatility that we saw in the last few years. Group at a global level said that we will have a regionalized supply chain network. So when we say regionalized, India and South East Asia is one region. And that is where we are predominantly focused on in terms of growing our market.

So from India, yes, there could be export potential to South East Asian markets. And that we would be focusing on. But we may not focus outside of South East Asia at this point of time. If it happens, because we have excess capacity and they don't have capacity, yes it will naturally happen through that process.

But our predominant focus is to cater to the India market and with Manish's larger responsibility of South East Asia, definitely if there is opportunity in the South East Asian market we are looking at a regional level to see if we can cater that demand for South East Asia.

Mirae Asset: Southeast Asia, excluding China and Japan?

Ashish Saraf (SKF): Excluding China and Japan.

Mirae Asset: How big is that market as of now?

Ashish Saraf (SKF): It is as big as India.

Mirae Asset: And that is as of now, being catered from, let's say, a parent entity?

Ashish Saraf (SKF): There are other sister companies which are catering to that market, but they are sourcing products

from predominantly Europe and China. They do not have a big manufacturing base locally in Southeast Asia market. So when we say that we will serve from India, we will probably export from India to those countries who will eventually go and sell in those markets. We will not go and directly sell to the customers.

Mirae Asset: And this automotive be a bigger piece?

Ashish Saraf: Automotive and industrial.

Mirae Asset: So industrial exports will happen, that also will happen through you or directly from SKF Technology?

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Ashish Saraf (SKF): If we are manufacturing in SKF India, because it's not that we don't we still manufacture some products for industrial as well in SKF India. So that will continue to get exported from India. If it is getting manufactured in our other company, then it will get directly exported. So that will not come to this entity.

Mirae Asset: Just one thing this is a costing of manufacturing. The range you do through the listed companies get India both for auto and maybe a little bit in the industrial, is there any reasonable advantage or differential versus the global cost of manufacturing or is it very similar?

Ashish Saraf (SKF): No, there is an advantage. There is definitely an advantage. Especially now, factories in Europe are far more expensive compared to what we can manufacture. So there is definitely a cost advantage that we are seeing and that is where our focus is, how quickly -- depending on our strategy, where we clearly see a visibility because it has to make a business case for us. If there is only 5,000 bearings demand and I have a channel which can make one lakh bearing, I cannot go and even though, though it is much cheaper to make in India, it doesn't make financially any sense for me to set up that channel in India. So looking at those potential where there is enough demand in the Indian market and I can have a good utilization of that channel, I am going and setting up those manufacturing channels in India.

Mirae Asset: And similarly with China because the impression is that manpower cost has gone up many fold over the last few years i

s it providing any edge or is it still they've got other competitive edge on other costs?

Ashish Saraf (SKF): So again, China market, the way we are in SKF is predominantly their market itself locally is very big. So it's not that we are importing a significant stuff from China right now. Currently, most of our imports are from Europe. And where we definitely see a significant cost advantage if you localize it in India.

Mirae Asset: I'll definitely go to the South East Asia market, you are open to -- so are these Chinese cost of manufacturing, the Chinese SKF opportunity reasonably similar or is it much higher giving you an advantage or a chance?

Ashish Saraf (SKF): I would say, similar to what we would say manufacture in India. They are much cheaper compared to Europe.

Mirae Asset: But in the rest of India you are saying the same thing. Because otherwise the impression we have that labor is now very has become costlier seeing it doesn't operate?

Ashish Saraf (SKF): So it's not -- if you I know I'm not sure if you've seen our channel, but it's not really labor intensive.

Mirae Asset: 8%, 9% of your labor.

Ashish Saraf (SKF): Yeah, but it's not labor. It's all management: plus labor. And everything is probably 8%, 9%. But if you look at our channel, it's not that it's a very, very labor-intensive industry. It's pretty much end to end automated. So relatively, it's not a very significant amount of our cost.

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Mirae Asset: How big the Southeast Asian export opportunity have you evaluated...

Ashish Saraf (SKF): As I said, our focus is to focus on the Indian market. So, we have not evaluated Southeast Asia. The way we are looking at Southeast Asian market is only from an India perspective that there is a demand for this product. Does it make sense for us to localize in India and whether we have the volumes for us to set up that manufacturing facility.

If we don't have sufficient volumes, can we go and look at Southeast Asian market and see whether they have the volumes and combined together whether it makes financial sense for us.

So we are more so looking at it from that point. So, the resultant impact on the financials is something we'll get to know once we kind of set up that manufacturing facility. But it's not that okay. We're looking at it saying, okay, this is the market opportunity in Southeast Asia, so let's go and make an investment.

Mirae Asset: Then this will start from immediately or there is some time?

Ashish Saraf (SKF): We are already doing the evaluation. Typical timeline to set up a channel once it is approved

internally from all our stakeholders. Typically 12 months, before you start production. So if I today decide to make an investment, it'll take 12 months. By end of the year through 2024, you will start seeing that.

Mirae Asset: How much capex the other entity might be doing. Any sense on their let's current growth...

Ashish Saraf (SKF): As I told you that we are giving them a credit line of INR 250 crores which we expect to get utilized in the next two years.

Mirae Asset: I mean, if you were to invest the money yourself, the returns are better or you give it a higher dividend payout, either. This seems like a lease preferred keeping that 8% -- financial opportunity.

Ashish Saraf (SKF): But it's not a question of just that. It's a question also that whether you have that expertise in house. For me to build that capability in SKF India will take much longer time. Whereas the other company already has that capability, has that infrastructure. So my investment as a company would also at an overall group level would also significantly increase.

To give you an example, there is a heat treatment plant in Ahmedabad factory, which is basically a requirement for large size bearing. That capability is not there in any of my manufacturing plants in India. For example, to do those kind of large size bearings. So n

ow if I want to do

manufacturing of that bearing in India, in SKF India, then I have to set up that heat treatment.

So that also requires another level of capex investment.

So my capex investment as an overall level will significantly change. And it may not make financial sense then for the company to make that investment. So we have to kind of juggle between all of that and then take a decision as to where to make that capex investment.

Mirae Asset: Any reason to keep two separate entities in India and have you evaluated merger between them?

Ashish Saraf (SKF): At this point no.

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Mirae Asset: Is Manish responsible for the Management: of the listed company only or both?

Ashish Saraf (SKF): So at an overall level, Manish is the Managing Director for SKF India. He is, since we buy industrial products from the other entity and all that. But he's not on the management of that entity.

Mirae Asset: Okay. It has his own separate CEO.

Ashish Saraf (SKF): It has a set of Board of Directors. So Manish works closely because they are part of the overall SKF group. So we work closely between both entities.

Mirae Asset: How are transfer pricing norms determined?

Ashish Saraf (SKF): Those are determined purely based on the tax laws which are there in India, as well as based on the OECD guidelines. So it is not something that is determined by us. It is purely the OECD guidelines, which is kind of-- you guys can go and read it.

As I said, it's kind of done based on the transaction net margin method, which is also an established process. It is kind of looked at by Big Four firms every year to make that assessment as to whether these norms have been followed, we are audited. Plus the tax officer in India also looks at it every year. So we have to comply with all the norms around that.

Mirae Asset: In this journey of further localization and capturing growth for the future, are you looking at it in organic way or ?

Ashish Saraf (SKF): We are looking at inorganic growth as well. But yeah, we have to find a right candidate

Mirae Asset: Any particular area, capability?

Ashish Saraf (SKF): Nothing as of now. And it has to be at the right price as well. A lot of in between when we were exploring, I think the prices that these players were asking, was not making financial sense.

Mirae Asset: Any moderated price?

Ashish Saraf (SKF): Again, difficult to comment at this point.

Mirae Asset: Are you evaluating introducing new products in the listed entity?

Ashish Saraf (SKF): We are continuously introducing new products. Because all our sales for other industrial or automotive happens through SKF India. So there is a continuous drive to introduce new products all the time.

Mirae Asset: So apart from bearings, which other significant products are?

Ashish Saraf (SKF): We sell a lot of non-bearing products. We sell seals, we sell mapro products, we sell power transmissions, we sell greases. A lot of those products are already sold by SKF India.

Mirae Asset: So what is ratio of sales?

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Ashish Saraf (SKF): I have to look at the numbers.

Mirae Asset: But is it significant?

Ashish Saraf (SKF): I would say yes. At an overall level, I would think they would easily be 5% to 10%, if I'm not



wrong. But again, very difficult. Maybe next time I think you will answer on this.

Mirae Asset: And just related to this whole move towards electrification. So your products, how well placed are they and can you break it up – 2W, PV, so on?

Ashish Saraf (SKF): And then we are very much there. If you look at we have all the products which are needed in the EV space. Right now the focus is predominantly two wheelers in the Indian market. Yes, we are already there with Ola, we are already there with Ather. So they are already buying from us and we are continuously working with them to expand o

ur portfolio as well as with other

vendors. We are working with TVS, as well, I was coming to the four-wheeler.

We are working closely with Tata's, Tata Nexon on other products. On the EV space we are pretty much there. We are pretty much working with all of them. Globally we have already built strong connect with Tesla and all that. We are supplying to them already. So we are very much there on the EV space. That is a big growth strategy for us.

Mirae Asset: And in China, not that it is relevant to India, but internally ...

Ashish Saraf (SKF): I will have limited knowledge on that, to be honest, specifically on China. But globally I can say that at least what I've seen at a global level on the EV space, if I remember correctly, we are growing more than 40%, 50% quarter on quarter or year over year. There's a tremendous growth that we are seeing on the EV space. And globally we are tying up with all the large players. So it's a big growth strategy in the automotive space for us.

Mirae Asset: So India, two-wheelers is the faster growing. At this stage you are importing and supplying or what is the arrangement like?

Ashish Saraf (SKF): Again, we are importing as well. Plus, I think some of the bearings, even on the two-wheeler space we are locally supplying. So it's not that they are not getting locally manufactured because maybe the technology again, I have relatively limited knowledge on this, but maybe there is not much of a technology difference to that extent in some of the bearings and that's what basically getting locally manufactured because we already had a channel in place, but plus we continue to import as well.

Mirae Asset: So fair to say complexity of product is a bit lower for two wheelers EV and for four wheelers EV need more complexity?

Ashish Saraf (SKF): Yes, I think it's a long way ahead. It's more in the news right now. ceramic bearing, magnetic bearing I think the focus is on low friction right now is what I understand. Ceramic bearings and magnetic bearing are going to come. They are going to take some time before they kind of really evolve in the Indian market.

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Mirae Asset: How much benefit be might have got because of this pruning of some of the lower profitable customers?

Ashish Saraf (SKF): Again, difficult to quantify in terms of value. What I can tell you as a company we are looking at each and every customer where we are making a loss or where we are not making money, we are going back and talking to them. So difficult for me to quantify in terms of what we have been able to turn around already. But the focus is pretty much like our day-to-day push is to go talk to each and every customer and basically negotiate a better price with them.

Mirae Asset: Because it is something very commendable. If I look into last 7, 8 years margin range 14%, 15% back and we are talking about 17 to 20 that too in an inflationary climate. So something fundamentally might have changed apart from maybe product mix here and there because still I think we haven't seen much...

Ashish Saraf (SKF): Fundamentally. as I said, one of the things is definitely portfolio management. As a company, I think, see, one of the things that we need to understand is that as a company, SKF, the way we used to measure performance internally, we used to measure performance based on standard costs earlier. And in the last couple of years, because of COVID happened and then the supply chain disruption happened, and then Ukraine Russia War happened, as a company and the group management, we decided that we need to move to actual cost.

And that has as a company brought in a lot more visibility within our organizations to see okay, which products we are making money, which products we are not making money, which customers we are losing money. And that insight itself has kind of helped us significantly to bring that focus in and that kind of he

lp us improve you improve the processes within the company as well as brought in that insight because people used to think we were to grow our top line and profitability will automatically happen. Let's increase the utilization of our factories and the profitability will automatically happen. So I think that mindset shift has significantly helped us improve a lot.

Mirae Asset: Growth might not be most optimal, but hopefully...

Ashish Saraf (SKF): As I said, our focus is profitable growth. We will not sign up a customer unless it is very strategic.

If it is a loss-making customer, we will probably not sign up with them. So we will be happy to compromise the growth if needed if not making money.

Mirae Asset: Sure. Just in this context, over the last three, five years, in terms of the intensity and pressure from other players, has there been similar or anything worst seen here, including imports?

Ashish Saraf (SKF): I think our competition is also under similar kind of pressure. Like whether you talk about Schaeffler or Timken, I think they are also feeling the heat of inflation and at least whatever insights that I have got, they are taking similar price increases the way we have taken in the market as well. So I think they are also feeling the same kind of pressure. I think Schaeffler still continuing to import a lot of stuff from outside of India. Timken is also, I believe, importing a lot of stuff they are, I heard that they're making a significant investment, but they still continue to import a lot of stuff.

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So as such, we are not feeling that pressure. SKF as a product, we always sell at a premium compared to our competition. So as a company, we will always have that pressure. We will always have a pricing differentiation with our competitors, but we are okay with that because we know that our product and our brand is far more valuable in the market.

Mirae Asset: Just going back to that electrification question for two wheelers. So you might have had a certain market share with the two wheelers so far. And how is it trending in the new electric two-wheeler category? Is it similar to your legacy ICE share?

Ashish Saraf (SKF): As I said, I think the market share is again, I don't have a specific number of what is my market share within the EV space. But I would say, as I said, we are with them, we are in the process. Our strategy in the automotive sector is to focus on building strategic relationships, focus on key account management and expand our relationships across the automotive sector, especially in the OEM space. Having said that, we don't want to do business, you're not going to make money. If Schaeffler goes and gives a very low price for a product, we will probably exit that business. So that's been a pretty much our focus. But in terms of making sure that we work with our customers, build relationship, create availability for our products, develop products jointly for them so that we can kind of grow along with them, that's pretty much our focus in the automotive space and in the OEM space.

Mirae Asset: And in the OEM electric space..... is it the same name of competition or is it lesser?

Ashish Saraf (SKF): There are many players in the OEM space. Like if you look at a lot of new names who are there in the market. We are basically working with all of them.

Mirae Asset: As suppliers besides you, is it the same cohort of suppliers who are there in the ICE or is it lesser or more?

Ashish Saraf (SKF): Again, difficult for me to answer. I would think it would be the same sort of suppliers like us because typically I would think that two-wheeler electric market requires much more technologically advanced bearing, in terms of friction and all that. So typically it will be with players like SKF, Schaeffler and all who would basically be gaining a bigger market share because they will have the right set of technology

in this field set to support that. But this is more of me conjecture rather than giving you a clear data point.

Mirae Asset: Just a few couple of questions for my side. Can you give a breakup of automotive OEM, automotive export and industrial after market?

Ashish Saraf (SKF): Again broadly I give you in terms of percentage. So automotive overall automotive is 40%. As I said 30% is OEM or 10% is aftermarket. Similarly industrial is 50%, - 51%, 25% is after market, rest 25% is OEM and the rest 8% is exports pretty much.

Mirae Asset: And some sort of sense on the industry wise business within industrial like railway and heavy industries?

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Ashish Saraf (SKF): As I said within that 7-odd percent -- I'm talking about overall out of 100% 7% is railways, Again similarly general machine, the same range wind also in the similar range.

Mirae Asset: Has wind seen a material slowdown?

Ashish Saraf (SKF): So wind I think last year was about growth story for wind. In terms of market there is a lot of potential for the wind in the Indian market. It's more of whether the market is giving us the right pricing for the products. So that's where as a company we have a strategy of wind turnaround where we want to make sure that we get the right pricing and then only sell. We don't want to sell at a loss. That's where the focus on wind is not really on growth, but on making sure that we do profitable business.

Mirae Asset: Just a last bit from my end next three five year do you see the current revenue shifting in a very big way? Let's say industrial is 50, automotive 40 to export 8. If I look into three five-year hence,

how should I...

Ashish Saraf (SKF): As I said, see globally 70% is industrial, we are at 50%. So there is a lot of potential Indian market. Industrial is growing. So I would say that our industrial share will continue to increase compared to automotive and it may not become 70:30, but I would sure that over a period of time, it might become 60%-40%.

Mirae Asset: And in respective of that, margins should not get impacted a bit scale and not because the industrial typically being more traded is relatively lower market.

Ashish Saraf (SKF): But, over a period of time, we will also localize. So our strategy, as I said, is localization or regionalization, definitely, there is a higher potential for growth on the industrial side compared to automotive. So that mix will change over a period of time. Focus is on ensuring that we improve our working capital continuously, so that we are able to meet those investments effectively. So that's what pretty much our focus is.

Mirae Asset: Just one view outside of -- I mean, SKF, there is a supplier Rolex who supplies to you also. Just your view on their practices?

Ashish Saraf (SKF): Difficult for me to comment.

HDFC MF: How things are in terms of business?

Ashish Saraf (SKF): I think the business is -- you'll see the last quarter results. The business is fairly doing good. And I think for 2023 also, if the market and the economy remains as is, I think we are expecting again, not as high growth as what we achieve in 2022, but we are expecting good growth this year as well.

HDFC MF: Any specific pain points, couple of your peers have also talked about a little slowdown probably because of Vestas?

Ashish Saraf (SKF): See wind, I think the challenge is in the wind is more our focus, right away, on the wind is to drive profitable growth. So for us, the challenge in the wind business has always been profitability, because the market as such has not been paying us good pricing. So I think it's

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probably the similar challenge, which -- I'm not sure what competition is facing, but I think probably a similar change, where they are probably not getting the right pricing for the products. And that is where, as a company, I think we

are pushing back all our customers to give us a better price. So that we can turn around the business as well. So the focus on wind is not really growth, but profitability.

HDFC MF: And, what is this year's growth, I mean, say, 2022 growth? What was leading, I mean, was it more four-wheeler, automotives or...

Ashish Saraf (SKF): I think across all our segments, if you look at pretty much FY 2022, we had a 22% or 23% growth year-over-year. And pretty much, both industrial and automotive grew at similar growth percentage, almost 20% to 24%. So, and within that, I think in the automotive space, we saw good growth in cars, in commercial vehicles. Again, all sectors grew. I'm just giving you the top headline, which grew at a faster pace.

On the industrial side, we saw strong growth on wind, we saw strong growth on railways, we saw strong growth on metals as well as we saw strong growth in the overall distribution businesses.

HDFC MF: And two-wheeler might be a little like laggard?

Ashish Saraf (SKF): Right now, two-wheeler is growing at a relatively lower pace. One of the reason is exports. I think globally, we know the overall global geopolitical situation. And because of that, a lot of our customers -- exports are adversely impacted, especially the two-wheeler space. And that is where we are seeing a bit of a challenge. Even on the domestic side, I think because the petrol prices and all of that, the demand is low. But our sense is, I think, somewhere by end of Q3, when I say Q3, I mean a calendar year Q3, the late September, I think we expect the demand to pick-up on the two-wheeler side.

But if you look at two-wheelers, just 10% of our overall business. It's not that, okay, that is not growing, its impacting our overall growth, because we've seen strong growth on the passenger vehicles side, on the commercial vehicles side. So we still, at an overall automotive level, we are still expecting good growth this year.

HDFC MF: Passenger vehicle, how much is the percentage of revenue?

Ashish Saraf (SKF): Passenger vehicle is, it's around 6%.

HDFC MF: CV?

Ashish Saraf (SKF): CV would be around 5%.

HDFC MF: That includes both LCV and Heavy commercial. You have only -- you consider heavy commercial is commercial?

Ashish Saraf (SKF): No, if you talk about tractors, tractors is separate. But typically, all whether its light commercial vehicle or heavy commercial vehicles, its the same.

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HDFC MF: Your exposure to tractor is good or?

Ashish Saraf (SKF): Its around – not really big, its around 2%. Its not a very big business.

HDFC MF: And automotive aftermarket, which I mean the last time when we met with Manish, also that time also, he said a lot of focus is on aftermarket, because there is a lot of countrified and...

Ashish Saraf (SKF): That's right. So if you look at -- in the aftermarket, our focus is on reach. Our focus is on increasing our reach as well as improving availability. So if you look at when we last met, we said we have probably our market penetration is at around 50%. So because of which we are not able to make sure that we're able to create good availability for our customers. So that's what we are focusing on. We have the Udaan program going on in the automotive market as well, where based on the high-level data that I got, we have already reached 65%, 70% in terms of our market reach.

So we continue to increase our market reach at an overall India level, and that's kind of helping us grow our reach our aftermarket in the automotive sector. As well as one of the big things that we realized as we are increasing that reach is, to grow our aftermarket, we need to have a strong availability. We are closely working with our distributor. We have streamlined our go-to-market strategy to make sure that the increased availability of our products for our customers, which is kind of helping us grow in the auto after

market.

HDFC MF: And when you say the penetration, so how do we measure penetration?

Ashish Saraf (SKF): So simple way is in how many districts we are operating. So to give you an example, there are around 733 districts in India and our distributor presence is at this point of time, around 500 districts. So its around 68%, 70%. So that's how we see that there's still a significant potential to increase our reach in the overall Indian market.

HDFC MF: And how does it mean I guess even in some of the markets where we don't have direct distributors and I mean the existing distributor might be supplying those products to non-directly penetrated district as well?

Ashish Saraf (SKF): They might be. So see, if a customer needs it, they might be sourcing it through some other -- but they're not may not be necessarily sourcing it from an authorized SKF distributor. So the big change which is happening is that we are appointing an authorized SKF distributor, authorized SKF retailer as well, which kind of helps us ensure that customer is getting a genuine bearing rather than a counterfeit bearing. As well as it is in the retail sector, especially availability becomes a very-very important play, because the retailer doesn't have enough cash to stock material. So they are looking at how quickly they can kind of get an SKF bearing when the customer is asking for it. So we've spent a lot of time in the last 1.5 years in terms of creating that distributor network, so that the distributor is carrying enough stock to supply at any point of time in a shop.

HDFC MF: So that comes to the point of distributors' ability to stock also, financial health of the distributor, It's also important right now.

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Ashish Saraf (SKF): Correct. That is right.

HDFC MF: And so when we say the reach is also, I mean, so the availability of whatever the SKF bearings and components. So is it like a number of SKUs has to go up substantially high to have or -- you just study the market typically that this market is typically, maximum consumption is of this kind of two-wheeler bearing or four-wheeler bearing or something like that?

Ashish Saraf (SKF): See, right now, there is a big science, which is kind of working on this in sense that we have worked with a third party, where we have kind of created an entire supply chain market, in a sense where we know depending on what we have sold in the market in the past, what's an optimum stock level that distribution should maintain. And we have kind of enabled an automated replenished method where as soon as a distributor stock for a particular SKU comes down, he gets an automatic supply from us. So that's the whole Udaan model, which we have kind of enabled. And so that distributor is never out of stock, in the automotive space, so that we ensure availability at a retailer side.

HDFC MF: So you know basically, how much is left with that guy. So we can have...

Ashish Saraf (SKF): Yes. So we know, what's the optimum level that the distributor maintain all the time. And whenever see stock replenish, we don't wait for a distributor to place an order on us. The arrangement is such that we will supply automatically to the distributor to replenish stock to a certain level, so that's kind of helping us, especially on the automotive side in terms of making sure that we have the right availability.

HDFC MF: And how big is auto aftermarket right now, in terms of sales?

Ashish Saraf (SKF): It's around 12% of our overall business.

HDFC MF: Overall, domestic or that includes top line total including exports?

Ashish Saraf (SKF): No. this is just domestic.

HDFC MF: And when you reach from, say, it's probably 65% to 80% or 85%, I guess that we will be the optimum number, you might be looking at, you might be 100%, I don't know. I mean...

Ashish Saraf (SKF): See, our focus is definitely too continuously increase reach, but definit

ely currently, at 65%,

70%, there is a lot of potential. And where we are going to stop, I think, difficult to say at this point of time. But the idea is to make sure that we have strong penetration and stronger availability across the market.

HDFC MF: And when you say from 50% to 65%, when you have moved from that number, so what kind of extra benefit in terms of top line or reach or volume you mentioned?

Ashish Saraf (SKF): It's kind of helping us grow our automotive space. So if you look at -- to just give you an example, our automotive business has grown year-over-year, I am talking nine months to around 15%. So that's kind of helping us grow our top line, because most of it is predominantly driven because of volume in the automotive space.

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HDFC MF: This year, the pricing would also be there, because quantity has...

Ashish Saraf (SKF): Not so much in the automotive or aftermarket. There is some bit of price increase, but the price increase has been far more higher on the industrial side.

HDFC MF: So why it's not a pass-through? Is it not a pass-through, the commodities should be passed through, right?

Ashish Saraf (SKF): It should be, but we have to kind of see what our competition pricing is right in the market as well. We don't want our demand to be adversely impacted because of price as well. So we are looking at both. It's not just that you need to pass on the cost. It's a mix of competitive pricing as well as making sure that we are passing that cost.

HDFC MF: And mostly, you might be competing with FAG and some of the Japanese guys, I think...

Ashish Saraf (SKF): Predominantly, FAG, in the automotive aftermarket.

HDFC MF: Not with the NBC...

Ashish Saraf (SKF): No, there are others as well, but I'm saying predominantly like when we talk about quality, I'm talking about quality as well as pricing, typically, the competition is FAG.

HDFC MF: Your pricing is 15% premium, if I'm not wrong?

Ashish Saraf (SKF): That's right.

HDFC MF: That's what I've seen in aftermarket. I don't know...

Ashish Saraf (SKF): No. You're right.

HDFC MF: I think, your pricing might be similar, because you can't change too much. So when -- probably, you move to say roughly 80% or 85%, do you think there will be a bump-up in aftermarket contribution in overall?

Ashish Saraf (SKF): Naturally, if your reach is going to increase, then there should be increase in our volumes as well as the mix should improve.

HDFC MF: So two, three years back, it was same 12%, auto aftermarket, of course.

Ashish Saraf (SKF): I don't have that data with me to comment upon. But definitely, our VSM has been continuously growing. And I would think they've been growing at a faster pace compared to the OE space. So our mix would have improved.

HDFC MF: And localization in this part of the business is...

Ashish Saraf (SKF): Most of it is already localized.

HDFC MF: So it's at the back-end side, the supply chain is also mostly localized in this...

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Ashish Saraf (SKF): That's right.

HDFC MF: So now coming to the industrial, which is this year, how much was the industrial for nine months?

Ashish Saraf (SKF): As I said, 25%. So the growth in industrial and automotive was very similar at 24%, 25%.

HDFC MF: But in terms of the total contribution?

Ashish Saraf (SKF): So see, industrial is around 50% of our business. Automotive is around 40%, 41%, and export is around 8%.

HDFC MF: So, 50%. And so within that, which is the biggest segment?

Ashish Saraf (SKF): See, the biggest segment in terms of industrial, I would say, aftermarket is the biggest in the industrial. So 25% is aftermarket. And remaining 25% is the rest of all the OE business basically that we do across our sectors. In that, I would say, railway is a big segment for us, then I would say, general machinery is big, which is basically dr

ives, pumps, motors, fluid power, those

textiles, all put together, they are similar, right around 7% to 8%. And then others are relatively smaller.

HDFC MF: Railway is also 7%, 8%?

Ashish Saraf (SKF): As I said 50%, 25% is distribution, 8% is your drive, which is pumps, motors, fluid power, rest, 7%, 8% is your railways and rest of the other segments.

HDFC MF: So, 7%, 8% is general machinery. That includes the drive, or that...

Ashish Saraf (SKF): That is drive, basically.

HDFC MF: So, 7%, 8%, 7%, 8% and 7%, so broadly 24%.

Ashish Saraf (SKF): So, 7% general machinery, 7% railways and 7% rest.

HDFC MF: And there has been a lot of talk on -- I mean, we have seen the wagon procurement etcetera, is quite increasing in India. So what kind of railway growth you are envisaging in, are you...

Ashish Saraf (SKF): So railway is basically what passengers, metro and freight. So we are there in all the sectors.

Definitely, freight has a lot of potential, because of the 90,000 wagons order, which the railways have placed on the private wagon builders. And we are basically working with all the private wagon builders. So we are already fully approved both for Class E and Class K bearings. And we are working with private wagon builders to basically win orders with them.

So definitely, there is a potential for growth in the railway sector, in the freight sector, passenger and Metro also, there is a lot of potential with Train 18 coming in, we're already there in Train 18. So we are closely working with ICF to grow in the passenger side, similarly on the metro side, so many metro projects happening. There is a lot of focus on railways.

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On railways, the challenge is always profitability. So as a company, our focus is driving profitable growth for the business. So if the business is at a loss, we would probably not do that business. So that's been our, as I said, on the wind side, we are doing profitable growth, similarly on the railway side, the focus is stood at profitable growth of the business.

HDFC MF: And most of these bearings are manufactured in India, or do you have still importing so...

Ashish Saraf (SKF): For railways, we are localized, then for freight, we are localized, for passenger, I would say, we have localized as well as we are importing stuff. So there is still some -- for railways, most of it, we are localized. We are still importing a bit, which we are in the process of localization.

HDFC MF: Metro also?

Ashish Saraf (SKF): Metro also.

HDFC MF: So I think last time, we also spoken on the localization front. So where are we in terms of capex, right now?

Ashish Saraf (SKF): So again, we continue to invest. If you look at our capex, it's increased from last year. A lot of our capex investments are going in our sister company, which is the non-listed entity. Because a lot of investments are happening in mid- and large-sized bearings, where the technical capability to manufacture lies with that entity. So that is where you do not see a significant jump in our capex spent for this entity as such, because on the automotive side, we are almost 85%, 90% localized already. It's only in the industrial large-size bearings where we are not localized. So that's where the significant portion of our capex investments are going there in other entity.

HDFC MF: But how is the transfer pricing between the two entities is...

Ashish Saraf (SKF): It's governed by the standard, we see the guidelines depending on the Transaction Net Margin Method. So it's pretty similar to what any other company would have. It's not anything different that we are doing.

HDFC MF: And any thought on, say, some of the segment or I mean, some of the larger bearing also getting manufactured in this entity?

Ashish Saraf (SKF): In SKF India?

HDFC MF: Yes

Ashish Saraf (SKF): See, in SKF India, we are also localizing. Say, for example we h

ad UC inserts, which is basically

required at the distribution business. And we saw a lot of potential there. So we are in the process of setting up a channel where in this entity. So we are continuously evaluating. If it is a smaller size bearing, where there is -- the skill sets are there in this entity, we are making investments through this entity. If it is medium or large size bearing, then we are making investments through the other entity.

HDFC MF: So basically, what you are saying is, just correct me if I'm wrong. So mostly the ball bearing that we -- ball bearing and all this will remain in this entity. And probably this is a spherical...

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Ashish Saraf (SKF): SRBs, TRBs, will -- because you require a different kind of skill set, like the technical capability, the grade of steel, the supply chain network, which is needed is completely different for a

spherical bearing compared to a small DGBB. So that capability lies in the other entity. And that is where we will -- as a company at an overall level, it makes financially more sense for the company to manufacture it in that entity rather than building that capability from scratch in SKF India. So localization opportunities will probably happen in that entity.

HDFC MF: And if the localization happens, within that entity, does it benefit anywhere?

Ashish Saraf (SKF): Yes, it benefits us in a big way, in a sense that -- see, whatever we are manufacturing in that entity, predominately, the focus is India market. So it helps SKF India to sell at a better price. It helps increase availability of the products. It increases cost competitiveness at an overall level for SKF, which will help us get better volumes from the customer. So from that perspective, it kind of enables SKF India to cater to the market in a much, much better way. And yes, we will buy it from the other entity as a traded product, but we will still make money at reasonable margins under the transfer pricing guidelines, but we'll have higher volumes.

HDFC MF: Basically, operating leverage will help in this in entity. The gross margin is whatever predetermined transfer pricing is, the gross margin will remain as it is?

Ashish Saraf (SKF): That's right.

HDFC MF: And any new trend, etcetera, you're seeing in terms of -- what is the outlook for industry?

Ashish Saraf (SKF): See, outlook for industry overall, the way we are looking at 2023 is if you look at the GDP growth for 2023, 6% to 7%. Inflation is going to be around 5%. So overall, 12% pretty much. So, I think that is something which we are -- it's not a guidance, but I would think that, that is something that we should be driving for, which is basically a combination of price mix and volume put together.

Internally, we are even driving a higher target, as a company. But I would think that if the market remains the way it is, we should expect a double-digit growth this year.

HDFC MF: And this will be predominantly driven by industrial? Because I think auto, this year might be a little...

Ashish Saraf (SKF): Two-wheeler is a challenge, as I said, which we believe should improve from Q4, from October to December should improve. But in the automotive sector, as I said, we are increasing our reach.

So we're trying to gain volumes through that in the aftermarket. In the OEM side, we are trying to build strategic relationships with customers with whom we didn't relationship with. We are trying to build together with them in terms of innovate together for the new products. We are trying to increase our range, improve our availability. So that's kind of is going to help us on the automotive side.

On the industrial side, the focus is infrastructure led, which is drives, which is heavy industry, which is construction. These sectors, we believe in the long term are going to grow. Because India is significantly right now focused on infrastructure as a country. So

there is a lot more

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focus on these specific sectors. This is going to kind of help us to grow in the market. But as a company, what we have also said is that we want to grow profitably.

So if there's a customer in wind who is giving us a big order, but if we're losing money there, we'll probably not do that business. We will focus on driving profitable growth. We'll focus on portfolio management as a company. So we are focusing a lot more on looking at our internally, our entire customer base to see, are there customers where we're losing money? Are the products which we are selling at a loss? So looking at those areas to see how we can improve the overall margin for the business.

HDFC MF: And in terms of OE, I think you are the oldest company, which is present in India in terms of bearing space. So is there some ways where you are still at a very primitive stage in terms of volume, etcetera, or?

Ashish Saraf (SKF): Yes. So there are many OEs in the sense, we have relationships, but at times where financially didn't make sense for us, We would have probably exited the business at some point of time. So there is a constant connect with all the OEs in the market on the automotive side, where we are trying to continuously peg our products against the competition and build that relationship, Create that value proposition for our customers. So there's always that push. To give you an example, we have a big relationship with Bajaj, but not so big with TVS or Hero. So our focus is to build that relationship with TVS and Hero to kind of grow our business.

HDFC MF: Honda is a more working with the Japanese companies?

Ashish Saraf (SKF): That's right. So they have been like, and that's been our challenge on the passenger vehicle side, I would say, where they have been sourcing like, buying bearings from the Japanese vendors. And I think that is not something that we have been able to crack yet. But the good thing on the passenger vehicle side is that we have with players who are growing big like Tata and all, so we are with them, we are with Mahindra, whose market share in the passenger vehicle side is continuously increasing.

HDFC MF: And the same is the case with Koreans, or Koreans you deal with?

Ashish Saraf (SKF): Not so much.

HDFC MF: So basically, your canvas size is actually limited, because of the geographical mix of the OEs?

Ashish Saraf (SKF): That's right. Like, especially on the Japanese side or the Korean side, I think they traditionally have a preference to work with their global mandate or with the global relationship at a local level. So our SKF presence with them is relatively low.

HDFC MF: As last two years, I think India has particularly has grown faster. In terms of the pricing, industrial, you have completely passed on whatever you have got in terms of the commodity...

Ashish Saraf (SKF): I would say, at an overall level, we have fairly done. And that's where you see our margins improving. We've been able to pass on, or if I talk about on an overall basis, we have been able to pass on the costs back to the customer. It's been fairly, I would say, much easier on the

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aftermarket side and relatively a lot more difficult on the OE side, both on the industrial as well as on the automotive side.

HDFC MF: But, who is better? Industrial OEs or Auto OEs?

Ashish Saraf (SKF): I think it's similar in a sense that I think of the auto is, it's a lot more easier, because there are long-term contracts. So and the price increases are kind of already built-in. They are linked with steel prices and all that. So it's a lot more easier to kind of go back to them and get a price increase, because it's kind of built-in our contracts.

Where as in the industrial side, the contracts are not very long term, with most of them. It gives us an opportunity to give a

quote a higher price, but we have to also look at competition, because every order is in new order for us. So we have to look at what competition is quoting and whether our pricing that we are quoting is competitive and it's making value for our customers. We have to always keep that in mind as well. So on the industrial side, it's slightly more difficult, I would say.

HDFC MF: And how does it work in some of the tender businesses, like say railway have used to have a tender business?

Ashish Saraf (SKF): They still have tender business.

HDFC MF: And so how -- I mean, once you quoted the price, can you increase the prices, or no? So you have to focus, you have to block the commodity also for every supply for one year later, right?

Ashish Saraf (SKF): So that's always the challenge in railways that whatever price we commit to the customer. One is that's all L1. So it has to be the lowest bidder. And second is at whatever price we quote now is basically effective for the next -- for the entire duration of the tender. So you might execute the tender in the next 12 months or six months. So you have to hold those prices even though the prices might go up in the market or the -- basically, your input cost might go up, that's the risk that you'll have to carry.

HDFC MF: Working capital, the railway and all does it have a problem?

Ashish Saraf (SKF): Yes, it's a bureaucratic process. You need to really manage that process better. But working capital as such is not a challenge. We continue to collect pretty much from railways on time.

HDFC MF: So I think globally, we have 75%-25%, I guess, in terms of industrial and auto?

Ashish Saraf (SKF): 70%-30% industrial and auto, whereas it's 50%-40% in India. So we see that continuously. We expect industry to grow at a faster pace compared to automotive. So that mix gradually should change and industrial mix should increase.

HDFC MF: How is it changing over period, say, five years back, was it like...

Ashish Saraf (SKF): I would say, earlier it was 50%-50% if you look at industry and automotive. So now it's become 50%-40%. So you can see that shift already and that shift should -- I think in India, it cannot be -- we may not reach 70%-30%, but might become 60%-40% over a period of time.

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HDFC MF: And I think globally, we have 8% CAGR guidance. I think the SKF global guidance as SKF said. So what should be our guidance?

Ashish Saraf (SKF): Again, very difficult for me to give a guidance. But I already told you, that GDP is growing at 6%, 7%, inflation will be around 4% to 5%. So that itself ties at more. than 10%. So I would think at an overall SKF India level, if the economic situation remains as is, and there's no significant disruption, and we should at least be growing at that pace.

HDFC MF: On competitive intensity, are you seeing increasing, decreasing how is the prices?

Ashish Saraf (SKF): Yes. It is always there and I think, it is increasing. One of the things that we always see with our customers that they might be okay buying a local bearing, but when it comes to critical applications, they always prefer SKF against competition. So wherever they see a strong value proposition as our customers, they are always -- they are not willing to go and bet on a product, which is selling at a much lower price. So that is where we see that there's always going to be a



price differentiation and there's always going to be a pricing pressure. But as a company, I think we need to create value for our customers and show them the benefits of buying SKF over the long term. And that's what as a company we are focusing.

HDFC MF: Imports from China is still very high?

Ashish Saraf (SKF): Counterfeit bearings? again, difficult for me to comment. As I said, our focus is that our counter measure is to increase our rates. So that if the customers are going to get genuine bearing from SKF, they would

be irrespective of the price differential they will prefer to buy SKF.

HDFC MF: Because, why I'm asking this is because a couple of like, small textile mills and all what we have seen is a lot of guys get those bearings from China also?

Ashish Saraf (SKF): There will always be the case. But again, that is not something that because anybody is free to import, and whatever they want to import. So it is difficult for us to control. But what we are ensuring is we create strong availability, strong penetration, strong reach. So that customers know whom to reach out to. A lot of times customers struggle to reach out to the SKF authorized distributor. That's where they kind of land up buying a counterfeit bearing. And we have seen cases where customers have paid premium as well for a counterfeit bearing, which they didn't realize it's a counterfeit bearing, but they paid premiums in the market compared to a genuine SKF bearing as well, because they needed that bearing urgently and all of that. So as a company, our focus on reach is kind of helping us get a bigger market share.

HDFC MF: So what is the capex you will do in next two, three years? I mean I think it's already given I think INR 100 crores, INR 150 crores that is what...

Ashish Saraf (SKF): Yes. So typically, again, it might go up, as we localize, you may not see such a significant spike in SKF India as such. But as a company, will we invest in India, we are investing in India. Through the unlisted entity to be able to capture this market better. So you may not see a significant investment in terms of capex in SKF India, which is a listed entity. But if you probably look at the unlisted entity financials, you will see a significant jump in the overall capex.

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HDFC MF: And your distribution for this -- the lubrication and all business is separate?

Ashish Saraf (SKF): Yes. That's all separate. It's not with SKF India, so it's the same unlisted entity. So we sell lubrication and seals through the unlisted entity.

HDFC MF: But bigger bearings, we sell it through here.

Ashish Saraf (SKF): Yes. So all bearings, which we sell in the Indian market, are sold through SKF India.

HDFC MF: So on this unlisted entity what this kind of capex you are doing?

Ashish Saraf (SKF): See just to give you an idea, I will just give you a reference point. We just opened a credit line between SKF India and SKF Engineering for INR 250 crores. So I would think we should be making that kind of investment in two-three years in that entity.

HDFC MF: Any change you're seeing in the marketplace, some new trend, if you can?

Ashish Saraf (SKF): No, not really, I would say, I think the sense that we realise is that SKF was the first mover in terms of taking the price increases. I think what we are realising now is that competition is following in. They are also probably having a similar kind of cost pressure, just like us. So the good thing is that we are not feeling that pressure on demand, because of the price increases that we have taken in the market. On the EV space, we are working closely with all the players. So whether it's Ather, whether it's OLA, we are there with them, as well as the current players, we are already there with them. So I think we are in the right position, and that is also our automotive key strategy to make sure that we are part of this EV revolution. So I think that's growing, doing well.

HDFC MF: So how do you see the content moving...

Ashish Saraf (SKF): Right now, the EV share is only 6% of the overall in the automotive space. So it's not a very, very big market in that sense. But the good thing is we are there with them. We are jointly developing products with them. So and we are working with all these players on wheel end, on other aspects of the two-wheelers and the four-wheeler as well. So we continue to work with them and grow in this space. But still, in terms

of, if you ask me revenue share, it's relatively very small, so it will take time.

HDFC MF: Revenue share 6%?

Ashish Saraf (SKF): That's right.

HDFC MF: But I mean in car also?

Ashish Saraf (SKF): We are there with Tata. We are working closely with -- so the good thing for us in the passenger vehicle side is that we've been with these Indian players, Tata, Mahindra and we're jointly developing products for them. So say, for example, Tata Nexon Electric, we are there. So in that way, we are their key partners on the bearing suppliers both on the combustion engine as well

HDFC MF: And overall exposure to engine or transmission related bearings?

Ashish Saraf (SKF): It's difficult for me to answer. I don't have the data.

HDFC MF: But our presence was more on wheel-end side, if I'm not wrong? Because you don't manufacture needle roller, right?

Ashish Saraf (SKF): That's right. So we are there on the wheel-end. We are there on power train, I think these two, we are there, and we are seeing strong growth in both these areas.

HDFC MF: And how is the content change, does it increase your content in terms of...

Ashish Saraf (SKF): You to talk about electric vehicles also. So what happens is that the number of bearings which are required in an electric vehicle definitely come down. But from a cost perspective or a pricing point perspective, that goes up. So overall, at an overall value proposition level, it remains very similar. It's not that our volume -- our volumes might come down in a total when you compare the ICE to EV. But in terms of the overall value proposition, it will remain the same.

HDFC MF: And value wise is -- is it also because as of now, the volume is smaller, where electric pricing is high?

Ashish Saraf (SKF): No, not really.

HDFC MF: And in terms of internal cost efficiency and all these things, any thoughts? And do you see room for improvement in terms of production, and overheads, etcetera?

Ashish Saraf (SKF): No. There is always a focus on becoming more efficient as a company. So for our manufacturing locations, we continue to monitor our costs on a month-on-month basis to see what are cost levels are for a particular factory. So we monitor that at a factory level and sometimes also at channel level. So one is that. So we kind of are continuously looking at how we can kind of bring down that overall cost level for all the manufactured products that we made. We look at cost optimization. We at times look at volumes also because factory cost is also dependent on -- certain extent on economies of scale where you can increase your volumes, you can get a better cost for the products that we need.

So there is a constant focus on that. We are internally driving a lot of projects, cost savings projects, because as a management, we have a mandate to reduce our costs every year to a certain extent. So we are also internally working with a consultant as well as with a larger team to identify areas where we can kind of bring down overall cost for us in the manufacturing space.

On the traded products, this is relatively less opportunity to reduce costs. Because it's a function of the transfer price, which is determined based on basically what price we are selling in the market. And also what cost the manufacturing company is incurring. So it's relatively we can control that less as a company. But our focus is to make sure that we do profitable business, so we are continuously looking at that and even for the traded products, we do not want to sell product at a loss to improve our overall margin. But cost efficiency is a challenge for traded products, there's not much of an opportunity that we can do to bring on cost.

What we can do is to localize, so that we are not adversely impacted, because of the adverse infl

ation, which is happening in Europe. So that's where the focus is. If there is an opportunity to localize, we look at localizing them in the listed entity or the non-listed entity depending on the kind of bearing that we are manufacturing. There is a lot more focus on, I would say, improving our cash flows as a company. So if you look at our working capital, it's continuously improved quarter-over-quarter. And our focus is to make sure that we are able to fund our investments on our own. So whatever cash flow that we generate during the year, we should be able to fund our capex investments that are needed apart from paying a standard dividends.

HDFC MF: So working capital, I think it has improved. But is there any room for improvement, because you will have to pay 45 days advances?

Ashish Saraf (SKF): See, typically, if you look at -- I just give you an example, our working capital in December '21 was around 21% of our sales, 12 months rolling sales. Now it's come down to around 17%. So you see a 4% improvement. So that's a significant cash flow release that we have done for the business. Like in last one year, we have generated around INR 2 billion of cash. If you look at our balance sheet, we're sitting with almost after paying dividend. So we're sitting with INR 2 billion of cash compared to what we were sitting last year in December '21. It's a significant jump in our cash flows.

And on working capital front, there's still some opportunity on the AR front where we can collect better. On the inventory side, we are trying to continuously optimize and see if we can kind of further reduce our inventory. I mean these two opportunities still exist. Yes, it may not be as

high as what you've seen already an improvement. But it is still maybe we can improve by percentage or two on an overall basis. And that's what we're kind of internally aiming for.

HDFC MF: And just from a traded product, if your volume increases, so leverage comes into the listed entity in terms of -- so is that extra benefit which you get in terms of top line is also passed through to the manufacturing entity?

Ashish Saraf (SKF): Naturally, because you'll buy more units from the manufacturing entity. So that could still pass on the share of the margin to the manufacturing entity, the cost plus the share of the margin that the manufacturing entity should get.

HDFC MF: So cost part which -- that is understood -- cost whatever?

Ashish Saraf (SKF): The margin also has to be passed on, because the whole transfer pricing is governed on a margin basis. And you kind of say, okay, what should be the share of the selling entity, what should be the share of the manufacturing entity. I should say, for example, what do all margin on a particular product is 10%. You say, okay, how much margin should be retained by the selling entity out of that 10% and all how much should be retained by the manufacturing entity. So that's a constant split, which is basically the transaction net margin.

HDFC MF: So is it like, say, 2/3, 1/3, what?

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Ashish Saraf (SKF): Typically, the margin for the manufacturing entity is higher compared to the selling entity. Because they take a much bigger risk, under the transfer pricing norms vis-a-vis the selling entity. That's where the focus is more on localization.

HDFC MF: So if their margin also increases, then our margins should also increase in that with because if the share remains same, say, 60%-40% or 50%-50%, whatever...

Ashish Saraf (SKF): It all depends, in a sense that if you are making a much higher margin as a business, yes, the manufacturing share will increase as well as the selling entity share will increase. If you relatively make a lower margin on the product that you sell, you would probably still make a reasonable margin on the selling entity. Because you are taking much lesser risk, whereas the manufacturing entity might I

and up making a loss. Because they take a much bigger risk.

So being a selling entity, I have to make a reasonable margin at overall business. Irrespective like, see, take an example of COVID year, we're probably made a loss on a traded product. Being a selling entity, I will make a reasonable margin. Because I'm taking a lesser risk, whereas a manufacturing entity might end-up make a loss. Because the overall, like a manufacturing entity might be not just producing for India but for the other markets. So at an overall level, when they have looked at their P&L, since they didn't produce enough in a COVID year, they actually landed-up making a loss. So that's how this whole thing works.

HDFC MF: So there is no fixed formula as such?

Ashish Saraf (SKF): There's no fixed formula. It's always every year, you look at what's the overall margin. And you look at comparable companies, who are in similar kind of business, what's a typical share that a selling entity should make, what's the typical share that manufacturing entity should make, and if we go with a reasonable assessment where we see a minimum, this is what we should make. But eventually it comes down to what has happened during the year and whether that margin is falling in that reasonable bucket or not. If it is falling the reasonable bucket is less analytic, if it is not, then there has to be some two of adjustments, which had to be done.

HDFC MF: So is there a scope for going from, say, 17%, 18% to 20%-plus?

Ashish Saraf (SKF): I would say, the margin that you see right now at this point of time, there could be some possibility of improvement, but it's not going to be significantly changing. You might see some blips in the quarter, some quarters you might see it coming down. And -- but I would say, between 17% to 20% is in the current economic situation, however if things change, then difficult to say.

HDFC MF: Understood. Thank you. I think I am done. What's your number? Because I was looking for that time when the resolution has come, so that time we wanted to speak, because we engage with all the companies.

Ashish Saraf (SKF): I was, in fact, trying to meet some of you guys as well to just explain. Sorry, I'm not carrying my card, but I'll give you my number.

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HDFC MF: I didn't have your number. Because typically, in any resolution, if there is some adverse comment made by some of the proxy agencies, then we typically engage with companies.

Ashish Saraf (SKF): So I spoke, because I was trying to get in touch, but I didn't have a number, so I couldn't. Actually, I don't know, if Manish spoke with any of you guys. But we were trying get in touch with you just to explain the transaction.

And I think that's beneficial from a market standpoint, it is going to help SKF India sell more. Yes, I think from your perspective, you would ideally like SKF India to manufacture. But again, we have to look at it from an overall perspective as to whether financially some of the investments that we are trying to make through that entity, will it make sense for SKF India or not, if we had done it on a standalone basis?

HDFC MF: We have been doing good. So I think we have been holding on to at 8% or 8.5%, I think we can't move beyond 10% because that's the regulation.

Ashish Saraf (SKF): I think you guys are holding the maximum, if I'm not wrong, right? Between all the funds that you have.

Ashish Saraf (SKF): Okay. See you. See you on the 11.

HDFC MF: Sure. Thank you.

Kotak MF: Company is very well known to us and we have been large shareholders for a very long time.

So basically, just wanted your sense on the overall industry dynamics both on industry and we are getting different comments on different things. Some are saying slowdown is happening, some are saying it's okay, replacement market is seeing some kind of a problem. Can you just help us understand the reportin

g time and the way you are looking at it? And then we will go into specifics on what the every level company, we have lot of questions.

Ashish Saraf (SKF): See, if you look at 2022, you'll see what, 24% growth for SKF India. So if you compare that with 2023, definitely overall GDP growth for the India market is slowing down. The overall impact of the geopolitical situation and the inflationary environment which exists outside of India, that impact is kind of coming and to a certain extent will impact India. So to that extent, I think our growth definitely will get moderate, in the current environment.

But are we expecting growth year-over-year? Yes, we are expecting growth. I would say our GDP is expected to grow at 6%. Inflation is going to be somewhere around 4% to 5% in the current environment. So I would think somewhere around 10%-plus is something definitely we are aspiring to grow at a much faster pace than that. But I would think in the current environment we should grow at 10%-plus. Again, it's not a guidance, but that's a typical high level view.

Kotak MF: Normally your multiplier has been better than your GDP growth?

Ashish Saraf (SKF): Yes, so that is what we are aspiring for as well as a company. But I would say that internally, the way we see as an indication is that what's the GDP growth projected to be, what's the inflation projected to be, and we should be growing at a faster pace than that.

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Kotak MF: What will be the drivers of growth, if you can just help us on that?

Ashish Saraf (SKF): Sure. If you look at industrial, we believe that long term India root story is going to be infrastructure led. So as a company, we are focusing on segments which are going to be infrastructure focus, sectors like heavy industry, sectors like construction, drives, which is basically pumps, motors, fluid power, textiles. So these are the sectors which we believe will grow at a much faster pace compared to other sectors. And that is where we are making significant investments in the industrial space. And we believe that that will drive growth for the industrial business in '23 and going forward.

In the automotive space, two-wheeler, is definitely slowing down, what we are seeing. Right. But two-wheeler is around 10% of our overall business. So even though two-wheeler is slowing down, we are seeing good traction in the passenger vehicle. We are seeing good traction in the commercial vehicle. So we believe that that should be able to kind of offset and drive growth in the OE space.

In the automotive aftermarket. I think our strategy of reach, range and availability is kind of helping us grow in the automotive aftermarket in a big way. Our penetration in the automotive aftermarket was earlier around 50%. Our whole focus on increasing our reach, increasing our presence in the overall market is kind of helping us drive the overall growth, as well as one of the things that we've realized is that availability can play a very important role in the aftermarket. So we are closely working with our distributor network as well as retail network to create a strong availability at the distributor end. So that we can kind of improve our market share. I think that's what's pretty much driving the automotive space.

Kotak MF: And automotive aftermarket would be how much total in the number of your overall sales?

Ashish Saraf (SKF): So, overall our sales, if you look at around 50% is industrial, 41% is automotive. And rest around 8%, 9%...

Kotak MF: And automotive aftermarket will be...

Ashish Saraf (SKF): In industrial, the aftermarket is 25%. Out of 50 25% in industrial comes from replacement. And the balance, 25% is OE. And similarly, on the automotive side, around 12%, 13% is automotive aftermarket. And the rest, 37% is through OE.

Kotak MF: So aftermarket in automotive are still...

Ashish Saraf (SKF): No. actually, 13% of 40%.

Ashis

h Saraf (SKF): 13% of overall sales and 27% is OE.

Ashish Saraf (SKF): Yes, 27% is OE, not 37% in automotive.

Kotak MF: And the way we have seen Schaeffler ramping the exports, and now they have 15%, 16% of sales on export. And this was a conscious, whenever we have shareholders in both that may be introduced, in fact, there was clear focus that was they have to drive exports, and that was 7%, 8% as you are. Any thoughts on that?

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Ashish Saraf (SKF): Our strategy is a little bit different to Schaeffler here. As a company one of the things that we realized when COVID happened and substantial supply chain disruption happened, we said that we need to have a regionalized supply chain network. And somewhere in the beginning of 2022, we created an ISEA region, in the industrial business, which is India and Southeast Asia. So we said we have four regions EMA, ISEA, Americas and China and Northeast Asia.

So basically our focus is predominantly to cater to the Indian market. Now, with Southeast Asia coming in, definitely when we are looking at localizing, we are also looking at Southeast Asian market, because Southeast Asia predominantly they have very little local manufacturing presence. They are predominantly either buying from China or from Europe.

So when we are investing in, say, a new channel in India, we are looking at, is there an in terms of potential, we are looking at not just Indian market, but we are also looking at Southeast Asian market. So to that extent, you should see some, over a period of time, some growth in the export side. But as such, we are not focused on in it the way probably Schaeffler or other competitors are.

Kotak MF: Schaeffler is transferred the production line also to India, Europe to India.

Ashish Saraf (SKF): So, as I said, we are also looking at it specifically for those products where we have enough potential for the Indian market as well as for the Southeast Asian market, not for Europe. We are not exporting from here to Europe or to America. But if there's an opportunity that comes up through a natural progression. In a sense that we set up a line, it turns out to be cost effective for overall SKF and it makes business sense for them to buy from us, then it will happen through a natural progression. But predominantly, when we are setting up a new channel, we are setting up a new channel to cater to the domestic demand as well as to Southeast Asia demand.

Kotak MF: So would that I mean, when it comes as an opportunity, would it be sourced out of China? Would it be sourced out of India? How would that be decided? Because ultimately, Southeast, if it's a Southeast Asia opportunity, would that be sourced out of China or would it be sourced out of India?

Ashish Saraf (SKF): See, when we are looking at investing anything in India, I'm talking specifically industrial. If industrial, typically when you set up a new channel, you have to look at a lot of things because the volume for a particular bearing is relatively much lower compared to an automotive bearing. So what we typically do is that, okay, if I want to set up a channel, it has to make financial sense. There has to be a reasonable utilization of the channel for me to make that investment.

So whether I have that growth potential for that product in the Indian market to meet that requirement if, say, for example, it is not meeting the India requirement and the volumes that I can produce is significantly higher financially, it will not make sense to make that investment in India. Then at that point of time, I look at Southeast Asian market to see whether for a similar product, there is a demand in the Southeast Asian market which is probably currently getting served from Europe. Can I serve it from India?

So in that kind of the situation, we go and do that overall evaluation and make that investment.

I don't look at European demand and dec

ide here. My predominant decision is first based on

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whether there's a demand in India and whether that I'm the investment that I'm making, whether it is giving me a payback with purely the demand in India. If not, can I look at Southeast Asia?

If I look at Southeast and combined India and it makes financial sense for me, then I make that investment. If it doesn't, then I don't. So I don't predominantly look at exports other than Southeast Asia to decide whether I should localize or not.

Kotak MF: My point was, I agree Southeast Asia is the market. If that has an opportunity, then India would be looked at as an investment. But the follow on question was whether that investment option would be looked at India or could be also serviced out of China. And how do you decide between investing in India vs China?

Ashish Saraf (SKF): We said we will have a regionalized supply chain. So we might decide to invest in India or in

Southeast Asia. Depending on where it makes sense for us to make that investment. But it may not like, we will not go and set up a channel in China, say for example, of a China entity to serve the Indian market...

Kotak MF: So, you all don't have any large operations out of China?

Ashish Saraf (SKF): SKF, globally has a large operation out of China. It's a big market for us. But SKF India doesn't operate in China.

Kotak MF: So export per se, Europe and all is not a great priority for us, the way its...

Ashish Saraf (SKF): For us, if it happens in due course, because we have capacity, we are making at a lower cost, then it might happen as a natural progression. But our focus is predominantly Indian market, that's it.

Kotak MF: And this 8% revenue, which is from export. Any ambitions, any aspiration?

Ashish Saraf (SKF): For export, as I said, it's more of a filler for us.

Kotak MF: Export is a filler?

Ashish Saraf (SKF): Export is a filler for us. The focus is predominantly domestic market.

Kotak MF: And between India and the SKF technologies, where the name has now been changed. So the Southeast Asia opportunity can also be catered to buy the unlisted company or...

Ashish Saraf (SKF): That's true. So it depends on the kind of – see, we have two separate legal entities with two separate capabilities. The non-listed entity has capability to make medium and large size bearings, whereas the SKF India manufacturing competency is making smaller size bearings, automotive as well as industrial.

So, depending on the kind of investment that is needed, if it is for a smaller size bearing, then the investment will come in SKF India. If it is a larger size bearing or a mid-sized bearing, which is predominantly for industrial market, it will go into the other entity.

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Kotak MF: Presumably, given that, obviously, Southeast Asia are more advanced compared to India in terms of infra spends, disproportionate beneficiary could be the unlisted, right?

Ashish Saraf (SKF): I couldn't relate. I couldn't understand.

Kotak MF: What is saying that SKF tech could benefit from the localization of Southeast Asia more than SKF India because of the...

Ashish Saraf (SKF): Not necessarily. I would say, SKF India is big in automotive. Southeast Asia has got a big automotive market. So we can supply a lot from SKF India in Southeast Asia in terms of exports.

Yes. The Southeast Asian market is also getting, like I'm talking about market, not SKF, is also getting served by a lot of Chinese players. Definitely there is a lot of competition in the automotive space from the Chinese players in the Southeast Asia.

Kotak MF: So there's 9% export how much would be automotive or industrial?

Ashish Saraf (SKF): I would say mostly is automotive. Obviously for automotive. Because most of like say for example, industrial products which are unique, which are large size bearings are being done

out

of Ahmedabad factory, which is the other entity, and they are the ones which is not their exports are not coming.

Kotak MF: In industrials, which are the sub-segment which would have done well for us in the last nine months?

Ashish Saraf (SKF): See, all our segments in the industrial space have done well. All of them have grown here, out here. Most of the big ones -- the big ones last year or in the last nine months, which have grown is railways, wind, distribution, metals, railways, distribution.

Kotak MF: Distribution is aftermarket. And on the wind side, have you seen some slowdown? Because we are....

Ashish Saraf (SKF): See on the wind side, what we are seeing is the market itself slowdown. And it would be true in order for SKF, I presume for the entire market, where the market is not right pricing in the market for the products. So pricing itself is an issue. Traditionally, SKF has been doing a lot of business on loss and we realize in last one year that we need to focus on driving profitable growth. So as a company, we are focusing on looking at all our customers and all our products which we sell at a loss.

And that's also kind of significantly help us in improving our profitability. So, example is wind, say for example, wind, our strategy is not growth, our strategy is driving profitable growth. So say for example, this year we are not focusing on driving growth of the wind business, but it's really focusing on turning around wind and making sure that wind as a segment becomes profitable for us.

It's in the process. As I said, there is an overall market challenge where the customers themselves are not giving the right pricing, the pricing levels are not right. There is a lot of discussions happening with our customers and some of these are global customers, to correct the pricing in

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the Indian market. And that's the challenge not just with us, but globally, I think all players are facing.

Kotak MF: And how big will be wind for us, in the industrial portion, I remember 7%, 8% used to say...

Ashish Saraf (SKF): Overall out of 100%, wind is around 7% to 8%.

Kotak MF: Now, even if it turns to breakeven...

Ashish Saraf (SKF): I would say, it's not 7%, it's 5%. So out of high level, I have to say 50%, as I said, is industrial, 25% is distribution. Your 7% to 8% is railways, 7% to 8% is general machinery, 5% is wind.

And rest of this pretty much smaller segments.

Kotak MF: So where is the growth coming from in industrials...

Ashish Saraf (SKF): So railways, railways have grown, distribution has grown, wind has grown. Last year, wind has grown, wind last year, 2022, wind has grown. And see, because wind has long lead orders. Long lead time orders. You take orders, like 2022, what we executed, most of the orders came in 2021.

So even though we're not making money, we couldn't really cancel those orders. We did had a lot of discussions with our customers to get a better pricing, but we couldn't really cancel those orders.

Whereas in 2023, we are being very conscious in terms of taking orders. It is going to be a significant impact on the overall business. Because again, it's difficult for me to quantify in terms of value, but -- just to give you an idea. We were making a loss of 9% to 10% on wind business.

Kotak MF: So till when it will be breakeven?

Ashish Saraf (SKF): See as I said, from our perspective, incrementally, that the orders that we are taking is we are making sure that they are positive margin.

Kotak MF: And in railways, we're making money, now?

Ashish Saraf (SKF): Railways is making money, definitely. Having said that, not great margins for us. So it's mostly a tender business. It's relatively a bit more challenging to make money there. But yes, our focus is also to turn that around in terms of improving our margins.

Kotak MF: What should be threshold, like we see Timken and all they are making de

cent and then we see a

couple of other guys like Amber and all, providing air conditioning, they are also making money.

Ashish Saraf (SKF): Again, difficult for me to give you a numbers -- because railway is mostly, from an SKF India perspective is mostly a traded product. It's not a product that we manufacture in SKF India. We manufacture out of the other non-listed entity. And only sales margins are booked.

But see, even if you make a marketing margin, you are assured of that margin. In the sense that even if you sell a product at a loss, you still make a good margin. Being a marketing margin, you have to make another transfer pricing norms of minimum margin.

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Kotak MF: Given that now railway is also moving of the value chain, be it on the DFC high quality bearings there. Even on the passenger side, we are seeing electric locomotives as well as that. So does that open a new opportunity for us or we are still back or we are still behind in the curve for servicing these markets?

Ashish Saraf (SKF): We are very much there, in terms of servicing this market. In the freight business, the bearings are already localized. We are already supplying to private wagon builders. Because when you talk about localization, it's not just that you manufacture the bearing locally. You need to have the entire supply chain network also localized. That takes time. So there are a lot of initiatives happening on that in the railway front, where we can ensure that the entire supply chain network, it's a big market for us. It's a very important market for us.

Kotak MF: Just a follow-on to this would be that as a function of this change, will this 60% being traded reduce because of this transition to the new set of products that are coming?

Ashish Saraf (SKF): It will definitely reduce. You may not see a significant reduction, because a lot of it, if there are medium or large size bearings, it will continue to get manufactured in the sister company of SKF in India. But even if it gets manufactured in the sister company of SKF in India, there are a lot of benefits from an SKF India perspective. Because it creates cost competitiveness for us. It creates better availability for our customers. We are able to cater to the market in a better manner and we are able to get higher volumes and get a better share in the market.

So from that perspective, you may not see that, okay, railways or wind, I will swing from trading to manufacture. But just because there is a significant cost down, there will be better availability. You will be able to gain a better market share on both these areas and overall better profitability for those.

Kotak MF: We have a paly in Vande Bharat, Metro?

Ashish Saraf (SKF): Yes, we are already there in Vande Bharat. The bearings which are getting supplied in Vande Bharat is of SKF, we are there. We are closely working, with Metro is now becoming big, because so many Metro projects are coming across.

Kotak MF: We were not there in Metro earlier?

Ashish Saraf (SKF): No, we are very much there in Metro.

Kotak MF: Have you supplied to the Alstom?

Ashish Saraf (SKF): Yes, we supply to Alstom.

Kotak MF: Recent win of Alstom has gone to Timken?

Ashish Saraf (SKF): See Timken relatively is a much, much bigger player. Especially, I don't know, maybe you're referring to the freight business, which is...

Kotak MF: No, they said, Andhra, Indore and one more metro – from Alstom, they said entire order is with us...

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Ashish Saraf (SKF): No, but we are working with Alstom as well. I may not have specific details with respect to this specific order, but we are there, we are closely working with them and both in Metro and passenger as well as in freight. But Timken is a much bigger player in the overall railway market compared to us

Kotak MF: And we use to have a K grade bearing?

Ashish Saraf (SKF): We still have. So right now I think the railway is more focused on planed business. They have still not gone big on K class bearing. They're still not gone.

Kotak MF: Remember, four, five years back you were so bullish on K grade bearing?

Ashish Saraf (SKF): So again, the key differentiation is that a K class bearing can take a higher load. And E class can take a much lower load. Both the bearings are approved by railways and we are there with them. But right now their focus was more on making DCF operational and they wanted to make sure that there are enough wagons, that's why they have floated 90,000 wagon order in the market, but they're not moved to high load carrying capacity wagons yet. They are still focused on they're continuing with the old wagon structure. The demand is not...

Kotak MF: Is this something to do with like, I was hearing that earlier railways in passengers were moving to the LHB coaches. Now they are looking at some much future technology on coaches, which is where their transition to K class...

Ashish Saraf (SKF): No, this K class is for freight, it's not for DCF.

Kotak MF: And on distribution business, which is cash cow for you, 25%. I was speaking to a lot of guys from SKF and others, your spurious bearings have all over the place. Thus the Chinese intensity has gone up very high and a lot of those guys are saying somebody takes it from saying it's SKF, but it's not original. Lot of spurious products and that's hurting the SKF dealers a lot. And these are large dealers in Chennai, Bangalore I spoke to recently and this is the biggest fight we are having is this market only, because everybody is selling with SKF name, but we only know what is right, what is wrong, but clients take it then they abuse SKF. So it's becoming a big challenge.

Ashish Saraf (SKF): See, that's always a challenge. And I don't think from a company standpoint, we can go and stop counterfeit bearings, that's why our focus is always creating strong penetration, creating reach. And that is what we have done both in the automotive distribution network as well as industrial distribution network where we are focusing on increasing our reach. Just to give you an example, 1.5 years back, our reach was only around 50%. So when you say, high level, just to give you an idea, like, in India there are around 730 districts.

And we were present in only 50% of the district, our official distributor were working only in 50% of the district across India. In the last one year, we have increased our reach to almost 70%, where our presence have gone up to 500 districts across India. And we are building a strong supply chain network to make sure that we create strong availability in the retail network. So that's kind of helping us grow our market both in the industrial side as well as in the automotive side.

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Kotak MF: And the same dealer is for both automotive?

Ashish Saraf (SKF): No, they are different for industrial we have a different set of distributors, because the market is different. The automotive dealer is working closely with mechanics and even the players who are there, they are concentrated in an aftermarket vehicle market like, if you go to – like in Bangalore, if you go to Peenya, there is specific market for OEs, and for industrial, it's a different market. So we have a complete different network for industrial and automotive.

Kotak MF: But what we understand is that some of these areas where you are penetrated new was because our supply chain issues in terms of availability from China and all. But now all that material has now started to come back again. So are there repeat orders from these new distributors, or?

Ashish Saraf (SKF): Yes. We are seeing like wherever we have deployed our Udaan model, we are seeing that our growth is at much higher percentage comp



ared to where we haven't been able to deploy it. So, sector or certain geographical areas, where our new model and the new supply chain network is we are seeing a much higher percentage of growth quarter-over-quarter vis-à-vis what we have seen in an area where you're not deployed the model.

Kotak MF: So, you are seeing already that...

Ashish Saraf (SKF): Yes. We are already seeing that.

Kotak MF: And has the import density again gone up from Chinese segment?

Ashish Saraf (SKF): Difficult for me to comment.

Kotak MF: What's the fear on the ground level when you say to the aftermarket head, its just the sense...

Ashish Saraf (SKF): See on the aftermarket side, what I hear is that the demand remained strong. When I say, strong is and then do not see a drop in the demand. What I also hear is definitely in the automotive aftermarket, there is some bit of a price pricing pressure, but it's more of a temporary. I think the sense that I get is like our competition, which is a much bigger player in the automotive sector, they have high volumes and they're not getting the share in the OEM, so they are dumping it in the aftermarket. It's more of a temporary phenomenon. What we are noticing, but in the long run overall, our growth remains strong on the auto.

Kotak MF: Last year, on the total aftermarket distribution or industrial plus automotive what would have been in your growth ...

Ashish Saraf (SKF): See, industrial distribution has grown at a much faster pace.

Kotak MF: How much will be that?

Ashish Saraf (SKF): Almost 25%. And whereas the automotive grew at a relatively slow, because we were in the process of deploying.

Kotak MF: So how much will be?

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Ashish Saraf (SKF): Its around 14%.

Kotak MF: There is the highest margin?

Ashish Saraf (SKF): These two businesses are the highest margin.

Kotak MF: FY'22 you said?

Ashish Saraf (SKF): No. CY '22, CY '23.

Kotak MF: Nine Months?

Ashish Saraf (SKF): Nine months.

Kotak MF: That's why the gross margin has gone so high to like on 40% 41%, life high margins?

Ashish Saraf (SKF): That is true. See, as I said, there are a lot of things, but definitely one of the big things is price corrections that we have taken in the entire '22 -- because of the significant cost pressure.

Kotak MF: Inventory gain must also have come in this, right? You would have low-cost inventory, you increased the price?

Ashish Saraf (SKF): Not necessarily. See, it's more of the price increases that we have seen in Europe and not all costs came to India, because they are transfer prices. So that's where you see a margin increase at an overall level.

Kotak MF: Will it sustain?

Ashish Saraf (SKF): See, from an overall margin perspective, we feel that we will probably, we will continue to monitor our costs closely and if need be we will pass on more cost to our customers to make sure that we are not compromising on the margin.

Second thing is that there are a lot of business, historically, which SKF has been doing, which was relatively either a very low margin business or a negative margin business. So in the last one year, one of the big focus areas has been portfolio management, where we are looking at each and every customer to assess as to whether we are making money or not. Look at what our product portfolio, which are the products where we are making losses, going and having that conversation with the customer to give us a better price or if need to we exit that business as well. So that has also significantly helped us improve our margin. And that is something that we will continue to do in 2023.

Kotak MF: Is it safe enough to assume that the range will be 38% to 40%? Because this transfer pricing had created a lot of distortion. If you remember last year's September quarter, suddenly the margin just shot up like crazy and then you guys also kind of through sell side send us the message that was there was

one-off kind of a transfer pricing distortion. So don't take it as a...

Ashish Saraf (SKF): See broadly, the way you need to look at it, is that the traded product margins are relatively lower than a whole manufactured margin. There is a reasonable guidance which is given under

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the transfer pricing rules, which is relatively a single digit margin on a traded product. So in an ideal scenario, you would not make more than a single digit margin ....

Kotak MF: This is a bottom line, because there's very little cost attached to it in the transfer pricing, you will have actual cost and all that but not other costs related to manufacturing?

Ashish Saraf (SKF): Yes. I'm talking about our traded product. So typically, what happens is that's what you make. But when you are going to the market and you know that the costs are increasing, you are going and asking customers for a better price. That cost that comes in might come in at times at lower end, because you set prices under the transfer pricing rules way before you sell, so because of that there is always a differentiate.

Now when you close the year, say, for example, I close the year, whatever has happened during the year has happened during the year, because these are imported products, I cannot go and change the pricing of the product at which I imported. In March and say that I have imported at a lower price. I should have probably put it at a much higher price than that. So, I live with that. I close the year. I probably book at a relatively higher margin in the books. And then I start the year next year refresh. And see how it plays out. So that's why you will always see a bit of fluctuation on the traded products.

Kotak MF: And that also changes your gross margin?

Ashish Saraf (SKF): That also changes my gross margin and also my net margin.

Kotak MF: And traded as a company as a whole will be on much?

Ashish Saraf (SKF): Traded as a company at an SKF Group level will be definitely much higher.

Kotak MF: Indian, listed entity?

Ashish Saraf (SKF): In terms of the mix?

Kotak MF: Mix.

Ashish Saraf (SKF): So, the mix is around 58% is what we manufacture, 42% is all traded.

Kotak MF: So, this 42% is at a single digit margin, if I understand correctly?

Ashish Saraf (SKF): Should be relatively at a single digit margin. But at times it might go up as well.

Kotak MF: And this thing, when you do your transfer pricing, it's normally December end, and if I remember...

Ashish Saraf (SKF): No, it's an ongoing process. It's a continues ongoing process.

Kotak MF: Every new contract will have a different transfer...

Ashish Saraf (SKF): No, it's not like that. See we have a lot of factories in SKF through which we import. We constantly look at what is the margin that we are meeting on transport pricing on a month-on-

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month basis. We look at what is the cost. And we continuously, like at a group level, at SKF, not we and not SKF India, but somebody at a group level constantly look at what is the cost at which SKF India is importing that product and what is an overall margin that it is making. If that margin goes outside of, say, the single digit range, then they go and change the cost, on a continuous basis...

Kotak MF: Will not allow money to be wasted?

Ashish Saraf (SKF): Having said that, retrospectively, they cannot go and change.

Kotak MF: It is only our prospective.

Ashish Saraf (SKF): Obviously it is always a lag, because there's a two-month transit time for an imported product.

So, what I sell now, I have probably imported, plus there is a lag time also to manufacture. So, what I import is probably three, four months down the line when I place the order is what I've imported now and sold now. So, my price, when they have decided to cost, they have looked at my previous pricing in the market and if my pricing has changed

my margin will increase or

decrease, depending on what is happening because...

Kotak MF: This margins of yours will be very big, wont it?

Ashish Saraf (SKF): Because I have taken a lot of pricing increases.

Kotak MF: Inventory is also – two months inventory also...

Kotak MF: Now they will correct, and then that future...

Ashish Saraf (SKF): Over a period of time. If it becomes stagnated, definitely my traded margins will stagnate and it will come down.

Kotak MF: Then there will be inventory loss?

Ashish Saraf (SKF): Not inventory loss.

Kotak MF: Its not inventory loss. Now what he saying that suppose they have made 12% margin in traded product, now they will come down from 12% to 8% by normalized, they will not take back in prospective order. And beyond the point, he can't pass on to customers indefinitely...

Kotak MF: Out of this SKF, how much will be the traded from your unlisted company?

Ashish Saraf (SKF): Overall there is 42% as I said. I don't know the exact numbers....

Kotak MF: But to a greater extent .....

Ashish Saraf (SKF): We will do it, but the methodology is same.

Kotak MF: Their revenue is INR 700 cores, right?

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Ashish Saraf (SKF): You are right. They also sell, also externally, they make lubrication products and seals as well. So they go and sell that also.

Kotak MF: So, lubrication is I think 40% of their revenue? That is all external sales.

Ashish Saraf (SKF): That is all external.

Kotak MF: And 60% which is left up for industrial and seals, we can assume majority is to you?

Ashish Saraf (SKF): Industrial is also sold externally.

Kotak MF: But how much?

Ashish Saraf (SKF): I don't recollect the number.

Kotak MF: The reason, I am asking is that your overall EBITDA margin in that business is just 8%-9%, despite 46% gross margin.

Ashish Saraf (SKF): In that business.

Kotak MF: In that unlisted business. 46% gross margin in SKF, so the name has changed.

Ashish Saraf (SKF): No. If you look at that entity doesn't make money.

Kotak MF: Yes, exactly. Because it is not scalable. It is a sub-scale. It has its own costs. I don't think so it is economical to run two businesses under the same roof.

Ashish Saraf (SKF): I have to check whether your gross margins numbers are correct or not. But see, typically, lubrication and sales are relatively much lower margin business compared to a bearing business, that is one of the reasons. Second is the Ahmedabad factory which is the industrial factory, the utilization of that factory is relatively at a low end compared to what it should make. So that is also a challenge in terms of making an overall profitability for them.

Kotak MF: Where has the estimate gone wrong? When it was put up?

Ashish Saraf (SKF): That was put up in 2008-2009, at that point of time they took certain business decisions looking at a significant opportunity in the wind market. As I said, wind is not a very profitable business. So a lot of investments were made for wind. Railway, again not a very profitable business a lot of investments were made for railway. So that's what basically has impacted the margin of that factory.

Kotak MF: Is there a possibility to merge both?

Ashish Saraf (SKF): As of now, we are not looking at merging.

Kotak MF: Given that we have 42% being traded and the fact that now on the European side there is a reasonable amount of manufacturing cost escalation, would that have any kind of bearing on our ability to be price worthy in our market? Because that escalation. Even we are highly leveraged to a traded portfolio and cost from global standpoint has gone up.

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Ashish Saraf (SKF): Definitely that is a challenge. That's a challenge that we've been dealing with. That is where we came up with a strategy of regionalization and localization. There is a lot of investments going in terms of localizing, a lot of stuff which w

e are currently importing from Europe. You do not see all of that in this listed entity, because a lot of it is as I said, medium and large size bearings, which basically are going to get localized in the non-listed. But having said that, the cost pressure that we are facing we understand and you guys are tracking Schaeffler and Timken and they're also, I understand facing a similar kind of pressure.

Kotak MF: The reason that we asked this question is, because they are kind of being very proactive in moving the plants and moving and shifting all of that and making a lot more...

Ashish Saraf (SKF): That is a similar focus that we have. You probably don't see that so much. Just to give you an idea INR 250 crores worth of intercompany loan, we gave, only in the process of giving, we came to shareholders approval last quarter and all that and it kind of went through. So we are making a kind of around to INR 250 crores of investment in the non-listed entity which is being funded by SKF India.

Kotak MF: Why do are doing so?

Ashish Saraf (SKF): So let me tell you, see, there are benefits of that. One is there is a capability difference. Understand that the factory that I have in SKF India, has a different set of capability versus a capability which I have in Ahmadabad, because they can make large size bearings, whereas these factories cannot. See, even if, say, for example, I decide to manufacture those bearings, large size bearings in SKF India, I cannot do or if I want to do, I have to put in lot more money than what I would put in the Ahmadabad factory, because they already have the capability. So from that perspective, it made business sense...

Kotak MF: Why put INR 250 crores? It might not be looked positively by the investment community.

Ashish Saraf (SKF): And it's going to be helpful. End of the day, we are going to cater to the same Indian market...

Kotak MF: I'll tell you, I have been a Schaeffler holder for the nine years, and the only thing, when the global CEO, visited and asked, what should we do? I said, make one Schaeffler. There will be

no questions. You will have a peace of mind of one legal entity in the country, and trust me, within six months, the announcement was made on one Schaeffler, you have the opportunity to...

Kotak MF: I am just saying that, it is business of INR 700 crores, there is loss in the P&L. There is tax benefit for you. Whatever transfer pricing is there, sell it on less, but the bigger market size which will be created, which will be much more than the SKF group. Now you globally you are trading at 5 to 6 % there, you are getting 30% here. Keep your balance sheet clean  
Ashish Saraf (SKF): Our balance sheet is clean. We have gone through all the right approval processes and all that. We have given a credit line at 9%. We have not given money.

The money would be given only as is when the capex investment happens. It is not that I have said, okay, take INR 250 crores and that's it. The money has been given specifically for  
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investment purposes, and it is being given to do capex investment. As and when they will do capex investment, they will draw from us.

Kotak MF: But where is the capacity? What are the products you are localizing?

Ashish Saraf (SKF): But I told you that there are different kind of bearings. I talked about wind and railways where we have excess capacity, but there are other products which are also medium and large size, where there is a tremendous demand. And we are predominantly talking about imports that we are doing from Europe, which we would like to utilize. TRBs, CRBs, SRBs etc.

Kotak MF: What exactly are we looking? What new segments which will be substituted? What will be scale, how big is the investment? What new capacity addition?

Ashish Saraf (SKF): There will be multiple investments. We are not setting u

p new plant, we are setting up new channels within the same plant. So the channels would be for specific products like SRBs, like medium sized DGBBs. Those are the kind of investments that we are looking at, which makes financial sense for us. Right? So it will be the purely it will go by specific products, a specific segment. And I talked about segments already, which is high growth segments, like heavy industry, construction, which is our strategy, where we are seeing growth. It's all inter linked. It is not that, okay, let's just give money because you want to pass on money. Whatever we will start manufacturing locally in India, we will start supplying from this entity to SKF India then subsequently sell it in the market?

Kotak MF: If there is an input of INR 100, it will become 50 in 12, 24, 36 months, given what we are doing investment, or it will be 70 of 100?

Ashish Saraf (SKF): As I said, we have 42% traded. Some of them are from India, naturally, that percentage which we are importing from Europe as well as China it will come down. For me to give you a number, it's very difficult because it's a journey, right, that we have started. It's not that I have given the entire and I have a clear roadmap of what all investments will make. It is a continuous evaluation process for small, small investments that we are going to make over a period of time to cater to the Indian market, right. And to that extent that investment will be deployed and to that extent that we import from Europe or other parts of the world, we will become competitive in India market...

Kotak MF: What is the downside to the 40% gross margin?

Ashish Saraf (SKF): See, as I said, from a margin perspective, our margin is sustainable.

Kotak MF: Sustainable....

Ashish Saraf (SKF): Right. Right.

Kotak MF: Because on wind you are rationalizing, also in railways.

Ashish Saraf (SKF): We are rationalizing overall business portfolio. That will be a tailwind which will probably offset some of the transfer pricing...

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Kotak MF: After 4 to 5 years industrial growth which is 50% it can be 60% to 65%?

Ashish Saraf (SKF): Globally, we have 70% industrial and 30% automotive. Here in India will be probably one, one and a half years back, we're 50:50. So it's already changed to 50:40. So over a period of time, we believe industrial will grow at a faster pace than automotive.

Kotak MF: And that bulk of that growth will be traded?

Ashish Saraf (SKF): See, in the long term, our focus is that we will localize in India.

Kotak MF: How much do you think the localization should be? 58% I have been looking for a long time and I used to hear that is focus?

Ashish Saraf (SKF): As I said, when I say from our perspective, our focus is to localize in India. It may not necessarily all of it may not necessarily happen with SKF India, our focus is to localize from 58%. It may not go to 100%, but our focus is it should go to 70%, 75%, 80%. Some of it will get localized in

SKF India. Some of it will get localized in SKF Engineering. How much it will get localized between that very difficult for me to answer.

Kotak MF: Any visibility on that?

Ashish Saraf (SKF): Difficult to say

Kotak MF: How are you making sense of the INR 250 crore credit line?

Ashish Saraf (SKF): It made financial sense.

## Call: Aug 2023

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 09th August 2023

National Stock Exchange of India Limited,  
"Exchange Plaza" 5th  
Floor, Plot No. C-1, G  
Block,  
Bandra Kurla Complex, Bandra  
(East), Mumbai – 400051 BSE Limited,  
Phiroze Jeejeebhoy  
Towers, Dalal Street,  
Mumbai - 400001  
NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Dear Sirs/Madam,

Sub: Intimation – Transcript of 62nd Annual General Meeting held on 02nd August 2023

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith transcript of 62nd Annual General Meeting held on 02nd August 2023. The same will soon be uploaded on the website of the company for the convenience of the shareholders.

The above is for your information and record. You are hereby requested to disseminate the same on your respective websites.

Thanking you,  
Yours faithfully,

SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer

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Transcript of 62nd AGM – SKF India Limited held on 02nd August 2023

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

■ Dear Members, I welcome you all to the 62nd Annual General Meeting of SKF India Limited convened today i.e., on 02nd August 2023 at 3:00 p.m. IST through Video Conferencing. It is our pleasure to meet you virtually again. On behalf of the Board of Directors, please accept our sincere thanks for joining us today. Your support, confidence & encouragement strengthens our efforts of making SKF stronger.

■ Before I begin, I would like to introduce the Board of Directors & Officials of your Company present at the meeting.

■ Ms. Anu Wakhlu, Independent Director of the Company. She is the Chairperson of Audit Committee & Nomination and Remuneration Committee. She is also a member of Stakeholders' Relationship Committee & Corporate Social Responsibility Committee. She is participating in this meeting from Pune, Maharashtra.

■ Next Mr. Manish Bhatnagar, Managing Director. He is the Chairman of CSR Committee and Member of Stakeholders' Relationship Committee & Risk Management Committee. He is participating in this meeting from Pune, Maharashtra.

■

■ Next, I would like to introduce Mr. Shailesh Kumar Sharma – Whole-time Director. He's a member of the Risk Management Committee. He's participating in this meeting from Pune, Maharashtra.

■ Now, I would like to introduce Mr. Karl Robin Joakim Landholm – Non-Executive, Non-Independent Director of your company. He is also a member of the Nomination and Remuneration Committee.

■ We also have with us Mr. Ashish Saraf – Chief Financial Officer, who is attending this meeting from Pune, Maharashtra.

■ We also have Mr. Ranjan Kumar – Company Secretary and Compliance Officer, who is attending this meeting from Pune, Maharashtra.

■ Mr. David Johansson (who is also proposed to be re-appointed as Director liable to retire by rotation) could not join this meeting due to some pre-occupancies.

■ The company has made all possible efforts under the circumstances to enable the members to effectively participate in the meeting through video conferencing facility and also to vote electronically. Now, I would request Mr. Ranjan Kumar - Company Secretary and Compliance Officer, to check and confirm the quorum of this meeting, and also share some important information regarding this meeting with the stakeholders. Over to you Ranjan Kumar.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

■ Thank you, Honourable Chairman. After looking at the number of members present at this meeting,

I confirm that the requisite quorum for this meeting is present as per

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law. This being a virtual AGM, the shareholders who have joined this meeting through video conferencing, have also been considered for the purpose of computing the quorum. Now, I would also like to record and confirm the presence of the authorised representatives of our Statutory Auditors, which is M/s Deloitte Haskins & Sells, the representative of our Secretarial Auditors, M/s Parikh & Associates, and the representatives of the Cost Auditors, M/s R.A. & Company.

■ Now a brief announcement for our speaker shareholders. The shareholders who have registered themselves as speakers, will be allowed to speak when their names are announced with a request to speak. Immediately after the announcement of the name, the audio and video facility will be opened for the respective shareholders.

Shareholders may further note, that the recording of the proceedings of the meeting would be placed on the website of the company as well as the website of NSDL. The same would also be posted to the stock exchanges, where the shares of the company are listed, which is BSE Ltd and National Stock Exchange of India Limited (NSE). It is also proposed that the transcript of this meeting will be placed on the website of the company, and will also be posted on the stock exchanges where the shares of the company are listed.

■ Now, about the statutory records, which have been kept open for inspection by the shareholders. So, the following records have been provided or uploaded on the website of the company for the inspection of the shareholders electronically, remotely. And the registers are, the Register of Directors and Key Managerial Personnel and their Shareholding, which is maintained by the company under Section 170 of the Company's Act. The Register of Contracts and Arrangements maintained under Section 189 under the Companies Act, and all other documents which have referred in our notice and Explanatory Statement of this meeting.

■ Members may further note, that the Annual Report of the company for the financial year ended 31st March 2023, has already been shared with them by email dated 11th July, 2023. This has also been posted on the website of the company for the convenience of the shareholders.

■ With this, I would refer back to Honourable Chairman to share his outlook on the business environment of the company. Thank you, shareholders.

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

■ Thank you Mr. Ranjan Kumar.

■ Dear Shareholder, good afternoon once again ladies and gentlemen. On behalf of all the board members and SKF India team, I warmly welcome you all to the 62nd Annual General Meeting of your company for the financial year 2022-23.

■ As you know, FY22-23 was a very successful year for SKF India Ltd. Therefore, it's indeed my pleasure to dwell on the year that past, as well as give you a brief on the

outlook for the year ahead of us before I invite Mr. Manish Bhatnagar to make a detailed presentation.

■ Strong financial performance. Despite a challenging macroeconomic environment, your company delivered a robust performance across all our businesses in the fiscal year 2022-23. The company's firm commitment to discipline cash flow management, operational efficiency and strong relationship with suppliers, have helped us navigate

the bottleneck along the way. As a result, the Net Profit Before Tax is INR 733 crores, and the Net Sales Revenue is INR 4,305 crores, up 38% and 17% respectively over FY2021-22. The company's strong results were a testimony to the hard work and dedication of our entire team, who have tirelessly strived to achieve excellence in every aspect of business operations. The company's relentless focus on customer-centric innovation, together with operational efficiency, has helped consolidate its position as a leading bearing manufacturer in the country.

■ The company

's accounts for the year ended 31st March 2023, along with the Director's and Auditor's Reports are already with you, and with your permission, I'd like to take them as read.

■ I now turn to business environment. Over the past 3 years, the global economy has been subjected to an unprecedented series of crisis, including COVID, high inflation and the ongoing geopolitical tensions. Despite global challenges, India has achieved impressive growth of 7.2% in fiscal 2022-23 supported by domestic consumption, favourable policy environment and a stable democracy. Considering the company's strong product portfolio across automotive and industrial segments, its longstanding healthy relationship with customers, distributors, suppliers and all other stakeholders, the business operation of the company are expected to report satisfactory financial results in the coming months.

■ Executing our Intelligent and Clean Growth Strategy. As you well know, in the year 2022, SKF launched the Intelligent and Clean Growth Strategy. In FY2022-23, your company continued to accelerate the execution of this strategy effectively through portfolio management, prioritising high-growth segments, exercising disciplined cost control and leveraging pricing power. Throughout the year, the business performed exceptionally well, and your company seized every opportunity to deliver outstanding value to shareholders.

■ Within automotive, the company pursued the electric vehicle segment, and positioned itself as a preferred partner for meeting mobility requirements. The company will continue to cater to the evolving needs of electric vehicle market, thereby solidifying its position as a leading player in this space.

■ In industrial, your company remained steadfast maintaining the growth trajectory and capitalising on emerging opportunities, especially in renewables and railway segments.

■ Proximity to customer is key. By strengthening the local presence, tailoring solutions to meet unique needs, expanding manufacturing capabilities and deepening the relationship with partners, your company remains successful in delivering superior products and service, and thus generation long-term customer loyalty and trust.

■ Focusing on employees. Your company remains committed to creating a culture of inclusivity, collaboration and growth, where employees can realise their full potential. Throughout the year, your company continues to upskill its employees through various skills, learning & development program, and career advancement pathways to augment the workforce in tune with your company's sustained growth. The company will continue to invest in its employee growth and wellbeing, and drive collective success, and deliver exceptional value to customers.

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■ Sustainable growth for all. Your company believes in sustainable growth of society, and for this, your company has heightened its efforts in community initiatives, with a particular emphasis on education, skill development and environmental sustainability. By prioritising long-term sustainable projects like youth empowerment at SKF centres, your company is committed to making lasting and meaningful impact on society.

■ In line with the net zero commitment, your company made significant strides in minimising the environmental impact of its own operations. Through initiatives such as product remanufacturing and recycling programs, your company is actively contributing to the circularity of materials, reducing waste and helping in decarbonization of customers. By integrating sustainability in business strategy, your company is not only creating value for its stakeholders, but also contributing to better and a more sustainable tomorrow.



■ Looking ahead. I'm filled with pride for the accomplishment in FY2022-23 and the exciting momentum the company is building. I'm particularly proud of the operational excellence demonstrated by the teams in which has been a chal

lenging market

environment. Looking ahead, while the pace of economic recovery remains uncertain, I'm hopeful that the company will seize key growth of opportunities in the months to come. The company has a clear compass for the journey ahead. The SKF's purpose statement – Together, we re-imagine rotation for a better tomorrow, encapsulates its commitment to driving positive change, not only within the organisation, but also in the industries it serves and the communities it operates in. By combining its experience and deep understanding of customer needs, along with its skilled employees, strong manufacturing footprint and unmatched capabilities, the company is well-positioned to drive sustainable growth and deliver value to all shareholders.

■ On behalf of the board of directors, I'd like to thank all shareholders, our customers, employees, as well as our partners, including distributors and suppliers, for their continued trust, confidence and support. Together, we shall continue to innovate, adapt and lead the way in delivering exceptional value, driving positive change and shaping a better tomorrow for all. Thank you and best regards.

■ Now, I would request Mr. Manish Bhatnagar – Managing Director, to appraise the members with the performance of the company during the financial year under review i.e. 2022-23. Over to you Manish.

Mr. Manish Bhatnagar – Managing Director, SKF India Limited:

■ Thank you Mr. Chairman for that very energising speech. I now draw your attention to the performance of your company, dear shareholders, in the last financial year.

■ This is also a very exciting year for us. In 1923, so exactly 100 years ago, SKF set up its first office, if you can call it that, or a warehouse, in what was there in Calcutta.

And, our first factory was set up post-independence in 1961. The picture you see here is our Pune facility, which includes the corporate office and the factory. I think, over the last 100 years, we've come a very long way in terms of our presence in this country. We clearly are well-known to have a very very strong commitment to innovation. We now have almost 3,000 employees, 3 factories, many many satisfied customers and many suppliers, and we have built a large successful ecosystem of industry. And, we are very very proud of being in this country.

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■ So today, I'll focus on a few things. We'll talk a little bit about SKF, we'll talk about some of... most of it you already know, but there are new things around our purpose and strategy, that we'll talk about. We'll get into results for the last year and for the quarter that just went by. We'll talk about some customer success stories which will inform you towards our intelligent and clean future. And finally, we'll summarise our presentation.

■ So, what you see on this slide, has two parts to it. If you recall, at the last AGM, we rolled out our strategy. We called it the Intelligent and Clean strategy for people and the planet. Today, we've combined that strategy with a new purpose for SKF, and you see the purpose on top here – Together, we re-imagine rotation for a better tomorrow. Why is a purpose important? You know, serving shareholders is of course, the main purpose of our corporation, but it's also about serving society through innovation, through commitment, through healthy environment and economic opportunity for all. And, that's what the purpose hopes to bring to live. That's the reason we exist. Ther purpose statement here – Together, we re-imagine rotation for a better tomorrow, has many parts to it, and I'll try and unpack some of these words to better explain what the purpose is.

■ The first two words, 'together we', this really amplifies SKF at its very best. Simply, it implies partnerships between SKF teams, SKF colleagues, SKF departments inside the company, but also talks about enabling greater partnerships with customers, with other stakeholders, with potentially, even,

emerging disruptors, and that's how we will all succeed. That's the 'together we' part of it.

■ The word 're-imagine' speaks to SKF really being the home for the brightest brains and our collective knowledge. There's a deliberate use of the word 're' reference both, remanufacturing and reuse. It amplifies our commitment to continuous innovation that we've always been known for, and improving reliability, efficiency of our products, processes and the way we work. It's really, circularity in everything we do.

■ 'Rotation' speaks to our heritage. It's a very deliberate link to our heritage and core in rotation, and really enabling things that move. Circularity was also a very popular

concept when we made this purpose statement. And, 're-imagining rotation' also mentions rotation link to circularity, it's rotation linked to motion, it's rotation linked to sustainability. It's a very powerful word that really speaks to also our heritage and core legacy.

- And finally, 'better tomorrow'. It feels forward looking, it is forward looking, it is ambitious, it is a never-ending journey. It's about signifying, signalling our commitment to both our environment and our social impact. So we really are an engineering business that cares. All these words put together is why we exist. Together, we reimagine rotation for a better tomorrow. Combine that with our strategy, our strategic framework was really based on two concepts, intelligent and clean. And again, just a refresher for us, intelligent means providing connected offerings for our customers as well as using technology to make our own operations more efficient. And clean reflects our ability to enable a more sustainable industry while also running our own business in a transparent manner. What you see here are segments that we've identified as growth areas. So we will capture growth by focusing on four main areas. Segments with high growth potential, where we have a strong position; could be high speed machinery, electric drives, F&B etc. we will also

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constantly review our portfolio and make sure we double down where we have a competitive edge. We will also develop offers for new emerging industries with new technologies. Examples could be hydrogen processing, carbon capture, magnetic bearings, etc. And finally, we'll also refocus our service business, simplifying our offer to address a wider portion of the market. And to make the most of these growth opportunities, we will also need to become a little bit more focused and more decisive and that's where the growth enablers come into play. We will scale up the pace and impact of technology development very soon, doubling our expenditure on R&D. We will digitalize our full value chain, making it easier to do business with us. We'll keep investing in regionalization and automation. And finally, we will place end-to-end operational and financial accountability as close to customers as possible. So hopefully this gave you a feel for our purpose, our strategy, our growth areas and our growth enablers and how they all come nicely together in what we think is the way forward.

- Next section is on performance for the last financial year, and we clearly had an outstanding year. As Mr. Chairman pointed out, we had a fantastic year. Organic growth up 17.5% in a very-very challenging macroeconomic environment. We all read the headlines. The world has become much more complex, much more uncertain, much more volatile. You're facing challenges on cost, inflation, supply chain everywhere. In this environment, delivering a 17.5% organic growth is we are very proud of that. Not just delivering good growth numbers, also delivering profitable growth numbers. Profit before tax went up 258 basis points. We delivered 16.8% EBIT, a great performance. And I think, what's truly important to us is also cash flow because cash drives our business, cash drives our investments, and we had an 83% increa

se in our cash flow from operations.

- A bit of comparison on our performance over the past few years. You see, look at these graphs, and you see it's been kind of up and down. But last year has really been a standout year. You can see the dark blue bar on the right side of these graphs, whether it's net sales or PBT or EPS. On each of those three metrics, we are way ahead of where we were in any of those previous 5 years and we are very-very proud of that. Turning our attention to the quarter that just went by of course, that was last year. But this slide just shows you how we are continuing to deliver on that strong performance of last year. For the quarter that just went by, revenue was up 9.2%, PBT up 135 bps and net working capital down 3.5%. Why the last number is so important is because, that really helps us improve our cash flows. So strong performance in Q1 of this year and hopefully keep continuing this for the rest of the year.

- So we have three examples we want to share with you. It's one thing to talk about strategy on a PowerPoint slide, it's another to show you actual examples where we are winning with customers and of course, our own employees. So we have the first one is around enabling growth with automotive. What you see in this picture, of course, you recognize the car. It's a Mahindra car and you know, automotive is about half our business, and Mahindra is a very-very important customer to ours. If you're following Mahindra's story over the last few quarters, you know how they have doubled down on new passenger cars. So they came to us when they were launching their new model, Scorpio, Bolero and Thar, and they said, how can SKF help partner with them, do joint development with them to develop low-friction, energy-efficient TRBs for the drivetrains on these new models. They really wanted to build and sell cars which were

different powerful cars, reduced power losses and we partnered with them. And, we really are very proud to be in these vehicles - Scorpio, Bolero and Thar and many

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more that they're developing right now. It's a partnership we hope will stand the test of time and we really encourage all of you to buy more Mahindra cars because, in effect, then you're buying more SKF bearings.

- On Industrial, half our business is automotive, the other half is industrial. This is an example from cement OEM, KHD Humboldt. Some of you may know the name. They make grinding mills for cement plants. We tried really hard to get some success here. But the big challenge we faced was, the bearings they wanted were not localized. That is, they were not being made in India. So we had to import these bearings from Europe. And when we import these bearings from Europe, there are challenges on cost. They were way more expensive. The cost of manufacturing in Europe, the freight, the duty etc. than what this customer was prepared to pay. In addition to cost, there was a lead time issue. The lead time for these bearings was in excess of 13 to 16 weeks. So naturally, there was no way we could have won any business here. The costs were too high, the lead times were too high. So we took it upon ourselves as a challenge to start making these bearings in India. Our plants in India now are making these bearings and we are now supplying these to the customer, and we've gained now a nice double digit share at this customer. So a good example of how driving localization, putting more investments there is helping us win more business with key customers in India. Also, in addition to our customers, we also are a company of people, company of employees that we care so deeply about, and these are the folks that really make this company what it is. And we keep investing in our employees, whether it's training, whether it's safety, whether it's well-being. And there are many-many stories, many-many examples here. But the picture you see here is at the end of a training program on spec

ific technology that we use for our employees.

And we're really grateful to all our employees who work so hard every day in making this company successful.

- Mr. Chairman also mentioned in his opening speech about climate goals and our purpose captures it about when we talk about a better tomorrow. So we have a commitment that we are now publicly stating we intend to decarbonize our own operations by 2030 and we will be net-zero in our entire supply chain by 2050. We'll talk a little bit about our entire supply chain, so Scope 1 and Scope 2 and Scope 3. Scope 1 is completely within our facilities. Scope 2 is within our sphere of influence and Scope 3 is folks outside our sphere of influence, but in our supply chain. So in the past year, we have now had on Scope 1 and 2 a 3.4% improvement in energy efficiency, and we now source 41% of our total electricity from renewable sources. When we want to decarbonize by 2030, keep in mind that 41% will need to go to as close to 100% as possible. By 2050, we want to be net-zero in all our operations, including Scope 3. In just the past one year, we've been working with steel mills, eight steel mills, these are mills that supply to us. All of them, by the way, are being monitored now for carbon emission, and we're also now working with our top hundred critical direct and indirect material suppliers for their ESG and Scope 3 assessment. And the intent here is, while the goal is still a few years away, we want to start mapping out these suppliers so we know what the current situation is, so we can benchmark them with the best and drive them towards that same net-zero goal that we've just stated.

- Mr. Chairman also mentioned his opening speech about our commitment to the community we live in. We spent 109 million INR of CSR funds last year across eleven states in four projects. We are truly-truly committed to make a positive impact to the community, to the society. Again, it's captured in our purpose. And I think what

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shows our commitment more than just spending the money is our engagement and involvement there. None of these programs, these four projects on education, on environment, on skills is outsourced. All these projects are managed and run by SKF and our employees using some partners. But none of these are outsourced. So we measure them, we monitor them, and that's how close they are to us. So far, we've benefited over 20,000 people through our programs and we have almost 900 employees who volunteer on these programs. That's about 1/3rd of our complete employee strength.

- So, to summarize, I hope I gave you a flavour of our new purpose and how it really adds value to our strategy, which we rolled out last year. So, combining our purpose with our strategy is what will make us immensely successful. We will keep investing in our future and therefore, we hope to keep delivering returns that are attractive to

you, our shareholders. With that, I thank you very much listening to me.

- Back to you, Mr. Chairman.

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

- Thank you, Manish. That was an excellent presentation. Now, I wish to apprise the members about the statutory financial audit report and secretarial Report of the Company for the fiscal 2022-2023. I'm happy to share that there are no qualification, observation, comments, disclaimer or adverse remark in the audit reports of your statutory auditors for the financial year 2022-2023. May I now request Mr. Ranjan Kumar, Company Secretary, to brief the members about the voting facilities available to them.

- Over to you, Ranjan.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, Honourable Chairman. I am pleased to inform the shareholders that in compliance with the provisions of the applicable laws and various circulars issued by the Ministry of Corporate Affairs and SEBI, the shareholders were provided the facility to cast their votes through remote e-v

oting platform which was kept open

from 09:00 AM of 30th July 2023 and it was open till 05:00 PM of 1st August 2023.

The facility of casting vote is also available to the members during this meeting. The shareholders who are present at this meeting and have not casted their vote, can cast their vote using remote e-voting facility. Now, e-voting is currently active and it will remain active till 15 minutes from the conclusion of this meeting. If a shareholder has already casted his or her vote using remote e-voting facility, then he or she will not be allowed to cast their vote during this meeting. Now, shareholders may please note that only those shareholders are allowed to vote in this meeting whose names were appearing on the register of members as on the cut-off date, and the cut-off date was 26th July 2023. Since this meeting has been convened electronically, there will not be any voting by show of hands.

- Now I would like to quickly appraise the shareholders about scrutinizers. Your company has appointed Mr. Jayavant Bhavare, authorized representative of M/s. J B Bhavare & Company as scrutinizers to scrutinize the vote casted in this meeting. They are also present in this meeting through video conferencing. Now, the combined results of e-voting casted both using remote e-voting facility as well as casted during

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this meeting would be published by the company after receipt of scrutinizers report.

The results of voting would be placed on the website of the Company which is [www.skf.com](http://www.skf.com), as well as on the website of NSDL which is [www.evoting.nsdl.com](http://www.evoting.nsdl.com).

The reports of the voting results would also be communicated to the stock exchange where the shares of the company are listed, which is BSE Limited and National Stock Exchange of India Limited. We will also display the voting results on the notice board of the Company at its registered office.

- Now we move on to take up the resolutions which have been covered in the AGM notice. But before requesting Honourable Chairman to take up the resolutions, I would quickly explain the shareholders again, about the process of taking queries and questions which has already been explained in the notice. This being the virtual AGM, the following members would be eligible to share their views and questions:-

- o The members who have registered themselves as speaker on or before 21st July, as per the process explained in the notice.

- o The members who have shared their questions on the designated email ID of the company as was requested in the notice of this meeting.

- Others may send their questions on the registered email ID of the company which is [investors@skf.com](mailto:investors@skf.com). We'll try to answer the questions unless it is being answered in this meeting. With this I would refer back to Honourable Chairman for taking up the resolutions.

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

- Thank you, Ranjan. Now I would like to take up the resolutions as set forth in the notice dated 17th May 2023 of 62nd Annual General Meeting of the Company. There are three ordinary businesses listed as agenda number one to three and four special businesses listed as agenda number four through eight. For draft resolution, explanatory notes and other details the shareholders are requested to refer the notice of this AGM. I would start with the ordinary business and request the members to cast their votes if not done already on each agenda item. The facility of e-voting is available to the members till 15 minutes after the conclusion of the proceeding of this AGM.

- Ordinary business, agenda No 1 - it's an ordinary resolution for adoption of audited standalone and consolidated financial statement of the company for the financial year

2022-23 together with reports of directors and auditors thereon.

- Agenda No 2, ordinary resolution - for declaration of final dividend of Rs 40 per equity share of ₹10 each for the financial year ending 31st March, 2023 that is 40

0%,

which has been approved and recommended by the Board of Directors of your company.

- Agenda No 3, ordinary resolution - for appointment of Director in place of Mr. David Leif Henning Johansson who retires by rotation and being eligible offers himself for reappointment.

- Special businesses. Now, I'll take up the special business agenda No 8, agenda item No 4 through No 8 of the AGM notice.

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- First is agenda No 4, ordinary resolution - for reappointment of Mr. Manish Bhatnagar as Managing Director of the company.

- Agenda No 5, ordinary resolution - for approval of material related party transaction with SKF GMBH, Germany. It's a fellow subsidiary.

- Agenda No 6, ordinary resolution - for approval of material related party transaction with SKF Engineering and Lubrication India Private Limited, which is a fellow subsidiary.

- Agenda No 7, ordinary resolution - to ratify the remuneration to cost auditor for the financial year 2022-23.

- Agenda No 8, ordinary resolution - to ratify the remuneration to cost auditor for the financial year 2023-24.

- With this, we have gone through all the agenda items of this Annual General Meeting. Thank you, members for your participation in these agenda items. I will now request Mr. Ranjan Kumar, Company Secretary to invite members who have registered themselves as speakers. On announcement of the name, the audio or video facility of respective member will be opened. I would request the members to summarize their views/questions in 2 minutes max, so that other members may also get suitable opportunity of expressing their views and raise their questions. Questions raised by the speakers shall be addressed once all speakers have spoken.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, honorable Chairman. In the interest of time and for the benefit of the shareholders, I'll keep a time check. The shareholders are requested again to summarize their views or questions in 2 minutes. With this, we will invite our first speaker, which is Ms. Lekha Shah. The backend team can you help connecting with Ms. Lekha Shah.

Ms. Lekha Shah – Shareholder:

- Hello, can you hear me. Sir?

Moderator:

- Yes ma'am, you're audible. Please go ahead.

Ms. Lekha Shah – Shareholder:

- Thank you. Thank you, Sir. Respected Chairman Sir, Board of Directors, and my fellow members, good afternoon to all of you. myself Lekha Shah from Mumbai.

First of all, I'm very much thankful to our Company Secretary, Mr. Ranjan ji for extending very good investor services and also sending me the AGM notice well in time, which is full of knowledge, facts, and figures in place. Thank you, Chairman Sir for explaining as well about the company. Congratulations for excellent work, Sir. Sir, I pray to God that he always showered his blessing upon you. I would like thanks for all the person of company for receiving awards and recognition during the year 22 and 23 and also, I'm glad the company is doing very well in the field of CSR

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activities. Sir, I would like to ask few questions. My first question is, total number of employees and my second question is how many women employees working in our company? Sir, I strongly support all the resolutions for today's meeting and my best wishes always with our company and its prosperity. Thank you so much, Sir. Sir, I hope the company will continue video conference meeting in future. Thank you so much, Sir.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, Ms. Shah. Thank you so much for your appreciation also. Now, we move on to our next speaker shareholder, which is Mr. Anil Mehta. Backend team can you help connecting Mr. Anil Mehta, please.

Tech Support:

- Ranjan Sir, may I request you, please go to Bimal Agarwal as Anil Mehta and Ronald Fernandez for some reason cannot be reachable. Thank you.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Okay. Thank

you for update. So, can we connect Mr. Bimal Agarwal please.

Mr. Bimal Agarwal – Shareholder:

- Hello, can you hear me?

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Yes, Sir.

Mr. Bimal Agarwal – Shareholder:

- Good afternoon to everyone. First of all, I thank the Company Secretary and his team and also the management staff and the shareholders of the company. As Chairman has already explained my question what I was supposed to raise, I got nothing to ask and always keep the meeting online. Already my question was asked and answered by the Chairman. I've got nothing to ask. That's all from me. Thank you and always keep the meeting video conference. That's all from me. Thank you very much and I've supported all the resolutions, I've already supported. Thank you very much.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, Mr. Agarwal. So, with this we move on to the next speaker shareholder, do we have Mr. Yusuf Rangwala backend team?

Mr. Yusuf Rangwala – Shareholder:

- Sir, can you hear my voice, Sir? Very good afternoon, Sir. Am I audible Gopinath, Sir?

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Mr. Gopal Subramanyam – Chairman, SKF India Limited:

- Yes Sir, you are audible.

Mr. Yusuf Rangwala – Shareholder:

- Sir, I'm Yusuf Rangwala from Mumbai. Sir, first I thanks our Ranjan Kumar, Company Secretary who is hard working and I received a call also from them whether you are joining or not. Sir, now our office shifted to Pune. I request you Sir, when there will be physical meeting, you arrange a bus like other companies do. There are so many other companies which arrange a bus. It is not possible for us to come to Pune if there is a physical meeting. You have given very nice dividend. Our rate today is around ₹5,100 and you have given excellent dividend. Your net profit and all is very good, Sir. I don't want to ask any questions. Sir, in Bengaluru also we have a factory, in Pune also, so if possible, please arrange a Pune plant visit. What is the total number of staff working? I wish you greetings for the upcoming Diwali and Dussehra festival. Chairman Sir, we are #1 SKF bearing. Who are the main competitor in this business, Sir? When did you give the last bonus, how many years ago? Phoolon ki Khusboo, kaliyon ki baahar ... I support all the resolutions. Sir, if possible, please send some sweets in Diwali. Nothing more to add. Jai Hind, Sir. I end my speech praying to god for goodness and wellness of our company Sir. Ramakant Sir, I want to thank you million times. Chairman Sir, we have a diamond, Company Secretary. Thank you very much, Sir. May God bless our company, Sir. Thank you.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, Mr. Yusuf. Can we move on to the next speaker now, Mr. Kirti Shah.

Mr. Kirti Shah – Shareholder:

- Chairman Sir, good afternoon. Chairman Sir, your company and secretarial department is very active. Previous speaker has also informed but with my personal experience team, He is handling the shareholders in a good way. Chairman Sir, your net profit is stagnant. March quarter, December quarter, all the quarter's profit is stagnant what is the reason for it and what is the current situation? Your net profit margin is almost 11% low, what is the reason? Modi ji has said about third largest biggest economy, what is our preparation for that? Now the time is very less. You have created so much goodwill with so much good price, and you have kept the promoter holding very low, what is the reason for that, Sir? It is 52%, before 2008 you had restriction of 55%, now you can go till 75%, so why don't you want to increase the promoter holding? Do you have any plans of acquisitions for tax benefit and buying any loss-making company, asset-based company because there is no benefit of paying tax to government? Chairman Sir, what is the planned ROE for current year? I have emailed you. I request

you to reply to my email. Wish you all the best. Thank you very much, Sir.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, Mr. Shah. Now, we move on to our last speaker, Mr. Aspi Bhesania. Backend team can you connect Mr. Aspi Bhesania.

Mr. Aspi Bhesania – Shareholder:

- Can you see me and hear me?

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Yes, we can, Sir.

Mr. Aspi Bhesania – Shareholder:

- Sir, I'm Aspi from Bombay. Sir, thanks for giving me an opportunity to talk. Just because of hybrid meeting, online meeting I'm able to talk. Next year when the physical meeting starts, please continue with hybrid otherwise you take shareholders from Bombay as suggested by one of the shareholders. Sir, Maruti had started a plant as a 100% subsidiary of Suzuki and now they're merging it, so what are your plans about our industrial plant which is in 100% subsidiary of the parent? Sir, last three years, our sales and profits are growing very fast, can I expect the same trend to continue? Sir, how much percentage of our revenue is from electric vehicles and how much you expect to increase it to? Sir, are we prepared for hydrogen cars? Mukesh Ambani sinking a lot of funds in hydrogen vehicles, so what are your plans for hydrogen vehicles? Sir, thank you very much and all the best for the future.

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

- Thank you.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you, Mr. Aspi. So, with this, backend team can you check if we have the other speaker shareholders available now who could not join initially.

Tech Support:

- Ranjan Sir, at the moment nobody has joined us. You can please proceed.

Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Thank you. So, with this, we have concluded all the speaker-shareholders. Back to the honorable Chairman.

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

- Thank you, shareholders. Thank you, Ranjan. I now would like to request, Manish Bhatnagar, Managing Director to answer the questions raised by the shareholders during this meeting comprehensively. Over to you, Manish.

Mr. Manish Bhatnagar – Managing Director, SKF India Limited:

- Okay. Is my line open now?

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Mr. Ranjan Kumar – Company Secretary, SKF India Limited:

- Yes.

Mr. Manish Bhatnagar – Managing Director, SKF India Limited:

- Okay. Well thank you first of all Ms. Shah, Mr. Agarwal, Mr. Rangwala, Mr. Kirti Shah, and Mr. Aspi Bhesania for your questions and we have also received some questions by email, which of course we will respond to. I will try and combine all the questions into some common themes and try and address those in my responses. First of all, I really appreciate your comments about organization of this meeting. We have a very hard-working dedicated team that is constantly working to ensure that we have a seamless online platform. I'm very glad to hear that all shareholders are experiencing what we had imagined for this meeting, so we appreciate your comments for that and we intend to keep continuing this format to many of you online format for some more time, it certainly allows for a lot more participation of shareholders than we should do it in a physical format earlier on. So, that will keep continuing.

- There were some questions on competition, yes of course, we compete with many companies, it's a very competitive market. One of the shareholders mentioned a few names, but there's more than that. We compete with multinational companies, we compete with Asian competitors, we compete with local companies. Bearings is a very, very competitive market and therefore we have to be constantly vigilant of competition, constantly built on the relationships with our customers, and I think most important for us is that we are the cutting-edge information, that's what SKF is known for. We don't want to be a metoo commodity player

bearing business. We want to be

the cutting-edge player that customers come to when they want to high performance equipment and that brings me into the other question that was asked around how are we preparing for the future? We are really preparing for the future, to give the answer to some people who asked me about the company, if we are able to look around the corner before we get to the point, that's a sign of a great company and that's what we are trying to do. It's easy to look around the corner when you've gotten to the corner and so you can now we'll start investing in it, but we are now preparing because we

don't know what three years out will look like some of you mentioned hydrogen and there could be many, many other scenarios going forward.

- One of you mentioned India maybe the third economy in the next few years. We are preparing for all that. The best way we can prepare for it is, built on our strategy really, really well. Our intelligent and clean strategy if executed well will take care of the future like nothing else. So, whether it's growth areas or investments, we are constantly evaluating those and of course the investments, people investments in manufacturing, supply chain, and all this will help us prepare for the future.

- There was a question on electric cars, what's our percentage of that in that market? About 50% of our business today is automotive and about 5% or 6% of that is electric so far, but that is not to state will remain at that percent this number for too long because we see electrification happening all around. It's two-wheelers now, tomorrow it will be long haulage trucks, it could be passenger vehicles on a much larger scale, so we are prepared for that. We are in fact technology investing in manufacturing and most importantly investing in partnerships with our customers so we know what they are preparing for and how can we help them get to where they need to be.

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- There was a question on M&A in terms of acquisitions etc. and other companies etc.? So, we're always on the lookout for good partnerships. These partnerships could be joint ventures, acquisitions, technology partnerships, sales partnerships, you know it's a whole gamut of options open to us. We're always evaluating options, assisting them, and acting on them as an opportunity. So, you will of course hear more about those as they come to fruition.

- With that, Mr. Chairman, I believe, I answered most of the questions, in fact all the questions that were raised and like I said there were some questions by e-mail which were very specific questions etc. Back to you, Mr. Chairman.

Mr. Gopal Subramanyam – Chairman, SKF India Limited:

- Thank you, Manish for the comprehensively answering all the questions that were raised. Now, since all the agenda items have been appropriately dealt with, I declare the conclusion of this meeting. I take this opportunity on behalf of the entire board and the management team to thank all of you for effective participation, useful suggestion, and encouraging words. We look forward to your continued support. The voting facility would remain open for next 15 minutes for shareholders who have not yet cast their vote. Thank you. Jai Hind.

End of Transcript



## Call: Aug 2023

SKF India Limited

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Date: 08th August 2023

National Stock Exchange of India Limited,  
Exchange Plaza, 5th Floor,  
Plot No. C-1, G Block,  
Bandra- Kurla Complex,  
Bandra (East), Mumbai –  
400051, Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001, Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Subject : Transcript of Analyst/Institutional Investor meeting held on 03rd August 2023

Reference : Our intimations dated 21st July 2023 and 28th July 2023.

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) & Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on 03rd August 2023. The same will soon be uploaded on the website of the company for convenience of the shareholders.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer

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"SKF India Limited Q1 FY24 Earnings Conference  
Call"

August 03, 2023

MANAGEMENT : MR. MANISH BHATNAGAR - MANAGING DIRECTOR,  
SKF INDIA LIMITED

MR. ASHISH SARAF - CFO, SKF INDIA LIMITED

MS. APARNA SRIVASTAVA – SKF INDIA LIMITED

SKF India Limited

August 03, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the SKF India Limited Q1 FY2023-24 Earnings Conference Call.

For the smooth conduct of the meeting, all participants are in the listen-only mode. A brief question-and-answer session will follow after the discussion. Should you need assistance during the conference call, please press '\*' then '0' on the touchtone phone. As a reminder, this conference is being recorded.

I would now like to hand it over to Aparna Srivastava from SKF India Limited. Thank you, and over to you.

Aparna Srivastava : Good morning, everyone. Thank you for joining us today. With us we have SKF India's Managing Director, Mr. Manish Bhatnagar and our CFO, Mr. Ashish Saraf.

Before I turn the call over to the management, I would like to remind you that in this call, some of the remarks contain forward-looking statements, which are subject to risk, and uncertainties and actual results may defer materially. Such statements are based on management beliefs as well as assumptions made by and on the information currently available to the management. The audience is cautioned not to place undue reliance on these forward-looking statements and making any investment decision. The purpose of today's call is to purely educate and bring awareness about the company's fundamental business and the financial quarter under review. Let me turn the call over to Mr. Manish Bhatnagar who will give an overview of the company's business activities and developments for the Q1 FY 2023-24. We will then open the call for Q&A. Over to you, Manish.

Manish Bhatnagar: Thank you, Aparna, and welcome everyone on this earnings call. I am joined by my CFO, Ashish Saraf. Some of you have met him earlier, but it's a pleasure to be on this call.

We have about two hours set aside for this call. I know there are a number of participants on this call. So, we don't want to do a long preamble. You have seen the results. We declared them yesterday evening after a Board meeting. They are fairly strong results, and we are very happy with the performance given how challenging the environment has been. There are inflation issues. There is a supply chain disruption issues. There is issues around demand etc., but given all the macro headwinds, we have come out we think with a very nice set of numbers, and we are very pleased about those.

So, I am going to just jump straight into Q&A if that's okay with everyone, because we do want to give time to everyone in these two hours to ask their questions and get answers from us. So, with that, Aparna, if I can hand over to you or the moderator to start the questions?

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

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Mumuksh Mandlesha: So, starting with the, can you talk about the growth environment in automotive and industrial for both OEM and aftermarket and how do you see the growth ahead?

Manish Bhatnagar: Mumuksh, thank you for asking that question. And as a reminder, automotive is about half our business. So, it's industrial 50%, automotive 50%. But I will restrict my remarks to what you have asked on automotive. I will give you the high-level comments and Ashish can jump in with some specific numbers.

In general, we are seeing automotive picking up now. You know, we have had, as you know, we have had a disruption in automotive for some time now. Commercial vehicles have had a long winter for over two years. It really began pre-COVID. With some changes in regulations and demand etc., we are now seeing commercial vehicles bouncing back. We are seeing the same in passenger vehicles on the basis of a lot of new models being launched and also a high interest in the electrification of passenger vehicles.

Ag

riculture has been strong and that means tractors for us. we expect a pretty good Monsoon this year. So, that will also aid in demand. And two wheelers suffer a lot of inflation because two-wheeler buyers are typically much more sensitive to inflation and pricing, but again, we see that bouncing back.

So, in general, we remain bullish across all automotive segments, and of course, there are specific sub-segments which might do better than the rest, but in general, we remain bullish. On the aftermarket side, likewise, aftermarket demand is really a function of reach and pricing and on both those parameters, a lot of effort has been put by our aftermarket teams over the last couple of years to make sure we are producing bearings at the right price point for the aftermarket and also make sure we reach retailers and mechanics in the most effective manner. So, we remain bullish on both OEM and aftermarket. Ashish, can you share specific numbers that will help Mumuksh?

Ashish Saraf: Yes. So, just to give you a bit of an insight in terms of the overall automotive growth, we have seen a 4% year-on-year growth on the automotive for this quarter, and we see growth happening across segments, predominantly two-wheeler and powertrain, and we expect this growth to continue in the sequent quarters as well.

Mumuksh Mandlesha: Similarly, if you can share on the industrial segment as well?

Ashish Saraf: Yes. So, on the industrial segment, again, we have had strong growth this quarter. We have seen a growth of around 15% year-over-year. The growth predominantly has come from the distribution business, has come from the metals business as well as from the railway business. Having said that, all sub-segments within the industrial business have grown really well. Q3 and Q4, we expect the momentum to continue.

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Mumuksh Mandlesha: How do you see the growth Trends in the upcoming segments like EVs, construction, drives, railways and renewable going ahead?

Manish Bhatnagar: Yes. On the industrial side, I will answer for electrification first. And you may know we announced a new strategy a year ago focusing on clean and intelligent, and the clean part of it is where electrification plays well, and what the strategy really meant was, we will double down on the clean tech growth areas. Two of the segments you mentioned are in that clean tech growth area, which is electrification of vehicles and railways. Both are doing extremely well.

Electrification right now, as you well know, is not a big part of the market right now. We are seeing traction in two-wheelers. We are seeing traction in three-wheelers. We are seeing some bullishness on passenger vehicles and of course, within the city or intra-city public transport. But of course, it's only a question of time. It's only a question of time before electric vehicles far outpace the sales of non-electric vehicles. And we are preparing for that in terms of innovation, in terms of technology, in terms of different kinds of bearings that will be needed in the electric space. So, it's a small market. It's a small market and a small business today but growing very, very rapidly, and it's only a question of time when it becomes a large part of our business, and we are preparing for it. So, that's the message on electrification.

On Railways, the big driver will be freight. As you know, most of our freight in this country is moved by road. About 14 odd percent is our logistics cost as a percentage of GDP which is very, very high as compared to any other country of our size and again, that's because most of it moves by road. Therefore, we expect this freight cost to go down when the railway freight corridors come online.

The railway freight corridors, the DFCs are now partly operational, both on the North and the East and the remaining are in various stages of testing. We have bearings now approved on those

high load carrying freight wagons and we are manufacturing them locally in the country. So, all that helps in gathering a share in the freight business. So, railways also will expand for us.

And the other part of railways that is important to us is Metros. Metros again remains a small part right now, but growing very rapidly. And again, our bearings are approved for the Metro lines. So, we see growth happening there too. So, that covers electrification and railways.

The other thing you said was about drives etc. Drives includes gearboxes, pumps, compressors, you know, things like those. These are small equipments, and they typically are at the beginning, we see drives picking up really well at the beginning of an economic boom, because when you see private CAPEX picking up, the first equipment that gets bought are the smaller equipment which is basically the drive segments. So, again we expect private CAPEX to pick up in the next couple of years and we are seeing movement on the drive segment also. So, overall industrial certainly remains very bullish and Ashish talked about the growth numbers, 15% in industrial which is kind of representative of our bullishness for the future also.

Mumuksh Mandlesha: So, broadly we can expect a double-digit growth to continue in the industrial segment, right?

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Manish Bhatnagar: Well, we certainly hope so.

Mumuksh Mandlesha: Also, in the Q1 reserve, the other expense was lower sequentially. Any reason for it, sir?

Ashish Saraf: So, in Q4 last year, we had SKF celebrated a hundred years of celebration in the month of March, right? So, there, as a company, we did spend a significant amount of money, and that's where it was like last quarter you saw an increase in the other expenses, whereas this quarter that expense is not there. That's why it's come back to the previous quarter run rate.

Mumuksh Mandlesha: Sir, you had earlier talked about focus on the profitability with trimming some unprofitable businesses. Any update on this? And also, how are you seeing the traded margins? Have they normalized?

Manish Bhatnagar: I will take the first part of the question. On unprofitable business, and I will expand that to even less profitable business. This is about managing our portfolio in a much better way and a much more thoughtful way. We certainly want to be careful about doing any business on less profitable accounts, on less profitable products and on less profitable ways of going to market. So, all of that is part of our portfolio management. It's an ongoing exercise. It's not something we began last quarter. It's an ongoing exercise, but certainly, given the tough economic environment right now, we are taking, we are making some tough choices internally and externally. And what you see in our profitable growth improvements is also on account of managing the portfolio in a much more thoughtful way than maybe we have done in the past.

Ashish Saraf: And on the trading margins, it has stabilized, right. If you look at over a period of last one, one-and-a-half years, we have taken a lot of price increase because of which we were getting higher margins than usual on the traded products, but now with most of the pricing increase getting passed on to the customer, we are in a situation where our trading margins are more or less stabilized.

Mumuksh Mandlesha: Just on the previous answer, the process of a less profitable trimming those businesses has been over or you see continuing benefit of that, sir?

Manish Bhatnagar: No, it's never over. Our benchmark keeps on rising. So, certainly, we have taken the first cut at it in terms of managing the portfolio with the obvious decisions we made right now, but also some of these businesses are also long cycle, long contract businesses. So, we also have to be mindful of our customer requirements. We can't just overnight turn the tap off it. So, some of

these will drag on, carry on a little bit in the future also, but it's an ongoing exercise. We have got to keep figuring out how do we constantly increase our margins and get better value for our products.

Mumuksh Mandlesha: Just one last, can you share the revenue breakup for Q1 and also FY '23, if possible?

Ashish Saraf: Revenue breakup between industrial and automotive for this quarter, industrial is around 51%, automotive is around 40% and exports is around 9%. And for the previous year, again, industrial

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is around pretty much in the same range. Industrial is around 52%. Automotive is 41%, and export is 7%.

Mumuksh Mandlesha: And also, you can share the aftermarket in between the automotive and industrial?

Ashish Saraf: So, automotive, overall aftermarket is 36% of our total revenue. 25% is industrial. 11% is automotive.

Mumuksh Mandlesha: How much automotive?

Ashish Saraf: 11% of our total revenue.

Moderator: Thank you. Our next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, first, just a small clarification that you mentioned about previous year industrial being 52, exports being 7, and auto being 41. That was for the first quarter of last year or for the full FY '23?

Ashish Saraf: It was for the full FY '23. Sir, my first question is on the wind market. You had previously indicated that we were making EBITDA losses in this segment about 8% to 9% and we are planning to realign both, product portfolio as well as the customer mix. Since you have already highlighted broadly what we are doing at the company level, so could you share some progress especially on this wind front?

And just consequent to that, how is the wind market doing at the moment? Because we have been hearing that the market is seeing some bit of revival since last few months and the second half of financial year specially looks very promising. So, if you could outline what is your outlook in this particular segment?

Manish Bhatnagar: Yes, I don't recall making a comment that we are losing, have an EBITDA loss of 9% on wind.

It may not be as profitable as the other segments, but I don't specifically recall that commentary.

But nevertheless, the spirit of the question is in terms of how is the wind market doing?

You are right in saying that there has been a revival in, well, we see signs of revival in the wind space. The wind market, as you know, is also kind of a function of the auctions and the prices

set in those auctions for producing wind energy, and I think a number of players who had bid for those were struggling to meet those commitments and that led to a slowdown in the wind market because of profitability concerns. We are seeing a bit of revival on that space. But as it relates to us, one of our big initiatives is around localization of bearings for the wind market, and localization is not just about manufacturing bearings locally. It's also about sourcing steel locally for those bearings. So, it's localization of supply chain and localization of manufacturing. And on both those fronts, we have made a lot of progress in the last 18 months.

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So, we have now begun to source steel locally, and we have now begun to manufacture bearings locally. Of course, not everything is being done locally right now, and there is still some work to be done here, but that is our path forward on the wind market. As much as possible localize and help our customers improve their own profitability.

Harshit Patel: Sir, secondly, on the railways market, I believe we have already had a very good market share in the locomotive segment. So, on the other segments, like coaches and wagons, have we secured all the approvals or the qualification to bid for the full tender quantity? I believe a few years ago, we were not allowed to bid for the entire t

ender quantity because we were still in the process of securing those approvals.

Secondly, you have already mentioned, we are already localizing these railways bearing in our sister company, which is SKF Engineering. So, what kind of CAPEX we are incurring in that sister company for both these, wind as well as railways bearings? That would be my last question.

Manish Bhatnagar: On railways, just to correct you, we have a good market share both on locomotives and on passenger. Where we did not have a good market share was on the freight side and that was mainly because of the comment you made about approvals pending for bearings on the freight wagons. Those approvals have now been obtained and we are fully qualified to bid for the complete freight wagon tenders. Metros we have always been approved. So, no concern there. So, now we have all the approvals to bid on all four sub-segments of railways.

On your other question on SKF Engineering, that's a question that I would not answer on this call as this is a call for SKF India.

Moderator: Thank you. Our next question is from the line of Akash from the Lalan Brochure Stock Broking.

Please go ahead, sir. May I request to management members, we move to the next participant?

Our next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Before I ask my questions, I just had a small suggestion if we could do these calls a little more frequently, maybe once in six months, even that would be great, you know, something which one of our peers also does just to get a broad update on what's going on in the business etc. So, just a suggestion if you may kind of consider that. So, that was that.

Just a few questions. One in terms of localization, especially on the industrial bearing side, you know, if you could help us how are things progressing there? Well, I understand the larger industrial bearings, I believe, are made by our parent unlisted entity, but in the listed entity where are we in terms of localization, especially on the industrial bearing side?

Manish Bhatnagar: So, industrial large size bearings, you are right, are made by our sister company and these would be catering to the railways and the wind segment specifically, and we answered that in the earlier two questions. Railways is about 7%, 8% of our business. wind is about 7%, 8% of our business. Let's take about 15% is catered to from that plant. The remainder of the industrial bearings

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business is catered from the plants of SKF India, and localization is progressing very rapidly also, and it has to also in the remaining segments.

So, every other segment that we cater to, whether it's metals or steel or cement or infrastructure or construction etc., or F&B, all those bearings will need to get localized, but by and large, we are at about 35%, 38% localization today on industrial. We are about 95% plus on automotive. Obviously, our goal is to increase the industrial localization to as high as possible. It will never get to the automotive level because it's a very different industry. Automotive, as you know, is a very high throughput, the same kind of bearings. So, it's easy to localize that to 95%. Industrial is a long portfolio of not that higher volume bearings. Therefore, it's not easy to localize everything.

But having said that, we hoped all our investments for the next couple of years, a lot of it would be focused on localizing industrial bearings for every other segment. We certainly hope our internal goal is to get to about 60% localization on industrial in the next couple of years and we are making plans to get there.

Ankur Sharma: Sir, second, on the railway side and specially on the LHB coaches and the Vande Bharat coaches which I believe is what the government wants, right, to be there over the next decade or so and replace existing coaches. I think that something

called UIC bearing which have come in and which will replace the older bearings which were used. Am I right in understanding that SKF is amongst the two or three players who are kind of qualified for that?

Manish Bhatnagar: That would be correct. I don't know what UIC frankly is. I am not aware of that nomenclature, but in general, I can say that we are qualified to be one of the suppliers for passenger coaches in India.

Ashish Saraf: You are saying especially for Train 18, we are already qualified. They are already supplied.

Ankur Sharma: So, we already supplied. And any sense of the market sizing, sir, in terms of the overall railway market and if you could break down that between say the freight and the passenger/Metro markets?

Manish Bhatnagar: Yes, I don't have the numbers top of mind. Sorry, but as a percentagewise, if I remember correctly, I looked at the numbers about six months ago. Metro was the smallest about 5%.

Freight was about 35% and passenger was about 40% and the balance was locomotive, but we can get back to you if you are interested in the more detailed numbers. That's kind of top of my mind right now.

Ankur Sharma: Thirdly, sir, on the gross margins or the EBITDA margins, whichever you may, and then, clearly, when I look at say the last six, seven years, clearly, we have seen this big shift, right? So, maybe in '16-'17, our EBITDA margin used to be at about 13%, 14% or maybe at 15%. Now we are a number closer to 17.5 odd percent. So, A, you know, what's driving that shift? Is it more leveraged and higher top line driven shift? Is it a change in the mix? Is it better localization? So, SKF India Limited

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just trying to understand the two, three key drivers behind this higher margin and sustainability more importantly of these margins?

Manish Bhatnagar: Yes, it's everything you said honestly. You know, over the last few years, last five odd years, we have changed the structure of our business somewhat in terms of where do we focus on strategically and not just tell to everyone who comes to us. So, it's combination of figuring out which segments will drive the best profitable growths and focusing on that. We mentioned on a previous conversation about managing our portfolio much more thoughtfully over the past couple of years and this is an impact of COVID and post-COVID, how do we improve our operational efficiency in a much more nicer way?

And lastly, localization, because localization really helps us drive our costs down. It really helps us to control our quality, control availability, and control costs and that in turn helps us drive better share with customers because customers are also facing the same problems that we face in terms of supply chain disruptions. Customers for the last couple of years, as you might well know, are more open now to prioritizing availability over pricing. So, we are certainly seeing a change in also customer behavior. They don't mind paying the 3%, 4%, 5% premium if availability improves. And so that's really our localization efforts are also helping there. So, it's a combination of a number of things that you mentioned in terms of driving EBITDA margin upwards.

Ankur Sharma: And just one last question. You know, not sure if you shared this, but if you could just help me with the sub segment-wise breakup of sales for FY '23, so, you know, two-wheeler, passenger, tractors, EVs and auto, the OEM and industrial share there as overall share?

Ashish Saraf: Sure. So, automotive as I said is overall 41%, right, for financial year '23, out of which two-wheelers is around 11%, powertrain is 6%, cars is around 6%, trucks and tractors are around 7% and VSM or aftermarket is around 11%.

Ankur Sharma: And in the industrial, if any further breakup? I heard wind and radar 8% each.

Ashish Saraf: Yes. So, on the industrial side, aftermarket is around 25%, drives is around 8%, heavy is around 4%, metals is around 2%.

Moderator: Thank you. Our next question is from the line of Deepesh Agarwal from UTI Mutual Funds. Please go ahead, sir.

Deepesh Agarwal: My first question is we have seen the two-wheeler industry is now transitioning towards electric two-wheelers. So, can you help us understand how your content per vehicle would have moved in two-wheelers when you supply for IC and then moving to electric?

Manish Bhatnagar: Deepesh, we answer this question on every conference call, but I will again this time. So, on two-wheelers, the bearing content on the wheels does not change because whether you have electric or non-electric, you still need two wheels on a two-wheeler. They still need those

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bearings on the wheel. Where the bearings will change is on the engine side. Typically, a two-wheeler has about, and I am giving you a kind of a simplistic answer, about 14, 15 bearings on the engine side. That will not drop to about 9 or 10 bearings. So, while the number of bearings go down, the type of bearing will change, and the quality of bearings will change. So, electrification needs much lower friction, much lower noise, much more highly insulation on the bearings etc. So, the type of bearing will change and therefore the price point of the bearing will change. We expect our bearing revenue per vehicle to be neutral even though the number of bearings will go down.

Deepesh Agarwal: The second question is on railways. So, can you help us understand the bifurcation between SKF Engineering and SKF India because I can see some of the PQs for the railways are with SKF Engineering rather than SKF India?

Manish Bhatnagar: So, we are not, in general, all our railway business is done through SKF India. We don't do any business through SKF Engineering with our customers. So, pretty much all our top line is booked in SKF India as such.

Deepesh Agarwal: The next question is on the wind, what percentage of wind revenue of this 7%, 8% which you guided would be for the domestic market? And what percentage would be in direct export?

Manish Bhatnagar: Well, it's all domestic market, but having said that, when we say domestic market, it is all that we sell to manufacturers in India who have plants in India. Now, what they do with their products is a different part. That we are not concerned with. So, we may have customers who buy bearings domestically from us for making geared boxes, but they in turn may export their gearboxes to wherever they need to, but all our sales is domestic business.

Deepesh Agarwal: And can you share some comments on the exports? I know it's not a very focused area for SKF, but because it still contributes a sizable portion of your revenue, how is the demand trend out there?

Manish Bhatnagar: It's not a sizable portion. It's about 7% to 9% and it's not something that we focus on. We are really focused on localization and really focused on serving the local customers as best as we can. Exports really, our outlook is that this is more filler production for us. If we have some spare capacity, if someone else outside the country needs some support production, we are happy to pitch in, but we don't have sales teams out there in the world pitching for new business. That's not kind of our focus as you rightly said.

Deepesh Agarwal: And the last question, if you can share your guidance on CAPEX and trend for next two, three years?

Manish Bhatnagar: Yes, we expect CAPEX to be in line with what we have done in the past around 150 odd crores a year, you know, give or take 20% up or down and that will not change over the next couple of years.

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Deepesh Agarwal: At SKF India level, 150 crores? At SKF India, 150 crores, right?

Manish Bhatnagar: Yes.

Ashish Saraf: That's right.

Moderator: Thank you. Our next question is from the line of Bharat Sheth f

rom Quest Investment Advisors

Private Limited. Please go ahead.

Bharat Sheth: On Industrial when we are talking a lot of big things and which is a business where we provide the solution also taking a long-term maintenance of the plant as well as, so how do we see that our offering really improving? And second thing, when you spoke on the availability over prices, so what exactly on ground we are doing to improve that? In your last call, you mentioned about digital connection and all. So, if you can give a broader outlook, one, on this industrial side?

Manish Bhatnagar: Yes, on the industrial side, of course, we are focused on providing services to our customers, and I think what you mentioned is one part of our services which are performance contracts where we don't sell bearings, but we sell performance, and that's been an ongoing strategy for us for the past couple of years. And certainly, it's helping us win share in key segments where performance becomes important. So, for example, the steel industry is a big driver for these performance contracts.

The other question you asked was on, what is the second question?

Bharat Sheth: Availability over prices? So, how these solutions business is really and digitally connecting, I mean, a distributor and all so that furious bearing really do not go to the customer?

Manish Bhatnagar: So, on availability, there are two ways of ensuring good availability. One is, of course, manufacturing the bearings locally as much as possible because only when you manufacture them locally do you cut the lead times both for manufacturing and for freight and movement to customer. That's one big initiative for us.

The second one is around on the aftermarket side, how do we ensure we have good reach to our customers, because sometimes customers are not able to reach SKF, and they want to buy SKF.

So, typically, they would go to where they think they are buying a genuine bearing, but they could end up with a counterfeit bearing, or they could go to a comparative pairing, and that's where we need to also improve our reach and digitally connecting our customers to our warehouses is part of their initiative.

Bharat Sheth: Sir, where we are in this whole journey what you spoke about on solution? And is there still further a room to grow all these significantly?

Manish Bhatnagar: Oh, yes, absolutely. There is a lot of room to grow on performance contracts. We are only scratching the surface here. In some industries we are doing better, and you have to look at

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performance contracts as being attractive to industries where the cost of failure is much more than the cost of replacement. So, things like...

Bharat Sheth: What kind of process industry?

Manish Bhatnagar: Yes, so process industries or even high CAPEX industries like wind etc., where the accessibility is an issue for wind turbines. So, the cost of failure can be catastrophic there. The cost of replacement is lesser. So, that's where these performance contracts come into play. It will certainly not be a viable play for a two-wheeler owner because the cost of failure there is not more than the cost of replacement. So, you have to choose your industries well, mainly industrial process industries, long cycle industries, things like those.

Bharat Sheth: Last question, sir, last call we said that this refurbishing of passenger coaches is also could be a big opportunity. So, where are we now in this refurbishing of the coaches with the change in new bearings and all?

Manish Bhatnagar: Well, we don't refurbish coaches. We refurbished the bearings that go into those coaches. So, absolutely, we have what we call solution factories. So, these solution factories are set up as a sub-factory within a main manufacturing factory where we take back the used bearings and we remanufacture them. So, pretty much make them as good as new and then send them ba

ck to the

original purchaser for reuse in their coaches.

Bharat Sheth: And sir, one bookkeeping question with your permission. Sir, in our latest annual report, we stated that this whatever import or, I mean, sourcing from this domestic SKF Technology, this year the number indicated are as high as 25% over last year. So, this is what you gave in your commentary on opportunity on industries are, so that really reflects that 25% outsourcing from our group company.

Ashish Saraf: Sorry, it's not very clear to me, but typically, if you look at last year, we grew by around 17%, right? And that happened pretty much across our segments. So, since we grew at around 17% last year, naturally our purchases from SKF Engineering would accordingly increase in the same lines.

Bharat Sheth: This year for '23-'24, we have indicated a 25% growth amount that we, I mean, when related party transaction we take the approval for AGM, that is...

Manish Bhatnagar: That's right. Yes. So, you know, like Ashish said, our expected growth rates are high double digits, and we typically take an approval for related parties in excess of that just as a buffer.

That's why you see a little higher approval for related party transactions.

Moderator: Thank you. Our next question is from the line of Jeetendra Khatri from Tata Mutual Funds.

Please go ahead, sir.

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Jeetendra Khatri: Sir, for two-wheeler OEM, I wanted to know what would be your bearing content in or let's say, what would be your exposure towards budget or entry-level motorcycle and premium motorcycles? How would you divide the market into two?

Manish Bhatnagar: The number of bearings don't change that much between the price point of the vehicle.

Moderator: Thank you. Our next question is from the line of Suraj Sonulkar from Asian Market Securities.

Please go ahead.

Suraj Sonulkar: Sir, I just want to ask you, I mean, can you mention what is the growth in railways in this quarter?

Ashish Saraf: Year-over-year, railways have seen a 30% growth.

Suraj Sonulkar: And wind business?

Ashish Saraf: Wind has been relatively flat.

Suraj Sonulkar: Secondly, on railways, I just wanted to understand, I mean, as you mentioned that we are doing business from SKF India, so is it like some part of the business comes under transfer pricing with the sister concern?

Ashish Saraf: That's right. That's right. So, whatever we buy from SKF Engineering comes under the transfer price regulation.

Suraj Sonulkar: So, how much percentage of that is from that in railways and how much is directly from SKF?



Ashish Saraf: I wouldn't have a specific number in terms of buy business how much percentage of our total sales is what we are buying from SKF Engineering.

Suraj Sonulkar: One question particular to the localization plan and the parent's plan of regionalization of supply chain. How does these two things sink in together for us? Because parent is more focusing on the regionalization of supply chain across the continent and India, I mean, they are also focusing on localization in India. So, can you just give some qualitative feedback on how maybe this can be a positive trigger for SKF going forward in terms of export or in terms of other opportunities for particularly in the Asia Pacific region?

Manish Bhatnagar: No, just to clarify, regionalization and localization are the same thing. When we say regionalization, we mean don't think of it as Asia region. Think about it including the India region. So, as much as possible, if we can regionalize, which is the same thing as localized, whether it's India or China or Malaysia or Europe or wherever else it might be, so they are the same thing. So, parents, SKF AB's drive towards regionalization of supply chain is the same thing as what we are calling localization of supply chain.

Suraj Sonulkar: But that does not fit in when we say our export will be limited from India.

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Manish Bhatnagar: Yes. We are not focusing on exports from India. We are focusing on localization or regionalization. For us, India is the region. So, we are focused on localization for India.

Suraj Sonulkar: And one more thing on the presence in Robotics and Industrial Automation. Are we seeing good, I mean, inquiries in that segment from Indian market?

Manish Bhatnagar: I think we are seeing some inquiries from robotics and automation mainly around motors and drives. It's not something that I would say is a material part of our business right now, but we are seeing some inquiries.

Moderator: Thank you. Our next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead, sir.

Mukesh Saraf: My first question is again on industrial localization. We are also kind of noticing a lot of your peers, obviously, the large ones are also now embarking on a significant localization plan for the industrial segment. So, could you give some color on, you know, what is driving all the large players to now focus on localization? Is there a new opportunity that is coming out on this space probably defense or a PLI schemes in various other sectors? Some color there would really help on what's driving this localization now and would this open up any new markets or new opportunities which maybe so far were catered to by maybe unorganized segment or anything of that sort?

Manish Bhatnagar: Well, localization is not to fight against the unorganized segment. Localization really is about import substitution. I cannot comment for the other players that you mentioned, but certainly for us, if today 35% to 38% of our industrial business is localized, which means 62% to 65% of industrial bearings are being imported from other SKF factories around the world. This is what we need to change. We need to change that to get a higher localized content from our factories in India. Why? That is pretty straightforward because our customers want it. Our customers really don't want to be at the mercy of long lead-time supply chains. It's not so much frankly a cost issue. There could be some bit of it, but the larger issue is the long lead supply chain, and that's what is driving us in terms of more localization on the industrial side.

Mukesh Saraf: So, we shouldn't expect localization to say lead to higher volumes? As such, it's probably, it's just primarily only substitution.

Manish Bhatnagar: Well, I hope when we are able to supply to our customers better lead times, it will also lead to a better share with them. So, it's not, I mean, why do we need to do import substitution? Not because it's a nice thing to do. We are doing it and investing in that localization because we hope to get returns on it and the returns, we hope to get on that is by getting more share with customers.

And in the last one year, in fact, the example I gave at yesterday's AGM, if you watched it, is the other customer, a large cement OEM Humboldt and we had zero share with that customer because we were importing those bearings from Europe and because we were able to localize those bearings in India, we now have a high double-digit share with that customer.

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Mukesh Saraf: And my second question is on the EV side of it. Given that we have a good exposure to the two-wheeler space and we have probably seen two-wheeler EVs see some higher penetration than the other segments, any specific order wins that you would want to mention or probably any more color there on how your orders are placed on the two-wheeler EV side of it and how the content there for you per vehicle is vis-a-vis say ICE in terms of value?

Manish Bhatnagar: I already answered the content and the value question to an earlier question. So, you can review

that answer. But on the larger one on electrification of two-wheelers, you know, our take

is that

electrification is a question of when and not if, and I am sure you will agree with that.

Now, today, frankly, we sell about, let's say about 20 million two-wheelers in a year approximately, give or take a few. More than 5% to 8% of that market is electrified, but it is not to say it will not become larger very, very soon. The 5% to 8% could go to 15, 20, 25, 30 in no time. And therefore, the question is which customers are well positioned to drive that growth? Our belief is that the customers best placed to drive growth and gain share in the electric two-wheeler space are today's big players. It's the Bajaj, the Hero, the Honda, etc. It is not the small disruptors. As much as we hear about them, the big growths will come from the established players and the established players today have a very, very strong partnership with SKF. All of them. We are working with all of them to co-develop bearing types especially suited for electric vehicles and you could also extend that logic to passenger vehicles. So, we believe that when that growth happens, we are well-positioned in terms of both development of bearings and stickiness with customers to drive that growth for SKF.

Moderator: Thank you. Our next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead, sir.

Mumuksh Mandlesha: Just you mentioned about the wind and railway growth Y-o-Y for Q1 quarter. Can you mention for other sub-segments like two-wheeler, powertrain, car, CV, tractors auto, aftermarket, and Industrial aftermarket, drive, heavy metals, sir?

Ashish Saraf: I already mentioned it earlier, right? If you look at for this quarter, we have seen strong growth in two-wheeler, powertrain for this quarter, whereas for cars, trucks, and tractors, it's been relative. On the industrial side, VST seen strong growth across all segments except wind, which has been flat year-over-year.

Moderator: Thank you. Our next question is from the line of Anish Rankawat from Haitong Securities. Please go ahead with your question, sir.

Anish Rankawat: So, my first question is, and I am sorry to hop on localization. My first question is, firstly, a clarification. You mentioned 35% to 38% localization in industrial. Does it include both listed and the unlisted arm? Or is it just the SKF India you are talking about?

Manish Bhatnagar: SKF India.

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Anish Rankawat: Secondly, or in continuation, could you please talk about the roadmap for getting to the 60% target in couple of years, talking about which segments will drive, what will be the CAPEX and the asset turns you will be looking at?

Manish Bhatnagar: I think I answered that in an earlier question, but it's every segment. It's not specific segments. Localization is really driven by where the growth comes from, and we are seeing very strong growths in industrial. Apart from wind and railways, you know, we have a presence in almost every industrial segment. Steel, cement, construction equipment, food and beverages, mining, textiles, and I am sure I missed a few already here. All of those will drive localization. Keep in mind that localization is for products. Localization is not necessarily for the segments. The same product will go into many segments. So, when we localize more of let's say, Deep Groove Ball Bearings, or DGBBs, they will feed multiple segments. When we localize cylindrical roller bearings or CRBs, they will feed multiple segments. So, we expect localization to feed demand and drive share growth in almost every segment. And the CAPEX that I talked about in response to a previous question of 150, 160 crores, we expect about 60%, 70% of that to go towards industrial.

Anish Rankawat: Continuing on the same topic, how is the localization improved over the last five years since you mentioned it's one of the drivers of margin improvement that has happened? Any numbers will be helpful

I here.

Manish Bhatnagar: But I don't know the numbers five years ago, but it was certainly less than 30%.

Anish Rankawat: I appreciate that. Secondly, on the traded revenues, if I look at FY '23, the proportion is just over 50% and that's moved significantly over FY '22, which was around 44%. So, could you please talk about what were the drivers of this move?

Ashish Saraf: So, again, I am just looking at the numbers. So, traded, just to kind of give an answer for the financial year '23, the traded was around 45% and it's actually come down 42%, say, for example, for this quarter. So, you can clearly see that localization is helping.

Anish Rankawat: That's very helpful. The second topic is for Manish. Yesterday in the AGM you talked about doubling of the R&D spend. Could you please talk about what would it be directed towards, and would there be any in the listed arm of SKF?

Manish Bhatnagar: Yes, I was talking more on the global strategy. That's our global strategy for SKF about doubling R&D spends, but I think, so without getting into specifics, what do we need to do differently in

India? You may know that we have a Technology Center in India where we employ about 200 engineers, and these engineers are working day and night to focus on innovations and technology development both for global customers and for customers in India.

Localization, as an example to pick on your previous question, is not as simple as finding a source and start to manufacture bearings locally. A lot of technology also goes into that. So, for

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example, the Humboldt example I talked in the AGM yesterday was a lot of hard work in developing bearings locally with the right suppliers working with the customer to ensure the right testing. So, a lot of work also goes in making sure we have the right development which meets the standards for SKF and for the customer. So, that's one part of it.

The other part of it is also developing new bearings or new bearing types, what we call application specific offerings or ASOs. So, these are customers who may come to us with a very new application or a different requirement for the same application. There sometimes we have to do some research or development into taking an existing product and modifying it or developing a new product completely.

A bearing has many components to it. At a very simple level, it's got a couple of rings, a cage, some balls, rolling elements and greases. We could do research and we could make tweaks to any of those elements to make a new application specific offering. So, the engineers who are working in our Bangalore Technology Center are working to develop these application specific offerings, sometimes new offerings, sometimes modified offerings, sometimes working with customers. So, all kinds of things across the entire gamut of technology development.

Anish Rankawat: That's quite helpful. Last question is on railways. Firstly, a clarification. Was it 30% growth in this quarter?

Ashish Saraf: That's right. For this quarter. That's right.

Anish Rankawat: And that's significant. Congratulations on that. Now would you be able to share some market share numbers specifically in the railways? And given that you have now the freight approvals are in place, do you envisage similar market share in freight as well compared to the other segments that you are operating in?

Manish Bhatnagar: Yes. So, we are high double digit on passenger coaches, metros and locomotives. We are mid-single digits on freight and our intent is to get the freight market share at the same level of the other segments.

Moderator: Thank you. Our next question is from the line of Mr. Akash from Dalal & Broacha Stock Broking Stock Broking. Thank you. You may go ahead, sir.

Akash: My question was how much of CAPEX is SKF India planning to do in the next couple of years, in the coming year and as we

Il as the next two, three years?

Manish Bhatnagar: 150 odd crores each year.

Akash: So, sir, seeing the kind of growth and CAPEX both done by the government and the private sector on the industrial side and the boom that has recently surround the automotive side, will it be comfortable to say that SKF will be able to grow at a double-digit rate in the next two, three years?

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Manish Bhatnagar: Well, we don't give forward guidance, but certainly expectation is to keep growing at the rates we have been growing, if not marginally better.

Moderator: Thank you. Our next question is from the line of Akshay Karwa from Anand Rathi. Please go ahead, sir.

Akshay Karwa: Sir, my question pertains to new products, new offerings that you have. So, I think if my memory serves me right, in the last year Q1 FY '23, we were developing products like chains and sprockets for motorcycles, timing belts for passenger cars, CV belts for scooters, steering and suspension parts for passenger cars and so on. So, where do we stand with that? And what sort of revenues are we expected to book from them? And what sort of new products are we expected to see in the next one or two years, sir, from your end?

Manish Bhatnagar: So, our bread-and-butter business is bearings. Everything else that you mention are adjunct products to improve our retail presence. And what you mentioned was mainly for the automotive aftermarket. These were not meant for the OEMs. And so, this we have launched all of them with reasonable success, but again, they are really a small part of our business, not material enough. Where they really help us is in driving more bearing sales as we are able to offer a full portfolio to the retailer or the mechanic.

Akshay Karwa: If you could put some number, like some percentage, I know it is a small number but then...

Manish Bhatnagar: Less than 2%.

Akshay Karwa: Less than 2%. Got it, sir. And sir, second, my last question is regarding the EV bearings. So, you mentioned on the earlier comment that your, so basically in an ICE two-wheeler, the number of bearings are like close to 14 or 15 bearings, while in an EV, it comes down to almost like 50% and the volumes comes down over here, but the pricing is a bit higher. It's a bit more premium compared to the ICE part of it. So, if my understanding serves me right, so net-net, there would not be any loss of business from this despite the EV volumes progressing. So, this could potentially lead to better margins in the future if ICE volumes come down, let's say, in the next five to six years. So, is my understanding correct, sir, over here?

Manish Bhatnagar: Well, just to correct it, correct you, it's not a 50% drop. It's about a 30%, 35% drop. I said about 14 to 15 will drop to 9 to 10. A minor correction there, but nevertheless, we expect this to be revenue neutral for us in terms of value to us. Profitability, I think it will be slightly better. I don't actually have a good answer for you right now. I haven't done the research on that. Based on what we see right now, we do expect the bearings that go into the EV space to be margin accretive, but that's based on current competitive dynamics. As and when these things become more competitive, the margins may drop a little bit, but overall, I would expect this to be accretive.

Moderator: Thank you. Our next question is from the line of Pramod Amthe from InCred Capital. Please go ahead, sir.

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Pramod Amthe: Sir, if you try to look at your sub-segments which seems to be like eight, nine of them, how do you see competitive intensity currently as compared to last two years? And what's the outlook on the same for the next two, three years, you expect them to continue to remain in that stance for each of the sub-segments or they accidentally works off?

Manish Bhatnagar: Yes, the big change or th

e big difference between SKF and our competitors, as you have seen on this call, we don't have a high dependence on a single segment. You know, 7%, 7.5%, 8% is kind of our max exposure to one segment. So, we are extremely well-diversified, which means we are very, very well-positioned to withstand economic cycles. Some segments go up. Some segments go down, but overall, that's a good hedge against market movements or demand movements. So, you know, we face competition in all these segments.

Our competitors are sometimes more focused on a few segments, not on all the segments that we are in. So, we face different competitors in different segments. In railways could be someone else. In wind could be someone else etc., but we face competitors everywhere and we face competition not just from large global players but also local Asian players or Indian players, but we are well positioned as you have seen in the margins growth, in our share growth to keep on winning in this market.

Pramod Amthe: And just to dwell on the same especially the high growth segments like railways, do you see your products have a unique advantage versus what the competition, and hence, the intensity might be lower in those high growth segments or the new segments which are opening up for a substantial growth?

Manish Bhatnagar: Yes, so you have to look at, I mean, whether it's railways or any other segment, certainly, we sell our products not on price, but on innovation. Innovation is not just about products.

Innovation is also about services we offer. In response to a previous question, I answered about remanufacturing of railway bearings. We have the most advanced remanufacturing facility of railway bearings in the region. We also speak to the railways around what we call condition monitoring. So, how can we predict failure on the coaches before they happen? So, it's really a combination of innovation on the product side, innovation on the services side and remanufacturing services to be able to win more with railways and similarly with other segments.

Moderator: Thank you. Our next question is from the line of Saif Saurav Gujar from ICICI Prudential AMC. Please go ahead, sir.

Saif Gujar: My first question would be on imports from China. So, we understand it is a big proportion of the Indian bearing industry, right? So, how is the competition from imported bearings and compared to pre-COVID levels and which segment it is particularly in?

Manish Bhatnagar: I don't know what you mean by it's a big part of Indian bearing industry. It's not a big part of where we compete. For us as a company, we don't have more than 12% to 15% of imports from China for our supply chain. From the customers we sell to, yes, of course. Some of them buy from Chinese companies, but we see that going down every year and certainly, you are right.

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After COVID, it's gone down even more. So, we really don't see a big competition from China in the segments we compete with except maybe on the aftermarket side in automotive to some

degree, but beyond that, that's not a big threat to us.

Saif Gujar: And sir, second question would be again on the localization front itself. When we talk about one, our focus is import substitution. Second, is it also about localizing the components in India? So, various components we talked about which go into a bearing, is it also focusing on that? And if yes, how much further headroom we have there?

Manish Bhatnagar: Yes, localization is not just about making bearings locally. I think I mentioned earlier. Unless the big part of bearings is steel as an example, unless we also localize steel, the job is only half done, if we import the steel and make the bearings locally from the imported steel. So, we are working with steel mills to also localize steel or bearing steel because that as you know is a very high-quality steel. So, yes, it's localizatio

n of supply chain and localization of manufacturing.

Moderator: Thank you. Our next question is from the line of Anish Rankawat from Haitong Securities. Please go ahead.

Anish Rankawat: Just a few bookkeeping questions. What is the capacity utilization SKF India is running at currently?

Manish Bhatnagar: You have to define capacity utilization first. Are you comparing on 365 days? Or are you comparing on the calendar year less holidays et cetera? Because the answer can vary.

Anish Rankawat: Whichever you think is relevant for our knowledge.

Manish Bhatnagar: No, the reason I asked that question is when you compare capacity utilization across industries, you always ask the question what's the base here. So, for example, today, the cement industry is working at about 70% capacity utilization, which is based on 365. We are at about 65%, 66% capacity utilization on our plants. That's based on 365 days of working and 24x7. So, I am giving you two benchmarks. You can compare both, but you must compare like to like.

Anish Rankawat: That's helpful. Thanks a lot. And in the overall CAPEX guidance of about 150 crores, what would be the maintenance CAPEX?

Manish Bhatnagar: It's about 25% of that or sometimes actually no, maybe even less than that. Maybe about 20%.

Anish Rankawat: And lastly, you are talking about localizing steel is the most important aspect of supply chain. And I am talking about the industry level. How much of the requirement is localized in your view? And what is the potential?

Manish Bhatnagar: So, steel, as you know, steel goes into making the rings, the inner ring, the outer ring and goes into making the rolling elements, could be rollers, could be balls or whatever. For the industrial

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level, localized steel would be pretty close to 65% I would think. I am guessing. It could be even less, lower, but I am giving you a ballpark, my high-level number.

Anish Rankawat: And do you see it going to fully localized? Or that's something that's...

Manish Bhatnagar: No, that's going to be, you know, very difficult. Not in the near time. You know, simply, it's both a question of technology and pricing. And I think it will take some time for us to get there.

Moderator: Thank you. Our next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead, sir.

Mukesh Saraf: Just one question from my side on the railway freight bearing segment where you mentioned that you have a mid-single-digit market share, and you want that to, or you are targeting for that to kind of improve. So, I mean, if I go back to some of the comments, say, made a few years back, say, 2015, '16, that time I think SKF had got approved as a vendor to Indian Railways on the freight side and the target was to kind of improve market share from that time, but say six, seven years hence, we still are at say a single-digit market share. So, want to understand, you know, what different are we going to do now? Is there something that we were lacking, which now we have kind of fixed and so the market share we can kind of look for it to go up on the freight side of it?

Manish Bhatnagar: So, I don't know what happened, what comments were made, you know, in '15-'16. I was not here at that time. So, I cannot comment on those comments. What I can say is that what's happening now is that we have got approval and the approval only came like a year or so ago. I mentioned on a conference call a couple of years ago that we have begun the approval process and the approval process takes time. It takes time. As you well know, it takes 18 months, 24 months. So, we now have the approval for freight wagon bearings and that's what the big game changer for us is.

Mukesh Saraf: So, the approval actually is coming much later.

Manish Bhatnagar: Like I said, I can't comment on 2015 comment.

Moderator: Thank you. Our next question is from the line of

Shirom Kapur from Prabhudas Lilladher. Please go ahead, sir.

Shirom Kapur: I just want to speak about the localization where you speak about localizing supply chain. You know, kind of related to that in case I hope I am not repeating as I missed the earlier part of the

presentation, but are we also looking at increasing outsourcing of these various bearing components you mentioned like rings, cages et cetera? Or is that largely still produced in-house? And if you could kind of give a share of how much of that is outsourced and whether outsourcing would benefit SKF's overall profitability and allow SKF to focus more on the final value add aspect of the bearings?

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Manish Bhatnagar: Well, we don't make the rings and rollers in-house. We never have. So, that's, there is no change in strategy there. We have suppliers who supply us rings and supply us cages and supply us rolling elements and we assemble those in our factories. So, there has been no change in our strategy over the last few years on that one.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, then we will close the conference. On behalf of SKF India Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

## Call: Feb 2024

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 28th February 2024

Subject: Transcript of Analyst/Institutional Investor Meeting held on 21st February 2024

Reference: Our Intimation Dated 13th February 2024 for meeting and Intimation dated 22nd February for Audio Link

Dear Sir/Ma'am,

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) & Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith transcript of Analyst / Institutional Investor Meeting organized by Kotak Securities Limited on 21st February 2024 at Mumbai.

Transcript will also be available on the website of the company.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,

For SKF India Limited

---

Ranjan Kumar

Company Secretary & Compliance Officer

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NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Kotak Chasing Growth, 2024

February 21, 2024

MANAGEMENT : MR. ASHISH SARAF , CFO

ICICI Pru Speaker: Thanks for the opportunity. Just to start with, there's a broad mix in terms of segment wise, then we can jump on to specific things.

Ashish Saraf: Sure. So, from a business perspective, we are broadly divided into industrial, automotive and then we have a small amount of exports. In terms of the overall business, I would say 50% is industry, 40% is automotive and the remaining 10% is exports. So that's how broadly from a segment standpoint we are. And within each of these businesses, we have sub-segments.

ICICI Pru Speaker: I'm sorry, one clarification here. Industry includes tractors and...

Ashish Saraf: No, industrial doesn't include tractors. Tractors is part of the automobile.

ICICI Pru Speaker: And railways.

Ashish Saraf: So again, in industrial, we have segments like railways, wind. Then we have metals. Then we have heavy industries. So, within heavy industries, basically cement, yarn, pulp and paper, all industries which are basically related to infrastructure. And then we have wind. I said railways and then, textiles. And then we have something called general machinery, which is a combination of various small, small segments, which is like your fluid power, your textiles, your pumps, and motors. All of that is basically part of that. Agriculture, F&B, all of that is basically clubbed together. And then we have a big aftermarket in the industry for basically catering to the industry.

ICICI Pru Speaker: This 50%, as you said, the sub-segments. How much would be rail, wind? The bigger segment, how big is that?

Ashish Saraf: Yes. So just to give you -- so say, for example, so broadly your -- again, each of our businesses, I would say it's within industry, it's pretty much a reasonable share for each one of them. So, say, for example, your rail is around 8%. Your general machinery is again 8%. Heavy industries, another 5%-6%. Metal is 4%. And then the wind is again 4%. And a big part of 23% is distribution. That would be aftermarket.

ICICI Pru Speaker: Distribution would include the aftermarket as well.

Ashish Saraf: Distribution is aftermarket. So basically, we sell directly to OEMs. Rest all the business that we do with the end users predominantly is for the distribution.

ICICI Pru Speaker: That is,

it. Within this segment, as you said, the rail is mostly we are on the EV side or on the freight side? Sorry. On the passenger side or on the freight side?

Ashish Saraf: So, see, railway segments are basically -- railway businesses is basically broadly into four categories. One is a passenger. Second is locomotive. Third is basically the metros which are coming up. And the last is freight, right? So, we are big on the passenger, the locomotive, and the metro side, right? Freight, our market share is growing. But again, relative to other segments, our share is relatively low.

ICICI Pru Speaker: In these three segments, what will be our share versus, you know, maybe the further dynamic of the operators?

Ashish Saraf: 40% plus in these three segments.

ICICI Pru Speaker: And in Vande Bharat also there will be some...?

Ashish Saraf: Yes. Vande Bharat we are already supplying.

ICICI Pru Speaker: Locos, which these are Siemens or Alstom, these companies are executing. So, we will be the one-stop supplier for them or there will be...

Ashish Saraf: No, there are other suppliers who are also kind of catching up. Because again, as I said, we have a 40% share in that aspect. So, there are other players who are competing.

ICICI Pru Speaker: So, 40% is in the -- more focus on the passenger side, including the metros.

Ashish Saraf: Including the metros, including the locomotives business.

ICICI Pru Speaker: And freight, how -- it could be single digit shares?

Ashish Saraf: See, we can always increase our share. It's not an issue that we don't have the products in place. We have all the approvals in place. That's not an issue. But we need to get the right price in the market, right? So, we closely work with a lot of private players in coach, right? Because like government preferences to go down the reverse auction side, right, and that time sometimes it



becomes non-competitive for us. That's where we are focusing on how we can kind of make changes in our products so that we can kind of be more competitive as we go and create our share in the freight side.

ICICI Pru Speaker: In the reverse auction, you participate, or the OEMs participate and then they procure from you?

Ashish Saraf: It's a mix, right? So certain OEMs will participate. So that is where we are very active. And there is also where you can directly participate. There is a portion which railway directly buys for their existing freight.

ICICI Pru Speaker: For the aftermarket type.

Ashish Saraf: Yes, for the aftermarket. Railway, there is no real aftermarket.

ICICI Pru Speaker: Existing bag and cover...

Ashish Saraf: Existing bag and replacements that they do. Because they are themselves growing their overall share.

ICICI Pru Speaker: So rather than participating in the replacement demand, you will go rely rather with the likes of.

Ashish Saraf: That's right. We work closely with them.

ICICI Pru Speaker: And say on the Vande Bharat and all when the tender is getting floated. Based on that, what are the bearings and all that could be avoided? In that incremental order, how is the market share moving?

Ashish Saraf: It's moving in the right direction.

ICICI Pru Speaker: Are others also within it? Because on the one hand, others have been sitting. They are also sitting on the Vande Bharat side?

Ashish Saraf: As I said, in all of that, we have more than 40% market share. So that is something that we are focusing on continuing to defend. I wouldn't say that we are likely to be able to, because there are other players which are coming in. It's not...

ICICI Pru Speaker: What will be the market, the real bearing market?

Ashish Saraf: The real bearing market would be around INR1,000 crores plus.

ICICI Pru Speaker: Roughly including freighter? And roughly how much -- how big will be freight?

Ashish Saraf: I don't know exact because I won't have the split. But as I said, freight would be -- currently, I know that the comp

etition has a much bigger share of the freight business, and we are consciously not doing it. But I would say our share would be, the freight side, would be around 10%-15%.

ICICI Pru Speaker: So just to look at this INR1,000 crores market, as it says to us, it is only MHC. It is like you have to get the RDS as well. Are other players, the smaller ones, also allowed now with the growth which is coming up?

Ashish Saraf: Again, they have to go through the entire process. From railway perspective, they don't differentiate between what SKF is doing versus any local player. They have to go through that process. As long as they go through the process and get the necessary approval, that whole process takes two-three years. And it has to pass at all different levels before they can be a kind of participant.

ICICI Pru Speaker: But still, what was the...

Ashish Saraf: As of now, pretty much mostly it's SKF, FAG, and NKS. And in some cases, NBC.

ICICI Pru Speaker: So apart from these four, based on the new orders, are others also getting empowered?

Ashish Saraf: Not that I am aware of.

ICICI Pru Speaker: Okay. How fast is this market growing? How many crores itself?

Ashish Saraf: So again, our share has been growing pretty well. We have been pretty close to double digit growth in railways year-on-year. And even if I look at 2024, we are pretty much expecting a similar growth.

ICICI Pru Speaker: So, in the entire industry itself, we can get 10%-15% for the carbon footprint as a whole. And going to the wind side, before we switch into autos. Wind is a small sector. One thing, railways, everything gets started only under the 70s. SKF does not do anything of rail industry.

Ashish Saraf: See, in terms of direct selling, it's all SKF. They don't do anything.

ICICI Pru Speaker: But manufacturing, they do...

Ashish Saraf: They do manufacture.

ICICI Pru Speaker: Okay. But they are predominantly industrial. So just on the wind side, it is a small segment. Within that, how much would be domestic? And how much would be catered to the export market?

Ashish Saraf: So again, we don't export anything for wind directly. We sell to the OEMs. And if they are exporting, I know there are a lot of wind players who are looking at making India as a hub to export globally. So that visibility I do not have in terms of what is their export share vis-à-vis the local economy?

ICICI Pru Speaker: Going to the auto side, on the EVs, which is first starting to be visible on the two-wheeler side. So how is the content of the vehicle? We are seeing that the number of bearings are going to come down.

Ashish Saraf: See, the number of bearings are going to come down. Again, first of all, EVs are relatively very,

very small even though there is a lot of use of the EV product. See, if you look at the size of the business, the EV is relatively not even 3%-4%. Secondly, the number of bearings are going to come down. But the value per bearing is going to go up. So, it is not going to impact on our top line.

ICICI Pru Speaker: But how is the trend with the same currency based on whatever two-wheeler model you would have wanted?

Ashish Saraf: I would say that we are playing with all EV players. We are already engaged with Ola. We are already engaged with Ather. So, these two big players in the two-wheeler space, we are very, very well engaged. We are very well engaged with Mahindra and Tata with their EV products coming out with respect to four-wheelers. So, from that perspective, there is no product gap as such. We are closely working with all the EV players and actually gaining a good market share with them.

ICICI Pru Speaker: So, say Ola, Ather or something, compare it back to ICE vehicle, say TVS Jupiter or something. Because we would be catering to both. So how is the content of vehicle different? Is it the same?

Ashish Saraf: That's what I said. The number of bearings are going to come down in the electric vehicle

e

compared to ICE vehicles. But the price for bearing is going to be higher.

ICICI Pru Speaker: But that trend is seen today. Like say Ola S1, whatever we are serving, the content we are supplying for Ola, that's the same as the ICE scooter which we are supplying. The trend is visible today also even offsetting is the volume decline

Ashish Saraf: Again, the share is very, very less for EV vehicle requirement compared to what we are selling for...

ICICI Pru Speaker: Per vehicle. And the content per vehicle, not as an overall revenue base.

Ashish Saraf: That's what I said, the content per vehicle is lesser. If you require, say, 10 bearings for an ICE vehicle, you require 7 bearings only. So, the number of bearings are going to come down. But that's what I said, the price per bearing is much higher in an EV vehicle. So that kind of offsets.

ICICI Pru Speaker: So, it will be similar to what you are saying. That's a trend we are seeing even now.

Ashish Saraf: But as I said, relatively if you talk about my current revenue, the amount of revenue that I generate from an ICE vehicle and the volumes that we have is significantly higher compared to an EV. Even though I have a good share with both Ola and Ather.

ICICI Pru Speaker: Okay. And on the PV or the CV side, so any further wins we have on that side? Can we gain market share or the market share across the players is fairly stable? It can be only industry growth for that reason.

Ashish Saraf: On the...?

ICICI Pru Speaker: PV, CV side, within auto.

Ashish Saraf: See, on the auto side, our big customers are Tata and Nitra. So, we are closely working with them both on the PV side as well as on the ICE side. So, we work very closely with these two customers. If you talk about Japanese or Korean players, it's going to be relatively -- again we have some share with Maruti, but with other Japanese players and Korean players, they have their own suppliers. So typically, it's very difficult.

ICICI Pru Speaker: For the Japanese suppliers?

Ashish Saraf: They have Japanese or Korean suppliers supplying them. So, it's very difficult to kind of get that market share.

ICICI Pru Speaker: So, none of the Indian players are supplying?

Ashish Saraf: None of the Indian players are supplying.

ICICI Pru Speaker: So, are we focusing on increasing this share? Maybe with Maruti or someone or...?

Ashish Saraf: See, as I said, we are big on the two-wheeler front. Our car -- as I said, our market share is going to increase with Tata and Nitra, right? Because that is where we are closely working with new product developments in terms of new cars which are coming out and all that. On the two-wheeler side, we continue to work very closely with customers like Bajaj, Honda, Royal Enfield. And they continue to develop new products with them, right? So, we continue to see a strong improvement in our two-wheeler market share. So that's just to give you an idea. We've already seen almost 50% improvement in our overall share of business that we are doing.

ICICI Pru Speaker: TVS, you are not?

Ashish Saraf: TVS, we are doing but not that much.

ICICI Pru Speaker: We'll be the major supplier there?

Ashish Saraf: Not really sure.

ICICI Pru Speaker: When you talk about winning more share with Tata and Nitra, are we replacing some of the existing players? Or is it just their growth which would get reflected in us?

Ashish Saraf: See, it is their growth plus, like when you work closely with them in terms of new product developments with respect to the new cars which are coming out, you are likely to gain more share with them. As they launch a new car, if you do a joint development, meet their productivity requirements, meet their pricing requirements, that kind of helps you gain the full share of the new product.

ICICI Pru Speaker: But they do have multiple suppliers?

Ashish Saraf: They work with multiple suppliers. .

ICICI Pru Speaker: But within that multiple

supplier, we have a majority?

Ashish Saraf: We will have a good share.

ICICI Pru Speaker: So, 40% is the overall pie of revenue, right? So how much would be two wheelers?

Ashish Saraf: Two-wheelers, as I said, would be a good share. Two-wheelers would be around 13% to 15%.

ICICI Pru Speaker: 13% to 15% is two wheelers. You mean percentage points? Of the 40%?

Ashish Saraf: Of the 40%.

ICICI Pru Speaker: So, of the total revenue, the breakup...

Ashish Saraf: No. So, 15% of 40%. So not 6%. 6% overall. 6% of the overall SKF revenue.

ICICI Pru Speaker: So, 85% is PV and CV.

Ashish Saraf: So, 100 split with 40% is automotive. Out of that 40%, the split, when I say it's 15%, 25% is rest of the business. 15% is...

ICICI Pru Speaker: That's what I'm saying. It's not 6%. And 25% would be also largely PVs. CVs would be small for us.

Ashish Saraf: See, I can give you the split. So commercial vehicles, and I'm including tractors in that, which is part of automotive. So around 6% would be -- out of that 40%, 6% would be your commercial.

And the rest all would be...

ICICI Pru Speaker: 19%-20%, okay.

Ashish Saraf: Not 19%-20%. 15% I said two wheelers.

ICICI Pru Speaker: So, it's more than two wheelers.

Ashish Saraf: No, there is aftermarket also. So, aftermarket is around 11%.

ICICI Pru Speaker: And that would include everything. Or it would be two-wheeler aftermarket for us.

Ashish Saraf: It would be two-wheeler.

ICICI Pru Speaker: So just now, it's been towards the industrial and the auto part. Just wanted to understand what is the localization in the industrial segment versus what is the localization in the auto segment?

Ashish Saraf: See, automotive is pretty much everything is localized. Almost 90% to 95% is fully localized.

Industrial is around, I would say, 35% to 40% localized. Rest all is we are either importing from Europe or from China.

ICICI Pru Speaker: So just when we talk about 35% localization, coming to the next point, that means localized that is manufactured in SKF India or including SKF technology.

Ashish Saraf: Okay. I have included SKF technologies also. Also, the overall localization. So, if you purely look at it from an SKF India perspective, it could be a little lower. So I would say 35% is industrial localized. Automotive is all in SKF India. Industrial as I said 35% is localized.

ICICI Pru Speaker: So basically, we are on marketing margin whereas manufacturing margin will be captured in SKF India.

Ashish Saraf: That's right.

ICICI Pru Speaker: So was SKF India 20% only.

Ashish Saraf: See, overall, I can broadly tell you in terms of my mix. My 60% is -- so 60% is localized and 40% is what we -- so I am just giving you a broad split between manufacturing and traded. So, 60% is manufacturing and 40% is traded.

ICICI Pru Speaker: So, this is SKF India overall, including auto. So auto is fairly stable. We know it at 80%-90%. So just to focus on industrial, overall, if you include SKF technologies you are saying 35% is manufactured in India.

Ashish Saraf: That's right.

ICICI Pru Speaker: 65% is imported either from China or anywhere, right? So, if we say 35, then that's how much would be manufactured under SKF India? Purely looking from SKF India perspective.

Ashish Saraf: We have to do the math in a sense. 90% -- I would say maybe you reduce by 5% to 10%, so maybe 25% which is what is getting manufactured in SKF India. So industrial 25% to 30% is

what is getting manufactured in India. The rest all is getting manufactured either in SKF technologies or outside.

ICICI Pru Speaker: SKF technologies -- what's the revenue for SKF technologies?

Ashish Saraf: SKF technologies have other businesses also. It is not just that it is doing manufacturing for the industrial business. They are into lubrication and seals business as well. So overall their turnover would be to the tune of INR1,000 crores.

ICICI Pru Speaker: Just to get this number clear

. 60% you said is overall manufactured in India, SKF in India...

Ashish Saraf: SKF in India. SKF India, 60% is manufactured. 40% is industrial.

ICICI Pru Speaker: 15%-25% is what is manufactured. 25% you said. SKF is 10%.

ICICI Pru Speaker: Automotive is 40%. 48%-50% exports to India.

Ashish Saraf: We have exports also. That's why I am saying overall 60% is what we are manufacturing. If exports are complete, manufacturing is complete. If exports are complete, manufacturing is

complete.

ICICI Pru Speaker: Just to have the perspective of SKF as a group in India. What would be the capex we are looking at when we are talking about increasing the localization level? How should we look at the split in terms of capital allocation of the two entities?

Ashish Saraf: See, I would say we are spending around INR100 crores on capex for SKF India. I wouldn't have the -- typically if you look at our trade, we would be spending INR100 crores. This year I expect our capex to go to INR150 crores for SKF India. I don't have SKF engineering numbers. I won't be able to tell you in terms of what is the capex investment happening there. But purely from SKF India standpoint, I expect that our capex investment is going to be in the range of INR150 crores for us as we move forward.

ICICI Pru Speaker: So, maintenance capex will be around INR100 crores.

Ashish Saraf: We are also setting up new -- putting up new channels also. See, again, you will also have to understand that from a bearing industry standpoint, there are different sizes of bearings that we manufacture. So, in terms of capability, if you look at the manufacturing plants which are part of SKF India, they have capability to make smaller size bearings. And which is what we manufacture. Whereas for the industrial business, for different segments, different size bearings are required.

To give you an example, wind bearing could be as big as this room. That kind of capability you need a different kind of treatment plant. You have a different kind of steel requirement which may not be even that you have to build suppliers over a period of time. So that is not something that you can easily localize. And in terms of expertise, some of that expertise lies in the Ahmedabad factory because they have been traditionally manufacturing bearings for railways and wind. So, it continues to make sense for us to do -- when we are doing localization, continue

to do localization and leverage the infrastructure which is already in place in Ahmedabad for these two segments.

ICICI Pru Speaker: Just to understand, on the SKF technologies part, railways, and wind we know. That's 100% over there. The industrial -- are there some specific industrial bearings which we do make.

Ashish Saraf: That's why I said railways and wind are part of industry. Other than that, there are some bearings which we do make but the relative size, volumes would be relatively limited.

ICICI Pru Speaker: Is there some in terms of the diameter?

Ashish Saraf: That's what I'm saying. It's pretty much based on the diameter. So whatever bearings will fall at that particular diameter, if the channel has the ability to manufacture that kind of a diameter, then it will get manufactured.

ICICI Pru Speaker: So, the capex which you are talking about, INR100 crores or INR150 crores, will be mostly towards the industrial segment?

Ashish Saraf: No, it will be both industrial as well as automotive. Because as we work with automotive industry and we do production, so we will enhance capacity as our share of business. There is also a lot of customers who are like, from an export perspective, we have one customer who is looking at exporting from here. So, we are kind of setting up a channel for that.

ICICI Pru Speaker: So, sir, the overall localization of 60% of what we traded will remain the same then? I don't think that is going to change?

Ashish Saraf: See, it's not going to -- I don't think it

's going to -- you will not see a significant change that year-on-year, it's going up by 5%-10%. But definitely, with the focus on regionalization and localization, right, we are going to in general manufacture more in India, right, depending upon the size of the bearing, it's going to be either in the SKF India entity, or if it is a large size bearing, it's going to be possibly in Ahmedabad. So, from that perspective, we will continue to see an increase. To give you an idea, at an overall level, my manufacturing content was at around 55% if you look at two years back. So, over a period of time, it's gone up.

ICICI Pru Speaker: But that's also due to the mix also.

Ashish Saraf: It could be all the factors. It could be automotive; it could be depending on where you are getting from. But we definitely see that this mix should improve. Again, you will not see a substantial increase that it will go and touch 80%.

ICICI Pru Speaker: But sir, in terms of growth, when you have explained all these segments, where do you see the most growth? I think rail will be the highest kind of growth. Now if the segments like rail or...

Ashish Saraf: No. See, we believe from a growth perspective, if I talk about industry, we believe the growth is going to be whole infrastructure there. So, we have seen strong growth in rail, we have seen strong growth in heavy industry, we have seen strong growth in metals. And also [general machinery]. So, these four segments from the industrial perspective are definitely going to have

a very good place. If that is the case, then our gross margins will take a knock. Because we depend on stable exchange.

ICICI Pru Speaker: What it means is that the industrial pie will increase more than the auto pie. So, as a result, the credit part will keep on increasing from a state of technologies or imports leading to a summit on the gross margins part. Unless the pricing is so good because of the demand which will take

care of it.

ICICI Pru Speaker: Do you guys see it at a ROC level?

Ashish Saraf: See, I don't see our net margins dropping. That I can tell you from an overall perspective. Our intent is to grow our net margins. So even though you might see a bit of a change in the mix and all that. Overall, I don't see our overall margin dropping from where it is.

ICICI Pru Speaker: Sir, this quarter if you see, there has been a fall in margins.

Ashish Saraf: Not really margins, we are pretty much in line with the last...

ICICI Pru Speaker: So, on the margins part, if you see like 2Q and this time there was a transfer pricing adjustment. So, we are on margins topic that go from there. So, 10.8 was the income margins. Okay, it's gross margins and everything. So how much of that had a retrospective transfer and adjustment impact?

Ashish Saraf: See, transfer pricing adjustment is a continuous process. You have to understand that the company keeps on adjusting whenever I import something. We continuously look at what price we are selling to our external customers, and we will continue to adjust our transfer prices.

Sometimes those adjustments may not go in line with the expected margins that we are expecting under the transfer pricing guidelines and that is where you see in a particular quarter our margins dropping.

Or suddenly in a particular quarter, you might see a spike in our margins. But over a period of time, it's going to kind of under the transfer pricing guidelines, we have to maintain a certain level of margin. So, if you look at a span of one year, the margins will be relatively flat year-on-year. That's not going to change because that's pretty much the one by UCP guidelines.

ICICI Pru Speaker: So, like 2Q FY'24, 10.8, the drop of margins, that was not...

Ashish Saraf: That's what I'm saying. That is because the margins for that quarter from a transfer pricing perspective got reported much lower than what it should have been.

ICICI Pru Speaker: But it had r

etropective adjustment for the previous four quarters as well. It was not just that one particular quarter mix.

Ashish Saraf: Again, as I said, you do a on a yearly basis. So, you look at what was your Q1 margin, what was my Q2 margin. Now Q2 margins came much lower than what it should have been because the prices at which I procured the material was much higher than the prices at which I sent. So, because of that, my margin tanked. So, we course corrected that as we move forward in this

quarter. So that over a period of time, it stabilizes and comes to the average margin, what we're expecting.

ICICI Pru Speaker: But why were the prices higher?

Ashish Saraf: See, I don't know at what price I'm going to sell it in the market. Now if you look at my trend, like if you look at say 2022, 2022, we had significant inflation impact for Europe, energy prices and all that.

So, we took a lot of actions in terms of taking prices in the market. So, I got a price which was higher than the cost that I was incurring for imports. Because that was based on a certain baseline of pricing that I'll do to the customer. As we got that visibility of higher prices, we corrected our costs. So, as you correct your costs to maintain a certain level of margin, your margins will slowly start aligning. No, because they would factor in that trend.

ICICI Pru Speaker: Because you're carrying inventory risk. Everything will get revalued. Everything will get revalued. Because that's the OECD guideline. Because you're carrying inventory risk.

Ashish Saraf: That's what I'm saying. Don't look at margins. My recommendation to everyone, don't look at margins for one quarter and take a decision. Look at for below one year.

ICICI Pru Speaker: Pre-OECD guidelines, this is the word captured in SKF Singapore. Today you're having to do it at this entity level. Is that a fair understanding?

Ashish Saraf: I don't know what used to happen in SKF Singapore.

ICICI Pru Speaker: But that was where I was, right?

Ashish Saraf: Yes, again, I was not there. So, I don't know what used to happen earlier. But definitely, we have to do it up based on the FEMA guidelines or based on the OECD guidelines. We have to make sure that we do it up by the pre-OECD.

ICICI Pru Speaker: Typical inventory period is how much for these things. So that's a fair bit of understanding?

Ashish Saraf: See, at least two months of inventory you're carrying. Because the lead time itself is two months.

ICICI Pru Speaker: But in China, we don't have as much lead time, right?

Ashish Saraf: On an average, it's still two months.

ICICI Pru Speaker: Okay.

ICICI Pru Speaker: 3% to 17% margins is what one should overhead with.

Ashish Saraf: That's what I said. See, current margins is around 15% pre-OECD, right? That's what we are seeing over there.

ICICI Pru Speaker: Sorry. Let's focus on that. So, okay. So, 15% PBT is where we should kind of -- and...

Ashish Saraf: That's a reasonable expectation with the current mix. Definitely, depending on how the mix evolves with respect to manufacturing and trade. To that extent, we will see something.

ICICI Pru Speaker: So, just to understand 15% PBT part, with localization which is going on, not just India, but SKF technologies. But we understand the major part because manufacturing has a higher amount of risk. They get the manufacturing margin. But with more localization, will the traded margins itself improve for us?

Ashish Saraf: Traded margins will not improve because it will still remain the same from OECD. It's not actually cost-plus but yes, it's a transaction net margin that's what we typically use. So that's not going to change over a long period of time, right? Some years you might see a blip where you can see a higher margin and all of that. So, unless your manufacturing mix changes or improves, or improves my margins overall in general, you will like it, you might see some improvement in my overall margin, but

it's not going to substantially improve from 15% to 50%.

ICICI Pru Speaker: What do you mean by transaction net margin? What do you mean by that? You will have a market price. From the market price, whatever is the volatility will be absorbed by the transaction. You will have a certain trade margin.

ICICI Pru Speaker: Let's say cost-plus.

Ashish Saraf: It is not cost-plus. In a cost-plus, the volatility also comes to you. The customer won't absorb. In a cost-plus, you're looking at the external market. This is inward. Sure.

ICICI Pru Speaker: Just one last question. Last time, the loan was around INR67.6 crores. Maybe the September figure or whatever is the latest. How much is that?

Ashish Saraf: I don't have the number. I don't know if we did...

ICICI Pru Speaker: INR120 crores or something. We had this...

Ashish Saraf: I think we had given them a loan of -- maybe you wrote me a note. I can revert on that. Because I don't recollect the number. I don't want to give you...

ICICI Pru Speaker: Half of the people have to publish a related party transaction statement. Or is it an annual thing?

Ashish Saraf: Related party transactions are published annually.

ICICI Pru Speaker: Okay.

Ashish Saraf: But I can give you an answer on that. That's not an issue. I remember a number, but I don't want to give you a number unless I am 100% certain.

ICICI Pru Speaker: One thing is on, earlier when the auto proportion was higher, 2-wheeler proportion was higher, there was an element of spurious thing in the market which used to impact the ability to sell the genuine one. With the industry becoming a larger proportion, has that issue become smaller or are the issues still there?

Ashish Saraf: I think the issue is still there. There are counterfeit bearings being in the market continues to be there. To address that we continue to focus on improving our reach in the automotive space especially. So, we continue to appoint a large number of distributors to increase our reach. In the industrial space we continue to work with the retailer network. We have a strong retailer network. So that they buy from authorized distributors or industrial distributors. And we have seen good traction there in terms of just increasing our market share in the aftermarket. Both in the industrial side as well as in the automotive.

ICICI Pru Speaker: And how would we -- the manufacturing ecosystem how would we, say, ring manufacturers or cage manufacturers or others. Has it ecosystem largely there or you are having to depend on few players who are very good and...

Ashish Saraf: It takes time to develop suppliers. Because you need a certain trade-off scheme in our business.

And you will have to work closely with your suppliers to build that network. We continue to increase but again I would still say that it takes years for someone to build that level of technology to give us a certain specific type of ring or a specific type called trade-off scheme that is required for manufacturing. So that still relatively remains limited.

And that's why localization takes time. Any localization that we do when we are looking at setting up a new channel if you don't have suppliers in place, it can easily take 2-3 years before you actually.

ICICI Pru Speaker: But the two recently listed ones, are good quality and this thing over it?

Ashish Saraf: Which two? I

ICICI Pru Speaker: Rolex and Kashia?

Ashish Saraf: Yes, they have been there with us for a long time.

ICICI Pru Speaker: And what critical mass will you bring a certain channel into the country or...

Ashish Saraf: See, whenever we are doing an investment, we look at the return on investment. In terms of whether we have the right volume or the capacity of the channel and whether we don't want the channel to be denied, otherwise we need to continue with it. So, we will do that evaluation. One of the good things that have happened is that we looked at the entire ISEA market.

ICICI

Pru Speaker: you are saying what market?

Ashish Saraf: India and South East Asia So that kind of gives us a clue at times So looking at the market requirements, which is there, looking at whether we will be able to have utilization, looking at the market price points to see whether we will be able to get a return on our investment. Based

on which we take a decision Typical thumb rule is if anything has more than 5 years of ROI, then we typically do not sell

ICICI Pru Speaker: Typically, more than sorry?

Ashish Saraf: 5 years of payback. More than 5 years of payback

ICICI Pru Speaker: This is PBT Yes, in terms of margins, generally industrial followed by CV and then PV, that is how the margin is there, highest in industrial, then will be the lowest So for us it would be similar given that there is a traded concept in industrial. And...

Ashish Saraf: See, all-to-all margin for industrial is higher right, but if you are trading, your margins are going to be lower compared to say an automotive business which you are actually manufacturing. And you are sitting with all the costs. So, all-to-all margins for an automotive business in SKF India. Is sitting in SKF India.

ICICI Pru Speaker: Yes, that I understood. So, what I am saying is that even including the traded and the manufacturing of industrial the net margins are higher than the overall auto sector or it could be at par because of the higher trade?

Ashish Saraf: I would say it would be at par. At par, if you purely look at SKF India. From SKF India.

ICICI Pru Speaker: From a growth perspective the parent, when they look at India, they wanted to grow at GDP.

Ashish Saraf: See, typically in terms of growth the way we look at it is that India's GDP growth is heading to 6% to 7% plus we have inflation of 4%-5%. So ideally, we should be growing at 10%-12%, here on that's pretty much.

ICICI Pru Speaker: So, they are not -- they don't look at the ability to gain market share as an additional.

Ashish Saraf: No, no, we look at that, but I am saying that in the long run, minimum you should be able to grow at inflation plus GDP. ...

ICICI Pru Speaker: And senior management organization. So is it are there ESOPs in the parent company or how is it, or is it linked to our option state to the current state based on the global shares or SKF India

shares Just because we are on this management part what is the update on Mr. Manish Bhatnagar As

hish Saraf: So, Manish continues to be the Managing Director for SKF India. Manish has taken the role of America's head. So he will move to Americas and basically looking for a replacement.

ICICI Pru Speaker: So long term growth you said is GDP but given that is currently going through an investment phase. So, what will be the growth period over the next five years? That is more important because obviously there will be periods of up cycle when the investment happens then a down cycle when the consumption happens. How are you looking at it?

Ashish Saraf: See as I said, we are not -- it's a mix of different industries. So, in some industries you will see a drop also for a short period of time. That's why I think the good benchmark is overall GDP plus inflation because you are operating in different industries you have a diversified portfolio. So, in some like for example last year there were a lot of investment in the metals sector. So, you will see a spike in growth happening in one year, but you will see textiles going through a lot of issues because of the election and all that.

So, you will see textiles probably going down because of that in the long term when you really look at it makes sense to look at overall GDP growth and the inflation. Plus definitely as you are

able to gain more, again we are expecting our team to gain market share but in the long term bare minimum you should be growing is GDP growth plus inflation.

ICICI Pru Speaker: Dividend payout.

Ashish Saraf: We will cont

inue as we did last year. Last year I think we gave a higher payout. So typically, I would say our assessment is that the dividend should remain again it should -- our profitability will improve so hopefully our dividends will go up per share but typically our intent is unless you are not doing any significant capex in investments at least whatever we are earning we should be paying out 40% to 50%

ICICI Pru Speaker: As you were mentioning about market share gains other players, other MNCs who are also investing they are also heavily investing here right the capex are huge. So how do you preserve your own market share given they would have the supply chain benefits and all coming in now? And they would have better pricing, better cost side?

Ashish Saraf: From our perspective one of the things that from an investor perspective we have always been able to leverage well, right, is we have been in India for a very long time we have had a very strong brand value with our customers. Especially when it comes to critical applications and the quality of product even when we go to the market the . first preference is a scale compared to our competition, right.

So that kind of gives you a significant edge and we are able to command a strong premium against our competition if you grew a page in the ball bearing stage. Even if you go and look at the price of our product versus you compare it with Scheffler and Timken most of the time you will find our pricing to be higher and the customers are willing to pay us more because we are able to create value for our customers we are focusing a lot more on value selling where we are closely engaging with our distributors, we are closely engaging with OEM players with our application engineers in terms of creating value and showcasing the long term benefits that they

will have by buying SK, right.

And that is what is kind of helping us command premium how we can help, bearing is a very critical application right, if you look at it from a manufacturing standpoint from a cost perspective, it's a consumer for that. It's not a significant amount of money, but it impacts their production, their production stops. So that is what we constantly engage in terms of creating a strong application team where we go and give right solutions to our customers. So that their bearings do not fail, right, as frequently as they used to fail earlier, which will help them improve their production and they will buy more offices.

ICICI Pru Speaker: EVs it is still ball bearing, so it changes right?

Ashish Saraf: In EVs it changes, I am talking about industrial.

ICICI Pru Speaker: So, the aftermarket is grown at the similar rate compared to overall aftermarket? Or aftermarket would go lower versus no product sales?

Ashish Saraf: No, no. Our aftermarket, see if you have better reach, you will be able to address the counterfeit situation in a much better manner. Our internal expectation is that aftermarket should grow at a much faster pace compared to the reach, because the long-term impact like OEM, there could be a certain project and all that like see a growth, but aftermarket should be consistently growing.

ICICI Pru Speaker: And the margins are high...?

Ashish Saraf: Then much faster. Thank you so much.

ICICI Pru Speaker: Thank you, sir.

Ashish Saraf: Thank you.

You may now disconnect your lines.

Kotak Chasing Growth, 2024

February 21, 2024

MANAGEMENT : MR. ASHISH SARAF , CFO , SPEAKER : ADITYA BIRLA  
SUN LIFE AM

Speaker: Thank you for the meeting, sir. What has happened in this quarter?

Ashish Saraf: From the market perspective, the growth story remains intact. You might see a blip in one quarter but overall if you ask me, India continues to be an outlier compared to all other markets and we don't see, unless there is an adverse situation globally, we don't see any significant change to that. We expect ou

r growth to replicate what we see in our overall economy in general. That is what is our expectation as the management of this business. GDP is at around 6-7%, inflation is 4-5% so easily bare minimum expected growth for our business is 10-12% yoy. We are aiming much higher and we expect to gain market share from our competition but bare minimum should be 10-12%. Having said that, global economy is in a volatile situation so we need to continue to be conscious as we move forward.

Speaker: When we talk about SKF, we will have to focus more on domestic.

Ashish Saraf: Its not actually that straight forward from a perspective that we sell to a lot of OEM's who are actually exporters. So indirectly, it could impact our demand as well. Lets take an example of Bajaj. Bajaj is a big exporter so if their export market tanks, they are naturally not going to buy from us.

Speaker: I agree on that part but I think in this quarter, to a large extent, we have had an advantage in the



sense that we have higher exposure on the 2Wheeler side and that industry is something which has been doing much better..

Ashish Saraf: 2023 was good year.

Speaker: So I basically wanted to know that within auto and within industrial, which categories are growing for you?

Ashish Saraf: From an SKF perspective, I will first talk about industrial. We believe that India growth story is going to be infrastructure led. So, sectors like railways, heavy industry, metals, textiles, fluid power, pumps and motors; these are the sectors which will continue to grow and this is where we are expecting strong growth yoy. On the automotive side, 2Wheeler we have been present with all the big players like Bajaj, Honda, Royal Enfield and we continue to improve our share of business with them so we expect the 2Wheeler market to continue to grow. On the cars, or passenger vehicle side, we are working with players like Tata, Mahindra, and we are participating with all the new models that they are launching. With other players, primarily Japanese or Korean players, they typically buy from their local suppliers so its relatively difficult to grow our market share there so that's where our 4Wheeler market share is not going to be as high as the 2Wheeler.

Speaker: If you have to slice the 12% top line growth, would you say industrial will be well above?

Ashish Saraf: I would say, at least long term we do expect industrial to grow at a faster pace than automotive but based on the visibility that I have for the current year, I expect 2Wheeler at a similar pace.

Speaker: Would railway be growing at a double digit?

Ashish Saraf: As I said Railway is going pretty well

Ashish Saraf: I can not give you a specific number but we expect most of our sectors to grow at more than 10%, which is in line with the GDP growth as well. Wind is one business which will probably grow at a much lower pace because we are doing portfolio management.

Speaker: In wind, how much would be the indirect exports based on the portfolio?

Ashish Saraf: I do not have that detail, and I can check with the concerned person. Because, we are selling to OEM's and then OEM's are either selling in India or exporting it so I would not know that breakdown.

Speaker: Last year I had heard a lot about wind and suddenly the pace has come down? Anything in particular?

Ashish Saraf: See , I do not know what you heard exactly but with wind one of the challenges we had in the - business in general is that the market was not giving the right price at which you could make a reasonable margin. As a company we took a conscious decision to look at the products and go to the customers to get a price increase from the customers or exit some of the products that we sell to the customers of the Indian market. So that is some action that we have taken in 2023 which has helped us improve the overall margin and definitely had some impact on your growth numbers. For 202

4, you may not see a significant growth in wind business as we move forward but intent is to grow our - margins.

Speaker: Has the market moved to class K?

Ashish Saraf: Not yet.

Speaker: Our railway is predominantly passenger based?

Ashish Saraf: That's right. Currently yes, its not that we do not have products related to the freight business. We have the products, everything is approved, everything is available but we want to ensure that we are getting the right pricing for our products. That is where we work closely with private wagon builders who are working with the government directly on the freight side.

Speaker: In passenger also there is a technology change now since you are going to Vande Bharat etc.?

Ashish: We are already there with them , Vande Bharat is buying SKF bearings

Speaker: As Vande Bharat will be using more of TRV's, earlier the portfolio was more of CRV's, SRV's so how does it change our positioning?

Ashish Saraf: With respect to passenger vehicles, we have a market share of around 40% plus, with railways in general and we easily expect it to touch 50%.

Speaker: Do you manufacture TRV's for railways?

Ashish Saraf: I don't know the specific ones that you are asking but most of the railway manufacturing happens in India, though it happens in the other unlisted entity

Speaker: For SKF, the traded goods continues to remain higher than any other player. Is there any road map?

Ashish Saraf: We have 3 factories in SKF India. Their capability is to manufacture small size gears. When looking at manufacturing large size bearings, it requires a different kind of heat treatment and different kind of channel and technical expertise which is not there with SKF India. We should

be able to produce a significant amount of volume for us to localise in India. If I don't have such a big market where I can localise or I don't have the capability or right grade of steel - looking at all those aspects, how much time it is going to take, what is the return on investment, capacity utilisation. Looking at all of that we decide whether it makes sense to manufacture in India or to buy from other factories. Otherwise you will be making a significant apex investment and not be getting any return on investment. It will make the financial situation worse.

Speaker: You're saying the demand for large bearings is not much?

Ashish Saraf: It has to have the right volumes. If you look at the India market, and if we are trying to make a certain bearing, we need to have a market and volume for the same, which we currently don't have. The focus is on localisation and Make in India. Our intent is to localise. One of our learning after covid was that there was a significant supply chain disruption so the focus for management is to create a regional localisation environment where we don't have to source from Europe or China. We have, within SKF, India and South East Asia as a business area so our focus is to basically manufacture for this region. Some of it could be manufactured in India and some in South East Asia depending on the supply chain situation but intent is to source locally.

Speaker: In a recent call, there was a discussion that you're closing down Korean plant and scaling down German plant and the intent is to localise more in Mexico, India and China? So is it for the local markets or for exports market and what is the quantum?

Ashish Saraf: Predominantly, its region for a region. Primary focus would be to manufacture in the region. So if we manufacture in India we want to manufacture for India and South East Asia. There could be export opportunities, like if a particular type of bearing relatively doesn't have enough demand to cater to India and South East Asia Market but it makes sense to set up manufacturing and we are looking at closing down say Germany, then we might supply from India for the entire glo

be for that particular bearing, but our focus is going to be India and South East Asia. It

depends on type of bearing. If we are making DGBB's or smaller sized bearing where we have capability in SKF India, we will manufacture in India, whereas if we are making a bearing for wind or railways which is typically large sized bearings, it will get manufactured where there is skillset and expertise for it.

Speaker: In the traded goods segment, how much would be imports and how much would be sourced from another substitutes? How would the pricing vary for both?

Ashish Saraf: There is no difference. Both are governed by transfer pricing regulations. It could be cheaper from cost perspective but from margin perspective as both calculated under the transfer pricing regulations would give you a similar result.

Speaker: How much is the import content as of now?

Ashish Saraf: I can broadly tell you my import content overall around 40% is what is traded out of which 30% is what I import from outside of India.

Speaker: This is for the finishing right? If I see the raw material import line item, that number would be higher.

Ashish Saraf: Component purchase would be relatively small and not necessarily from related parties. We might have suppliers from outside India and we might be importing from them.

Speaker: How big is the large bearings from this 40%? Since my understanding is you don't have the capability to manufacture large bearings in-house so it is outsourced.

Ashish Saraf: Majority of it. Railway and wind is getting manufactured out of Ahmedabad. Rest also, compared to the bearings that we make in SKF India, they are relatively bigger in size compared to what we make for the automotive market, as predominantly we are making DGBB's which are the small bearings. They might be smaller than railways and can be called mid sized which we continue to manufacture.

Ashish Saraf: Its a constant evaluation process where we have to look at what is the capability, where are we going to source the raw material from, whether we have the capability of heat treatment in any of these plants, whether the heat treatment plant exists in Ahmedabad so depending on all those factors, a technical evaluation is done where it makes sense. Then looking at the cost benefit analysis we decide where to invest, there is no one answer that can be given. We are making investment in SKF India also and continue to make investments in the Ahmedabad factory.

Speaker: I was looking at the calendar number of last year and you did almost 147-148 cr for 2023 in the listed entity? You are saying that there is no capability in the listed entity. How difficult is it You can easily do it in the listed entity.

Ashish Saraf: If you are putting up a heat treatment plant, you have to spend a lot of money.

Speaker: You have given a credit line of INR 450 cr to the unlisted co.?

Ashish Saraf: Understand, what the capex investment we have given them is to set up a channel. Along with the channel there has to be a heat treatment plant, which is already existing there so if I were to put up a channel in Pune, for heat treatment I have to send it to Ahmedabad which does not make sense.

Speaker: What is the biggest bearing that SKF India makes and if based on our capabilities of SKF India, how much higher can it go?

Ashish Saraf: I will answer this in a different way. Our manufacturing share is 60%. This share should go up, but it will not become 70% or 80% but gradually go up 1-2% yoy.

Speaker: If you are looking at growing the business, you are looking at plant addition and product addition as well. Product addition happens in the subsidiary part but rarely happens in SKF India part so from capability angle I wanted to understand that if product addition has to happen what can be expected from SKF India?

Ashish Saraf: Predominantly small and mid sized bearings is what is going to get manufactured. We make everything for the automoti

ve side, don't make everything for the industrial side.

Speaker: Since last couple of years, India has been talking about indigenisation here as well?

Ashish Saraf: To do one cycle of capex investment, once it gets approved easily takes 1 to 2 years to actually start producing. You have to order machinery which has a long lead time, install the same, have the supplies in place. The machines ordered are not readily available in the market, order has to be placed to an OEM which manufactures the machine as per requirement and they have a lead time.

Speaker: So the heat treatment plant is in Ahmedabad. The listed entity has enough cash and technology transfer can happen in this listed entity also. As a minority share holder we are trying to understand that why are you not incurring the additional capex in the listed entity so that we can have the benefit of the entire manufacturing capability that you have?

Ashish Saraf: When we look at an investment, we look at multiple factors. We look at the demand, we look at what is going to be the utilisation of the channel, what is going to be the technical requirement, what is going to be the supply requirement. All of those factors are going to be looked at and then a decision is made as to where we want to put up our manufacturing plant. The intent is not that because its a listed entity, we do not want to get the manufacture here, but what makes the most business sense for us is where the management takes the decision, whether to manufacture in the non listed entity or to manufacture in India or the SKF wants to go for region to region localisation so if there is a requirement of manufacturing plant in South East Asia which will cater to the entire South East Asia and India market then we will decide to make an investment in South East Asia. So that is how decision is made but overall intent is to make sure that we are able to cater to the India and South East Asia market from this region itself.

Speaker: From the unlisted entity, how much percent is the export?

Ashish Saraf: I do not have the number but it will not be very significant. The unlisted entity is not very big, it is only 1000 cr. turnover in which we have 2 businesses, which is lubrication and sealss which has nothing to do with this entity which would be close to at least 50 percent so we are talking about a relatively small manufacturing presence which is in Ahmedabad.

Speaker: Going into the raw materials, almost 1400-1500 cr. is related party purchases from SKF entities which would include some traded goods as well as some components. So are there any plans that actually look into it?

Ashish Saraf: I already gave you the answer to this, that these are all the criteria that we look at.

Speaker: But this number is actually stagnant and the traded goods number is going down?

Ashish Saraf: The business is growing. If your number is stagnant that means the proportion is going down.

Speaker: SKF Germany is the largest one.

Ashish Saraf: You were a part of the call where we clearly stated that we are looking at making investments in India so isn't that very - clear that we are looking at closing down Germany and Korea. Our strategy is region for region and we have nothing to do with China. Our intent is to manufacture for this region ISEA ,so if the demand is there, the demand has to be big enough to be able to cater to India and South East Asia market. If the demand is not big enough, we will continue to import from either China or from Europe for certain type of products but where we have decent demand in place, where it justifies the investment and pay tag then we will make that investment.

Speaker: From EV side when you mentioned about the customers there was none of the new gen EV customer?

Ashish Saraf: I didn't talk about EV at all. We are working closely with Ola and Ather. These are the two big players on 2Wheeler side. On the car side, Tata and Mahindra is a big player

and we are working with them.

Speaker: For a like to like 2Wheeler, what would be your typical realisation for an ICE engine versus an EV?

Ashish Saraf: I don't have the exact number to answer that but basically the number of bearings are going to come down in the EV space so you are consuming lesser but the bearing price is going to go up.

Right now the EV share is very -nominal compared to the normal ICE so from that perspective we don't see any significant impact but if I supply the same set of bearings or reduced number of bearings at a price point at which I'm selling versus the price point at which I was selling

before, we don't see any impact on our top line.

Ashish: Send mail on investor email id, and will reply.

Speaker: In terms of margins, . Ashish Saraf:: Look at margins over a period of one year.

Our intent is also that the margins do not fluctuate that much but predominantly it happens because of the traded products and the way the margins are calculated as per the transfer pricing. I cannot control the price at which I am selling to the external market and I don't know at what

price the product is going to get sold. I have a reasonable idea but not the exact price. When the group looks at pricing our traded products they look at the previous quarter data as benchmark so based on this they price the products accordingly. If there is a gap, which will either create a substantial increase in the margin in a quarter or in some quarter it can be reduced so there has to be a course correction that has to be taken in the subsequent quarter but over a period of 1 year we ensure that we comply with the transfer pricing guidelines and meet the overall operating margin.

Speaker: After market sales?

Ashish Saraf: Around 35 percent is after market for auto plus industrial.

Speaker: If I look at your gross margins, between manufactured and traded gross margins from the Annual report data, I see a trend that manufacturing gross margin has been trending downwards. The best you used to do was 58-59% gross margin till maybe FY21. In fact FY21, you did 60%, FY22 was 48% and FY23 was 49%. What is the reason for this declining trend in manufactured goods gross margin?

Ashish Saraf: I need to go back and look. In one quarter, you might see a blip. But my manufacturing margin should hold good. Maybe the way you and I are calculating is different.

Speaker: We get the raw material purchase, finished goods purchase and also the inventory related data, so we can easily calculate it. That's a straight forward calculation.

Ashish Saraf: If you are looking at raw material, that's only the raw material cost that is coming. What about other costs with respect to manufacturing, you are not considering that. You are only considering the raw material cost and calculating it because as you are manufacturing there are a lot of other value added costs in terms of manufacturing which are all sitting in different lines, so you might probably not be able to calculate the margin because my manufacturing margins have pretty much been holding. There is always cost incurred in case of wage increase etc. Steel prices have been relatively stagnant so I don't have reasons to believe that my manufacturing cost would substantially go up. Based on what I have seen, manufacturing margins are relatively stable. We might have taken a pricing action last year, compared to the pricing action that we have taken this year because we have not seen a significant inflation with respect to manufacturing so to that extent the higher margin that we got because of the pricing action that we took last year versus this year, that could create an anomaly but other than that its the same margins.

Speaker: Wanted to understand about the other income and any particular one off's there?

Ashish Saraf: Other income is predominantly income from term deposits that we

do for the access cash. We

had a pretty good working capital situation last quarter, but the cash flow was pretty good last quarter and we generated a lot of access cash that we parked in form of term deposits.

Speaker: Industrial is 20% of the business in terms of revenues

Ashish Saraf: Its 50%.

Speaker: The OE part, excluding the after market, industrial OE is...?

Ashish Saraf: Industrial OE for the overall SKF India revenues should be around 25-30%.

Speaker: Do you put wind as a part of this and how big would wind be. Just wanted to understand, the revenues have been declining the past few quarters. Is it more because of wind?

Ashish Saraf: Wind is 4% of the overall revenue. As I said, other sectors have been growing. 2023 Q1 and Q2 was big for us, for wind because wind is also a cyclical business. Q4 the wind was smaller that's why 4%. Wind is actually 5% as of 9 months.

Speaker: What are the other industries that you're exposed to?

Ashish Saraf: As I said, railways, wind....

Speaker: Do you categorise it separately?

Ashish Saraf: Let me simplify it for you, there are 2 sectors : Industrial and automotive. Industrial is all industries excluding auto which includes wind, railways, heavy industry, metals.

Speaker: Could you also simplify the 9 month split...of railways?

Ashish Saraf: Railways. 7% of overall. Heavy industry is 5%. General machinery overall would be 8%. Auto would be 30%.

Speaker: General machinery would include metals?

Ashish Saraf: No, metals is separate. Metals is 2%.

Speaker: Is after market a better margin than this?

Ashish Saraf: Yes.

Speaker: You were the first ones to get into the AMC kind of format?

Ashish Saraf: That's right. On the industrial front, we do something called Rotating equipment performance

where we work with some of the big players. Our revenue model is based on productivity so our intent is to work with them and basically look at the rotating equipment and see how we can improve performance through condition monitoring and adding sensor to those bearings and ensuring that we suggest or recommend the right kind of bearing for the right application to ensure that their breakdowns come down and it helps them manufacture the product they want, predominantly in the metal segment. That is where we work with a lot of end users which will help them improve their productivity and they pay us in terms of production. That helps us gain 100% market share for that particular plant.

Speaker: After market replacement which is 35%, it has not improved?

Ashish Saraf: All other businesses are also growing so if you look at it as a percentage of revenue, it is pretty much similar. The industrial after market is around 25% and auto after market is ...

Speaker: Earlier the number used to be 15-16%?

Ashish Saraf: I don't know 2-3 years ago, since the time I have been here they have not done any....

Speaker: What is the 9 month split of Auto in 2 wheelers, 4 wheelers?

Ashish Saraf: So cars is 5%, 2W is 13% and we have something called power train which is 6% and tucks and tractors would be around 6%. Powertrain is basically suspension equipment.

Speaker: This month ICE was 13% ... replaced with higher value based ICE to EV conversion, the business which can be...?

Ashish Saraf: Automotive business is around 40%, so, if I take an example of 2Wheeler, which is around 13%.

If we are talking about replacement in the long run, in that some portion of 13% will remain in ICE and some portion would go to EV. Similarly you have after market for that which is another 11% so that will be over a period of time.. so around 24%.

Speaker: So entire after market is 2 wheeler mostly?

Ashish Saraf: No, not entire but majority.

Speaker: Can you show where the mix is higher terms of products so we can understand if something sells more from ASP or magic perspective? Lets say auto vs industrial.

Ashish Saraf: The highest margin is in the aftermarket. Fro

m a margin perspective, manufacturing will give you a higher margin in general versus traded, because you are a marketing company so you have to share your margin with the manufacturing companies. That's how you should look at it.

Speaker: If 2 wheeler is doing better than...

Ashish Saraf: Automotive is mostly all manufacturing so that's anyway higher margin and it is 95% localised.

Speaker: And industrial currently is only 35%?

Ashish Saraf: 35-40%, but out of that 35%-40%, 10% is happening in Ahmedabad and remaining 30% is happening.

Speaker: Can I understand if you said that industrial 35% is in house manufacturing, 65% is imports and within this 35% also 25% is in listed entity. You are guiding that this 35% would become 60-65% over time?

Ashish Saraf: My manufacturing overall is currently 60% and over a period of time, that 60% will...when I say you see it...

Speaker: Can we break it down? Auto is anyway 95%...

Ashish Saraf: Again, when we look at manufacturing we look at overall..industrial for the listed entity is around 25% and you would see an increase by every year by 1 or 2%.

Speaker: That's it, right. That's helpful. If I look at the annual report, manufacturing was 56% in FY22 which fell down to 49% in FY23. You gave us finished goods in schedule and traded goods so its a very simple calculation. Unless components are imported so it may not be applicable.

Ashish Saraf: Again, the data that I have I can clearly see manufacturing is 59% for the 9 months that have gone by.

Speaker: So, it has increased sharply.

Ashish Saraf: We were earlier at 55-56%.

Speaker: On your top line you are guiding 10-12% revenue growth..

Ashish Saraf: Again, in this 41% as I said 10% is Ahmedabad, 59% is SKF India yeah, that's right.

Speaker: So you are guiding for revenue growth of 10-12%?

Ashish Saraf: We don't give any guidance.

Speaker: But the nominal GDP is that much so it has to be around that, unless we are doing something wrong. I want to understand, the aftermarket, does it typically grow faster?

Ashish Saraf: We expect it to grow faster, we do a lot of investments with respect to improving our range by new products in the aftermarket so that we are able to give combined solutions in the after market thus increasing our range. So because it is a higher margin, our intent is to grow it at a much faster pace.

Speaker: Thank you.

MANAGEMENT : MR. ASHISH SARAF , CFO

Mirae Speaker: So, if I look into 9 months, clearly, we see that growth has sort of normalized quite a bit. I mean, in fact, below normal, right? I mean, I think our discussion, our earlier discussion was always 1.5x of GDP.

Ashish Saraf: That's right.

Mirae Speaker: And 9 months is 5%?

Ashish Saraf: That's right.

Mirae Speaker: So, what is going to might have led to this sort of sudden growth slowdown?

Ashish Saraf: And yes, see, I would say, see the first two quarters were relatively better, right? If you look at it, I don't have the numbers, but Q1 and Q2 year on year were much better. Q4 is where we've had relatively much lower growth of overall 1.5%. And if I look at my Q4 results, right? What has happened is, one is we have had relatively lower growth in the Distribtuon market, right? And second is we also had a bit of an operational challenge in Q4. We basically deployed SAP, right?

So, and that was basically effective 1st of October. So, once we deployed SAP, we had certain operational challenges in terms of systems that are typically the key issues that you have, right?

So, in October and November, we're dealing with a bit of that, because of which a lot of customers in general machinery, we were not able to supply on time.

Mirae Speaker: So, the CRP and all that system...

Ashish Saraf: So, we were using a legacy system, we moved to SAP in 1st of October. So, tha

t had a bit... I

would not say that that was one major issue, but one of the reasons which kind of impacted relatively growth in this quarter.

Mirae Speaker: Impacted the billing part of the market?

Ashish Saraf: Yes, the billing part of the market.

Mirae Speaker: But if you exclude this much, I mean, how... Instead of 1%...

Ashish Saraf: I would say it would have been... See, one was this, second is distribution. And there was also one more reason, what we did is that we did a lot of customer pruning for the wind business, right?

So, if you compare year on year, you're not... Like our wind business have relatively remained stagnant, right? And one of the reasons is that on the wind business, we're not making significant, right?

We're not making enough money. So, we consciously took a decision to look at our portfolio for

the wind business, look at our customers, and basically prune those customers, either exit those

businesses or get a price increase. So, because of that, our wind shares relatively dropped in 2023 compared to 2022. We've not had any growth in the wind business.

Mirae Speaker: On Y-o-Y?

Ashish Saraf: On Y-o-Y basis. So, that's where, if you see our

Mirae Speaker: So, wind was like 8% of the business?

Ashish Saraf: Yes. So, it's come down to around 5% now.

Mirae Speaker: That means we were very defensive.

Ashish Saraf: Year on year, yes.

Mirae Speaker: Otherwise, one would have thought this is a promising, reasonably good growth area. So, who else was therefore spoiling this?

Ashish Saraf: Wind, historically, has been like, if you look at it from a market perspective, they've not been paying so well, like in general, the rate at which they were kind of selling energy versus the investment cost, which is more. The returns that the Wind were getting were much, much lower, right? So, that is where...

And we were either manufacturing, even though a good portion of it gets manufactured in India, we still have to import components from Europe, right? So, that is where relatively, from a cost perspective, we're turning out to be expensive. So, one was outward where the pricing was not right.

Second is inwards. So, we're looking at both and we're trying to see how we can kind of optimize and do more localization, as well as going back and asking customers for a better price.

Mirae Speaker: As far as if the industry, if your customer was squeezing you so much, it's also your own manufacturing, whatever it is.

Ashish Saraf: So, it's a mix of both. Mix of both.

Mirae Speaker: So, therefore, there will be some other player, maybe another, who is gaining at your cost. Could be. So, this is also, I mean, like 3% impact on the world, I mean, and then another 3%-4% helping people out.

But still if you adjust for that, I mean, it could have been 7%. So, it looks like, I mean, the industrial aftermarket has taken a lot. But in terms of cement and steel production in India, it's relatively okay still. I mean, aftermarket...

Ashish Saraf: Aftermarket in general, I would say, as I said, on the metal side, we saw, again, to me, it was more of like we were looking at renewing a lot of our aggregate contracts with our end-users.

And because of that, we've taken pricing actions with them. So, they've definitely reduced the share of business.

Now, we're looking at taking that share of business away.

Mirae Speaker: But how are you taking it? Others have not. There are also other ways.

Ashish Saraf: See, again, see, the way these OEMs work is that they sign annual rate contracts with all the suppliers. Right? And whenever there is a delay, we're asking for a higher price and all that. So, they said, okay, we have something in place to do. Other suppliers, they will go and procure it for the time being. And now, once you have the agreements in place, you can go back to the...

Mirae Speaker: So, industrial aftermarket was around 25% for us?

Ashish Saraf: That's right.

Mira

e Speaker: And now, it is... It is similar. And Q3 might have seen it. Q3 is... Q3 financial year or Q4?

Ashish Saraf: Q3 financial year.

Mirae Speaker: Autos, right?

Ashish Saraf: See, autos also on the aftermarket side for auto, we've also seen. So, for Q4, I'm talking about that. That's right. So, that is where we're realizing is that the competition is putting a much lower price. They have kind of reduced their pricing and all that. So, that is where we are focusing on how we can kind of gain market share.

You introduce a better way to gain... To overreach, to find more distributors. So, we are focusing more on that, creating a much more lucrative incentive programs for our channel so that we can kind of improve for the market share there.

But these two areas, I would say, distribution and aftermarket... Sorry, aftermarket for automotive. These are the two which didn't do so well compared to what they were doing. Q3, I would say.

Mirae Speaker: So, last time when we spoke about... Like as we mentioned that clearly we are trying to increase the reach, range of delivery and the coverage in distribution has almost jumped up to 70% of the touch points and all. So, despite of that, I think the segment has not done well. And ideally, some of these...

Ashish Saraf: See, I would say Q4 is a blip. We have not seen that impact. Again, as I said, this is one of the impacts because of the city issue, because of federal rate contracts, renewals, and some of the market challenges that we face on the BSM. It was not so much because we didn't have the reach and all. So, that is something that we are course correcting as we move forward in this. Sorry,

what did you say? Sorry, just automotive aftermarket. We basically call it as vehicle service market also. Mi

rae Speaker: So, competition I guess is rising. It is relatively a fairly consolidated market X of China. In China, ideally, unless it might have come back in a very big way because of COVID and now it looks like a fair bit of a market share for UMNC companies. So, that thing is now sort of

reversing. And when you say it is rising, is it by the Chinese player or is it by X of Schaeffler or someone else?

Ashish Saraf: So, it is more of... Again, our biggest competition in the automotive space is Schaeffler. So, that is where...g

At least that is what the news that I keep on hearing from the team is that they have like... The reason why we didn't prove is that we didn't have a very strong incentivizing program for our channel. So, that is what we kind of corrected.

Which is some of it is price play and some of it is what we pay. Because a lot of distributors in the automotive space are not single, but they are basically multi-brand distributors. So, they will push a product where they get a higher incentive. So, that is what was one of our thing

Mirae Speaker: If you think of your quarterly 3Q versus last year's 3Q or your 4Q, you had no flattish sales growth. I would have thought that there was clearly a tailwind on your raw material and yet your gross-margin shrank. So, this is meaning you passed on some pricing or you didn't and yet you couldn't grow and those guys were even more aggressive or how did you do it?

Ashish Saraf: See, again this quarter year on year our margins have been flat, right?

Mirae Speaker: As it is at the gross level.

Ashish Saraf: Okay. See, when you look at gross level, I would say because you are only looking at raw material costs or traded costs and material costs and you are kind of calculating that. Whereas, in case of manufacturing, there are other value-added costs also which we incur in a regulatory way.

So, I don't think you would be doing the right comparison. Rather than that... See, because our manufacturing margins are... Did slightly went up because of higher value-added costs that we had in this quarter, right? But it was not very significant. Our traded margins improved quarter ov

er quarter.

If you look at second quarter versus third quarter. But compared to last year, our traded margins were relatively lower. So, that is where our margins are relatively slightly lower than last year.

Mirae Speaker: Again, just pressing a bit on this replacement side of it. I mean, if I am understanding it, it is such a steady, stable, most profitable business and some of these tactics by let's say competition and all and our inability to really react accordingly. It looks very, very weird in that sense, right?

Ashish Saraf: That's what I am saying. See, for this quarter, in the auto distribution space, that is the input that we got from our sales team to look at our incentive programs. Kind of look at it this quarter and try to do a prediction.

On the industrial aftermarket, as I said, there was a one-off because of contract renewals with some of the end customers, which impacted on the volume that we were expecting that we would buy. So, that should post-correct naturally this quarter.

Mirae Speaker: In nine months, what would have been the volume growth? Let's say sales growth is 5%.

Ashish Saraf: Nine months, what would be the volume growth? Nine-month data, what would it be? I won't have. But last quarter, the volume, there was an overall, last quarter, there was a volume.

Mirae Speaker: And on industrial OEM side, what is the growth rate?

Mirae Speaker: No, no, industrial OEM side. And also, maybe nine months of full calendar year if you can just again help us understand the breakout process.

Ashish Saraf: Sorry, your question was, what is the year-on-year growth of the OEM, industrial OEMs, right?

Industrial OEMs would be much higher. The overall growth for industrial was 5%, right? For the nine-month period. All of which, my distribution has grown by 3%. So, distribution was almost 50% of your business.

Ashish Saraf: That is 7%.

Mirae Speaker: So, 7% is what would be yours, for the nine months period. But after considering wind

Mirae Speaker: That is like more than 10%. And same for auto, that's 9%.

Ashish Saraf: So, for auto, again, it's similar, 4% plus. And distribution has grown by negative 1%. Auto OEM has grown by 6%.

Mirae Speaker: And exports?

Ashish Saraf: Export year-on-year has grown by 8%.

Mirae Speaker: In exports, is there some mint or market, whatever you are getting to supply to the chain?

Ashish Saraf: We supply to other SKF companies

Mirae Speaker: And are you replacing some Chinese firm in?

Ashish Saraf: See, exports, again, our focus is predominantly the Indian market. Exports are purely dependent on what the, like we don't really manufacture for exports. We manufacture or we build capability to get address to the Indian market.



Indian market, and I would say to a certain extent, now the investments that we are making in India also look at Southeast Asian market because our strategy is region friendly. So, because of that, there could be some exports happening to Southeast Asia. Or, in case there is a requirement that comes in from Europe or America, then we export them.

Like, for example, railways. But again, that's not the same thing. So, I would say mostly exports is to Southeast Asia.

Mirae Speaker: So, that's anyways what you articulated. I was just wondering, if I agree, I have heard Manish I thought saying that. There is always something between parts. And he was also, I mean, overseeing the Southeast Asian market.

Ashish Saraf: That's what I am saying. How will we look at our manufacturing capability for the existing capability that we have or any new investments that we make, say. We always look at not just Indian market, but we also look at Southeast Asian market.

So, because of that, if you are putting in an investment, we are putting in an investment not just for India, but for Indian Southeast Asia. So, that could have an impact on the exports or the things that we are exporting. And vice versa.

Like, if we have a manufacturing which is happening in Southeast Asia, and that can cater to the Indian market and it makes business sense for us to import, then we can import to Southeast Asia.

Mirae Speaker: And this rotating thing, is it?

Ashish Saraf: Rotating equipment performance.

Mirae Speaker: Yes, how is that?

Ashish Saraf: I think, see the way we are looking at the entire business, right? One of the things that we have realized over the years is that one is that we are a bigger brand in this sector. Our customers are buying us for critical applications, right? We ask customers because of that; we ask customers to pay us. So, most of our products are priced higher than our competition.

The question is, why will our customers buy from us? So, we focus on doing a lot of value selling to our customers, where we make sure that we engage our application engineers to work closely with our customers, with our distributors, and with the OEM partners to make sure that we are able to create value. So, one of the ways is doing this rotating equipment performance, with especially customers in metals and pulp and paper, which are basically having big manufacturing plants, where that is where we go and put in that, where we get our application engineers and help them drive productivity, which in turn, they will have to also compensate us for that product. So, but the way I would put it is that rotating equipment is one of the solutions. The way we are positioning ourselves is to create value and ask customers to pay us for that value, rather than the price.

Mirae Speaker: I mean, if it's salience in the world, the whole world should become larger.

Ashish Saraf: So, again our overall services business is growing in general. So, typically it's around 5%.

Mirae Speaker: Rotating equipment?

Ashish Saraf: I would not say rotating equipment, I would say generally services business, which includes railway remand, which includes REP and all that, and that share is constantly growing.

Mirae Speaker: On the wind side, I mean, some of the OEMs in India, they are getting a lot of bonuses. We have, I mean, our salience has declined over time, but what is output going forward?

Ashish Saraf: See, again, as I said, that from SKF perspective, we would like to do profitable business as a company, right? So, there are certain products or product ranges where it actually doesn't make sense for SKF. We would either ask customers to give us better pricing, or we would be happy to kind of exit that particular business.

Mirae Speaker: So, just to clarify, you know, in the wind, as you say, there is traction, and the bearing would be so critical, you know.

Ashish Saraf: Yes, but the customer should be willing to give us better pricing.

Mirae Speaker: Who is spoiling the market? Yes.

Ashish Saraf: So, there is a schaffler which is there, they are selling at a much lower price, I mean, I wouldn't know exactly, but to me, it's pretty much the same competition. So, they are selling at a much lower price.

Mirae Speaker: So, this trade-off is still not completed? From our portfolio perspective, mostly we are done with it, right? Now, basically, this is the, like if the number that you are looking at is probably the bottom, right?

Ashish Saraf: From here we go up. But we will be choosy, that's what I am basically saying, that we will not take on any business that comes our way. We want the business to be profitable, and based on this, we will take it.

Mirae Speaker: But is there some circular advantage? Maybe they are manufacturing completely, they are more backward integrated.

Ashish Saraf: I have no idea, but at least what I have heard is that they have a lot of manufacturing happening in Eastern Europe, right, which is relatively lower cost, compared to we have in Europe. That

could be one of the reasons.

Mirae Speaker: So, you guys make bearings?

Ashish Saraf: See, we make a lot of bearings in Ahm

edabad, for the wind, but we have to source the components still from Europe lot of components, right, so that increases our cost. So, that is what is our journey to see how we can do it.

Mirae Speaker: I mean, but at the end, they are making a decent amount of those, some of those components, I would say they might be sourcing from a low cost.

Ashish Saraf: We really don't know whether it's this competitive pressure is here to stay, or whether, you know, I don't know, but if you look at our competition profitability and all that, their margins have also kind of declined, right, it's not that their margins have significantly improved. So, maybe they are taking a lot, they are taking a loss.

Mirae Speaker: So, we have to step back a bit. From here, where we are, you know, if we have to go back to that equation of your growth outlook related to system growth, what are you guys confident of seeing?

Ashish Saraf: See, again, our intent from our, I mean, I can't give you an outlook, but what I can tell you, our intent is to grow the GDP plus inflation, right. So, in terms of internal plans, we have plans to grow at a much faster pace than GDP plus inflation, right? So, anything lower than that could be a blip, right, but our long term or mid-term intent is to minimum grow GDP plus, and that kind of continues to remain.

We are not seeing that changing, at least, like, for a forthcoming year. Again, the global environment remains volatile. A lot of OEMs who buy from us, they are also exporting, right? So, what you see as exports are only direct exports, but there is a lot of indirect exports that happens. So, if their demand shrinks, because globally except India, everybody is in a kind of regression, So, naturally, we will see some impact of that coming to us.

Mirae Speaker: And from the margin front... We were surprised.

Ashish Saraf: Yes, very surprised. I know, one is, again, this transfer pricing.

Mirae Speaker: We are never able to understand certainly in a quarter what exactly you are trying to say. So, that is one. If you can just help us understand, what is the right thing to look at?

Ashish Saraf: See, one is that don't look at margins, right, on a quarterly basis. Sure. Look at it on a yearly basis.

Mirae Speaker: Right.

Ashish Saraf: Second is, because what happens is that my cost of the products that I get from the groups or from the trading companies of the related party companies, right, is based on the previous quarter margins, right, that the companies make, right. Now, if my pricing changes, right, because I'm going to get to know the actual pricing only once the material arrives and I shift to the customer. But I have already the input cost of the product is already based on the projections of the last quarter.

So, if there is a variation because of that, right, you will see a sudden change in the margins, right, because the group looks at the trend, right, the person who's doing the transfer pricing management, you look at the trend, okay, what is the price increase, which has happened quarter over quarter versus what is the cost that I'm paying. If the price increases, right, the price increase trend continues, then my cost should be X. Now, if the price increases relatively flat that quarter, but it has increased the cost, my margins will dip in that quarter.

Then in the subsequent quarter, we will post-correct the cost. So, that keeps on happening on a month-on-month basis, right, which we keep on doing to make sure that we maintain the adequate margin under the transfer pricing management. So, from a full year perspective, you will not see a significant change in my margins.

One year could be a blip, right, like for example 2022 was relatively a blip where you had a very higher margin, right, because there were a lot of pricing actions that were taken. So, there was a constant catch-up which was happening quarter over quarter, but we're still maintaining a m

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higher margin of 75%, right? But this year, that like, relatively the pricing actions have stabilized because you don't see so much inflation happening, right?

So, the catch-up has happened and one quarter, more catch-up happened than what should have happened because it relied on the trend. So, it's kind of subsequently post-corrected.

Mirae Speaker: So, what does that mean? There's 15, 16 rather than 17?

Ashish Saraf: Yes, yes, yes, 17 is a, is a, is a, I would say a lot better, better sense of the trend.

Mirae Speaker: So, what if I look into my last year notes again from our last meeting, you called out that we have been culling out a lot of unprofitable customers as well as the products. So, to that extent, the margin range has to be 17 to 20.

Ashish Saraf: I don't think I ever said 17 to 20. But, see, definitely, if you are, see, on the traded markets, you need to understand that portfolio management not necessarily will see between trading markets

because you are making marketing margins, right? So, portfolio management doesn't have so much of an impact with respect to traded products. With respect to manufacturing products, definitely, if I'm improving my margins, it will improve.

Mirae Speaker: So, again, let's say if I look into purchase of stock in trade, right? I mean, so purchase of stock in trade, which I presume is typically the sourcing piece, right? Which is there in the P&L, right? I mean, which might be occurring from group entity either SKF technology or maybe India. So, that is around 35% of sales, right? Purchase of stock.

So, we only do make marketing margins, right? So, that is what the gross profit on that 35% of sales might be worth then.

Ashish Saraf: See, we don't look at it from gross money, we look at it from net margin.

Mirae Speaker: Yes, let's say with the margin on that.

Ashish Saraf: So, net margin typically based on the, see, every year, what happens is that there is a comparative study, which is done, which one has to perform under the tax office, where you look at if you are doing selling a similar kind of product, what is the typical margin that you would make and based on that study, a certain margin would come and that is a margin that would have to be taken. But that, again, to answer your question in simple terms, my traded margin would be lower compared to manufacturing margin. Typically, my traded margin would be a single digit margin. At a PBT level? At a PBT level.

Mirae Speaker: The definition is not there in that. Because you will not be having that definition.

Ashish Saraf: But again, I am saying PBT to PBT, if you compare manufacturing versus traded, my traded margin would be single digit, whereas my manufactured margin would be higher.

Mirae Speaker: Again, looking to, I mean, let's say globally, SKF makes more tilted in favour of industry. We are still 53% globally. Now, with all these, India also, all this manufacturing thing going on, all that.

But do you think any other sort of incremental opportunity coming in from, let's say, global portfolio, which we might not be having at this point in time? Yes. Particularly on the, basically, on the industrial side.

Ashish Saraf: See, we are, we are heading to the India market. So, the market is there already, right? So, the focus is predominantly that India manufacturing sector is growing. So that should be, and there's a lot of investments happening on the infrastructure front. So that is going to trigger the growth for the industrial business. And industrial business will grow at a much faster pace because there's more investment happening in the industrial sector compared to the auto sector.

Right? That's why, and SKF has been traditionally very strong in the automotive space in India. That's why we have been having a higher, if you look at the mix, our automotive mix has been higher.

So, because of that, the mix is always going to be a bit skewed when you compa

re it with the

industry. But we expect the industry to grow at a much faster pace compared to the auto sector.

Because of the sheer investments which are going in and the focus which is there on manufacturing.

Mirae Speaker: But then higher industrial mix is bad for the margins.

Ashish Saraf: See, over a period of time, you have to also look at it from a strategy perspective. Our strategy is region for region. Right? So purely you look at it from an SKF India perspective, I also expect that over a period of time, the mix should get better. Actually, it should continue to get better.

It may not improve significantly in a short period of time, but you should continue to see a couple of percentage points improve and it doesn't move forward.

Mirae Speaker: Is that has happened? Let's say in the last year.

Ashish Saraf: So, say for example, right now we are at 60%.

Mirae Speaker: 60% as a company or...

Ashish Saraf: 60% which we are manufacturing.

Mirae Speaker: Just for industry. Or for others

Ashish Saraf: And earlier it was around 56%, 57%

Mirae Speaker: 58% was last year's report, 60% is local manufacturing.

Ashish Saraf: So that's why I am saying 1% or 2% is again, you will, you should see because there are KFX investments happening in this entity also. That should over a period of time and with the make in India group calling out India especially that they want to invest more in India that would help.

Mirae Speaker: This means that the world group was a task to increment the money more aggressive.

Ashish Saraf: See the thing is again when you do localization there is an again from SKF India 16% there is non-listed entity

Mirae Speaker: So, I mean on a normalized basis from Q4 onwards, can we expect the double-digit growth in revenue, because there were certain

Ashish Saraf: See, I can't give you an outlook, but I can tell you internally we have plans to grow double digit.

That's -- we are naturally, as I said, GDP growth in 2024 is expected to be 6%-7% in case it's 4%. We're not really growing.

But if you're not growing at 11%-12%, then you're not justified. Again, having said that, we are also operating in a volatile economic environment, right? India is an outlier. If you look at how exports will play out for our OEM suppliers and all that, that is only the time will tell. We don't have that visibility. In terms of our plans, we have plans to grow, at least at that pace.

Mirae Speaker: If you snap your industrial portfolio versus the opportunity set in India, where is it that you need to spend the net? Do you think you're covering more through manufacturing?

Ashish Saraf: See, from a market perspective, we are covering all the sectors. I don't think that's an issue, right? Definitely, we can gain more market share if we can be more, like say for example, in the freight business, we can be a lot more competitive and we can gain a higher market share, as long as we get the right pricing for the product.

Mirae Speaker: Again, is there some issue there?

Ashish Saraf: See, we are maintaining a reasonable market share there, but we are not very aggressive in terms of gaining a higher market share, because it has to really give us good returns, right? If it's not giving us good returns, then we are okay with that share going to our competition. So, like this way, there are certain pockets where internally we are focusing on how we can improve our operating efficiency before we gain a higher market share.

The market is available, but we're not going after it financially, it will not make sense.

Mirae Speaker: When you say, I mean, for the rate, for instance, this is manufactured in your own estate? It's just manufactured in the estate. Does it mean you get just the trading margin?

Ashish Saraf: We get the trading margin, but the point is that, okay, even if I get the trading margin, overall, my profitability, you might say the 1% points are coming down, but there is a top end a

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Mirae Speaker: But if you are leading in India versus whoever it is, how can you be so uncompetitive? What's your market share? I mean, how much are you targeting it? There is no top down?

Ashish Saraf: No, no, no. So, we have a market share of around 10 to 15%. We can gain higher market share, but the price points are not very lucrative. That's what the current situation. So, we are trying to see how we can kind of bring in more cost efficiency in the product in terms of sourcing components, changing designs, things like that.

Mirae Speaker: And in the passenger?

Ashish Saraf: Passenger and all, we hold good market share.

Mirae Speaker: Again, it's made by your...

Ashish Saraf: It's made by our... But typically, we have a market share of more than 40%, which is a good market share.

Mirae Speaker: The prospects say it should be equally good, right? The prospects say it should be equally good for passengers.

Ashish Saraf: Yes, yes. With plane 18 and all that, we're all there, so the prospects are all good. And even as a sector, we expect to go in that direction.

Mirae Speaker: Well, we didn't, you know, we've got this positive virus and all that, you know, the difference in localization, etc. But I'm sure they also have the cognizance of where is it that they're losing out in terms of cost structure.

Ashish Saraf: Yes, yes. That's what I'm saying. So there are a lot of internal initiatives which are ongoing, right, in terms of ensuring that we get a right costing for our firms, right? And secondly, as I said, the focus of each and every region, they also realize that for us to serve the market better in India and Southeast Asia, it makes sense to localize. So, over a period of time, automotive is almost 95% localized. Industrial, you will see a significant localization.

Again, some of it might happen in certain entities, some of it might happen in the other entities. But from a region-to-region perspective, there's a significant focus on localization and improving productivity and improving the cost efficiency so that we are better placed in the market. But having said that, we don't want to focus, we don't want to drop our markets, right?

So, there is a constant focus on constantly looking at our portfolio, looking at our returns at a product level, at a customer level to see how we can further rationalize it, ensure that we are getting the right price from our customers to improve our markets.

Mirae Speaker: So, in terms of just localizing, that would also improve backward integration. Your magnitude of capex versus competition, I think, would be lower. So, should we expect to see a step-up?

And then we look at that positively, given the circumstances.

Ashish Saraf: So again, what we see in the capex investment is only SKF India, right? There are also capex investments happening in the SKF engineering entity. So, I don't know, I mean, I'm not looking at specific competition data in terms of how much capex they are investing.

But we have made, in terms of capex decisions, we have made a lot of capex decisions for this region, right? Especially in the last one year. A lot of those investments are in pipelines, happening through the listed entity or through the non-listed entity or happening in Southeast Asia to cater to this market demand.

Mirae Speaker: They are all in the public domain or we should expect to hear more from SKF?

Ashish Saraf: Again, I don't think, I mean, these are investments, there is no big one-shot investments that can make a decision, right? It's more of, okay, we evaluate a product, we look at what is the market demand, we look at whether it makes sense to manufacture, and then we take a decision on that. So, considering all of that, there are a lot of capex investments. Decisions have been made. It's not one single specific region, okay, we're setting up big manufacturing. So, there's not, I don't think there's going to be any specifi

c communication

around that. But in general, then actually the focus is region to region. So, we are constantly looking for...

Mirae Speaker: Do capex, announced capex per annum is...

Ashish Saraf: For the listed entities, around INR150 crores. If you look at calendar year, we've spent INR150 crores this year. So, we kind of expect that...

Ashish Saraf: That range should...

Mirae Speaker: That range should run. So, this region-to-region strategy, export, can it go?

Ashish Saraf: We see, any investment that we are making, we are making for India and Southeast Asia, right? So, if an investment is made in the listed entity in India, we will look at the entire India and Southeast Asia market, and then accordingly, basically decide, right? So that could trigger some improvement in exports.

Mirae Speaker: And how should we look at this leadership, right? Like Manish now is...

Ashish Saraf: So, Manish continues to be the MD for SKF India, right? He was also India and Southeast Asia president for the industry business, right? So that role has moved out and has become America president, right?

So now we are basically hiring a replacement for him. The replacement is expected to join sometime in the second quarter of this year. So, when I say second quarter, it means calendar year second quarter. And once that then basically... Once the person joins, then it's a decision about what will happen, whether Manish will continue or disperse.

Mirae Speaker: So, it's a decision-making when Manish is taking the call, because he continues to be the MD for SKF. He still continues to be the MD until you buy it. Or like internal or external

Ashish Saraf: I guess that is something that I don't really appreciate.

Mirae Speaker: Generally, I mean, it seems to happen that on a vocational basis, people keep on moving out, being exposed around. But overall, I mean, I think to understand that some of it might be one of, let's say, two, three... But in general, how should we look at three, five-year picture? I mean, given their country...

Ashish Saraf: From a future perspective, I mean, you know as much as I do, right? In a sense that we know Indian economy is overall doing well. If it continues to do well, I don't see a reason as to why we will not do well.

We have our strategies in place where the group focus is on India or India Southeast Asia. India Southeast Asia continues to be the best performing. If you look at the group results, India Southeast Asia continues to be an outlier compared to Europe and America, right? There, they've actually had a volumetric lag, right? And most of the growth has come from predominantly pricing actions, right? Whereas India Southeast Asia has been growing, right?

So, there is a lot more focus and that's why more investment is coming in from a group perspective. And I don't see that changing unless the global environment changes or changes in India, for instance. Otherwise, the overall story continues to remain the same.

Mirae Speaker: And when we look into the margins, on a four-year basis, given Q2, let's say Q3, let's say Q4, this year, whatever additional we might have in the last calendar year might not be there.

Ashish Saraf: See, I would say the way you should look at it is the last year was a blip. Blip on the positive side, which is now. Which is getting normalized.

Mirae Speaker: 15-16 is the number?

Ashish Saraf: That's a reasonable prediction.

Mirae Speaker: But 15-16 is after letting go of a lot of business ventures?

Ashish Saraf: I told you, right? The portfolio management is relatively... If you are trading on that product, you continue to trade on that product, right? So, portfolio management has relatively no impact because your margins are the same. It doesn't matter. Even if I make a wall-to-wall loss on a particular product, SKF India, another traded margin occurred, we'll have to make a certain marketing margin, right?

So, if I do portfolio man

agement and improve my margins, I will still continue to make the same margins. So, the risk is less, right? On both the fronts. So, if you make more money, you still make the same money. If you don't make any money, you still make the same money. Right? That's how it is.

Mirae Speaker: No, no, sorry. This is the last sentence. I actually got confused. Sorry. So, I am saying that for the traded business, you are a marketing company. Right? Since you are a marketing company under the price pricing rules, I have to make a certain margin irrespective of whether wall-to-

wall margin or not.

Ashish Saraf: Whether the parent is making money or not. That's right. So, if a parent makes a higher margin, SKF India is indifferent to it. If a parent makes a loss, SKF India is indifferent to it. That's what I said.

Mirae Speaker: So, the decision is taken by the parent, I think?

Ashish Saraf: Decision for what?

Mirae Speaker: To prune out certain businesses?

Ashish Saraf: We have to take a decision because it has to make money for SKF, right?

Mirae Speaker: Group alone?

Ashish Saraf: Not just for the resident because group is just artificial margin, right? We don't look at when you are taking a business or not taking a business, you look at the overall margin.

Mirae Speaker: But ideally, pricing on traded products is anyway defined by the cost structure of the group. Because it is anyway cost. So if their cost of manufacturing goes up, you are still making the same sort of a loading on that. And as a result of this, if you become uncompetitive in the market.

Ashish Saraf: You never price like that. That's what I am saying. We look at wall to wall margin. We don't look at SKF India margin.

Mirae Speaker: It is group plus. Can exchange rate also make a difference? Does it make the calculation very volatile in a quarter-to-quarter ratio?

Ashish Saraf: See, on our imports, Understand, on the traded products, the FX risk is not borne by the listed entity. Right? The FX risk is borne by the manufacturing entity. So even if the FX goes in the negative direction, which it has gone in the last quarter, I will still be making the same margin what I was making earlier. So, they will have to pay me for the higher cost. Or reduce the cost. Constantly affects the lower cost.

Mirae Speaker: So, Ashish, just one more thing again. One thing you are saying, wall to wall margin. And second, at the same time, we are saying, India entity margins are indifferent of what let's say parent is. We will still keep on earning certain percentage.

Ashish Saraf: That's what I am trying to say.

Mirae Speaker: But then both things are in a way contradictory?

Ashish Saraf: No, it's not contradictory. When you take a business decision, you don't take a business decision, you take a business decision in a coded manner looking at wall to wall margin as to whether the company would be making money.

Mirae Speaker: So just let's say in a very plain hypothetical number, let's say 15% is the markup by the parent entity while supplying. So, if they are making 15, they are letting you make 10. So, world-to-world is 25.

But at the same time, because of their pricing, costing and all, suppose 15 becomes 10, maybe for a quarter or maybe in the interim, they are ready to process it on and on. Yours will still remain 10.

Ashish Saraf: Mine will remain 10 even if for them it becomes minus 10.

Mirae Speaker: But then wall to wall margin will change?

Ashish Saraf: Wall to wall margin will always change because it is dependent on the market pricing that I do. That decision is with me in terms of what pricing I sell the product to the customer. Now if wall to wall margin becomes negative, I still make my 10 and the group makes minus 15.

Mirae Speaker: Well, the group shouldn't trade in that. Then you have to raise the price entirely still. If it works, fine. If it doesn't, it doesn't matter.

Ashish Saraf: Because at the end of t

he day, it has to make business sense.

Mirae Speaker: So, if you make your 10 and the group still makes 0 because it is minus 10 in the group.

Ashish Saraf: Because it still makes sense for SKF because we are still making 10.

Mirae Speaker: You are making 10. It doesn't matter?

Ashish Saraf: As SKF, we are making 10. We look at wall to wall. That's what I said.

Mirae Speaker: You are making 10 but it is minus 10 in the period?

Ashish Saraf: Then it doesn't make sense because SKF as a group is not making anything.

Mirae Speaker: SKF as a group has to make. If it is 10 in total, which is your 10 and group's 10?

Ashish Saraf: It doesn't matter which company makes what money. The bigger question is, are you making money? If you are not profitable, then you don't do that business.

Mirae Speaker: And this quarterly lag in passing on and on is a function of?

Ashish Saraf: It is a function of all of this.

Mirae Speaker: What is the threshold for wall to wall ? Do you have to make without letting go of business?

Ashish Saraf: As I said, we have to be profitable. We want to do profitable business. [If it is a long-term benefit associated with it. So that is a strategic call that you make. But broad guideline is that it has to be profitable.

Mirae Speaker: Just one last question for me. Which is on the EV side. I think your parent does some work for some other global players. How is the positioning there?

Ashish Saraf: On the two-wheeler predominantly, there are two big players, Ather, and Ola. They are already

constantly engaged. They are already buying from us.

Mirae Speaker: What about Bajaj?

Ashish Saraf: Bajaj is also buying from us.

Mirae Speaker: TVS?

Ashish Saraf: TVS, I am not sure. I will need to check. But we are engaged with all the EV players.

Mirae Speaker: The response is satisfactory?

Ashish Saraf: The response is satisfactory. We don't have any issues. In fact, that is going really well. Is there any competition? There will be competition. But that is going well. Similarly, on the four-wheeler space. Against four-wheeler, the scope is relatively limited. Because predominantly Tata, Mahindra and some other Maruti.

But we are working closely with them. All the product development. We will be part of that overall.

Mirae Speaker: You can participate?

Ashish Saraf: Yes. We don't see it.

Mirae Speaker: This is coming from the listed.

Ashish Saraf: The automotive is entirely...

Mirae Speaker: This was a new age. Maybe a differentiated product?

Ashish Saraf: Yes. Sorry. Yes.

Kotak Chasing Growth, 2024

February 21, 2024

MANAGEMENT : MR. ASHISH SARAF , CFO

HDFC speaker: You said that we will be finalizing this MD, the new MD, declaring from the board meeting, but I think most of it is...

Ashish Saraf: No, no. I think the change in the MD only happened after the board meeting, right? So, basically in the second quarter is that problem. So, Manish continues to be the MD for SKF India, as I said. We are trying to onboard a new person. That person should hopefully come on board in the second quarter. When I say second quarter, calendar year second quarter. And then hopefully the transition will happen.

HDFC speaker: Two more quarters is...

Ashish Saraf: This quarter definitely is here, next quarter some part of it is there.

HDFC speaker: So, how do you look at the market? I think there has been some sluggishness in the market for us. So, any specific segment or...

Ashish Saraf: See, one was -- See, especially if you talk about Wind before, right? One was, basically we did a lot of customer pruning work, right? In the calendar year 2022. We started it off in 2022. But

in 2023 is where you see an impact. Where we decided to not do certain business, which didn't make financial sense for us. Right? So, because of that, Q4 was a bit lower, right? Because H1 was much heavier, because we still had ord

ers in place from last year.

Whereas H2, since we exited Wind -- Second is, we've seen some slackness in the distribution market, right? One was because of -- Like we were in the process of renewing contracts, there were big contracts with some of our big, large customers. Which took us some time, that impacted the volumes, right? So, that had a bit of impact. Then on the automotive side, we had some impact. The automotive -grew very well. But on the aftermarket side, we saw a drop in the volumes, right? So, that is where we've seen some drops. But I think we are already taking course-corrective actions.

HDFC speaker: So, there are 2-3 impacts. One is the pooling of customers. So, how much -- what is the wind percentage?

Ashish Saraf: Wind percentage earlier, it used to be around 7-odd percent. It's come down to around 4.5%-5%.

HDFC speaker: How this will be steady state?

Ashish Saraf: It will be steady state. Again, we may not expect wind to grow at a very, very good pace. The other segments will grow at a much faster pace compared to that.

HDFC speaker: Is it? I mean, a lot of other competitors are still betting big on wind. So, is there some issues internally? I think the volume, efficiency, productivity, etcetera.

Ashish Saraf: So, again, there are a lot of projects ongoing internally, next year also. So, we'll see how we can make wind business more profitable. So, again, I don't know what is the competition strategy.

But from our perspective -- see, one of the challenges of the wind business that we have had is wind business traditionally with us, right, for the OEMs, as well as for the Tier 1, Tier 2 suppliers, that we have not made a substantial amount of money. So, this is like a challenge from an overall industry standpoint.

From an SKF perspective, in the past, we were probably to continue to grow the business without really looking at our margins for Wind business. That is, in the last couple of years- there's been a lot more focus on looking at product margins, looking at customer margins, and then ensuring that we are doing profitable business for the company. And that is where we are moving and kind of going back to our customers and asking for a higher price.

So, in some situations, customers are giving us better pricing, in some situations, customers are asking us to exit - We are also looking at how we can, let's say, for example, for the wind, we have a significant amount of localization, - But we still continue to source a lot of components from outside of it. So, we are working on how we can further localize that and so that we can kind of further improve our costs.

Ashish Saraf: Again, I don't know the specific number of winds, but wind localization is good overall. At a product-finished goods level, but at a component level, there are components that we continue to localize. And so, especially in Europe, because of cost escalations, in the last couple of years, that impacts us.

HDFC speaker: So, how will you compensate this 2.5%-3% cost in the top line?

Ashish Saraf: So, again, other segments are growing pretty well. So, again, overall, again, we are not allowed to give it, we don't give any formal forecast on that, but our intent or our objective is to grow GDP plus inflation, plus in some markets grow faster. So, that is what we generally strive as a company to do our job right now. That kind of remains as is, provided the demand continues to remain strong in the Indian market.

You also have to realize that a lot of OEMs are exporting out of India. We are seeing that the global demand is shrinking, especially in Europe. So, if that will have some impact, then naturally it will have an indirect impact on this area. But from a brand perspective, given the current situation where we are, we expect to be growing around 10% to 12%.

HDFC speaker: Because your global growth forecast is not the opposite. For the next 5-6 years, that is what the world

has given us. So, I think we are really emerging markets.

Ashish Saraf: Should be higher.

HDFC speaker: Anything which is scaling back in this course of time, which has some segments like that?

Ashish Saraf: Two-wheeler is doing really well. We see that it will continue to do well. Our share of business continues to improve in the two-wheeler segment. So, we have high expectations for the two-wheeler segment.

HDFC speaker: What do you mean by broadly? What is your market share?

Ashish Saraf: Two-wheeler, our market share will be close to 25%-30%.

HDFC speaker: This is across most of the OEMs or some OEMs?

Ashish Saraf: Some OEMs, we don't have a good market share. But with some OEMs, we have a very good market share. -, Bajaj -Enfield -Honda.

HDFC speaker: I think you have a plan in also as well. TVS, do you have some knowledge about expanding



market share?

Ashish Saraf: No, not very significantly. Bajaj, I mean, typically they -- the way I understand it is that the suppliers were kind of aligned to a particular OEM. And from an SKF perspective, the price points at which we want to sell, the OEM should be willing to pay us that price. So, that relationship that we have with Bajaj, is pretty close to where we are in turning and all that. Whereas with other OEM suppliers, it's not like they have relationships with other suppliers. HDFC speaker: Manish has talked about the proper focus on the EV side as well.

Ashish Saraf: I think that continues to be there. The EV continues to do well for us. We have strong relationships with Ola and Ather. These are the two big players on the automotive side. On the four-wheeler side, it's Tata and Mahindra. And in there, we have two -- so, all these four players, they continue to work in terms of key product development and participating in all their new products.

So, from a positioning perspective, we are well placed. The market share in terms of volume still remains very small. Right now, when you compare it to the overall ICE engine market. So, that is not something which is kind of significantly impacting or we're seeing a significant shift in volume.

HDFC speaker: With Bajaj's export start picking up, then?

Ashish Saraf: The volume should further pick up. So, that's where, as I said, if exports, all of our OEMs are dependent on exports. We don't directly see, because our export numbers are relatively small, we don't have direct export numbers. But a lot of these OEMs, both on the industrial space as well as on the auto space, they do well. And India continues to do well.- then the growth numbers that we talked about should happen.

HDFC speaker: So, what is the industry overall now? Right now, this, as an aspiration to grow industry is around 2% higher.

Ashish Saraf: See, industrial is 50%. Auto is around 40%-41%. And exports are around 8%-9%. That's the stat. Currently. Industrial growth was not so great in the last quarter. Automotive grew at a much faster pace compared to industrial. But I would say that was more of one quarter. Our growth should be higher in industrial, as we move forward.

HDFC speaker: Within industrial, what are the process industry distribution?

Ashish Saraf: Distribution is around 50% of industrial, right? So, again, we are looking at growing our aftermarket at a much faster pace compared to the OEM market. So, I don't see any change there.

HDFC speaker: So, the 1%-2% incrementally every year we are targeting industrial sale to go up. So, that would be predominantly from the aftermarket?

Ashish Saraf: It should be from both, right? Because for a long-term growth to sustain, the growth has to come from both. Because once you sell in the OEM, then only you will get a replacement market. If you don't sell in the OEM, you are not going to get a replacement market. So, we have to drive growth across both. Both the sectors. Barring wind, all segments as such, you should see good growth as we move forward.

ove forward.

HDFC speaker: Railway, what is the contribution right now? How do you see the market?

Ashish Saraf: So, railway, overall, is a lucrative market. So, railways, if I look at my market share or my overall 100%, my railway business is around 7-8 percent. That should continue to grow. We are, in terms of railways, on the passenger side, we are very well positioned, and we have a good market share of 40% plus. So, we continue to maintain our growth. On the freight side, there is no issue on the product. The product is available. Everything is approved. However, relatively, our market share is relatively lower.

Because the price points are not so great. So, we are working on that to see how we can further improve our market position and make sure that we get the right pricing for our products.

HDFC speaker: Now, we are on a conditional vendor. Because earlier, I think...

Ashish Saraf: So, there are no issues. We are -approved vendor for Class-E . We are actively working with all the private wagon builders as well as for the railways, trying to find replacement bearings. That's not an issue. It's more of, are you able to command a good price? We are well positioned. We are already part of it. We are already supplying.

HDFC speaker: So, is there a possibility that this 7%-8% because the way the effects of ordering on the railways happen, I don't know what is the pace of production, but in terms of ordering, I think they are giving 90,000 to a company...

Ashish Saraf: Yes, but as I said that freight is, we are being cautious, right? Because we don't want to do, we are maintaining a reasonable share there as we internally get our costs right, work with our customers to get the price right and then gradually increase the market share.

HDFC speaker: And coaches may also grow, right?

Ashish Saraf: Yes, yes. So, that all is, we are in a good shape that we continue to, if the market size grows, so whatever minimum 40%, typically the tendering process is there, so you are likely to get 42, whatever, 40, 60, max is what you can get.

HDFC speaker: So, as of now, there's two vendors or three vendors?

Ashish Saraf: I don't know the specific, mostly it's two, right? There are some areas where there are three vendors.

HDFC speaker: Metro, how they are positioned?

Ashish Saraf: Very well-positioned. They have a similar market share. But market itself is relatively very small, right? It's not going to; it will take some years once all the metros come back.

HDFC speaker: How is the market, how big is the market as a whole for metro area?

Ashish Saraf: Metro, I don't have the specific number. Overall, the rail market, the last I saw was around INR1000 crores. Overall, freight plus passenger plus.

HDFC Speaker: How are the investments going in?

Ashish Saraf: Again, annually, annualized 15%.

HDFC speaker: And now there are a lot of steel plants, etcetera, so how do you see...

Ashish Saraf: Again, a very good market. They're very well-positioned. They're working with all the OEM players to gain share there. So, no issues on that front. Going very, very well. Last year, we already, like our metro business group, worked closely with all the metro OEMs, to get a good share. And again, this year also, we continue to expect much higher profits. So, as I said, infrastructure-led, if the environment remains as it is, and exports improve, we expect that this growth to continue. .

HDFC speaker: So how big is the metro market?

Ashish Saraf: See, metal, the way we are posing, see metals has got a very big aftermarket. So, if I exclude, because I don't have a specific aftermarket number, but in terms of the direct business that I do, which is initial investment, that itself, overall revenue size is almost 2%-3%. Pure, only metals. Only metal only.

HDFC speaker: That is steel and aluminum?

Ashish Saraf: Only steel. Predominantly steel. The aluminum, there is a small, but relatively,

compared to

metal, compared to steel, it's relatively moderate, 5%-10% or more.

HDFC speaker: That's it. How do you see, I'm just trying to understand the market. if the new plant is commissioned, so how, so initially there will be some...

Ashish Saraf: See, initially, like whenever a new plant is getting set up, right, like say for example, the JSW is setting up a new plant, right, so they will work with an OEM, who has to supply machinery. So along with that machinery, there will be bearing suppliers, which will happen. we will work with OEM team, with the Tier 1 supplier, and we supply it to the Tier 1 OEM manufacturer, who will supply it to the end user, which is JSW, right, and then JSW already has a contract with us, say for example, and they will buy from us, and in the aftermarket, once they start using, or once they start, by like basically manufacturing steel, out of that plant, right, so that's how it works.

So, when I talk about OEM, that's the initial supply that we need to be, when the new equipment, equipment comes, then you need the new equipment. And that is where, I think last year, there were a lot of investments, which we can continue to talk about this year as well. So that is where we, like, we continue to do pretty well. And that will have a natural effect on the aftermarket, I want to go and change the gear. Yes, that's it.

HDFC speaker: How fast is the manageable going to do that?

Ashish Saraf: I mean, it varies from bearing to bearing, right, like some bearings will have a life of, one month, some bearings will have a life of three years, depending on the size.

HDFC speaker: So, suppose, in a 10 million plant, two-year-old, or three year, four-year-old, how much bearing metal consume?

Ashish Saraf: I will need more data, but see, it's consumable, right? So, they keep on, see, typically all these big players, they will work with our distributors. The distributors will stop all bearings. They will either go and go VMI, right, or, they will have close relationship, with, so they will supply, as it may be needed. So, most of our sales, then, it goes to our distributor network. They will understand what the pattern is, and they will kind of source it from us.

HDFC speaker: Where do you have direct contact, let's say, with the servicing part as well?

Ashish Saraf: So, that is where we basically work with, the end user directly, where basically the promise is that we will help them improve the product, reduce the breakdown time, right? Which will help them, as their production. And the way we price our products is based on production, right? So, if there is a steel plant, we will say how many steel, like you're producing, it's good steel, and this is the rate that we would like. If we improve it, we will get better value.

If we do not improve it, we will still incur the same cost, or similar cost, or more cost, we don't make. So, higher the risk, higher the return, basically that's the concept. And, in that way, the end user, or the steel manufacturer, is able to get a better return on the repair and maintenance of the consumables, right?

That we are, you know, that they are spending. Plus, they are able to improve, the overall efficiency, they are able to use our technical expertise, give them the right guidance, in terms of right, kind of, maintenance.

HDFC speaker: How many sites do you have, as of now? Okay, I don't think, in terms of revenue, is it around 1%?

Ashish Saraf: See, overall, the way now, we've started looking at, is that, we look at, overall services revenue, so that's 5% plus, right? Additionally, what we're focusing on, is, ensuring that we do, a lot of value selling, with the existing network, that we have, along with the application. So that, customer understands the customer selects the right product, that it needs, right? So that the customer sees value, and is willing to pay, a higher premium to us, compared to competition.

HDFC speaker: So, this 5% service revenue, is predominantly, network or...

Ashish Saraf: No, it's a mix of, such as, REP, railway Reman so it's complete, services there.

HDFC speaker: And now, what about the other, processes, maybe, cement, etcetera?

Ashish Saraf: You know, as I said, these are all infrastructure there, we have a woodshed there, we continue to build, woodshed, we have well positioned, both the aftermarket, as well as with the OEMs. So, barring wind, as I said, all sectors, again, we see some challenges on the textile sector, because of, I think, they are expecting, the new government, to form, and sort out, some of the challenges that the sector itself is facing. But barring that, we expect, all sectors, for all segments, to be distributed, barring this, and as I said, wind is one sector, where we are constantly, deciding, the sector is growing, but...

HDFC speaker: So, apart from metal, what are the bigger segments, in industrial, in the OE side, of distribution?

Ashish Saraf: See, on the OE side, as I said, one is general machinery, which is part of, it's a combination of, a lot of sub-segments, which is, sorry, which is, fluid power, drives, pump and motors, textiles, agriculture, all of that is, basically, part of, general machinery. So, that's a pretty big, I think, almost 8% of our total business.

HDFC speaker: 16% of your, industrial business...

Ashish Saraf: 16% of the industry.

HDFC speaker: That segment is, based on, sluggishness, as I found.

Ashish Saraf: So, there are sluggishness, in pockets, as I said, textile is one area, where we have issues, or we continue to see, some issues there. A lot of, these companies, sometimes, depend on exports. So, they have sluggishness on the export side, because of the global economic situation. Then, that impact will come to us. So, it's a weeks back. I cannot say, okay, all subsectors, within that. But, overall it's a relatively, okay, not alarming, or anything concerning.

HDFC speaker: So, as I want to join, maybe, so, just want to get, an overall sense, on the industrial side, because there is, much activity, etcetera going on. So, how are you...

Ashish Saraf: This position, as I told them, right, we see, typically, the industrial is,

HDFC Speaker: roughly, 50% of the business.

Ashish Saraf: Roughly 50% of the business, That's right. So, barring wind, we expect all segments in the industry will distribute, right. And wind also, is consciously, decided, because, of the customer, exercise, that they have taken, last year. Right. So, it should grow from last year, but you will not see a significant growth, because we have been, consciously, taking on a profitable business. Right. Other sectors, we expect, that the way, the Indian economy, is performing, we should continue, to grow, our minimum, and GDP plus inflation, as we should create, some market share.

HDFC speaker: Overall, or in industry?

Ashish Saraf: In industry. Automotive is also, pretty much, on the same lines, but automotive, I would say, 2-wheeler should grow, and aftermarket should grow. Right. 2-wheeler aftermarket. Whereas looking at commercial vehicles, and tractors, and all, that market, might remain, relatively, stagnant.

HDFC speaker: When you think about it, over the next few years, so not really this year, as such. Is it fair to say, of course, you'll have some years, with volumes, you'll have a better years? So, two questions, in this. One is, in the next 3-4 years, will the industrial segment grow faster than auto? Is that a fair statement to make?

Ashish Saraf: That's a fair assessment.

HDFC speaker: And margins are, better, in industrial, versus in auto?

Ashish Saraf: See, wall to wall margins are better, in industrial, compared to auto. But, from an, SKF India, perspective, your manufacturing margins, are better, compared to, traded products. So, your traded products are mor

e in industrial, currently, compared to, automotive products.

HDFC speaker: But, when you put the whole pie together, then industrial margins, look, because as you said, industrial component, is much higher. So, when you look at it, 50% of the business includes, obviously, trade business. 50% is non-trade, which is the auto business, and the export business, and so on.

Ashish Saraf: So that's something, automotive makes high margin, from a, from a local, standpoint. But wall to wall margin, as a company, is better, in industrial.

HDFC speaker: When you say, wall to wall...

Ashish Saraf: At a group level.

HDFC speaker: No, I mean, at an SKF India level...

Ashish Saraf: At an SKF India, manufacturing will make, a higher margin.

HDFC speaker: In industrial, versus auto?

Ashish Saraf: That is right. But the mix of automotive and manufacturing is much higher, compared to industrial. So, if you look at it from that perspective, your margin, in auto, will be higher, compared to, industrial.

HDFC speaker: How much will be, manufacturing output?

Ashish Saraf: 90% plus. In industrial, localization is around 35%.

HDFC speaker: So, 65% is, trade.

Ashish Saraf: 65% is trade.

HDFC speaker: Is this going to change, in the next three, four years? Sorry, just one question. When you just look at it, the aftermarket is a relatively stable business. Both, in both segments.

Ashish Saraf: That's right.

HDFC speaker: So, on a steady state basis, what should, aftermarket do? Because that doesn't change much. Because you've got a backlog of installed vehicles, which drives the demand.

Ashish Saraf: That's right.

HDFC speaker: So, normally, aftermarket grows at what pace?

Ashish Saraf: So, more than double-digit. Now, that is what we expected to grow. Right? We expect aftermarket to grow, at a much faster pace, compared to, the OE. Because OE will grow, depending on the capex investment that that one is making, and how the market is behaving.

Whereas, as you said, aftermarket will grow, based on the installed pace, and it's also dependent on what is your reach, what are the products, that you're introducing, what is your range, and all of that. So, we continue to focus on that. So, that we can grow, at a much, typically, our expectation is, aftermarket should grow, at a faster pace.

HDFC speaker: Last few years, I think, we have also focused on this aftermarket growth. So, is there some effect of this visible to you?

Ashish Saraf: Yes, I would say, but again we continue to make further inroads, right, in terms of, like in the automotive space, we continue to enroll mechanics, retailers, increase our reach to gain market share, right, as well as driver growth. On the industrial side, we are focusing a lot more on value setting, where we - engage with our distributors to build capabilities so that they can kind of suggest or recommend the right solutions. So, they become solution sellers rather than just being distributors to the large end customers. We saw some positive results of that in 2023 and we expect that to continue to make investments in that area.

HDFC speaker: And how is Railways doing now?

Ashish Saraf: Railways is doing pretty well.

HDFC speaker: Railways is housed, within industrial ?

Ashish Saraf: Railways is housed, within industrial.

HDFC speaker: Railways is 7% of industrial . Or 70% of Railways?

Ashish Saraf: 7% of Overall

HDFC speaker: So, again 60% of industrial. If you just, specifically market-share...

Ashish Saraf: No, we covered that.

HDFC speaker: So, this has a good market share with passengers, but they are struggling with freight because of the pricing. Is there a chance that the government is now spending more on the passenger side versus the freight? I mean is there any?

Ashish Saraf: No, I think it was, you know, they just want to change the entire sector, right? So their first focus was freight because they wanted to make

sure that there is hardly any commercial which was happening on freight, right? Commercial was being overpriced and passenger was being subsidized, right? Whereas globally if you look at, commercial is priced correctly and passengers are where you charge more to the customer, right?

So, in India the market was different. So now they are more selective, and they have more investments from the passenger side as well so that they can drive the right pricing from the end users, right? So now that because of that they must do that. To me both are separate. I don't think they are equally good.

HDFC speaker: And how should one look at profitability because there's been a lot of variance across supporters for supporters' goods and supporters bad or supporters for some improvement. So, it's been, I mean partly RM impact, billion impact, inventory impacts...

Ashish Saraf: See predominantly the impact on the traded goods, right? Manufacturing you might see like quarter-to-quarter differently on the cost of goods and the prices, pricing. You might see some impact like one or two, 1% here and there, but predominantly the impact was from the traded products, which is purely a function of your transfer pricing, right?

HDFC speaker: Is it transfer pricing or is it mixed?

Ashish Saraf: Transfer pricing.

HDFC speaker: Transfer pricing has it changed in some way?

Ashish Saraf: Transfer pricing over a period of one year will not change. But quarter to quarter, you might see

impact because the way we do our pricing, the way we do our transfer pricing is based on a Transaction net margin method, right?

HDFC speaker: Okay.

Ashish Saraf: So, under which basically what happens is that you have to maintain a certain level of margin because you're a marketing company. I don't know what price I'm going to send to that customer, right? I buy the product looking at the previous trend of my pricing as well as the previous trend of the costing. And you look at what is the price increases that you are taking now.

If your price increasing actions do not come in line with the cost actions, your margin might drop. Or your pricing action might be higher than your cost actions, then your margins might improve in a particular quarter.

HDFC speaker: And then you have to adjust it?

Ashish Saraf: And then I have to adjust it in the subsequent quarter over a period of time. But over a period of one year, we make sure that we maintain the right margins for the product.

HDFC speaker: So, over the course of a year, transfer pricing doesn't change much.

Ashish Saraf: Over the course of a year, transfer pricing.

HDFC speaker: Or quarterly, depending on like you said.

Ashish Saraf: Because it's a month-on-month transaction. And I don't have visibility of the external pricing, right? External pricing is what it will be depending on what you will do.

HDFC speaker: Yes. But when you do your costing, do your costing based on the historical trend, right? In terms of how you're pricing this?

Ashish Saraf: This happens every 2-3 years. See, again, I would say 2022 was an abnormal year. If you look at our margins, our margins were very, very high because we were taking a lot of pricing actions. Whereas the cost was relatively increasing. Even though the actual cost was much, much higher because we were dealing with significant cost increases in 2022.

So, there was a constant increase in the input cost or the traded cost. So, over a period of a year, the pricing actions have slowed down as we move into 2024. But your cost actions have maintained. So that's when you see that you reach a line where it doesn't make sense. And then you remain post-corrective. So now it's post-corrective.

HDFC speaker: At a company level, how should one think of margins?

Ashish Saraf: See, I would say you should look at margins between 50%-60%.

HDFC speaker: What was it?

Ashish Saraf: PBT.

HDFC speaker: Yes, PBT.

HDFC Speaker T

hat was one of our pre-assumptions. I think EBITDA and EBIT doesn't change too much, right?

Ashish Saraf: See, we hardly pay any interest, right? Only depreciation.

HDFC speaker: Only depreciation is how much?

Ashish Saraf: Depreciation, depending on the investments, right? Investments are not significant at least. So, it's more or less the same. Other income will go up because cash accumulation...

HDFC speaker: So when you look at PBT, you improve other income or you don't? When do you look at PBT, your other income improves?

Ashish Saraf: Yes, PBT is what you see as PBT. It's not operating profit.

HDFC speaker: I think EBITDA level, it should translate at 17 or something?

Ashish Saraf: Yes. I don't the calculation because generally we don't look at EBITDA...

HDFC speaker: So when we talk about the industry, we said around 65% is still traded. So, can we see in the next 3-5 years?

Ashish Saraf: See, it will happen, but it will not be like -- see one is, from an STL strategy perspective, we have a strategy of region for region, right? And our region is India and Southeast Asia. So, when we take an investment decision, we take an investment decision based on business requirement for this region, right? Now, once we take a decision, then we say, okay, where do we have, where does it make business sense to make that investment?

So, in terms of demand, we look at Southeast Asia demand and not just India demand. And then we decide where the demand is. If the demand is more in Southeast Asia for that particular product, then in India, the supply chain network is better placed in Southeast Asia. The cost input is -- so then we would set up a manufacturing in Southeast Asia, right?

If it is a relatively large size, where the capability is lying, and the manufacturing, which is the other unlisted entity, then the listed entity here, then we might decide to make an investment in that factory, because we already have the infrastructure to support that additional channel, right?

So, looking at all that, we will make an investment.

So, from an overall perspective, our localization will -- there's a specific focus region for region, our localization will increase. However, from an SKF India perspective, which is a listed entity, you might see small percentage point improvements, right? Because not all investment is going to SKF. A part of it might go to SKF engineering, a part of it might go to the entities in Southeast Asia.

HDFC speaker: Last year, if I'm not wrong, I think it's January, Sylvia Richie, your global CEO said, you might have 16 or 18 grand in India in the next decade.

Ashish Saraf: That was the ask of a politician. You were there?

HDFC speaker: Yes, I was there. Do you have a change in the show China thing? Is it impacting India at all? In any way outsourcing, is it a change or is it just business?

Ashish Saraf: No, no, definitely there is a significant -- at an SKF perspective, as I said, we are focusing more region for region. So, we are not looking at importing stuff from China. We might import...

HDFC speaker: No, I'm looking the other way. As opposed to importing from China and other geographies, we are importing from India because that's a more stable environment.

Ashish Saraf: See, the way the group is looking at, this is more of a group question rather than -- that's not a decision that...

HDFC speaker: How they are thinking.

Ashish Saraf: How they are thinking. So, the way they are learning was post-COVID that they need to have a regionalized supply chain. Because globally, post-COVID, because of the constant lockdown, because of the escalate like subsequent wars and all that, which has happened in Europe, energy prices going up, they realized that in order to be competitive and be able to kind of serve the market better, they need to have region for region strategy. That's where we have four regions. America, Europe, China,

and India. India and Southeast Asia, right? So, they said that right now...

HDFC speaker: So it's a region for region. It's not seen as India for India.

Ashish Saraf: It's not seen India for India. It's some region for region. That's what I said that the decision is based on the demand for India and Southeast Asia region, right? Because there has to be ample demand for me. Like if I look at India, India market is relatively very small, right? Compared to -- see, if I'm comparing it, like America market is four times the size of India and Southeast Asia market, right? So, if I have to make that investment, it has to make financial sense for me to get a-- give me a payback of at least five years, right?

So, if I'm only looking at demand for India, then it will not make sense. So, it has to at least make sense for India and Southeast Asia. That's how we have kind of positioned it. Considering that it's a growing market and we're playing back with cash.

HDFC speaker: Can you highlight management changes?

Ashish Saraf: See, basically, Manish was doing two roles. He was MD for SKF India, plus he was Head for the India and Southeast Asia industrial business.

HDFC speaker: Industrial business, okay.

Ashish Saraf: Right? So now he continues to be the MD for SKF India till the replacement joins in. And he's going to give up the role -- he's given up the role of India and Southeast Asia industrial business and he's taken on the role for Business Head for America's industrial business. Right? So, in the next quarter once the new person joins in...

HDFC speaker: So, this person is joining. He's going to be an external individual.

Ashish Saraf: Most likely, external.

HDFC speaker: I'm just surprised why there is a company of this size, capability, engineering talent, management bandwidth. You know, both the next CEO and the last CEO have come from outside. Manish came from outside as well. It's actually a great plot. We don't look at that in a positive way at all. People -- have you seen management changes happening?

Ashish Saraf: See, again, I mean, you are purely looking at it from an India perspective.

HDFC speaker: Yes.

Ashish Saraf: But if you look at it from a group perspective, there are people who are going from India and taking on larger roles outside of India within SKF as well. Again, by chance it happens that we

are getting a Managing Director, or we could get a Managing Director from outside of India.

But you're equally promoting a lot of people who are moving from India. Like Manish being an example. He's moving to the US. We had an CHRO who's moving to Sweden. Right? So, there are people who are going on and taking on bigger roles.

The group is significantly valued in talent, which exists in SKF India. Like India business, if you look at our share of business, would be about 5% of the global revenues. Right? But in terms of talent base, they're more than 20%. Right? So, from a pure talent perspective, they are leveraging. This happens to be a role where we are moving and hiring from outside of India. But the group continues to import a lot of good talent from India to other regions.

And just to give you an example, India and Southeast Asia was one of the best performing regions out of all the four regions that we had. So that is where they want to kind of drive the culture that they've seen in India and Southeast Asia and other regions. And that's where a lot of senior people are from India moving to other regions.

HDFC speaker: I'll have a heart stop at 5 o'clock because I have a flight to catch. How much is the aftermarket?

Ashish Saraf: Sorry?

HDFC speaker: How much is the aftermarket?

Ashish Saraf: See, predominantly, my aftermarket is around 11% of the total business. Auto aftermarket. Predominantly, it's 2-wheeler Direct too is 13%.

HDFC speaker: Of total again?

Ashish Saraf: Of total again.

HDFC speaker: And CVs and tractors respectively?

Ashish Saraf: CVs and tractors, CV is around 4%. And tractors are around 2%.

HDFC speaker: I understand. So, aftermarket is 13. Sorry, it's 11.

Ashish Saraf: See, overall, it's 41%.

HDFC speaker: Yes, 13% of it is 4. Plus 4, that's 26. Plus 2, that's 28.

Ashish Saraf: So, passenger vehicle is 5%. And you have something called a powertrain which is like suspension and all that. That's another 6%.

HDFC speaker: And then you have exports.

Ashish Saraf: Export is separate, export is another 8%.

HDFC speaker: 15, 41 and 9. 15, 41 and 9, 15 is industrial 41 is auto 9 is export, which is mainly -- It's mostly for passenger products.

Ashish Saraf: Sorry?

HDFC speaker: It's mostly for passenger vehicles. Export, export.

Ashish Saraf: No, no, no. Export is everything. But predominantly, automotive. Because we are manufacturing for automotive. But it will be a mix for industrial. Like, the products are... Like, they are common products, right? So, it will be a mix for both industrial and automotive.

HDFC speaker: How much is, how is wind? When there was 8%, I don't know what happened.

Ashish Saraf: So, this, the shares come down because we have purchased the engineer and customer which has come down to 5%.

HDFC speaker: Of total?

Ashish Saraf: Of total.

HDFC speaker: And this used to be 2 years ago 8%, is that right?

Ashish Saraf: I think 7%, it used to be 7%.

HDFC speaker: Industrial engineering is 16%. Eight is general.

Ashish Saraf: Eight is general. After-market, industrial distribution is around 25%. Wind is at 5%.

HDFC speaker: Sorry, aftermarket is 25% of industrial.

Ashish Saraf: No, of total.

HDFC speaker: Of total, sorry. Of total, yes. That's 50%.

Ashish Saraf: General machinery is 8%. Wind is around 4.5%, heavy industry is another 5%, metals is 2%, heavy industry is 7%.

HDFC speaker: Sorry, metal, heavy industry how much?

Ashish Saraf: Heavy industry is 7%. 7%, okay.

HDFC speaker: Sorry, I'm just going to break it up for you because I'm just a little confused. EFM is 25%. Sorry, aftermarket is 25%.

Ashish Saraf: Yes.

HDFC speaker: You said general machinery is 8%.

Ashish Saraf: That's right.

HDFC speaker: Okay, then you have wind which is 5%. You have railways which are 8%.

Ashish Saraf: Railways which is 7%.

HDFC speaker: 7%. Metals is 2%. Heavy engineering is 7%.

Ashish Saraf: Heavy engineering is 5%.

HDFC speaker: Heavy industry is 7%. Very good.

## Call: Aug 2024

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 20th August 2024

National Stock Exchange of India Limited,

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Mumbai – 400001, Maharashtra, India

NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Subject : Transcript of Analyst/Institutional Investor meeting held on 14th August 2024

Reference: Our intimations dated 31st July 2024.

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) & Regulation 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on Wednesday, 14th August 2024 at 11:30 a.m. (IST). The same will soon be uploaded on the website of the company for convenience of the shareholders.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,

For SKF India Limited

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Ranjan Kumar

Company Secretary & Compliance Officer

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"SKF India Limited

Q1 FY24-25 Earnings Conference Call"

August 14, 2024

MANAGEMENT : MR. ASHISH PRUTHI – HEAD, MARKETING AND  
COMMUNICATIONS , INDUSTRIAL REGION INDIA &

SOUTHEAST ASIA – SKF INDIA LIMITED

MR. MUKUND VASUDEVAN – MANAGING DIRECTOR –

SKF INDIA LIMITED

M R. ASHISH SARAF – CHIEF FINANCIAL OFFICER --

SKF INDIA LIMITED



Moderator: Ladies and gentlemen, good morning, and welcome to the SKF India Limited Q1 FY 2024-'25 Earnings Conference Call. For the smooth conduct of the meeting all participants are in a listen-only mode, a brief question and answer session will follow the formal presentation. Should you need assistance during the conference call, please press star then zero on your touchtone phone. As a reminder, this conference is being recorded.

As a reminder, this conference is being recorded. I would now like to hand over the conference to Ashish Pruthi from SKF India Limited. Thank you, and over to you, sir.

Ashish Pruthi: Thank you. Good morning, everyone. Thank you for joining us today. Today with us, we have SKF India's Managing Director, Mr. Mukund Vasudevan and our CFO, Mr. Ashish Saraf. Before I turn the call over to the management, I would like to remind you that in this call, some of the remarks contain forward-looking statements, which are subject to risks and uncertainties and actual results may differ materially.

Such statements are based on management's beliefs as well as assumptions made by and on the information currently available to the management. The audience is cautioned not to place undue reliance on these forward-looking statements and making any investment decisions. The purpose of today's call is to purely educate and bring awareness about the company's fundamental business and the financial quarter under review.

I'm sure you've been through the results and seen those of Q1 FY 2024-'25. We can now open the call for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mukesh Saraf at Avendus Spark.

Mukesh Saraf: My first question is on the revenue mix. So could you kind of give us some details on the different segments like the Auto, Industrial, Exports and probably within that, some of the subsegments as well.

Mukund Vasudevan: All right. I'll let Ashish Saraf, my CFO, answer that in terms of so that he can share precise numbers.

Ashish Saraf: Sure. So if you look at this quarter's revenue, right, we reported net sales of around INR11.8 billion, right, all of which around 50% was Industrial business and around 41% was Automotive, and the balance 8% to 9% was Exports. So that's the overall split. In terms of key segments, which delivered growth in this quarter, the key segments which delivered strong growth within heavy industries and metals within the industrial business and 2-wheelers, cars and tractor business within the Automotive business.

Mukesh Saraf: So would you be able to kind of provide some breakup, like, say, within Auto, how much is 2-wheelers, 4-wheelers and say, within Industrial, how much is the heavy industrials, metals, wind, rail, some of these key end markets?

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August 14, 2024

Ashish Saraf: Sure. So 2-wheelers, out of the total 100%, right? I'm giving you the share of the -- so 2-wheeler is around 13% of our business. And heavy is around 5%. Overall aftermarket, both Industrial and Automotive is around 35%.

Mukesh Saraf: How much would rail and wind be, sir?

Ashish Saraf: Yes. So rail is around 7% and wind is around 3% of the overall business.

Mukesh Saraf: You said 3%?

Ashish Saraf: Yes. That's right.

Mukesh Saraf: Okay. Sir, and 4 wheelers, say, within Autos, like 2-wheeler you mentioned is 13%, 4-wheeler should be, I mean passenger cars?

Ashish Saraf: 4-wheeler is around 6% of our overall business. When I say 4-wheelers, again, I'm talking about passenger cars only.

Mukesh Saraf: Right. Understood Great. And the second question is on your localization strategy. I mean, we do understand that I think you should be around 60% localized in SKF India in terms of manufacturing in India itself. So what's the strategy there in terms of trying to localize or substitute some of the i

mports, especially in the industrial segment.

So this -- I want to also kind of juxtapose with the fact that the parent company in its recent commentary mentioned that they're going to be cutting back on capex globally. So how are they -- how is the parent company looking at the Indian operations with respect to adding more capacity locally here and probably even at some point in time looking to export from here or rather increasing export from here.

Mukund Vasudevan: Okay. I can take that question. So you're right, we are around 60% localized. The Automotive

side of the business is a lot more localized. So it's almost 95% localized, and the Industrial is a little less. So the main focus of localization is on the Industrial business. And our aspiration there is to kind of take around 40%, 45% right now to 65% in the next 2 to 3 years. So that process of localization has already started. It is in -- will continue.

The global strategy on reducing capex is just prudent, but it doesn't mean the same brush applies to all regions, where it makes sense, both for -- to build competitive value chains, which is one of the stated strategies of even the parent company where it makes sense for local region for region growth, we are making investments, but we're just being prudent about it.

Mukesh Saraf: Sir, just one clarification there, when you mentioned localization here, do you talk only about this listed company, SKF India? Or do you talk about the other sister company here as well in India?

Mukund Vasudevan: So my answers right now are mainly around the listed company, right? So...

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

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Harshit Patel: Sir, in the -- as per the annual report, we manufactured close to 59% of the products that we have sold last year. And this number increased from 49% in FY '23. Now given that margins on the manufactured goods are higher than the private products, ideally the company-driven margins should have increased in FY '24, I think which was not the case. So could you elaborate something on that, please?

Ashish Saraf: Sure. So if you look at financial year '23, right, we were significantly impacted by the global inflation, right, which kind of started somewhere in 2022 and kind of continue in the entire 2023 as well, right? So we took significant pricing actions in the market, right, where we were able to get better pricing from our customers in financial year '23 whereas in '24, the financial actions - pricing actions have relatively stabilized, right?

So our margins on the traded products were relatively much higher in financial year '23 vis-à-vis financial year '24, right? That's where when you look at even though our manufacturing mix went up to almost 60% in financial year '24, our overall margins for financial year '24 was relatively pretty much in line with what we experienced last year. Hopefully that answers your question, right?

Harshit Patel: Yes, sir, that answers, sure. Sir, secondly, on our railways portfolio, out of our overall railways and metro sales, how much is imported? And how much is manufactured by the sister unlisted company? I believe we wouldn't have been manufacturing anything in the listed entity for this particular segment?

Ashish Saraf: For the railway segment, you are right. Railways is almost -- a significant portion of it is already ruralized in India, but is manufactured by the unlisted company and is subsequently sold to SKF India, which eventually move themselves into the end customer.

Harshit Patel: Sir, if you could broadly speak about the share between the imports vis-à-vis, the unlisted entity from where we source these railway products, then that will be...

Ashish Saraf: The majority of it is sourced from the unlisted company, right? Again, I don't have the exact number with me, but I would say almost 80% is sourced from t

he unlisted company, and the

balance 20% is sourced from other SKF companies.

Harshit Patel: Understood, sir. Sir, just one clarification on the margins part. Is the understanding correct that trading margins will always make certain positive EBITDA on all the traded products, irrespective of whether manufacturing entity is making the loss or even very high profit. Would that understanding be correct?

Ashish Saraf: That is right. So for the traded products, SKF India acts a limited risk distributor, right, where the margins for the -- for SKF India is calculated under the transfer pricing guidelines, which is the net margin method, right, which ensures that SKF India kind of makes reasonable margin on the products that it is selling, even though the actual margins might be way higher or we might be selling at a loss as well.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

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Mumuksh Mandlesha: Hi, sir, Mumuksh here. Thank you so much for the opportunity and congratulations to Mukund sir on your new role. Sir, just first on broader level, how are you seeing the demand side, particularly on Auto replacement and on the Industrial sides, whether railways will drives -- whether the demand augurs more bullish. Can you indicate how the demand trends are there,

sir?

Mukund Vasudevan: So I can answer that. It's -- so let's start with the Automotive side. Overall, I think Automotive is a mixed bag, while the 2-wheeler and tractor segment is continuing to see some growth, especially 2-wheelers. The passenger vehicle and commercial vehicle has been relatively flat. Passenger vehicles, inside passenger vehicles, we are seeing a little bit of a shift towards larger vehicles, SUVs kind of things. Of course, though the volume is small, EVs is both in 2-wheelers and 4-wheelers is growing a bit -- is growing faster. So I'd say, demand-wise, mixed bag in Automotive.

Industrial, we are seeing all the infrastructure-led segment growing well, which are heavy metals, heavy being cement and a few others, metals and correspondingly aftermarket also, right? We are seeing decent demand from wind and railways, but we are trading very cautiously there mainly to preserve our margins because I expect -- price expectations there are quite low. So broadly, that's kind of where we see. But we are very diversified, as Ashish mentioned in terms of our split of segments. So we're able to play the economic cycles much better.

Mumuksh Mandlesha: Got it, sir. So I mean just on the wind and railway, just can you explain me more what kind of price challenge is there in this market with railways, sir?

Mukund Vasudevan: I think it's driven by -- in wind, the pricing of -- it starts with the end-to-end user pricing, which has been low. So since these are all driven by end user price options, reverse options. So we -- that trickles down to the OEMs who are supplying equipment to the EPCs who are building the wind farms. So the price pressure start from the -- all the way from the auction of setting up wind farms, all the way back to us as equipment -- as component suppliers to equipment to manufacturers. So that's the reason for the price pressures there. It's just very, very competitive, both for the OEM and for us.

So we selectively play there. We pick even within -- there's multiple bearings which go within a windmill, and we pick the ones where we clearly have an edge when we can get the price expectations of product -- a better product demand. On railways, it -- again, it varies. We have fairly high share in some of the high-speed trains, which are being introduced like Vande Bharat and things like that, metros.

On freight, it is a lot more competitive, and that goes largely with L1 auctions as is norm normally in any government projects. And there, we are facing increasing price pressures.

Mumuksh Mandlesha

: Got it, sir. So would the segment would still be in positive growth side sir, railways and wind, sir?

Mukund Vasudevan: For us? Or are you saying overall?

Mumuksh Mandlesha: For you, sir?

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Mukund Vasudevan: For us, I would say wind on the top line is actually down, and it's primarily because of conscious actions to back away from some projects. Railways is a little lumpy, but I don't know the exact growth in railways.

Ashish Saraf: So just to add to what Mukund said, for wind business, we had taken customer pruning actions, but mostly customer pruning actions for the wind business are completed, right, as we kind of close off Q2. So we kind of expect going forward that the wind business should start growing again. With respect to railways and defense business, again, because of elections, relatively, the growth in this quarter was flat, but we expect our railway business to grow a bit. As Mukund said, it's a lumpy business. It's a tender business.

So as NDA as kind of formed the government, again, we expect their policies with respect to transforming railways will continue in some of the flagship projects like Train 18 and others, freight corridor and all will continue to expand. And with that, we should be able to expand as well and see growth in the upcoming quarters.

Mumuksh Mandlesha: Got it, sir. And sir, in L1, what kind of guidance would you give, sir, with Auto industry, sir? Will it be closer to double digits, sir, which we have shown in the past, sir?

Ashish Saraf: So generally, as a practice, we do not provide any guidance or -- to the market. So we kind of leave it at that?

Mumuksh Mandlesha: Got it, sir. So sir, broadly, I mean, I was seeing some of the peers on the bid bearing side, they were doing very good double-digit growth. And we had -- I mean we also had a good growth in Q4 quarter, but in Q1, we saw a smaller growth. So is it more related alerted to the wind in railways where we have moved selectively going for the orders, sir?

Mukund Vasudevan: That would be right.

Mumuksh Mandlesha: Got it, sir. Sir, just on the previous quarter of Q2 FY '24 where we had a sudden dip in the margins and then we saw the recovery in the latest quarters. Just can you speak about what happened in the quarter sir?

Mukund Vasudevan: Sorry, I didn't understand the question. Can you repeat again?

Mumuksh Mandlesha: Yes. So on the Q2 FY '24 quarter, sir, the last year quarter, sir, there was sudden dip in the margins, almost like 500, 600 bps fall in the margins sir, which, I mean, got recovered in the corresponding quarters. I just want to understand what happened particularly in that quarter, sir?

Ashish Saraf: So if I have understood your question clearly, you are asking that in this quarter, we had a slight drop in our margins compared to last quarter.

Mukund Vasudevan: No, no. He is saying Q2 FY '24, there was a dip and what was the dip due to and since then, we have recovered.

Ashish Saraf: So if you look at our -- again, I don't recollect exactly like this 2 quarters away. But if I look at my Q4 results for last year, right? Relatively, my sales for Q4, right, was -- you're talking about Q4 '24, this is Jan to March.

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Mumuksh Mandlesha: Q2 FY '24, sir.

Ashish Saraf: Q2 FY '24, which is July to September quarter.

Mumuksh Mandlesha: Yes.

Ashish Saraf: Okay. So again, if you look at that quarter, year-on-year, there was relatively a dip in our overall sales, right? We didn't grow our business because we had some impacts coming in from the distribution business as well as we had some challenges in the Automotive business as well, right? So that kind of impacted our results because there was not a significant growth in that particular quarter. That's what I recollect, that kind of had an adverse effect.

Mumuksh Mandlesha: Was any impact of any trading mix particularly g

oing up very high in that quarter or imports been higher?

Ashish Saraf: Asking specifically July to September and this is -- this earnings call is specifically for this quarter. What I would recommend is that if you have any specific questions to any of the previous quarters, if you can just send us an e-mail and I can revert back to you on that. I think that would be...

Mumuksh Mandlesha: Sure. Sir, can you share what was the trading mix for this quarter and for the previous quarter Q4 and Q1 quarter, last year?

Ashish Saraf: What was the trading mix, right? So this quarter, we had a good improvement in our manufacturing mix. Our manufacturing mix was around 64%, whereas traded product sale was 36%. So we are seeing improvements in our manufacturing mix if you compare year on...

Mumuksh Mandlesha: Okay. Sir, also, can you share -- you shared for the Q1, the segmental mix. Can you share also for the FY '24 for our calculation purpose?

Ashish Saraf: So if you look at financial year 24, our industrial mix was again -- Industrial was at 51%.

Automotive was around 40%. And again, Exports was at around 8%, right? So again, some of the key segments within the Industrial business, distribution was almost 50%, which is 25% of the overall business.

And segments like general machinery was at 8%, rail and Defense was at 7% and heavy industries was at 5%. Similarly, in the 2-wheeler business, again, the after -- 2-wheeler -- sorry, in the automotive business, the aftermarket business was around 11%. And cars business was at around 5%, 2-wheeler was at 13% and trucks and tractors were at around 6%. So pretty much similar mix as to what you see for full year last year versus what you see in this quarter.

Mumuksh Mandlesha: And sir, on the drive and power train, what would be the mix, sir?

Ashish Saraf: Yes. So drives and power train was around 6%.

Mumuksh Mandlesha: Sir, on the capex guidance, for FY '25, what would be the guidance?

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Ashish Saraf: So if you look at our financial year '24, we have increased our capex kind of spend around INR140 crores on capex. And for financial year '25 as well, we expect our capex to more or less remain in a similar way.

Mumuksh Mandlesha: And, sir, out of which you said INR30 crores is a maintenance capex, rest would be for the growth capex, sir?

Ashish Saraf: Yes, you are right. And then there are new investments on channels and things like that as well.

Mumuksh Mandlesha: Okay. I mean generally, where the capacity is seeing the increase -- which segments you're seeing the increase in capacity?

Mukund Vasudevan: I think it's pretty much across the board where we are -- I mean we're seeing it in Automotive. We are seeing it in some of the Industrial areas. We spoke about some of the areas like -- so I'd say a lot of the investment is going to -- some on pure because we are running out of capacity in the automotive side. Some of it is for new areas of expansion, especially in the aftermarket of

industrial -- which is a widespread, everything from general machinery to some of the heavy industries.

Mumuksh Mandlesha: So when you say aftermarket expansion, it is more related to warehousing and those areas, sir?

Mukund Vasudevan: No. The bearing we manufacture goes into the aftermarket, meaning goes through distribution into a wide area of end users.

Moderator: The next question is from the line of Rajkumar Vaidyanathan, Individual Investor.

Rajkumar Vaidyanathan: Sir, I have one clarification and 2 questions. The first clarification is you mentioned that the sales growth for the current quarter is tepid due to lower contribution from rail segment, and you expect this segment to pick up in the subsequent quarter. So is that understanding correct, sir?

Mukund Vasudevan: Not quite, right? Rail is one of the contributors, but there is also a little bit on the wind, which is due to customer pruning from last year

. So that's part of the reason. So wind was a contributor

also. Without the wind customer pruning, there would have been at least a 2.5% to 3% uptick in our growth. Also, there was some slowdown due to elections in the aftermarket and distribution and in some of the investments being made by the heavy industry. So I would say combination of this is the reason for slightly lower growth, but we're not worried.

Rajkumar Vaidyanathan: Okay. So you expect the growth to pick up in the coming quarters, right?

Mukund Vasudevan: Yes. That's our expectation.

Rajkumar Vaidyanathan: Yes. So the first question is just labeling on the previous point, pardon me, the previous questioner. So you mentioned that the localization is about approximately 60%. But if I see your income statement, the ratio of the cost from a value standpoint or the cost of material consumed vis-a-vis their stocking trade, if you see -- basically it is 40 versus 60. So I just want to know when these 2 will also converge to the percentages that we are talking about?

Ashish Saraf: So again, can you repeat because I can't hear you very clearly.

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Mukund Vasudevan: I'm not sure the 2 are connected. I think the question was our localized content is around 60%, but our mix between stock and sales versus make to order, right, is more like stock and sell is more like 30%. Is that what you said?

Rajkumar Vaidyanathan: 40%. If you see this material consumed is INR302 crores and particularly the stocking trade is about INR495 crores. Or if you just take FY '23-'24, that's more appropriate, INR1,160 crores on material consumed vis-a-vis INR1,632 crores on stocking trade. So that's about 40% 60%. So I just -- my question is when, from a value standpoint, also this will converge from whatever percentages that you mentioned?

Ashish Saraf: I get your question now. So in a stable environment, yes, right, that this -- the spend on raw material and the spend on finished goods, right, should more or less align to the overall manufacturing mix and towards trading -- and the trading mix. However, we are not operating in a perfect world, right? The costs in European factories or factories in the developed markets are relatively higher, right?

So cost of procuring those products and selling in the Indian market will be relatively much higher. And the products which we are manufacturing or we have localized in the Indian market, considering that if your supplier -- if your sourcing is from the Indian market, it's relatively much more stable. So you will always see a bit of gap between the actual mix of manufacturing and trading versus the actual cost associated with the manufactured products and then the traded products.

Mukund Vasudevan: You're right. Theoretically, you're right, it should start converging as we localize more. It will never converge fully because we will always trade some products. It doesn't -- we don't have economies of scale to manufacture everything here locally. But as we localize more, this will converge more and more.

Rajkumar Vaidyanathan: Okay. Got it, sir. Sir, the second question is, I mean, just an extension of the first question only. So I just wonder if your margins -- manufacturing margins higher than your trading margins or it's the other way. I don't want the exact number just from a relationship...

Ashish Saraf: The manufacturing margins are higher than our trading margins, that's right.

Rajkumar Vaidyanathan: Okay. And just to label on the same point, if I compare your material cost from Q4 of FY '23-'24 vis-a-vis the current Q1, it has moved from 58.75 to almost 60 points. There's a 200 bps increase in material cost. So I just thought with the softness in steel and other commodities, we should have seen a better kind of...

Ashish Saraf: The costs have increased because our overall production has increased. Our manufacturing mix has gone up, right, from 58%

quarter-over-quarter to 64%, right? So if you look at my overall mix has gone up by 6%, whereas the cost has gone up, as you said, by a couple of percentage points.

Rajkumar Vaidyanathan: Okay. Got it. Sir, the second question is, see, in the last quarter, there was a question asked about the transition of some business from Korea to India because your parent company has mentioned SKF India Limited  
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that they are going to shut down some plants in Korea and Germany and some of the business will move to plants in India, China and Mexico. So just wanted to know any color on that...

Ashish Saraf: Yes, you are right. There is a transition like there are some channels which are moving from Korea to India, which is registered, that's right.

Rajkumar Vaidyanathan: So any idea what is the value of those -- in terms of value, how much -- when will the...

Ashish Saraf: I don't have the values with me right now, but it's already baked in on our capex spend kind of communicated for the like -- in the previous question.

Rajkumar Vaidyanathan: Okay. And lastly, sir, what are the margin levers that are available to the company to go forward?

Mukund Vasudevan: So I think we have mentioned this before, obviously, localization is clearly one, which will improve -- continue to improve our margin. We continue to look at pricing where we believe our products justify a premium. There is pricing action being taken. Portfolio cleanup, where if there is unprofitable or low profitable customer, we either negotiate price increases with them or we drop it. We're not chasing growth for the sake of growth, we are chasing profitable growth.

And last but not the least, continuous improvement in our manufacturing and procurement. All these are in place. And I think we'll continue to support our -- on margin improvement.

Rajkumar Vaidyanathan: Okay. So is it fair to say then going forward, the margin play will be more -- much better than your top line play?

Mukund Vasudevan: I don't think there is -- it's one or the other. I would say we have taken some of those tough pricing and customer portfolio cleanup actions. I would expect a little more focus on the top line and -- but maintaining or slightly improving margins.

Moderator: The next question is from the line of Raj Shah from Marcellus.

Raj Shah: First of all, I would like to thank you the management for this call, and I hope that this a regular practice. So my first question is actually a follow-up of the previous participant's question regarding this South Korea specialty being closed down and the transfer of those products to the India and China facility. So the question was, has this already started from this year? Or do you anticipate going forward this will happen?

Ashish Saraf: It has already started in a sense that we have already started the transition process, but the transition is not yet fully completed, it is in process, right?

Raj Shah: Got it. Another question was, see, I mean, as you mentioned that the manufacturing mix has increased, I'm talking from F '24 perspective. So if I see there is a fall in the traded goods being sold number and there is an increase in, say, our industrial revenues. So is there any specific, if you can mention increase in the industrial localization content for the year FY '24?

Ashish Saraf: I will not have specific data with respect to what is the local content increase for the manufacturing products -- for the industrial products. But overall, just kind of looking at what is my manufacturing mix and trading mix. So that has gone up, right. For financial year '24, it's SKF India Limited  
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at 60% overall manufacturing mix vis-a-vis last year of 55%. Specific to industrial, maybe you can send me a question, and I can get back to you.

Raj Shah: Last question was in the industrial demand. So sir, we are hearing a lot of companies doing excessive steel

and cement sector. I just wanted to know your thoughts from the demand perspective in this other industries.

Mukund Vasudevan: Yes. I think the demand is strong, and we are also doing very well there, right? We're seeing almost 30% odd growth in the heavy metals section, which is driven by the infrastructure. So when we continue seeing that while a temporary blip might be there in terms of the elections, might have been there in the last quarter, I think we continue to see that continuing through to the next year.

Moderator: The next question is from the line of Mayank Bhandari from AMSEC.

Mayank Bhandari: Sir, my first question is on the annual report that you had recently published. Couple of things you highlighted like you have 60% share in the Vande Bharat train set and 100% share of business in the Drive Systems and 90% ballroom -- 90% for roll ball bearings. Just wanted to understand, have you already won those orders or you are yet to execute or you already executed these orders? Because -- and the reason I'm asking is because in railways, your business seems to have declined and there seems to be good commentary in the annual report around the business?

Ashish Saraf: So on the railway business, if you look at [Train] 18, again, as we mentioned in the annual report, we kind of continue to have a good share of business and we continue to win orders in the in the Train 18 business. Overall railway business, where you see a competition in growth is whereas we are not growing freight business, right, which is where relatively our share is much lower compared to our competition, given the overall pricing pressures that we see in the overall trade.

Mukund Vasudevan: Yes, we executed the Vande Bharat.

Ashish Saraf: Yes, the Vande Bharat seems to be -- as already -- as I said, we already continue to have 50% share, and we continue to win orders from...

Mukund Vasudevan: Some of it has been executed. So what you're seeing there is a mix of what we have won, but what we have walked away from in freight.

Mayank Bhandari: Okay. And in the freight, you last time had mentioned that you had a double-digit market share. So how we see the market share now in the freight as you are telling that we are not being able to ramp up in the freight?

Mukund Vasudevan: So I don't think we have published that level of detail. But if you send a question separately, we can look at it. We can see what we can share with you.

Mayank Bhandari: Okay. Okay. And secondly, you had also mentioned that in the annual report capacity utilization for FY '24 was around 84% and with the kind of number you have given of INR16 crores bearings almost in FY '24. This number is it on the volume side? So I'm just wondering if you

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can give the breakdown of value versus volume growth in FY '24, we think that total number is 6% growth in FY '24.

Ashish Saraf: So your question is in terms of sales volume...

Mukund Vasudevan: Volume growth versus...

Ashish Saraf: As I said the manufacturing, this is again correlated to the overall manufacturing mix, right? My manufacturing mix for financial year '24 -- so 60% of my total net sales came in from all the bearings that we manufacture.

Mayank Bhandari: No, actually, I was trying to understand 6% growth of FY '24, what would be the volume growth and value growth breakup?

Ashish Saraf: I wouldn't have that number in terms of what would be the volume growth for the manufacturing products. We can come back to that...

Mayank Bhandari: Okay. And just lastly, sir, in the annual report you mentioned that Indian ball bearing industry is expected to grow at almost 11% CAGR, '23 to '29. And global market is expected to grow at almost 4%. Our growth has been bit sluggish in the domestic market, where industry itself, we are forecasting to grow at double digit and we are growing in single digits. What is our road map of improving this growth

h in the domestic market?

Mukund Vasudevan: So I think globally, because of a lot of headwinds -- so I'll answer your first part first, right, globally, because of a lot of headwinds, we are not seeing that kind of growth, which was projected. The China economy is down, that itself is bringing down growth. EMEA is -- or Europe, Middle East, Africa is also down. Europe is also down significantly because of war and, to some extent, Middle East unrest is also causing a downturn. And then Americas is also a little bit of -- I mean it's not yet into recession, but it's -- the economy is quite soft. It's not -- it's in very low single-digit growth right now.

So I would say the previous statement of overall bearing growth of 4% globally is probably not quite what we are seeing. As far as India is concerned, I would say our strategy has always been profitable growth. We will continue to aspire to grow at 11% plus, right, but not at the expense of profitability. And what you're seeing -- what you're calling softness right now is kind of very prudent actions on our part on what to pursue and what not to pursue.

In terms of future, how we kind of want to get back to higher growth numbers, I think it's a strategy of what we have spoken about in the past. It's -- more localization will help us get more competitive. It's about going after the segments where we see growth. So very focused strategies around these high-growth segments.

Developing products for these high-growth segments like innovating with OEMs, whether it's Automotive or Industrial OEMs to deliver against -- to gain additional market share and continue to expand our overall solution to the customer, including services and associated bearing products with bearings. So all those are elements of our growth strategy. We continue to drive each one of these, both with our internal teams, but also with our channel partners, distributors.

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Mayank Bhandari: So basically what you're saying that we are trying but to retain the market share, but it seems that the counter feed products or the unorganized sector seems to be growing faster in the ball bearing segment than the organized sector? Or is it the correct way to understand?

Mukund Vasudevan: I don't think the data is that clear on that. But our -- I would say this is an anecdotal or information, which we are hearing in the -- hearing through talking to various customers. There is some uptake in, I would not say fake bearings, but in terms of unbranded -- or unbranded bearings, but that is something we continue to watch out for. And I don't think it will be a big needle mover. Some segments in the market may go for either fake or unbranded, but we continue to watch those and see what we can do to kind of recover those customers or eliminate the fakes -- the source of the fakes.

Mayank Bhandari: Okay. And sir, lastly, you also mentioned that the renewable energy seems to be -- I mean, you're kind of integrating it into your factories, wind, solar and all, you're doing capex in the Pune factory for renewable energy. So is there any number you can give us in terms of what will be the cost savings going forward in terms of once the projects are completely executed.

Mukund Vasudevan: So I'd say the first step is just around sustainability. I think today, we are at around 45% is of what we -- energy we use is renewable. We're continuing to move that needle. That number has gone up by almost 10 percentage points over last year. So we continue to move that needle. In terms of cost savings, we'll have to come back to you with the exact numbers with how much cost savings we have seen so far, right. We'll come back to you with the numbers if you send us an e-mail.

Moderator: The next question is from the line of Krupashankar from Avendus Spark.

Krupashankar: I have a few questions. First one, on your commentary in annual report stating back by

FY '30,

would like to double your revenues. I just wanted to get a sense that are we looking for any specific sectors beyond the traditional core sectors, which we have been operating in India? And like we have said with respect to exports and new opportunities coming up, is there any further avenues where this growth can be higher over the next 4 to 5 years? Some comments on that.

Mukund Vasudevan: Okay. So I think there are always segments where we will see higher growth. So -- and we're continuing to look at those. So while I'll just point out a couple of examples. One is from the Automotive side, EVs are faster growth. We have bearings, which are both hybrid and ceramic range, which are more suited and we have higher market share internationally also.

So as the EV market grows, we expect to get more share and grow faster in those segments. That's one. We already mentioned the high-speed trains. Then there is also as India is investing more in things like semiconductors manufacturing and that will be part of our strategy up to 2030. We will -- we clearly have products which are much better suited for that manufacturing process also. Again, we can get better market share and we expect higher growth there.

Even within our traditional segments, if you subsegment even we have a larger category of general machinery, if you look at -- within general machinery, if you look at machine tools, for example, that requires high-speed and low friction bearings. That is an area of strength for us.

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We will continue to look at that. So I'd say there's multiple areas where we can do better and where we have a product which is superior.

Krupashankar: Understood. And on the export side of things also, if you can throw some light on whether there are opportunities beyond the Korean transition, wherein Indian ecosystem can be -- the manufacturing system can be much more suited for export opportunities.

Mukund Vasudevan: Yes. So we're continuously looking at opportunities to export. We are -- I would say there's a substantial opportunity within the region itself, within the Southeast Asia, Australia, there's opportunities there where we can export. We are already exporting, but we'll continue to expand that. The other Americas, also we do export. But most of these we sell to our parent entity, whether it's Americas or Europe, we sell to our parent entity. And there, it's purely a -- in what way can we be the most competitive, that's the decision -- that's how the decision is made. So as we get more competitive, we hope that we can get more of that volume also, and we'll continue to work on that.

Krupashankar: One more thing on some of the initiatives, which SKF has taken in the past, for example, there were long-term contracts wherein SKF had entered with sale for supplying bearings with sensors and identifying measures. So I just wanted to get a sense as to what would be -- this has been -- this effort has been running for almost 4 to 5 years now. So just wanted to get a sense on what's the extent of contribution of specific such contracts? And has it helped in predominantly customer retention and in many cases, has that increased the wallet share per se?

Mukund Vasudevan: So there's many elements to services, right, and where you mentioned some of them like remote monitoring of our bearings, there is also what we -- that's what we call connected technologies.

This is using IoT devices to measure bearing noise, vibration, et cetera. We also have a reman,



which is remanufacturing of bearings, which we do for railways and for some other heavy segments, which is basically using remanufacturing of bearing either refinishing it or replacing some portions of it so that it becomes more sustainable and it's more cost competitive, so -- but -- and extends life. So there are different elements.

Today, we are at around 5% to 6% of our business is services

. We are looking to expand that

because we are profitable, quite profitable, and we see more demand for it. As customers want more uptime or less downtime, and they want a full solution from the bearing manufacturer. It's something we're looking to do to continue to expand. Specific to the example and sale, again, it's not something we share kind of share of wallet. But I would say every customer we get into, we are looking to kind of expand share of wallet. And where it makes -- where the customer is at gain from it. And we have delivered the value, which was expected. We do gain share.

Krupashankar: That's very helpful. Last one, what would be the proportion of CRB and SRBs as a part of our total industrial mix, if at all, we can share a direction or approximate number?

Mukund Vasudevan: Give us a second.

Ashish Saraf: So again CRB data, I don't have specifically, right? But CRB is around 25% of the products...

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Krupashankar: Okay. So the reason why I'm asking, sir, is that there is a sort of significant portion of new capacities you have coming on both from next year onwards. Are you anticipating pricing pressure emerging because of dual capacity coming in the industry? Or is -- we have a fair set of customer for probably a time frame of customer servicing due to which we can retain share? Some thoughts on tax front as well.

Mukund Vasudevan: I didn't understand your question. Is your question, are we adding capacity just to satisfy demand?

Krupashankar: What I was trying to highlight here is that one of your peers is adding large capacities on CRB and SRB, and that is likely to be commissioned in the next year. Is it likely to drive pricing pressure in that particular category? And how is SKF looking to mitigate this transition or change in overall industry capacity?

Mukund Vasudevan: I would say, look, we're also trying to localize as quickly as we can, both on CRB and SRBs. Those are the 2 we mentioned or TRBs, right? You mentioned.

Ashish Saraf: Yes, CRB and SRB.

Krupashankar: SRB -- CRB and SRB, yes.

Mukund Vasudevan: CRB and SRB, right. We are looking to localize more content there or more manufacturing there.

I would say, there are strengths we have, there are strengths some of our competitors have. And we will continue to kind of evolve our product strategy to make ourselves not just more competitive, but to add more value to our customers. And I don't expect too much pricing pressure there, especially in areas of our strength. But I think it's -- like any other market it's a dynamic game, they -- competitors will make their moves, we will make our moves. And -- but I don't expect that there'll be a drastic pricing pressure just because of this.

Krupashankar: Understood, sir. Thank you and all the best. One humble request, please do continue engaging with investors on a continuous basis rather than once a year, that's my humble request.

Mukund Vasudevan: I think we are out of time, moderator?

Moderator: Shall we go for the closing, sir?

Mukund Vasudevan: Yes, please. So any further questions, you can e-mail and then we can respond.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. We will now close the conference. On behalf of SKF India Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

## Call: Aug 2024

SKF India Limited

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Date: 19th August 2024

National Stock Exchange of India Limited,  
Exchange Plaza, 5th Floor,  
Plot No. C-1, G Block,  
Bandra- Kurla Complex,  
Bandra (East), Mumbai –  
400051, Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001, Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Subject: Intimation – Transcript of 63rd Annual General Meeting held on 13th August 2024.

Reference: Intimation dated 14th August 2024 - Video link of 63rd Annual General Meeting held on 13th August 2024

Dear Sir/Mam,

Pursuant to Clause 15(b) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith transcript of 63rd Annual General Meeting held on Tuesday, 13th August 2024 at 03:00 p.m. IST. The same will be available shortly on the website of the company for the convenience of the shareholders at the below-mentioned link: <https://www.skf.com/in/investors/shareholder-information> .

The above is for your information and record. You are hereby requested to disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer  
Gopal Subramanyam:

Good afternoon, dear members. This is 3:00 PM Indian Standard Time, and I welcome you all to the 63rd annual general meeting of SKF India Limited, held through video conferencing. It's my pleasure to meet you virtually again, like the previous year. On behalf of the Board of Directors, and I'd like to thank you all shareholders for joining this meeting through electronic mode from different locations. Your support and confidence and encouragement strengthen our efforts to make SKF stronger. Before I begin, I'd like to introduce the Board of Directors and KMPs of your company present at this meeting. As I call out the name of each director and KMP. I request them to introduce themselves . I start with Ms. Anu Wakhlu.

Ms. Anu Wakhlu:

Namaste and good afternoon. I'm Ms. Anu Wakhlu. I'm an Independent Director on SKF India board. I'm also the chairperson of the Audit Committee, the Nomination and Remuneration committee. Apart from this, I'm a member of the Risk Management Committee, the CSR committee and the Stakeholder Relationship committee. I'm taking part in this meeting from Boston, USA.

Gopal Subramanyam:

Thank you, Anu. Mr. Mukund Vasudevan.

Mr. Mukund Vasudevan:

Good afternoon everyone and Namaste . This is Mukund Vasudevan. I'm the Managing Director of SKF India Limited. Pleasure to meet you all, and I'm taking part in this meeting from Pune, India.

Gopal Subramanyam:

Thank you, Mukund. Mr. Manish Bhatnagar.

Mr. Manish Bhatnagar :

Good afternoon. My name is Manish Bhatnagar. I'm the Non-Executive, Non Independent Director on the Board. I'm also a member of the Audit Committee and the NRC. I have joined this meeting from Philadelphia in the US.

Gopal Subramanyam:

Thank you Manish. Mr. Ranjan Kumar.

Mr. Ranjan Kumar:

Good afternoon shareholders. I'm Ranjan Kumar. I'm Company Secretary and Compliance Officer of your company. I'm joining this meeting from Pune, Maharashtra.

Gopal Subramanyam:

Thank you, Mr. Kumar. Mr. Ashish Saraf.

Mr. Ashish Saraf:

Good afternoon everyone. Hi. I'm Ashish Saraf, Chief Financial Officer of your company. I'm attending this meeting from Pune, Maharashtra.

Gopal Subramanyam:

Thank you Ashish.

Gopal Subramanyam:

Thank you board members and KMPs. I wish to inform that Mr. Karl Robin Joakim Landholm

non-executive, non independent director could not join this meeting due to his occupancies. Also, Mr. David Johansson, non-executive, non-independent director could not join this meeting due to his occupancies. The company has made all possible efforts under the circumstances to enable the members to effectively participate in this meeting through video conferencing facility and to vote electronically. Now, I would request Mr. Ranjan Kumar, our Company Secretary and Compliance Officer, to check and confirm to me the quorum of this meeting, and also share some important information about this meeting with the shareholders. Over to you Ranjan.

Mr. Ranjan Kumar

Thank you, honorable Chairman. After looking at the number of shareholders present I confirm that the requisite quorum as required under the law for this meeting is present as per various circulars issued by Ministry of Corporate Affairs and SEBI, the participation of shareholders through video conferencing have also been considered for the purpose of computing the quorum for this meeting. I would now like to record and confirm the presence of authorized representatives of our Statutory Auditors, Secretary Auditors, and Cost Auditors of the company at this meeting. Now we brief announcement for the convenience of the shareholders: All the shareholders who have joined this meeting are by default, please on mute mode to avoid any disturbance arising out of the background noise, and also to ensure a smooth and seamless conduct of this meeting. The shareholders who have registered themselves as speaker will be allowed to speak when their names are announced with a request to speak. The audio and video facility will be opened by open for them accordingly. The shareholders may further note that the recorded video of the proceedings of this meeting will be uploaded on the website of the company along with the transcript of the same. The video and transcript would also be communicated to the stock exchange where the shares of the company are listed.

With this I would like now to draw your attention to the statutory records, which have been made available for your inspection electronically. So following records have been made available for your electronic inspection and the members can go and visit to the website and inspect those records. The first is the register of directors and key management personnel and their shareholding maintained under Section 170 of the Companies Act, the register of contracts and arrangements maintained under Section 189 of the Companies Act, and other documents referred in the notice, explanatory statement and annual report, which has been published recently. All these documents are available on the website of the company for electronic inspection of the shareholders. Members may further note that the annual report of the company for the financial ending 31st March 2024, has already been circulated to them via email 17th July 2024. With this, I would refer back to honorable Chairman to share his outlook on the business environment of the company. Thank you shareholders.

Gopal Subramanyam:

Thank you, Ranjan. Dear Shareholders, good afternoon once again. Ladies and gentlemen, it's with immense pleasure and profound sense of pride that I, on behalf of our esteemed board members and the entire SKF India team, extend a warm and heartfelt welcome to each one of you to this 63rd Annual General Meeting of your company for the year 2023-2024. As we gather here today, we reflect on a remarkable journey. The past fiscal year has been nothing short of extraordinary for SKF India Limited. Our collective efforts, a relentless dedication and commitment have paved way for an exceptionally successful year. It's indeed a moment of celebration and reflection as we stand at the threshold of new possibilities and promising horizons. Allow me to take this opportunity to revisit the highlights of the year gone by.

Together, we have navigated through challenges, seized opportunities, and achieved milestones that have reinforced our position as a leader in our industry. Our innovative spirit, coupled with customer-centric approach has driven us to excel and set new benchmarks in excellence. But it today is not just about looking back, it's also about looking forward with optimism and confidence. As we embark on a new fiscal year, we do so with a vision that is clear, a strategy that is robust and a commitment to sustainability and innovation.

The future begins with exciting prospects, and we are poised to embrace it with same zeal and determination that has brought us this far. Your company posted very strong financial performance in a time when the world seemed to pause, India continued. Its relentless march forward, achieving a growth rate of 7.6%. Furthermore, the government has set an ambitious goal of transforming India into a developed country by 2047. Fueled by stable and robust domestic demand, expanding private consumption and investment, and ongoing structural reforms, India is poised to sustain its upward road trajectory in the coming years.

Throughout this journey, we at SKF India have proudly served as catalysts, driving progress and fostering innovation across industries. Our commitment to pioneering sustainable solution has not only propelled growth, but has underscored our agility in adapting to change. Today we gather to reflect on our achievements as we gather to reflect on our achievements. Let us celebrate a story that goes beyond mere numbers narrative or resilience, innovation and unwavering dedication to India's progress. To foster growth, SKF India focused on high potential segments within our industrial business over the past year, we introduced innovative solutions, particularly in renewable energy, where we see substantial growth opportunities. Moreover, we strengthened our foothold in strategic industries such as cement and mining, leveraging our established market position. Recognizing the burgeoning electric vehicle sector known as EV, we expanded our footprint as a preferred partner to meet evolving mobility demands. These initiatives underscore our commitment to driving sustainable growth and capturing emerging opportunities.

SKF has delivered commendable results for the financial year 2023-24. Our net profit before tax surge to INR 735.8 crores accompanied by a revenue of INR 4,570.1 crores marking respective increases of 0.4% and 6.2% over the previous fiscal year. These achievements underscore our effective portfolio management with a strategic focus on high growth segments, discipline, cost controls, and optimized pricing strategies. Our commitment to sustainable growth is evident in our robust organic sales growth and expanded margins. This success is a testament to our steadfast dedication to executing an intelligent and sustainable growth strategy made possible through the unwavering support of our stakeholders, the company's financial statements for the year ending 31st March 2024, along with reports from our Directors and Auditors have been made available to each of you. With your permission, I propose that we take these reports as read for today's proceedings.

Our growth strategies throughout FY 2023-24 SKF India intensified to bolster disciplined cost management, enhance productivity, and optimize operational efficiencies across organization. Central to our strategy was the ambitious goal of increasing the localization of direct material to 85%. This significant achievement has not only led to reduced cost and shorter lead times, but also strengthened our resilience against global supply chain disruptions.

We have also set clear key performance indicators for our net zero supply chain target by year 2050, enhancing our competencies and capabilities through strategic partnerships across our entire value chain. Our supplier sustainability program, w

hich includes our top 55 players in the country, lays out a clear roadmap for the short and medium term, and ensuring alignment with global sustainability standards and advancing commitment to responsible business practices. Our journey towards a more sustainable future has been marked by noteworthy milestones. In financial year 2023-24, we successfully finalized renewable energy purchase agreement for our Bangalore and PO facilities, increasing our renewable energy sourcing to 43% of our total energy consumption. This achievement represents a significant step towards our ambitious decarbonization goal of reaching net zero emissions by year 2030.

Simultaneously, we made substantial advancements in upskilling our workforce with a particular focus on empowering our frontline sales and leadership teams. This initiative was designed to deepen our understanding of evolving customer requirement, elevate our operational effectiveness, and deliver enhance value to all our stakeholders. Our commitment to nurturing a diverse and inclusive workforce remains unwavering as we invest on our employees, champion gender equality and set new industry benchmarks. Looking ahead, SKF India remains committed to advancing sustainability, driving innovation, and contributing positively to environmental stewardship. We are excited about the opportunities that the future holds and committed to continuing journey towards sustainable growth.

Way forward, I'm filled with immense pride as I reflect on the extraordinary achievements of SKF India has celebrated in the financial year 2023-24. Our journey this past year has been nothing short of remarkable, and it is with great enthusiasm that I share our vision for the future as we build on this incredible momentum. We have entered a new chapter in our story, one

marked by a renewed sense of purpose, a bold and strategic vision, and a team that embodies passion and determination. Our approach is centered around a simple yet performed commitment to continually improve, to empower every member of our workforce, and to exceed the evolving expectation of our customer for an intelligent and clean tomorrow. At the heart of our strategy, lies a dedication to excellence. We are not just aiming for growth, we are driven to achieve profitable growth that stands the test of time. Our strategic priorities are designed with one clear goal in mind, sustainable value creation for our shareholders and stakeholders alike. We are set on a course that leads us to a future bringing with opportunity a future where success is defined, not just by the achievements of today, but by the promise of tomorrow.

I want to extend my heartfelt gratitude to those who have been an integral part of this journey. To our dedicated employees, your commitment and exceptional contributions are the bedrock of our success. To our suppliers and partners, your support and collaboration have been invaluable. And to our customers and shareholders, your trust and confidence are the driving forces behind our efforts. Together we are charting a course toward a future filled with innovation, a resilience and enduring success. Your steadfast support fuels our drive to not just meet expectation, but to surpass them. Thank you for being a part of this incredible journey. Here's to a future where we continue to rise, innovate, and succeed together. Thank you. I now request your Company's Managing Director Mukund Vasudevan to make his presentation to this AGM.

Mr. Mukund Vasudevan:

Thank you, Mr. Chairman. If you could put the presentation on. Thank you all a pleasure to be here. I will now go through the presentation of our performance in the year 2023-24 as well as strategic pillars of where we are taking this company forward. Next page. So the agenda topics are, we'll talk a little bit about SKF as a company and our purpose, our strategy, and our values. We'll talk about our strategy driven by the theme of toward

the intelligent and clean future. Talk

about a commitment to our employees and to sustainability and to community. And we'll end with a summary.

Next page. Our purpose as a company is that together we reimagine rotation for a better tomorrow. That how do we do that? That is driven by intelligent and clean growth, and the elements of our strategy are high growth segments, new technologies, services and aftermarket and active portfolio management. And it's enabled by continued and accelerated technology development, digitization of the full value chain, regionalized and competitive supply chains and operational efficiency, making us closer to the customer. And the foundation of all of this is our people and our leadership.

Next Page. So if our purpose, as we said, is together, we reimagine a better future, better tomorrow, we do this through our core values, which are care, collaborate, curiosity, and courage. Together is collaborate. We reimagine is curiosity, rotation for a better tomorrow is courage and better tomorrow is also around caring and caring for our employees, caring for our community, caring for the environment. Next page. With that as a foundation, I want to talk about our financial performance, which as Mr. Chairman said, has been outstanding thanks to contributions from all our employees and support from all of you. First and foremost, on the top line, we grew at a healthy 6.2% from last year, driven by solid focus on high growth segments, which includes two-wheelers which have expanded significantly, heavy industry, cement, mining, etcetera, metals and renewables. Those have all contributed actively to this growth of 6.2%. While we continued to grow, we have maintained a healthy margin of over 16% operating a profit before tax, percent of over 16%. And while through our portfolio management, cost control and price, we have expanded margin. It has been partly offset by higher costs on our traded products, driven by higher exchange rate and higher costs from some of the factories we were importing from. That said, our earnings per share continue to show a robust increase of 5% year on year.

Next page, all this it was 22-23 to 23-24. But if you see our journey over the last five years, it has been nothing short of tremendous. We've shown a CAGR of 12.6%, which is almost twice of GDP over the last four years, five years, a profit before tax is also a growing at a CAGR of 17.4%, as is our earnings per share. I think this speaks volumes for our strategy, our purpose, and our core values, which have been consistent throughout this time. Next page, I'll now share a few examples of our strategy in action. As I said, our strategy is resting on four pillars, which are the high growth segments, the new technologies, services and aftermarket and portfolio management. I'll talk about the first three through examples.

Next page. The first example I want to share with you is something which I think is a tremendous achievement of our team both from a sales and business development perspective and how we care and deliver value to our customers, but also from our operations and manufacturing capability. So the railway team in India through its engineering and technological capability, designed and developed a product for the Vande Bharat's train. This is a set of roller bearings specifically for electric locomotives. The first of its kind in India. And these roller bearings were of lower cost thanks to localization, but were also much more efficient than we had previously been designed. So this is something which we are very proud of, and we are

almost 44 rakes of the Vande Bharat type train insights have been equipped with SKF bearings thanks to our localization strategy, locally manufacturing these bearings as well as designing something that is fit for purpose for the customer.

Next page. Continuing on the theme of our strategy on new technologies. This is a product which

our automotive team developed a seal for, a patented product for SUVs. These SUVs are designed in such a way that they keep mud and other contaminants out, ensuring less failure, less friction, so more energy efficient and less power loss in both high temperature misaligned conditions, as well as tough off-road conditions. We expect to roll this out to several of the SUV manufacturers in the country. This shows our technological, our focus on technology and innovation aligned with our customer's requirements. Next page. Yeah, the third example I want to share with you around our strategy, which is around service and aftermarket. So, SKF developed a condition in monitoring technology, which is a combination of digital and our service capability for the steel manufacturer, one of the largest steel manufacturers in the country. This is a technology, which is both an actual axial positioning system as well as a wear measurement system for the converter process in steel. Through this positioning system monitoring, we were able to reduce unplanned downtime, increased production, reduce cost, and enhance the safety conditions under which the customer was performing. The solution is a breakthrough for the metal segment, and we hope to roll this out to several other converter manufacturers in the country. So again, this speaks volumes for our focus on our strategy and we'll continue to share such examples with you, which talk about our focus on high growth segments, technology services, and our aftermarket, enabled by our localization efforts and a really strong team.

Next page, as I said, one of our core values is our commitment to our employees, sustainability and employ and community. In short, we care. That is one of our core values, so I'll give you a couple of examples around each one of these. Next page. For our employees, we have rolled out several programs, both at the leadership level and the ground level. The first of those is the power of the future, which offers opportunities for growth and self-reflection for our managers and both first time managers and managers who have been in the position for a while. The second one is a software aspect, a program called Manager Cares, which provides empowerment leaders to really become effective and adaptive in their role, such that every employee feel that their manager actually cares. This was a very well received program where rules rolled out to all managers across India. The third is around Living Blue. It's called Living Blue, which educates our people managers in terms of fostering a psychologically safe workplace. And last but not the least, is a combination of our commitment to our people, our employees, but also towards diversity. This equips our female leaders with skills and tools so that they can better handle change and negotiations. So several such programs will continue. This shows a commitment to our employees, which is the foundation of our growth and delivering value to our shareholders. Next page. On the climate front, if you look at the right hand side, this year we have saved 31% more energy than last year. That is 2,700 megawatt hours of energy. This is a tremendous effort and quite unsubstantiated in our history quite unmatched in our history. And it chose a commitment towards energy saving in our manufacturing and all other facilities. We are also working on our Scope one and Scope two and started our journey on Scope three CO2 reductions, and we've shown a 9% reduction year on year. And today we stand at 28,981 tons of CO2 Scope one and Scope two, our share of energy, renewable energy is also continuously going up, and this is a 10% increase over last year. So today we stand at 45% as opposed to last year we were at 35% renewable energy. All of these efforts are towards our continued commitment towards the climate and environment. We made a commitment that we will decarbonize operations by 2030 and we stick by it

and our net zero achievement will be by 2050. We are on the right trajectory and we'll continue to work towards it.

Next page. And last but not the least, we care for our communities. We've launched several programs, but if I had to highlight three, one is the YES program, which is the youth empowerment as SKF. This trains mechanics coming especially from underprivileged background young youth, the youth of the country to become equipped to be handle mechanics in two wheelers cycles as well as cars and we train several thousand every year. The second is WeGyaan, which is stem or science related education for girls. We have launched several WeGyaan programs across the country, and again, this is our commitment towards diversity as well as children from an underprivileged background who may not get the quality and the quantity of training required in stem. Finally, around girls education, we have launched a scholarship called Udaan to help our not just our but underprivileged women and girls who deserve higher education but are unable to afford it. We empower them through coaching, mentoring, and financial assistance. Year to date our 23-24, we have spent 110 million INR almost 11 crores of our profits in CSR activities. We've impacted 67,000 beneficiaries and 1,700 plus of our employees have been involved in this volunteer activity. I'm proud of this, and it

continues to show our commitment towards our community.

Next page, I'll end with a summary of our performance and a vote of thanks. Next page. Once again, we are committed to our purpose and our values. We will continue to accelerate our intelligent and clean growth strategy, and we'll continue to invest in our future by delivering in the future to deliver attractive returns for our shareholders. It is this consistency of our purpose, value, strategy and commitments that I'm proud to say that we have delivered 6.2% revenue growth, year on year, while maintaining and slightly growing our profit and delivering 5.1% earnings per share growth year.

For this, I have to thank several people. I first of all want to thank our Board our Independent Directors. I also want to thank my predecessor and ex MD Manish Bhatnagar who has been instrumental in this journey. And I want to thank all our employees who have made this possible. And last but not least, I would like to thank all of you shareholders who have shown the commitment in the board and the management and us as a company and empowered us to achieve these results. Thank you all. Back to you, Mr. Chairman.

Gopal Subramanyam:

Thank you, Mr. Mukund Vasudevan. Now I wish to apprise the members about strategy, financial audit report, and secretarial audit report of the company for the year 2023-24. I'm happy to share that there is no qualification, observation, comment, disclaimer, or adverse remark in the audit reports of your statutory auditors for the year 2023-24. I now request your company's secretary, Mr. Ranjan Kumar, to brief the members about voting facilities available to them.

Over to you, Ranjan Kumar.

Mr. Ranjan Kumar

Thank you, honorable chairman. Now with this, I would like to inform the shareholders that the compliance that in compliance with the presence of the law and in compliance to the circulars issued by Minister of Corporate Affairs and SEBI from time to time, the shareholders were provided the facility to cast their votes through remote E-voting platform, which was kept open from 9th August 2024, 9:00 AM till 12th August 2024, 5:00 PM. The facility of casting E-vote is also available to the members during this meeting. The shareholders who are presented this meeting and have not casted their votes through remote E-voting platform can cast their votes. Now, the E-voting is currently active and will be closed after 15 minutes from the conclusion of this meeting. Now, if a shareholder has already casted his or her vote using remote E-voting platform, then he

or she will not be allowed to vote during this meeting, shareholders whose names appeared on the register of members as on the cutoff date, which was fixed as 6th of August 2024, are those who would be eligible to cast their votes for the proposals which have been placed through the notice in this meeting. There will be no voting by show of hands as this meeting has been convened through video conferencing.

Now, I would like to apprise the Shareholders about the scrutinizer. Your Company has appointed Mr. Jayavant Bhavde of M/s J B Bhavde & Co, Practicing Company Secretaries as scrutinizers for scrutinizing the votes casted by the shareholders in a fair and transparent manner. They're also attending this meeting through video conferencing, the combined results of E-voting facility or the votes which have been casted through remote E-voting platform and during this meeting from the scrutinizers, the result will be declared by the company after receipt of the Scrutinizer's report. The results of voting (along with the report of Scrutinizer) shall be placed on the website of the company - <https://www.skf.com/in/investors> and it'll also be uploaded on the website of NSDL, which is [www.evoting.nsdl.com](http://www.evoting.nsdl.com). It will also be communicated to BSE Limited and National Stock Exchange of India Limited within prescribed timelines. Before requesting honorable chairman to take up that resolution, I would like to reiterate the process of taking your queries and questions. This being a virtual AGM, the following Members will be eligible to share their views and/or ask their questions (as explained in the Notice to this AGM) The shareholders already registered themselves as speaker on or before 1st of August 2024, as was indicated in the notice. And second, Members who have expressed their views/have shared their questions on the designated e-mail address before the timeline prescribing the notice please post your questions on our registered email id, which is [investors@skf.com](mailto:investors@skf.com). We'll try to reply over emails unless the same is already answered or clarified during this meeting. Now with this, I would again refer back to honorable chairman for taking up the resolutions which have been prescribed in the notice. Over to chairman, honorable chairman.

Gopal Subramanyam:

Thank you Mr. Ranjan Kumar. Now I'd like to take up the resolution as set forth in the notice dated 8th, May 2024 of 63rd Annual General Meeting of the company. There are three ordinary businesses listed in as agenda number one to three and three special businesses listed as agenda item number four to six for draft resolution, explanatory notes and other details. The shareholders are requested to refer to the notice of this AGM. I would start with ordinary businesses and request the members to cast their vote if not done already on each of the agenda item, the facility of E voting is available to members till 15 minutes after conclusion of the proceedings of this AGM. So I'll start with the ordinary businesses. Agenda number one,

ordinary resolution for adoption of audited, standalone and consolidated financial statement of the company for the financial year 2023-24 together with reports of directors and auditors, there are. Agenda number two, ordinary resolution for declaration of final dividend of rupees 130 per equity share of rupees 10/- each for the financial year ended 31st March 2024. That is 1300% which has been approved and recommended by the board of directors of your company. Agenda number three, ordinary resolution for appointment of directors in place of Mr. Karl Robin Joakim Landholm, who retires by rotation and being eligible, offers himself for reappointment. Special businesses, now I'll take up the special businesses. That is agenda number four to six of the AGM Notice. Agenda number four, ordinary resolution for approval of material related party transaction with SKF GmbH Schweinfurt, Germany, which is a fellow subsidiary.

Agenda number five, ordinary resolution for approval of material related party transaction with SKF Engineering and Lubrication India Private, which is a fellow subsidiary. Agenda number six, ordinary resolution to ratify the remuneration to cost auditor for the financial year 2024-25. We have gone through all the agenda items of this Annual General Meeting. Thank you members for your participation in these agenda items. I will now request Mr. Ranjan Kumar, again, Company Secretary, to invite the members who registered themselves as speakers. On announcement of the name, the audio and video facility of respective member will be open. I would request the members to summarize their views and question in two minutes so that other members may also get the suitable opportunity of expressing their views and raise their questions. Questions raised by the speakers shall be addressed once all speakers have spoken.

Mr. Ranjan Kumar:

Thank you, honorable Chairman. In the interest of time and for the benefit of other shareholders, I will keep a time check. The shareholders are requested again to summarize their views or questions in two minutes, please. I'll just put the time check on this. With this we'll invite our first speaker, shareholder Ms. Lekha Shah, can we have Ms. Lekha Shah on screen.

Ms. Lekha Shah:

Respected chairman sir, board of director and my fellow members. Good afternoon and regards to everyone myself, Lekha Shah from Mumbai. First of all, I would like to thank our Company Secretary Mr. Ranjan, especially Mayuri ma'am, for giving me this opportunity and forceful process where I'm able to talk in front of you all in AGM. I found the AGM notice and I am delighted to say AGM report is so beautiful, full of colors, packed, we get in place also. It's really useful with lot of information. Thank you, chairman sir, for explaining as the company. Congratulations for excellent work sir. Sir, I pray to God that 2024 comes with great prosperity for our company. Also, Thank you Mukund Vasudevan Ji for such an informative and wonderful presentation. Chairman sir, I could like to ask you questions. My first question is how many women employees are working in our company? What is the total number of employees or what is the roadmap for the two years? Chairman sir, I hope the company will continue video conference meeting in future. So I strongly and wholeheartedly support all resolutions for today's meeting. Thank you so much, sir.

Mr. Ranjan Kumar:

Thank you, Ms. Shah. May we request of our next speaker, Mr. Bimal Kumar Agarwal to be placed on screen please?

Mr. Bimal Kumar Agarwal:

First of all, I thank the Company Secretary's team, management staff and the shareholders. Good afternoon, good evening, good night, and good morning to other shareholders who have joined from other part of the world also, I hope company will continue the video conference always as chairman and managing director that already given good speech. I got no question to ask. And again, I thank the Company Secretary for this good work and for sending me the physical copy of the annual report. And please try to arrange a visit for the shareholders who have joined today. That's all from me. Thank you very much.

Mr. Ranjan Kumar:

Thank you Mr. Agarwal. Thank you so much. May we request the next speaker shareholder, Mr. Arunji Dixit to be put on the screen.

Moderator:

Sir, this speaker shareholder will not be joining the meeting.

Mr. Ranjan Kumar:

Okay. Then we go to the next speaker, shareholder, which is Mr. Kaushik Shahukar. Can we have him on the screen please? Mr. Kaushik Shahukar, are you able to hear us?

Mr. Kaushik Shahukar:

Respect sir and distinguished guest. Good afternoon to all. It is truly an honor to attend this esteemed gathering today. I extend my heartfelt gratitude to the board for granting me opportunity to be part of this important event. First and foremost, I would like



ke to commend our

chairman Mr. Subramanyam Gopal and our managing director, Mr. Mukund Vasudevan, for the comprehensive presentation on the state of our company. The insights for so thorough that I find myself with no questions, though as a speaker, it is my duty to inquire. Therefore, I have only one concern, which is I propose utilizing the substantial saving from the virtual mode of this meeting for the benefit of speaker shareholder. This could involve arranging site visit for our speaker shareholder or distributing token of appreciation to speaker shareholder during festival. Sir, I just know when was the last site visit arranged by the company for our shareholders if any, don't you feel that we as a co-owner of the company have a right to see our factory of our company and industry, how our company functions? Please throw some light and on a lighter note given our shift to virtual meeting, maybe next time, we should consider virtual Hi-Fi competition. To, keep things lively. Thank you all for your patience.

Mr. Ranjan Kumar:

Thank you so much Mr. Kaushik. Thank you. Can we move on to the next speaker, Ms. Prakashini Shenoy, can we get him on the screen please?

Ms. Prakashini Shenoy:

Sir, I'm Prakashini Ganesh Shenoy from Mangalore. Respected, honorable Chairman Shri Gopal Subramanyam, Vanakkam sir and other dignitaries on the board and my fellow share shareholders. Good afternoon to all of you. I received the AGM report well in time, which is colorful, transparent, knowledgeable informative and contains all the information as per corporate governance, I thank Mr. Ranjan Kumar and Mayuri for the same. I should not forget to thank them once again for reminding me of today's meeting along with the link. Thank you Mr. Ranjan and Mayuri Madam. The chairman, Mr. Subramanyam and Mukund Vasudevan has given a beautiful picture regarding the company and its working in all parameters. Thank you, chairman, sir, and thank you Mukund sir. I'm glad to note that the company has done outstanding work in the field of CSR activities. Congratulations for the same. At the outset, I'm thankful to the board for recommending the dividend for the financial year 23-24. I'm also glad to note that the company has done robust performance during the year in respect of profit, revenue, PBT, PAT, etcetera, etcetera. Chairman sir, I have just few questions. My first question is, what is the future plan of our company? And my next question is, how do we adopt digital technology to increase productivity? My next question is kindly highlight the future roadmap for growth due to global situation. And my last question is, what is the roadmap for next five years and CapEx for the same? Chairman sir, last but not the least, my personal request to you. Please continue with VC so that people all over will have an opportunity to express their views. For instance, I'm from Bombay, have just dropped into mangalore and I'm able to express my views just because it is VC, I wish the company good luck for a bright future and pray God that the profit of the company shall reach the peak in due-course. Chairman sir, I strongly and wholeheartedly support all the resolutions put forth in today's meeting. Thank you, chairman, sir.

Mr. Ranjan Kumar:

Thank you. May we have our next speaker, shareholder, Mr. Anil Mehta please on screen.

Mr. Anil Mehta:

Good afternoon. This is Anil Mehta. I attend this meeting from my residents at Mumbai with my family member. They are also shareholders of company. So we have few questions. The question number one, so what is the impact of this current budget on our business? Second question, how the company is appointing directors? Is the company accepting any recruiting agency for this? And if it is there, then how much they are paying and the company accepting any nomination from the shareholders. Can you provide me the plan business plan for the next year and next five years? And what

's the company doing to improve the shareholder relations. With this, we are supporting all the regulations and thank you, the secretarial department for the cooperation. All the best. Thank you.

Mr. Ranjan Kumar:

Thank you Mr. Mehta. May we request our next speaker shareholder, Mr. Hiranand Kotwani on the screen please?

Mr. Hiranand Kotwani:

Yeah, it's a great pleasure. Respected chairman and other dignitary of board and fellow shareholder. I am Hiranand Kotwani from Kalyan. It's my immense pleasure. This is a good company, well respected company, but certainly result is good, but compliance is not good. Gentleman, I request for this in mail regarding the physical copy I receive, not received. I'm not able to read in electronically, so please make note every year I received the this year I have not received. It may be in a postal delay or some problem there, but compliance you should ask because we are few shareholders interested to me. Coming to the point of the operation. Operation is good, but not excellent. What is percentage of our share Indian market, our heavy bearing Indian market. I want you to explain the two resolution because we are here to decide and discuss on agenda. Agenda number four and five. We'll elaborate the what type of these agenda number four and five rated party transaction, how much transaction involved in this, how much this is beneficial for our foreign counterpart. How much transaction in last year?

Resolution number four and five And will you please elaborate x Believe I cannot understand how much amount enable it, how much amount do you give to them? Is it a royalty we give? And what percentage or amount we royalty every year we give to our foreign counterparts. These two companies are there. Our relation with and what about the export and expansion are we are able to export our, are our foreign counterpart not allowing us how much export we do? What is we plan in this regard? Direct export to the other countries. Are any orders are there or we are taking orders from other company, other countries, various geographies. Please explain. I already sort of new product if any coming, if new orders are there and how the expansion outlay will be there. And last bonus when I give the last bonus to the shareholder and it's a high time to go for the split of the share and give the bonus because so many years, 63 years of operation is still we're 4,570 crores. I hope that last so many I was thinking that we'll touch by the 2025, 10,000, but certainly it, the mute profitable is good, but the growth is not increasing so much how the plan is expansion plan. Are any other, please elaborate that how you go ahead. Thank you and good luck.

Mr. Ranjan Kumar:

Thank you Mr. Kotwani. Now can we have our next speaker shareholder, Mr. Gautam Tiwari on the screen please. Mr. Tiwari you on the screen? Mr. Tiwari are you able to hear us?

Mr. Gautam Tiwari:

So first of all, good afternoon our Gopal Subramanyam sir, Vanakkam sir. Sir very nicely you have given the opening speech, I'm very happy and MD Mr. Mukund, he's also given a very good explanation of what our company is there. Also all our present directors and our CS, young, energetic, Mr. Ranjan Kumar, we're very happy the way we have been seeing you and the way you have been delivering your speech and the way you have been working with Assistant Mayuri and our all directors on board and the team, our SKF India Limited my respective colleagues participating at this AGM.. First of all, I see very reputed company. I'm a shareholder along with my family right from day one. And we are very proud shareholders of SKF and we are the strong support of SKF right from the beginning in this company. And we continue to be lifetime supporter, continuous and encouraging supporters all the way and all. Sir, I'm really happy the company is reporting world renown and taken with very good respect. Sir, but one thing I would li

ke to request, and it's not a complaint, please don't take it as a complaint, but nobody contacted us this time and explained about everything when the meeting is there and all that, but this time I was contacted only today by our Mayuri ma'am and she is very good. Our secretarial department is very well and we're very proud of it. But please answer. Please send me the physical copy on request, which I have not received, sir. And sir our excellence and even our R&D, sir, I would also like to know how much is R&D spent in the quarter of FY'23-24 Quarter 1 till today, and what is the target of this CSR spent, both with R&D also and are we paying any royalty to R&D, I mean resource and development to our parent company and if at all we are paying how much to what extent? And sir, we are requesting you to bonus the shareholder so that shareholder will get reward besides generous dividend because you have always worked in the interest of the shareholders, we are happy about it and I'm very sure you'll take further step to do something which will be beneficial to shareholders. Sir, how much amount and how many shares have been transferred to IEPF to shareholders, I mean investor protection fund of this year? And the roadmap for this year and the list will very happy if you can please give and sir strength of our employee total strength and capacity utilization with male-female ratio and sir how are we using artificial intelligence because all companies are using it for the benefit of the company. In what way we're using it? The rest all is we are happy and company keep on working the best. I voted for all the resolution in favor. I had support appointment of all directors and we promise that we pray and we shall with the sponsor for our total lifetime whatever may happen, but SKF is the best and year after year and thank you our Gopal Subramanyam sir, our MD Mr. Mukund Vasudevan sir and our young and dynamic Ranjan Kumar sir and all other directors gives you a strong salute for your best work.

Mr. Ranjan Kumar:

Thank you so much Mr. Tiwari. Can we go to our next speaker, Ms. Homayun Beruz. Ms. Homayun are you able to hear us?

Ms. Homayun Beruz Pouredahi:

So first of all, we have done very good. Our profits have increased a lot says we have many. Sir I want to know sir that what is a dividend policy? What's the company's dividend policy? Sir, and another thing is we're so proud of a secretarial team. Just imagine what, what they have, I should I say invented, right? The modified whatever, you know, for the SUVs, for our steel industries, for, you know, the Vande Mataram rollers. Really we are very proud. So I just want to know, can these be exported with any foreign company you know, benefits from these inventions. I can't call them inventions of us. I want to know, but keep it up as scientists. So another thing, do you know we were taken for the plant visit that Pune and you know, we still remember very memorable plant present. So now is it a hundred percent utilization, a hundred hectare acres and Pune production? I just want to know that. And of course we are very proud. Thank you very

much. Our entire secretarial team worked hard and brought us shareholders as speakers. Really, they should be appreciated. Yes, Madam Mayuri, our company secretary, thank you very much. We should appreciate them. And thank you very much. Now I'm closing. I do not want to talk more. We wish a company all the best and everybody the best. Thank you.

Mr. Ranjan Kumar:

Thank you so much ma'am. Can we now go to the next speaker, shareholder, Mr. Prabhjot Singh Sahni, can we have him on screen please?

Moderator:

Sir, this speaker shareholder also will not be joining the meeting.

Mr. Ranjan Kumar:

Okay, thank you. Noted. Then can we go to the last speaker, shareholder, Mr. Yusuf Rangwala, Mr. Rangwala, able to hear and see?

Mr. Yusuf Rangwala:

Hello. Very good evening, sir. Sir, I

will come directly to the speech. Your speech was of 45 minutes. As you mentioned, we are the railway business, our bearing railway business all over India. Our bearing are famous, small scooters, big cars, Maruti, these are our customer and TVS, all these people are our customer. Sir, I would like to know what the main customer in abroad in foreign. Our SKF bearing is a world ranking number third. Today, I'm very thankful to Mayuri madam and also I thankful to our Ranjan sir company secretary. Today our rate 10 rupee share of face value, 130 rupee dividend you have given and market rate is today 5245. Sir, why you not splitting a stock? Sir this is 63rd Annual General Meeting, sir, what is your view in regarding a bonus? We having a two factor. One is a Bangalore and second is Pune. So which the factor, huge factor where our bearing manufacturer, for car manufacturing, scooter manufacturing, bike. These products are manufactured where? Is it in Pune or Bangalore? And point number three, as you mentioned, the dividend, 10 rupees share, 130 rupees dividend. That is a very excellent, very handsome. Sir next year we will complete 65 years. Sir, what is celebrate 65th years. Without, before 65th years, can you keep a small get together so that we can celebrate a 65 years. Sir, I thanks our company secretarial team for giving us very excellent service there. Your chairman speech was very, very excellent sir. I bought everything knowledge. We are manufacturing everything sir. Sir, is railway revenue order? We had a railway business as we have made many railways order and having a good profit. I also thank our company secretary Mayuri madam and Ranjan sir, company secretary for giving us link. Sir, I also thank, salute you sir. Fragrance of flowers, garden of buds, and companionship of SKF last forever. Wish you a very happy 15 Independence Day, sir. Good luck, sir. Thank you, sir. May God bless you sir. I'm the last speaker for today, sir. Thank you, sir.

Mr. Ranjan Kumar:

Thank you so much Mr. Rangwala. With this we have concluded with all the speaker shareholders who had enrolled for speaking in this meeting. I'll refer back to honorable chairman.

Mr. Gopal Subramanyam:

Thank you, Ranjan. Thank you shareholders for your views and questions. I would now request company's Managing Director Mr. Mukund Vasudevan to answer the questions received from shareholders in this session. Over to you, Mukund.

Mr. Mukund Vasudevan:

Thank you, Mr. Chairman. And I'll go through some of the question, so majority of the questions. If I missed anything, please Ashish and Ranjan, the company secretary as well as the CFO company, CFO please fit in the gaps.

So the first question, I have is around related party transactions and the royalty to foreign counterparts. Ashish, if you could answer that, that would be helpful.

Mr. Ashish Saraf:

Sure, Mukund, so for the goods that we manufacture in SKF India, right, since the technologies is coming from the group as well as the trademark which is the SKF global trademark we are using in India. Overall, we are paying around 3% for royalty and around 2% on trademark. So our overall 5% of the total manufacturing revenue that SKF India generates during the year is kind of paid out to the parent company on account of the R&D work, as well as the trademark related benefit that SKF India kind of enjoys in the Indian market.

Mr. Mukund Vasudevan:

Thank you, Ashish. The next question I have is, are there any restrictions on what we export from a parent company? The short answer is no, but this is about competitive value chains. And our factories being competitive and where we are competitive, we do make the best decision possible to supply our counterparts in other parts of the country. Other sales units in other parts, other parts of the world, sorry. So what I mean by that is if China is the most competitive at manufacturing a certain kind of bearing, the

y will supply. If Europe is the most competitive at supplying net including freight costs and customer duties and everything to a country in Europe, they will supply. But if India is the most competitive, we will certainly be considered, there are no restrictions whatsoever.

The other thing I will mention is we are exporting almost 10% of what we manufacture here is exported. We will continue to look for opportunities to do more. And for that we have to continue to try and be as competitive as possible in a global environment.

The third question I have is around split of shares. Should we split shares? Ranjan the Company Secretary, if you could answer that.

Mr. Ranjan Kumar:

Sure Mukund. And the shareholders, I mean, that's one of the proposal which we have we keep getting from the shareholders. Company keeps evaluating different options around stock, which has been rolled out the market. For sure we will look into the proposals and we would take a right call considering the outcome of those evaluations.

Mr. Mukund Vasudevan:

Okay, thank you. Mr. Ranjan Kumar fourth question I have is around expansion plans. What expansion plans do we have? Given that our growth is according to the one of the questions people who ask questions is not as robust. What expansion plans do we have for growth? I think as I shared in my presentation, our growth has been over the last five years has been 12% plus, which is almost twice GDP. So I think our growth has been twice robust. We will continue to have expansion plans both in manufacturing as in people to serve the local market as well as export market as required. We are making very calculated decisions on these because we want profitable growth, not just growth. We pick the segments we want to, or industries we want to target. We pick the products where we think we'll be most competitive and continue to make investments on manufacturing. Expansion plans will be focused on high growth segments, services and around investment in new technology as we go forward.

Next question was from Mr. Gautam Tiwari, around what percentage of spend is in R&D goes into R&D and are we paying any royalty to the parent on R&D? Ashish, if you could answer this.

Mr. Ashish Saraf:

Sure. So with respect to SKF India, relatively, SKF India has very minimal spend on the R&D work. The R&D is the way we are kind of structured globally in SKF is SKF EV is driving the overall R&D work. And for the work that SKF EV is doing, they, as I said earlier, they are recovering royalty fees from us to the tune of around 3%. And as I mentioned, since these are related party transactions, the percentage that we pay to the group is in line with the market. We do a comparison with other multinational companies just like SKF and ensure that the payout that happens from SKF India to its parent with respect to the royalty fees is commensurate to the work that SKF is doing, and in line with other companies, the similar kind of support from the group. Thanks.

Mr. Mukund Vasudevan:

Thank you. The next question is around capacity utilization. What is our capacity utilization and what's our target? So capacity utilization across most plants is in the range of 60 to 70%. Now capacity utilization is, the total capacity assuming 24-7 operations. But typically that is not the case. You have other things which, so you have to remove time for maintenance sometime for holidays, things like that. And so we aim for, so what we actually measure is OEE, which we aim for 70% plus, 75% plus, and most of our plants are running at around that. Wherever we see that, the OEE is going above 75%. We actually try and invest in additional channels, additional lines to manufacture to up that. So that is our ongoing exercise we do in all our parts.

The next question is around using artificial intelligence. There are several programs which we are both at the grassroots levels as well as m

acro level, which we are looking at in artificial intelligence. It ranges from customer facing to within our operations to how we handle customer service and inside sales. So we are working on several programs in, just to give you some examples. For example, in our manufacturing, can we predict internal quality issues or rejections before it actually occurs due to some noise patterns or some signals early in the manufacturing cycle. So using those data points, we are trying to predict quality issues before they actually occur and hence less rejection and waste. Similarly, on the on the customer front we are looking at as we get data from some of our remote monitoring connected devices digital connected devices, how do we read those signals and analyze those signals and using artificial intelligence, predict what kind of problem there is. So is there, if it's more vibration, does it need more additional lubrication? Does it need realignment? Those are the kind of predictions we are trying to make before actual failure. So artificial intelligence is I would say it's getting, gaining more and more traction across the company.

Alright next question is around dividend policy. What is our dividend policy? Ranjan, if you want to take that.

Mr. Ranjan Kumar:

Sure. And the shareholders dividend policy has been enclosed with the annual report. You can

refer the annual report, the full policy is being enclosed, and you can go through that. So we have the provision of special dividend also which was availed this year in paying 130% of dividend. So you can refer the annual report to get the policy copy.

Mr. Mukund Vasudevan:

Okay. Next question from Ms. Hodayun is around Pune plant utilization. Is it at a hundred percent utilization and what are we planning to do with a hundred acres we have here? Again as I said, our plant utilization by our, the way we calculate it is around 60%, but the OEE is 75%. We are continuing to expand and add more channels to Pune. We have enough space within our existing infrastructure, so we will be very careful about adding, making unnecessary expense or cutting down a lot of forest land here trees and forest land because we believe in preserving the environment also where we can expand and expand capacity within our existing footprint, we will do that. But when required, we'll make a calculated discussion on what do we need to do with the additional language. But right now we have a place to expand within the existing facility.

Next question was from Mr. Yusuf around foreign customers. What foreign customers do we sell to while it's creditable that we are selling to Indian SUV manufacturers and railways, what foreign customers do we sell to? As a matter of policy, we don't reveal the names of our customers unless the customers agree, but I can tell you that some of our exports are in the farm and tractor equipment to North Americas to railways also in North Americas, two wheelers in in middle East and Africa. Yeah, so on. Right? So I would say fair. I know Ashish, if I missed anything, you can add.

Mr. Ashish Saraf:

No nothing additionally to add one of the things that we also do with respect to exports is that we sell it also to a lot of SKF companies, right? And who would eventually go and sell it to the end customers. So our focus is predominantly the Indian market. And with respect to, since we do not have the sales team in the respective foreign countries, our preferences to sell it to other SKF companies who would eventually go and sell it back to the end customers. Mukund you are on mute. We can't hear you.

Mr. Mukund Vasudevan:

Yeah, sorry. The couple of questions around doing a get together or physically meeting I think it's a balance between, yes, there is value to physically meeting between managing getting more people to attend managing it more cost efficiently, and of course, the physical meeting. So we will continue to make these decisions

on as needed basis. And we hope, we obviously hope to see you all in person at some point. There was a question which I missed, a little missed around the two wheeler bearings manufacturing, and I think it was around where it is manufactured, but if one of you can comment Ashish or Ranjan if you could comment or if I missed any other questions.

Mr. Ranjan Kumar:

Ashish, go on.

Mr. Ashish Saraf:

Sorry, I do not really recollect the question. Can you just repeat the...

Mr. Ranjan Kumar:

So the question was what do we manufacture in our three plants? Pune, Bangalore, and Haridwar.

Mr. Ashish Saraf:

Yeah. Predominantly we manufacture DGBB bearings as well as CRB and hub products, right, which cater to both predominantly to the automotive market, but also to the industrial markets in India. So these are the products that we manufacture across the three plants that we have in SKF, India. Anything you add additionally we can, you want to add here?

Mr. Mukund Vasudevan:

No, no. Yeah, I think that's okay. Did I miss any questions in my notes? Just did, we could not hear everyone and there was some network issues, but did I miss any questions?

Mr. Ranjan Kumar:

Sure. I think since we have covered all the questions from the shareholders issues in the profile, if any of the questions have got missed out the shareholders are requested to write us back on our register email id, which is investors@skf.com, we'll try to reply over email unless the same has already been covered or answered in this call. So with this, thank you. Thank you, Mukund.

Thank you, Ashish, I'll refer back to, honorable chairman, thank you shareholders.

Mr. Gopal Subramanyam:

Thank you Mukund, Ashish and Ranjan Kumar for comprehensively answering the questions raised by the shareholders in this session. Now, since all the agenda items have been appropriately dealt with, I declare the conclusion of this meeting. I take this opportunity on behalf of the entire board and the management team to thank all of you for your effective participation, useful suggestion, and encouraging words. We look forward to your continued support. The voting facility would remain open for the next 15 minutes for the shareholders who

will not yet casted their vote. Thanking you all.

## Call: Feb 2025

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 18th February 2025

National Stock Exchange of India Limited,  
Exchange Plaza, 5th Floor, Plot No. C-1,  
G Block, Bandra- Kurla Complex,  
Bandra (East), Mumbai – 400051,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001, Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Subject : Transcript of Analyst/Institutional Investor meeting held on 13th February 2025

Reference: Our intimations dated 07th February and 14th February 2025.

Pursuant to Clause 15(b)(iii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6)&Regulation 46(2)(oa)of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on Thursday, 13th February 2025 at 10:00 a.m. (IST). The same will soon be uploaded on the website of the company for convenience of the shareholders. We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer

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"SKF India Limited  
Q3 FY24-25 Earnings Conference Call"  
February 13, 2025

MANAGEMENT : MR. MUKUND VASUDEVAN – MANAGING DIRECTOR – SKF INDIA LIMITED

M R. ASHISH SARAF – CHIEF FINANCIAL OFFICER -- SKF INDIA LIMITED

M R. RANJAN KUMAR – LEGAL DIRECTOR, COMPANY SECRETARY AND COMPLIANCE OFFICER -- SKF INDIA LIMITED

M R. ASHISH PRUTHI – HEAD, MARKETING AND COMMUNICATIONS – SKF INDIA LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the SKF India Limited Q3 FY 2024-'25 Earnings Conference Call. For the smooth conduct of the meeting, all participants are in a listen-only mode. A brief question-and-answer session will follow the formal presentation. Should you need assistance during the conference call, please press star, then zero on your touch-tone phone. As a reminder, this conference is being recorded.

I would now like to hand the conference over to Mr. Ashish Pruthi, Head, Marketing and Communications from SKF India Limited. Thank you, and over to you, sir.

Ashish Pruthi: Good morning, everyone. Thank you for joining us today. With us, we have SKF India's Managing Director, Mr. Mukund Vasudevan; our CFO, Mr. Ashish Saraf; and our Legal Director, Company Secretary and Compliance Officer, Mr. Ranjan Kumar. Before I turn the call over to the management, I would like to remind you that in this call, some of the remarks contain forward-looking statements, which are subject to risks and uncertainties, and actual results may differ materially.

Such statements are based on management beliefs as well as assumptions made by and on the information currently available to the management. The audience is cautioned not to place undue reliance on these forward-looking statements and making any investment decisions. The purpose of today's call is to purely educate and bring awareness about the company's fundamental business and the financial quarter under review.

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We can now open the call for Q&A.

Moderator: Thank you very much sir. The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Firstly, at a broader level, at global level, there's a division of auto and industrial happening. I just want to understand the thought process on this division, what kind of benefits you see over the medium to long term, whether in terms of new products or M

&A opportunities? And

also how different is the margin profile for both these divisions when they separate out?

Mukund Vasudevan: This is Mukund Vasudevan, Managing Director. So I will answer the question to the best of my ability. So obviously, the separation is something which we believe is the right thing for the company, the customers and our investors. And the reason for that is these are 2 fundamentally different businesses. We have been operating them fairly independently, but we believe by separating them into 2 separate companies, it will create additional value for everyone.

And let me explain why. First, from a customer perspective, the customers are fundamentally different. As you can imagine, one, automotive is a lot of automotive OEMs, where the solutions you provide, it's a longer sales cycle, but the solutions are sticky, and it takes a different kind of innovation to address that market. Industrial, on the other hand, has a lot more segments, a lot more verticals, each one requiring a different kind of innovation and a shorter sales cycle typically.

From a manufacturing perspective also, the automotive is much with higher volumes and you have batch processing of much larger volumes in continuous manufacturing, whereas industrial has smaller batch sizes typically -- not all segments, typically. And it requires -- the main key there is faster changeover times and flexibility in the manufacturing line.

The third is capital allocation also. In general, the automotive margin profile is a little lower than in the industrial, given the nature of the industry. And we also believe that -- so capital allocation will be much more efficient if we have 2 separate companies.

And last but not least, the future of both these industries also looks a little different in terms of automotive going towards EVs in many parts of the world faster than others. Industrial moving towards industries, some sunrise industries like renewables. So all this is changes which I think can be more efficiently addressed as 2 separate companies.

Mumuksh Mandlesha: Got it, sir. And sir, just on the product side, how do you see the expansion of the product line from the current what we have because the division happening, sir? Do you see that over medium term to play out, sir?

Mukund Vasudevan: So the product line will continue to expand. It's not that it hasn't been expanding now, it will continue to expand. I would say this gives us the opportunity to actually innovate more and add more products specific to the industries we want to serve

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Mumuksh Mandlesha: And sir, you mentioned auto margins being lower because -- but in India we have the auto more of a manufacturing than in India, while industrials have a lot of traded share. So also in India, do you see that margin in auto being lower than the industrial, sir?

Ashish Saraf: So again, if you look at -- hi this is Ashish Saraf, CFO of SKF. So if you look at the carve-out financials, as you rightly said, the mix is different. The automotive currently is 95% localized, whereas industrial is around 40% localized. So because of a different mix, the margin based on the carve-out financials, which we recently submitted is going to be very similar for both the companies. Again, this is based on the analysis that we did on the historical results.

Mukund Vasudevan: And just to add to what Ashish said, globally, what I said was the industrial margins tend to be higher. In India because of traded products being higher in industrial, it's a bit lower. But long



term, as we localize more, we expect that to normalize.

Mumuksh Mandlesha: Got it, sir. And sir, in India, you also have this SKF Technology, the unlisted entity. I just want to understand, will that remain outside the listed entity or will also -- that also be merged to the industrial part of the business, sir?

Mukund Vasudevan: At this point, th

ere's no plan to merge that. We'll continue to serve both -- serve the entities as separate entities, meaning there will be a technology center, which will serve the industrial, there will be a technology center which will serve automotive. But at this point, there is no plan to merge that. There's lots going on with just the separation initially. So this is not under consideration right now.

Mumuksh Mandlesha: Got it, sir. Sir, coming to the results for the Q3 quarter, gross margin have seen a contraction by around 600 bps Y-o-Y. Just can you explain the reason for the drop? And I just want to understand is there any seasonality in the gross margin? And how we will see the Q4 for this gross margin ahead, sir?

Ashish Saraf: So if you look at our current quarter results, as you rightly said, our overall margin was down by around 4.5% year-over-year. And one of the reasons why it was lower was the high cost of the traded products. We were expecting some rationalization of the traded products from Q2 to Q3.

It has rationalized a bit. That's where -- if you look at our margins quarter-over-quarter, it has slightly improved. We are expecting some further improvement as we move to next quarter. So you should see some further rationalization on the traded product cost as we move to Q4 of this financial year.

Mumuksh Mandlesha: Sir, just to get it right, sir, basically this traded products, is it a pricing difference between the end market and your sourcing prices, right, where -- that's where the margin differ. And then basically, the temporary loss in margin is compensated over the coming quarters. That's right, sir?

Ashish Saraf: That's right. Yes.

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Mumuksh Mandlesha: Got it. Got it. And sir, on the revenue side, this quarter has been -- seen a very good growth of 15%. And even 9 months has gone by 10%. Can you help us how has been the subsegment growth? And also, can you share thoughts on the outlook for the key segments like wind, railways, general machinery and after market?

Mukund Vasudevan: Sorry, what was the second part of your question? Can you share what?

Ashish Saraf: Can you share the outlook?

Mumuksh Mandlesha: Outlook for some key industrial segments.

Mukund Vasudevan: So I'll let Ashish also add to this. But overall, let me start with some of the industrial segments. Industrial, pretty much all the segments did quite well, including the highlights where distribution, heavy, metals and renewables. Renewables, which did all very well this quarter. And some of those are lumpy orders like renewables, but in general, it was done -- the distribution really stood out.

Also general machinery, sorry, came back strongly this last quarter. General machinery is motors, pumps, things like gearboxes. Automotive also did well. I think automotive overall was 10%. And within that, both 2-wheelers and passenger vehicles did well. Commercial vehicles not as much.

And outlook, I'd say continues to be strong, driven primarily by infrastructure spending, which at least for the coming quarter, right? Long term with changing economy or global geopolitics, may be less clear. But at least for the current quarter, infrastructure spending will continue to drive some of metals, heavy industry, etcetera.

And general machinery distribution will continue to be strong. Automotive, I think, we'll -- 2-wheelers will continue to be strong. Passenger vehicle is a little seasonal. So I would say that's the outlook for the coming quarter at least.

Mumuksh Mandlesha: Got it. Just, I mean, in terms of growth number, can you share how was the industrial aftermarket -- auto aftermarket and the industrial segments like wind growth and railway growth sir?

Ashish Saraf: Sure. So I'll just go first by segment, and then I'll talk about the key sub-segments within it. So Industrial grew by around 23% year-over-year for this quarter. And Automotive growth was ar

ound 10%, right? If you look at within industrial, we saw a strong growth in the distribution business to the tune of around 20%, general machinery to the tune of 23% and wind to the tune of around 16%, rail and defense to the tune of around 23%, right? So that's on the industrial side.

On the automotive side, again, automotive aftermarket we saw a strong growth of around 18%.

2-wheelers grew by around 10% plus, passenger vehicles, 11% and tractor business around 30% plus. These were the growth year-on-year.

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Mumuksh Mandlesha: Got it. Sir, very strong growth. Is it you are gaining some market share or is it also a lot because of the strong underlying market, sir?

Ashish Saraf: So it's a mix of both, right? So in some segments, we are gaining market share. So say, for example, 2-wheelers, we continue to gain market share with customers like Bajaj and Honda, in the -- both in the vehicle market -- vehicle aftermarket as well as industrial distribution, our reach to our end customers are getting better. Industrial, we are kind of continue to onboard new industrial part sellers as well as engage new AID's across the market, both in vehicle aftermarket as well as on the industrial side. So that's kind of helping us significantly grow and gain share in the aftermarket business.

In the general machinery side, we are -- we continue to increase our market share with existing OEMs as well as we are onboarding a lot more new OEMs directly. And that's kind of helping us grow the market in the general machinery business. Wind and railways, I would say, is more seasonal and cyclical. It's more dependent on the orders that we have in hand, and that's where you see a strong growth in Q4.

Mumuksh Mandlesha: Got it. And sir, we had an earlier shift of the -- some plant capacity from Korea to India. Has that also started flowing in our revenue for current quarter, sir?

Ashish Saraf: Can you repeat your question? It's not very clear.

Mumuksh Mandlesha: Yes, we recently shifted some Korea plant machinery to India as we discussed last time, any revenue from that, sir -- that business?

Ashish Saraf: I think the transfer is still in because it takes -- again, Mukund, maybe you can correct me, but I think the transfer is still in process. We are -- it will take maybe a couple of quarters for it to kind of start production.

Moderator: We'll take the next question from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: Firstly, if you could just give this revenue mix, you did mention about each segment growth, etcetera. But the revenue mix between auto, industrial and within each of these, the OEM aftermarket?

Ashish Saraf: Yes. So if you look at the overall sales mix for this quarter, industrial is around 54%, Auto is at 39% and exports is at around 7%, right? And within industrial -- overall, I would say, industrial distribution is around 24% and vehicle aftermarket is around 12%.

Mukesh Saraf: Right. Understood. So there was this scheme of arrangement that you had filed in the stock exchanges. When we look at that, it says that the industrial revenue is 63% of revenue in F '24. While in our commentary last few quarters and even this quarter, we're saying it's around 50%, 54% mark. So could you kind of help understand this difference here between the 63% and the 50% broadly that you have been mentioning on the industrial revenue side?

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Ashish Saraf: Yes. Yes. So currently, if you look at our automotive business, we have the tractor business, which is predominantly around agriculture and electricals. So once basically the separation happens, that business, which we are currently reporting under automotive will transfer to industrial. As per the -- our because in India, we've been reporting these numbers under automotive. Globally, agriculture and electricals are part of industrial. Hence, po

st separation,

we would transfer that business to industrial.

Mukesh Saraf: Understood. But the manufacturing of those bearings will also move to industrial? Or it's only the sales part of it that will move to industrial?

Mukund Vasudevan: So we are still working through manufacturing split exactly. But as soon as we have some information on that or clarity on that, we will walk you through -- we'll kind of communicate that to you. But today, it's still, I would say, there are multiple options open to us, whether it's transferring the manufacturing assets to the individual companies, split companies or if one company manufactures for the other. Both are open options. So we're still evaluating these to see what makes the most sense.

Mukesh Saraf: Got it. And in one of the comments, you had mentioned that 95% of automotive is localized and 40% of industrial is localized. This 40% industrial being localized, is it in the listed entity? Or does this include the unlisted business?

Mukund Vasudevan: No, we're talking only about the listed right now.

Mukesh Saraf: Okay. So 40% of industrial is already localized in the listed business. Got that. And just lastly, we're seeing new capacity is coming up from the competition on localizing SRB, CRBs, especially to address the industrial segment. Obviously, we are also looking at localizing more and more.

But do you think immediately you might see some pressure on either market share or pricing given that a lot of new capacity is coming up in the industrial segment?

Mukund Vasudevan: So obviously, we are aware that this is happening. We also are localizing as much as possible, whether it is in the listed entity or in the unlisted one, right, which will just make us more competitive. So I would say we are continuously working on it. And you'll see more announcement come up in the future on this.

Moderator: We'll take the next question from the line of Harshit Patel from Equirus Securities.

Harshit Patel: Sir, once again, on the margin front, I just wanted to understand a little bit more. Earlier, it used to be one-off occasion wherein there would be some adjustment to the transfer pricing. And consequently, it would get normalized on an annual basis. However, this seems to be happening very frequently in the past few quarters. So could you explain something structurally has changed over here?

Ashish Saraf: So let me explain. So Harshit, if you look at the last couple of years, right, financial year '22-'23 as well as '23-'24, right, we've had a lot of price increases with our customers because of the inflationary environment that we were facing. But as we talk about financial year '24-'25, most

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of our growth that you see in this quarter as well as the previous 2 quarters have predominantly been driven on account of volume growth and not so much on account of price increases that we have been able to take with our customers.

So because of that, there has been some amount of pressure on our margins, and which has in the past years enabled us a better margin on our traded products, the price increases that we were taking. To kind of give you an example, for financial year '23-'24, my traded margins were hovering close to double digit.

Whereas in this financial year, my traded margins are lower than expected. So we are -- as I explained earlier, we are expecting some more rationalization to happen in the last quarter of this financial year but are not expected to be close to double digit. They are going to be in line with the transfer pricing practices, given that our end market pricing has been relatively constant this financial year. I hope this explains it for you.

Harshit Patel: Yes, sir. But sir, my earlier understanding was that no matter the end pricing, our overall distribution or traded margins would be in the mid-single digit kind of a range. If we are getting higher or lower margins,

that would be passed on to the manufacturing entity from wherever we are procuring. So is this not -- so is there a gap in this understanding?

Ashish Saraf: There is a slight gap. Your understanding is right that if the margins are lower than the mid-single digits, then we would do a catch-up. But if the margins are higher, under the FEMA Regulations, we cannot go and recover that by issuing a debit note to a supplier. So typically, if the margins turn out to be higher, which has been the case in the last 2 financial years, you would typically not be able to return it back to the manufacturer. And that's where we have had a higher margin in the last financial year on the traded products compared to what it should have been.

Harshit Patel: Sure. So in a nutshell, we returned back those margins in these last 2 quarters, right?

Ashish Saraf: We have not -- as I said, it's not that we've returned back those margins. For this financial year, the margins have been relatively stable in line with the transfer pricing regulations. In the previous years, because we were getting more price increases from our customers, we were able to generate a higher margin, which because we had to return it within the same financial year and we couldn't do so, as a company, we landed up retaining a higher margin because we cannot issue, as I said, debit -- credit notes or debit notes to our suppliers, because these are foreign exchange transactions under the FEMA Regulations.

Harshit Patel: Understood. Sir, secondly, on the wind business, I believe we had done some customer pruning in this segment, and hence the growth was impacted in the first quarter of FY '25. What has been the update on that in the second and the third quarter? Also, what percentage of our revenues have come from this wind segment in the first 9 months of this year? Also, if you could give some color on the profitability in this particular segment, that will be very helpful.

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Mukund Vasudevan: I'll let Ashish talk about the profitability and the percentage revenue from wind. But in terms of customer pruning, that is a continuous exercise where if we find something unprofitable, we do look at what do we do? Do we do price increases or are we not -- do we not want to play in that market? That said, that is also an evolving situation because we -- with our more localized manufacturing, exploring alternate sources, different solutions for the customer, adding more value through innovation, we sometimes get back into that.

So I think our growth in the wind segment this quarter reflects some of those actions. We won back some of those business at a better margin because the customer understands the value we bring. But at the same time, there are still some which we have not got back into. In terms of percentage of business, go ahead, Ashish.

Ashish Saraf: Yes. So in terms of wind share of business, overall, it kind of continues to be in the range of 4% to 5% of our total business. In terms of margins, the margins on the wind business after portfolio pruning, they have become definitely positive, and they continue to be in the range of mid to high-single digit in terms of overall wind margin as a business.

Moderator: We'll take the next question from the line of Viraj from SIMPL.

Viraj: Just a couple of questions. First is, just wanted to understand the impact on gross margin a little better. If I look at our history over the last 12 years, right, and if I kind of derive the traded margin business, the traded margin business, except for 1 or 2 years in 2020 and 2021, has never traded below a single-digit margin.

It's always been around 13% to 14% or if I have to speak in a band, it's been around 9%, 10% to upwards of -- in one-off years to even 20% or plus. So I'm still not able to understand that when we kind of look at traded business portfolio and traded business margin, what is that the

impact is -- what is that is driving the impact on the business?

Ashish Saraf: So again, I'm not able to understand your question. But as I said, the traded margins have been hovering, as I said, in the previous financial years, the margins were higher. They were close to double digit, whereas this financial year, the margins have rationalized to mid-single digits, which is in line -- if you look at our long-term margins on traded products, they have been in that range in a steady environment. And that's where it's kind of gone back to.

Viraj: So sir, when you say -- just a small clarification. When you say margins in mid-single digit, are you talking at the operating level?

Ashish Saraf: Yes, I'm talking at an operating level. That's right.

Viraj: Okay. So sir, then this -- going back to one of the earlier questions on margins in industrial versus auto for parent globally, in auto they earn EBIT margins of somewhere around high single-digits. For us in SKF India listed entity, how would the margins compare at the EBIT level or the PBT level between auto and industrial?

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Ashish Saraf: So again, we generally do not prepare segmented financial statements, right, between -- at a statutory level for automotive and industrial, right? As I said, what you can refer because we did this analysis for the purpose of carve-out financial statements. And if you look at financial year '23, '24, the margins were similar, right? It kind of stood around 14%, 15% each for both of them.

Viraj Kacharia: Okay. Just 2 more questions. You talked about rationalization, which is driving the impact on gross margin and pricing being constant. Generally, from a pricing approach point of view, especially in the industrial business, pricing and margin point of view, usually, how do we go about when you kind of decide the pricing strategy in the marketplace for the industrial piece?

Mukund Vasudevan: I'm not sure I followed your question again. Can you repeat that again?

Viraj Kacharia: So in terms of -- I think if I look at one of the earlier calls, we talked about having a transaction margin approach when it came to operating on traded business, especially in the industrial piece. So when it comes to pricing, you talk about pricing being constant in the last 1 year. So just trying to understand like what is -- usually how do you go about in terms of a pricing strategy?

Ashish Saraf: Yes. So see, pricing strategy is relatively simple, right? Like if you look at financial year '22-'23 and '23-'24, we have had significant inflation, right, in the global economy, especially Europe, right, which basically pushed us significantly to increase end user pricing, right, in India for the traded products. Now since the pricing pressures have relatively stabilized, we have not taken significant price increases from our customers in this financial year, right? And that is where you don't see a significant variation in the pricing.

In terms of the traded products margin, we continue to follow the transaction net method process in terms of arriving at the overall margins for the traded products. As I said, since in the previous 2 financial years, our end user pricing were constantly going up, right? We were able to generate a higher margin for the traded products in those 2 financial years, which -- because in financial year -- current financial year, the prices have more or less been stable. We have been able to maintain it at the mid-single-digit, which is -- which ideally should have been maintained, right, for the previous 2 financial years as well.

Viraj Kacharia: So on a long-term basis, on a blended basis, both for auto and industrial, given the kind of mix we have in traded versus manufactured, the kind of margins we earned maybe not in '23 or so, but we have been reporting around 15%, 16% kind of operating margins. Given the kind of mix and our players, should we e

expect this kind of margin to sustain for us?

Ashish Saraf: So again, the way we are looking at margin growth is through localization, right? So we do expect our margins to improve, right? Not -- again, currently -- the current year margins are going to be lower than -- are likely to be lower than what you have seen in the last 2 financial

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years. But in the long term, we do expect our margins to improve as we kind of grow in the market and as we kind of continue to localize.

Viraj Kacharia: Okay. Just last question. If you look at some of the competitors, they have announced and even commenced significant capex in SRB, CRB kind of bearings. When you look at SKF and in the industrial piece, you talked about 40% localization in the listed entity. So if you kind of look at the portfolio gaps globally versus what we have in India and in that sense, look at localization, can you give some perspective, kind of, what are the low-hanging fruits? Or how should one understand localization play for us in the listed entity over the next 3 to 4 years?

Mukund Vasudevan: So I think our investment is going to be -- I mean, we have committed it's going to be largely this year in line with what it was last year. We are continuing to expand wherever there's capacity needed. So in the automotive, for example, we need more capacity, and we will invest fairly rapidly. Similarly, in the industrial, we also have to make the right decision whether -- or to make sure that the return on invested capital is good.

So if we have capacity elsewhere in the larger SKF entity, we will try and utilize that if that makes the most sense for even the listed entity in India. So we're trying to optimize the supply chain to the extent possible. Where it makes sense, we will invest. Where it makes -- where it doesn't make sense, we'll continue to trade.

Viraj Kacharia: Sir, but if you look at the parent presentation, they talk about in the rationalization grouping, which the India entity is. They talk about rationalization or localization in India plus Southeast Asia to the tune of close to 70% -- 68%, 70%. So in that sense, do you see any opportunities for localization, not just for the India market, but even for exports to other regions -- other countries in that region?

Mukund Vasudevan: Yes, absolutely. We're continuing to explore that. I think there will be more opportunities coming up for those, whether it's for the local market or for exports. I think the global statement is, you're right, it says region for region. But it also if you see the full statement, it says region for region, but competitive supply chains also. So we want to make sure that we make the best decision and not just invest for the sake of investing in every region.

Moderator: We'll take the next question from the line of Ravi Purohit from Securities Investment Management Private Limited.

Ravi Purohit: Sir, again, I'll harp a little bit more on the margin side. So if you refer to '23 and '24 years, right? But if I look at our operating margins since 2018, and I'm not referring to only the last 2 years, I'm talking about last 7 years, right? Average operating margins for us have been around 16% to 17%, right? So far in the current year, we are at around 13%, 14%, right? So there is a material drop, and this does not look like last 2 years are unusual because last 2 years margins were also in the same band as we have been doing since 2018.

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So sometimes there is a disconnect between -- either there is an increase in royalty or there is an increase in margin that the parent is keeping at its end? If you could clarify, it will be helpful because the numbers do not match, what you are mentioning about last 2 years being unusually higher margins, right? I can go back to 2018, and we've been doing 16%, 17% margins in each of those years.

In the la

st few calls also, Mr. Bhatnagar had also reiterated that we will focus on these margins and be in this band. And in future, as localization improves, our margins can actually go up. Parent in SKF in industrial side makes almost 19% EBITDA margin, right? So somewhere there is a disconnect. I think it will be helpful if we are more transparent and open to shareholders and help us understand this.

Ashish Saraf: Yes. So again one -- so one is nothing has changed, right, in terms of like when you say is SKF India paying a higher royalty or any other charges to group? We haven't changed anything. It continues to remain the same, right? Yes, as I said earlier, the net -- the transfer pricing calculations, it's governed by the law, right? It's not something that SKF India or AB SKF can decide how the transaction net margin method would work between the 2 companies. And we kind of consistently continue to follow that. I have already explained you in terms of why the overall margins for this financial year were lower compared to the last two financial years. I can go back. I don't have the results for previous financial years prior to financial year '22, '23. I can go back and recheck and kind of come back to you on this if I see this anomaly.

Ravi Purohit: Sure. That will be very helpful, sir, there. We'll appreciate that explanation also because '18, '19, '21, '22, each of those years the operating margins were 16%. And I think Mr. Bhatnagar had also kind of mentioned that. And sir, another thing is -- I wanted to ask about is when you mentioned that currently the operating margins between auto and industrial in India are roughly very, very similar.

So we make on an average about 16% operating margin. And you just mentioned that the traded good margins are mid-single digit. So is it fair to assume the manufactured industrial margin are significantly higher and if you have to kind of put a sequence of order, manufactured industrial margin, then auto margin and then traded margin. Is there a correct sequence to follow?

Ashish Saraf: That is right.

Ravi Purohit: That is right. Okay. And sir, I think we had also mentioned in a couple of our calls and AGMs in the past that we are looking to spend INR100 crores, INR150 crores every year for the next 3 years. Are we on course on that and could you break up on that capex between industrial side and auto side?

Ashish Saraf: So again we continue to spend our capex in line with what we have promised. If you look at even the current financial year, we have spent close to almost already around INR100 crores

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for this financial year. So we kind of continue to be in the range -- we will continue to be in the range of INR120 crores to INR130 crores as we had communicated earlier. In terms of the capex split between automotive and industrial, I currently do not have numbers available for me to kind of tell you what's been the mix of our investment into industrial and automotive business.

Ravi Purohit: Just one request. Will it be possible for you to kind of give us at least 2-year or a 3-year pro forma numbers between industrial and automotive, just to get -- see because the thing is it's a big event that is happening and it will be useful if shareholders have all the information before. I don't know if there will be a vote for this. And if there is a vote, it will be easier for us to kind of take an informed decision once we have some clarity. We are not talking of audited numbers, but at least pro forma some idea of last 3 years?

Ashish Saraf: That has already been shared as a part of the carve-out financials that we had to submit to SEBI, the same is available if I'm not wrong on SEBI website.

Ravi Purohit: But those numbers indicate zero sales and zero profit numbers everywhere because this entity did not exist. This 100% subsidiary that we have been formed and if I look at the 3-year financials fo

r that subsidiary, it will not reflect any revenue because there was no revenue for that subsidiary?

Ashish Saraf: No, we have -- as a part of our demerger requirement, we had to share the carve-out financials of the previous 3 years.

Ravi Purohit: Of the Industrial division?

Ashish Saraf: You are asking about forward-looking or...

Ravi Purohit: No, previous 3 years.

Ashish Saraf: Previous 3 years. So previous 3 years have been shared with SEBI. It's a public information available on the website. You can go and have a look.

Ravi Purohit: I have checked, sir. I've checked three times. I could not find the numbers and the numbers that are given for the 3 years actually indicated zero revenues because...

Ashish Saraf: You are checking for SKF industrial, you need to check for SKF India. There you will see the demerged accounts between industrial and automotive.

Ravi Purohit: And we have provided those for 3 years?

Ashish Saraf: Yes, that's right.

Ravi Purohit: Okay. We'll check if you are not able to find, I'll reach out to our Company Secretary and...

Ashish Saraf: You can send us an e-mail and we can share the link where it's available.

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Ravi Purohit: Okay. Thanks a lot. Really appreciate it.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investments. Please go ahead.

Bharat Sheth: Hi, sir. Thanks for the opportunity. Sir to understand a little more about this scheme of demerger. So when we are talking of industrial side of 40% manufacturing, so that 40% which is currently being manufactured by SKF India or it also include our SKF technology sales?

Ashish Saraf: This 40% is the products which are manufactured in SKF India.

Bharat Sheth: Okay. So post demerger, how does this transaction between this SKF India and SKF Industrial unit will take place?

Ashish Saraf: Can you repeat the question? It's not clear to me.

Moderator: I'm sorry to interrupt Mr. Sheth, your voice is muffled. Could you use your handset, please?

Bharat Sheth: Yes, I'm using now. Is that clear?

Moderator: Yes, please proceed.

Bharat Sheth: See, currently, it is being manufactured. So once both the division will be splitted and there will be a separate entity. So SKF India will sell it to this SKF Industrial unit or so that manufacturing will be also shifted to SKF Industrial?

Ashish Saraf: So again, this is currently being worked out. This is not something we have finalized yet. Once we have internally finalized, we will definitely share with all the investors.

Bharat Sheth: Okay. And sir on second piece, I mean when we are talking of product rationalization is this trading business. So how we are placed -- I mean, first, I mean, vis-a-vis peers we have a lot of domestic manufacturing. And with -- second thing with our portfolio coming down, so providing a full solution to our industrial unit side?

Ashish Saraf: Again, can you be more clear to -- with your questions it's not clear.

Bharat Sheth: We are pruning the portfolio, I mean, some of the -- rationalizing the portfolio on the industrial side. So how that -- how it is going to affect our sales?

Ashish Saraf: So as I said like portfolio pruning is a continuous process wherever we see opportunities, wherever we see that as a company we are making losses, we constantly prune those products, either we modify those products to be more competitive or create a unique value proposition with our customers to get a better value from the customers. In case none of them is possible, as a company strategy we do not want to be in a loss-making business. So we kind of continue to prune some of those accounts as well as those products.

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Bharat Sheth: Okay. Coming back to the solution side of the business, which we started about a few years back. So that business will go under with the industrial or it will be also -- there is -

- auto side

also, there is -- some kind of solution business is there?

Ashish Saraf: You mean the services business?

Bharat Sheth: Correct.

Ashish Saraf: So the services business is predominantly industrial. It will move to the industrial business.

Bharat Sheth: And last point sir with this portfolio rationalization, will it -- I mean, our product gap, how do we plan to compete vis-a-vis other peers when there will be a product gap?

Ashish Saraf: So as I said that we constantly continue to compete with our peers. And we would do as a company whatever possible either to create a strong value proposition for our customers, be cost competitive. And for -- if for any specific reasons or challenges, we are not able to overcome that and we are not able to compete in the market at the price point at which the market is asking us to compete, we would do portfolio pruning to make sure that we cut our losses. We do not do loss-making business.

Bharat Sheth: Okay and thank you. All the best.

Moderator: Thank you. The next question is from the line of Lakshmi Narayanan from Tunga Investments. Please go ahead.

Lakshmi Narayanan: Two questions. One is that if I understand the industrial business which you're saying it's around localized, almost 35%, 40% is localized. Just in the last 9 months or maybe the calendar year. if you can just give me the split of the industrial business by made in SKF India, made in SKF Technologies and made outside?

What is the split of this business between made in the listed, made in India but not in the listed and imported? And how does this number fare for the previous calendar year or previous 9 months, whichever thing you have?

Ashish Saraf: So currently, I don't have this data available with me. If you can send us an e-mail, we can get back to you.

Lakshmi Narayanan: Okay. And the second question is that, see, there is some kind of agreement between how all the things has to be going through the listed company, all the traded margins that SKF Ahmedabad as well as SKF Imports, all the sales of the industrial bearings will go through the listed entity, right? That's the current arrangement, if I'm not wrong?

Ashish Saraf: That is right.

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Lakshmi Narayanan: Okay. Now is there a possibility of this getting changed? Or like is that all -- is it in the annual? What will happen if there is a decision to you're actually creating another company, whether the same kind of rights would be applicable on the new subsidiary or it will be different?

Ashish Saraf: It will continue. As of now, there are no plans to change that. It will continue as is.

Lakshmi Narayanan: Got it. So -- and the last question is that among your various facilities, which are in the listed entity, how much -- which locations will have the industrial operations also so that how do you intend to separate out when you have industry. For example, in Pune, if you have both industrial and automotive under the same premises, how do you intend to demarket and change? Which are the plants where this issue will be there?

Mukund Vasudevan: So this is still under evaluation. As you can imagine, it takes time to make those decisions. So it's still under evaluation. As soon as we have an answer, we will communicate to you, right?

Hopefully, in the next couple of months, we will communicate this to you. But it will be done in a way which is kind of makes both companies successful and sustainable in the long term.

So it's not that there will be a bias towards 1 listed entity versus the other.

Moderator: The next question is from the line of Priya Ranjan from HDFC AMC. As the current participant did not answer, we'll move on to the next question, which is from the line of Mayank Bhandari from Asian Market Securities.

Mayank Bhandari: Sir, my question is again on the margin side, as you've been highlighting localization, pricing, portfolio clean-up, a lot of

initiatives are there, which should ideally be leading to increase in the margin. But we have seen very sharp fall in the last 2, 3 years. So just to understand, have we reached the bottom of the margin, what do you say?

Mukund Vasudevan: So we would hope so, right? I think you would continue as Ashish had also mentioned, we will see -- even in the next quarter, you will see hopefully an uptick as it has come -- even the last 2 quarters, you would have seen an uptick itself. So you'll continue to see that. We expect this to kind of normalize back to the 14% to 15% range. But in terms of long term '18, '19, we said we'll come back to you. Let us come back to you with that compared to '18, '19, if there has been a drop and why.

Mayank Bhandari: And sir, in the numbers you have given like 23% growth for the industrial for the quarter, how do you categorize this as a volume versus value growth?

Mukund Vasudevan: Largely volume, right? We can give you exact numbers...

Ashish Saraf: So in Industrial almost 19% was driven on account of strong volume growth year-over-year out of the 23%.

Moderator: The next question is from the line of Dishant Jain from Anand Rathi.

Dishant Jain: So my question would be what is the traded mix currently and for Q2?

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Mukund Vasudevan: Can you repeat your question? Couldn't hear you.

Dishant Jain: What is the traded mix in Q3 and Q2? And what is our expectation for the medium term?

Ashish Saraf: Yes. So Q3 traded business was to the tune of around 39% overall.

Dishant Jain: Sir, sorry to interrupt. I mean traded mix.

Mukund Vasudevan: Yes. So that is of the overall traded was 39% is what -- if that's what you're asking.

Dishant Jain: Okay.

Moderator: The next question is from the line of Lakshminarayana from Ocimum Capital.

Lakshminarayana: I have 2 questions. And the first one is, while you highlighted that you would demerge back in December. As shareholders, we were expecting some separate meet or a call where you would explain the rationale and you would give us some sense of your value creation road map. So in this earnings call, I don't know if it's the right forum, but would you intend to do that a few -- maybe a couple of months later? That's the first question.

So we are not really sure how you would go about creating value in the new business, which is the industrial as because, by and large, it is like mostly a trading operation because the way we think about it is the management has a fantastic opportunity to bring in focus and ensure better capital allocation. So that's number one.

And secondly, if I look at your gross profit margin, it came in around 33% and somewhere around that for the last 2 quarters. But this is the lowest I've seen even going back to FY '16. So the lowest was never this bad. So I just wanted to understand what has changed on the ground for us to report this, especially when the peers are reporting exactly -- reasonably good margins. So I couldn't understand how this transfer pricing thing worked so suddenly drastically for us to report such low numbers? So these are the 2 questions.

Mukund Vasudevan: Yes. So to answer your question, we will come back to you. I think we are planning to have some kind of a call to talk about more -- in detail about the demerger. But the timing is not right, right now. It's more -- it's very -- as we said, it's right now high level in terms of what's the rationale. Specifics, we will share with you soon. So we will try and set up another meeting or a call for it.

Ashish Saraf: And especially on the gross margin at an overall level, I don't see a significant change, right? We continue to be in the range of 35%, 36%. If -- because I don't know how you are calculating the gross margin, if you can come back to me with a specific question around that on an e-mail, I can come back to you with a response.



Moderator: We'll take the next question

from the line of Senthil Manikandan from iThought PMS.

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Senthil Manikandan: Sir, globally, parent has secured a company on the lubrication space, JSG. So if you can just share how this will impact our business in India, either directly or indirectly? That's my first question, sir.

Mukund Vasudevan: Okay. So JSG was doing 2 things. One, it was distributing some of the lubricants, which we make, that is one. Second, they were making solutions to do lubrications. This is machines to either automatically or manually lubricate industrial machinery. That's what JSG was doing. It's a large business in Australia and Southeast Asia and less so in India.

But this is an opportunity for us to bring some of those solutions also into India. It's still early days. The actual closure happened only in October. Right now, we're still evaluating how we structure it, how -- what are the synergies to bring it into India. But there will be opportunities.

Ashish Saraf: Just to add here, lubrication business per se is not -- like currently, the lubrication business that we have in India is not done through the listed entity. So just -- so even if there is an opportunity, as of now, based on the current structure, any lubrication business may not come to the listed entity as well.

Moderator: The next question is from the line of Ravi Purohit from Securities Investment Management Private Limited.

Ravi Purohit: So outside of margins and mergers now, so just wanted to understand a few things on the business side, right? If you could kind of just give us a sense of how the realization on general bearings as a product have changed over the last few years. The context is like in the previous capex up cycle, we saw a lot of capex being done by thermal power companies and infra companies?

And this current capex cycle, you are seeing more and more electronics manufacturing companies, renewable companies who are doing the capex, right? Earlier, the capex in railways used to be on rigs and conventional bogies. This time around, a lot of the -- all the new bogies or coaches or rigs that are coming in are of different types. They are faster. They look better. They are also far more equipped in terms of braking systems and in terms of other things. So for the same unit of capital stock on the ground, the realizations on bearings -- is it a fair assumption that the bearing realizations are far higher this time around compared to what they were in the previous cycles?

And going forward, in terms of electronics manufacturing or solar, you have solar tracker, I think so. We have done a lot of work on solar trackers also. So if you could just kind of share some insights as to the kind of bearings that are coming into the market today and the realizations on that. And based on that, what kind of growth can the overall sector itself see in the next 5 years to 7 years?

Mukund Vasudevan: It's a very broad question, but I'll try and answer it as quickly as possible since we are over time.

Okay. Let me start with -- I think the current capex cycle, we're still seeing -- contrary to what

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you were saying, we're still seeing some in the metals industry still going on in steel, aluminum, etc., with the infrastructure spending and cement, sorry. With infrastructure growth happening, we're still seeing some capex cycle there, okay?

That said, you're right that some of the emerging industries are -- we're getting higher realization and probably capturing most market share also. Railways, for example, we're going more to high-speed trains and we're getting more share there. Whether -- in renewables, less so on solar, more so on wind. There is changes in technology, which we are capturing our fair share in.

In electronics, globally, we have a fairly strong presence, especially in China and America. In India, because the ind

ustry is relatively small right now, we don't have as much. But as and when it emerges, we will see that, and those are high -- to your point, they are high-margin products.

So yes, I think what you said is right. There are changes. Also in automotive, EVs is something which is emerging, and that also plays to our strengths. Some of the products we have very high market share in EV bearing with higher realization in each bearing.

Moderator: Thank you very much. Ladies and gentlemen, as there are no further questions from the participants, we will close the conference now. On behalf of SKF India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank

you. Thank you, members of the management.  
Mukund Vasudevan: Thank you.  
Ashish Saraf: Thank you.

## Call: Apr 2025

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 14th April 2025

National Stock Exchange of India Limited,  
Exchange Plaza, 5th Floor, Plot No. C-1,  
G Block, Bandra- Kurla Complex,  
Bandra (East), Mumbai – 400051,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001, Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Subject : Transcript of Analyst/Institutional Investor meeting held on 09th April 2025

Reference: Our intimations dated 04th April and 09th April 2025.

Pursuant to Clause 15(b)(iii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6)&Regulation 46(2)(oa)of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith the transcript of Analyst / Institutional Investor Call for an update on demerger held on Wednesday, 09th April 2025 at 14:00 Hrs (IST). The same will soon be uploaded on the website of the company for convenience of the shareholders.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer al F

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"SKF India Limited  
Demerger Update Call"  
April 09, 2025

MANAGEMENT : MR. MUKUND VASUDEVAN – MANAGING DIRECTOR –  
SKF INDIA LIMITED  
M R. ASHISH SARAF – CHIEF FINANCIAL OFFICER --  
SKF INDIA LIMITED  
M R. RANJAN KUMAR – GENERAL COUNSEL AND  
COMPANY SECRETARY – SKF INDIA LIMITED

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SKF India Limited  
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Moderator: Ladies and gentlemen, good day, and welcome to the Demerger Update Call for SKF India Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note the duration of the call is limited to 45 minutes.

I now hand the conference over to Mr. Ranjan Kumar, General Counsel and Company Secretary, SKF India Limited. Thank you, and over to you, sir.

Ranjan Kumar: Good afternoon, everyone, and thank you for joining us today. We appreciate your time and interest in this important update regarding the demerger process of our company. As indicated, I'm Ranjan Kumar, General Counsel and Company Secretary of SKF India Limited. And with us, we have Mukund Vasudevan, Managing Director, and our CFO, Ashish Saraf.

The purpose of today's call is to provide a comprehensive update on the demerger process, its strategic rationale, expected benefits and next steps. We will take all your queries after the update is shared by us as a management team. This call is not expected to cover routine financial statements or results, and hence, the invitees are requested to confine their questions to the ongoing demerger transaction.

Before we start the update, I would like to emphasize that some of the information that you will receive in this call may contain forward-looking statements, which are subject to risks and uncertainties. Such statements are based on management's belief as well as assumptions made by and on the information currently available to the management.

The audience is cautioned not to place undue reliance on these forward-looking statements while making any future investment decisions. With this, let me turn the call over to Mukund for sharing update on demerger. As stated before, we will open the call for Q&A after this update.

Over to you, Mukund.

Mukund Vasudevan: Thank you, Ranjan. This is Mukund Vasudevan, Managing Director of SKF India Limited. And as Ranjan said, we thought it's very important as we are going through this demerger process where we are segregating the Automotive and Industrial business to keep all our valued investors informed around the rationale, the process and the logic behind why we're doing this.

With that in mind, I'll jump in, and we'll hold the Q&A until the end with disclaimer, as you have probably seen. So the topics we'll cover today, we'll talk about SKF India as it stands today so that you all get a grounding on what the current business is. Then we'll kind of pivot into the demerger and what's the logic and the rationale behind separating the automotive and the industrial businesses.

We'll talk about pro forma financials as we -- for the 2 separated entities. And then finally, we'll talk about the demerger status and timeline, where we are today in that process. With that, let me jump in and first talk about SKF India, and both its current and past performance. So as you all

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all know, most of you know, it's been over a 100-year journey for us in SKF India. We were established in 1923 as a ball-bearing manufacturing unit.

Over time, we've expanded to a lot of other associated products and services. And we are strong in both the industrial as well as the automotive domain. Today, SKF India has 3 state-of-the-art manufacturing facilities, 4 offices, over 570 distributors and channel partners who are helping us serve the market and around 1,700 employees.

If you look at our 2024 numbers, and these are in INR million. So that's almost INR4,570 crores of revenue, EBITDA of almost 16% to 17%, INR5,500 million of profit and strong net cash flow. Overall, the return on capital employed has always been strong. And in 2024, we delivered a 27.4% return on capital employed. So overall, a strong performance. It's been a fairly consistent performance too, if you look at the historical. Even if you look from 2020 onwards, our top line revenue has been growing at almost 13% CAGR.

Our EBITDA has been growing at 16% CAGR if you take a 5-year horizon and the profit after tax is 18% CAGR. So overall, strong performance, good sales and good leverage on that sales down to the bottom line as we have become more efficient in our portfolio as well as become more efficient in our manufacturing. And the shareholder returns speak for themselves, 23% CAGR in our stock price. It's had its ups and downs, but overall, a steady growth over the last 5 years.

And as a company, we have maintained a strong dividend payout as well as capital performance of the stock price overall. I think whether it's our financial performance or our strategies or our operating discipline, all of that has helped us achieve these results and deliver strong shareholder returns.

The reason I wanted to share this with you is this is a culture we want to continue even as we move into the demerger, both entities will aim to deliver strong performance as we have done in the past as a combined entity. If I now look at our strategy, it's the pillars of our strategy.

We have looked at -- while our overall vision is towards the intelligent and clean future, the pillars have been around focusing on high-growth segments, whether it be the heavy industry like steel, power, mining, etc, or in automotive, whether it's SUVs, light commercial vehicles, etc, and drives new technologies where we are focused on energy efficiency, reliability, longer-lasting products or bearings and as well as the powertrain.

Services and aftermarket to make sure that the products we sell are serviced to ensure service at the end customer to make sure that they perform up to expectations, and we can extend life. So a lot of customized solutions and good reach and availability through our d

istributor network.

And finally, portfolio management, which is to ensure that we constantly prune businesses which are unprofitable, both at a product level as well as at the customer level. And all this has helped us or has been possible through a more regionalized and a competitive supply chain and manufacturing footprint. alkF

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Technology development, which continues to be the pillar or the backbone of how we get our growth, an entire digitalized value chain and more efficient operations and manufacturing closer to our customer. So all of this has helped us achieve our goals and the numbers we spoke about in the last few pages.

I'll now move to the next section, which is around the demerger and why we believe it makes a lot of sense to separate the Automotive and the Industrial business. The intention of this demerger is to create 2 fit-for-purposes independent companies, which will accelerate both growth and profitability of both companies.

And why do we believe that this is possible? The reason is, first, there are 3 big macro drivers, which is, one, there is -- the dynamics of the industries are fundamentally different. Second, the customer needs themselves are different in the Automotive and Industrial. Third, the manufacturing philosophy and how we should manufacture is also different in Automotive and Industrial.

And if you dig a little deeper, what will enable this by 2 high-performing businesses is, one, an improved and focused approach from the management in 2 separate businesses, a more tailored customer value proposition, as we'll go into deeper in the next few pages, increased agility and responsiveness, more manufacturing efficiency, better capital deployment as the two businesses have different requirements.

And finally, a more a better and more financial visibility, attracting more diverse investors who are more aligned towards the Automotive or the Industrial business. All of these together will help us accelerate growth and profitability for both businesses.

If I now look at each one of these in a nutshell, let's start with the macro dynamics. And if we talk about the top row here, Automotive, as you can imagine, the automotive business, there are many macro drivers impacting that industry.

There is emission and CAFE norms, which are evolving. Government is, in fact, targeting 30% EV penetration by 2030. Another big driver is premiumization, which is -- there's more need for higher performance, more SUVs coming into the market and aspirational vehicles, high-performance vehicles.

In commercial vehicles, last mile mobility is becoming a much more important factor as is driven partly by e-commerce and urbanization. So smaller commercial vehicles, more energy efficient

and ability to navigate the last mile delivery is what commercial vehicle industry is looking at. So those are macro drivers in the Automotive industry. In the Industrial business, the government is driving a lot of initiatives to increase local manufacturing, whether it is Make in India, NIP or PLI that is driven by both global macro trends but also the need to increase the percentage of manufacturing in the Indian GDP. Cement, metal construction sectors are growing rapidly, driven by infrastructure spending, urbanization and rural demand, but also government focused on infrastructure. Railways continues to be a priority for both us and the government as the freight rail is increasing and alkF

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becoming more efficient, but so are metros in just about every major city now metros exist, and the Tier 2 cities are now emerging and faster passenger rails like Vande Bharat, which are intercity.

And then finally, even renewables. Renewables continues to be a focus of India. The capacity is likely to double in renewables by 2030 from what we have today. So as you can see, very di

fferent drivers in Automotive and Industrial macro requirement.

All right. So as you can imagine, macro drivers in the Automotive and Industrial are very different. Let's now talk a little bit about customer needs, getting a little micro within Automotive and Industrial.

Let's start with Automotive, right. Our customers, which are broadly divided into 2-wheelers, 3-wheelers, Volvo , commercial vehicles and passenger vehicles. And you can see a list of whose who, who are our customers today and have been there in the past also. And each one of them has different drivers.

2-wheelers and 3-wheelers, there is a drive for premiumization, high performance and EV adoption. Passenger vehicles, it's becoming aspirational SUVs, multiple fuel and hybrid options coming in. Durability, safety and reliability is becoming an increasing focus. And in commercial vehicles, reduced logistics cost is the focus, last mile mobility and again, electrification where possible is also a driver.

Our product lines are aligned with similar needs, whether it's the 2-wheelers where we're focused on high performance and fit-for-purpose bearings for EV, for example, are the drivers. In passenger vehicles, it's again high performance, high reliability, so less longer life, more rigidity to ensure a smoother drive in premium vehicles, but also electrification again, where we can supply a set of bearings, which are made specifically for EVs, which are safer and more energy efficient. And similarly for commercial vehicles where smaller commercial vehicles, smaller footprint of our bearing and drivetrain is equally important.

If I now pick one example of this really quick, and then I'll go back to Industrial. If you look at an example here of where, as I mentioned, electrification, energy efficiency is really important, SKF worked with one such automotive OEM where we delivered high-speed ceramic bearings to enhance the overall EV powertrain performance.

It performed much better than competitor bearings in durability and in resisting any kind of electrical damage, which can happen due to DC currents in the EV. So no parasitic currents as they call it, right. It has happened because of our high-speed DGBBs, which is unique to SKF, conductive carbon brushes and our ceramic bearings.

This overall system approach helped us improve the vehicles' energy performance overall. And we moved from more of a competent supplier to overall solution supplier in this particular case. So as you can imagine, through this kind of a system approach through our focus on innovation, driven by a specific customer needs of electrification and energy efficiency, we were able to capture some additional business. This is the kind of requirement that the automotive industry customers have and will continue to have. alkF

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If I now switch to Industrial and talk about their needs and what's driving it, Industrial is a mix of many separate industries. As you can see, we serve the drives and the motors. We serve the heavy industries, which includes cement, mining, metals, so on. Renewable industry, which is mainly wind, railways and a bunch of others. And each one of these have very different needs. The heavy industry is all about intelligent production, which is about Industry 4.0, which is driven to ensure that the plant is maintained at a very high uptime, limited down time, no stoppage in production. So whether you can say steel industry or a cement industry, production downtime is something which really hurts them.

So they want to kind of capture information ahead of time to say how efficiently is their plant performing. Intelligent production is that. Efficiency and cost reduction as these are heavy

industries, cyclical in their performance, cost is always a focus.

High focus on sustainability as we all are getting greener in both at the individual company level as well as a c

ountry level and then predictive maintenance to again ensure higher uptime. And our products are so aligned. The products you see on the right, I won't go into the details, each one of them, whether it's our bearings, seals, lubrication or our service-related solutions, which enable remote monitoring of these bearings to ensure better predictive maintenance and less downtime.

All these solutions are targeted at the heavy industry. And if you look at the drives and motors, gearboxes, kind of industry, there, it's about compact and lightweight. That's the requirement. Not only that, there is a fair amount of energy efficiency requirement. There's also other requirements depending on the application on less noise or less vibration. There, it's about designing bearings which can run at high speed, but yet are compact, lightweight and a lower footprint overall and yet are delivering the energy efficiency requirements of the customer.

The railway industry is moving towards high-speed rail with metros, Vande Bharat, etc. There, again, passenger experience and safety is super important as is durability because the longer you maintain them, the better the overall cost of owning the bearing is or maintaining the vehicle is reduced.

There, we supply a range of bearings, which again, are highly durable, but we match it up with service and with remanufacturing where possible to increase the -- to lower the overall cost of owning our bearings. And finally, one other example on renewables. If you look at their needs, their demand, they are, of course, in the clean energy environment.

A cost of repairing a bearing, whether it's a main shaft bearing, or a gearbox bearing in a wind turbine is huge. So reliability and longer life is really, really important. There again, SKF offers a really comprehensive set of bearings which ensure this, but also backed with the right kind of service to ensure -- through remote monitoring, we predict any failure before it actually does happen.

And the reason for the failure, whether it is lubrication related or a seal failure or a misalignment, which might have happened. All that helps the customer get a better value proposition. So as you can imagine, again, a set of -- in Industrial, it's a variety of industries, each with their specific alKF SKF India Limited

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needs, each with their corresponding innovation and corresponding products to serve those needs.

And if we pick one example in Industrial or a couple of examples, I'll start with the Vande Bharat train. There, SKF designed and manufactured the propulsion control and other equipment for Vande Bharat train sets, which provided a much more reliable bearing, safer as well as longer-lasting and less vibration. But not only that it was produced completely locally to ensure that good lead time is available and the cost structure is what is required in a country like India.

If we switch to a completely different industry, the example below, which is around steel. There, with our customer Tata Steel, since this is a public, we can use our customer's name. We developed the first of its kind steel-related bearing -- steel manufacturing-related bearing for their converters, which through its design has eliminated a lot of unplanned downtime, reduced cost and enhanced safety.

Again, the goal in Industrial is to produce high efficiency, low TCO, safe, durable and maintenance-free solutions for our customers. So again, I just thought I'd give a flavor of what are the kind of drivers, macro as well as specific customer needs in Industrial and Automotive.

And if I move to the last pillar here, which is around manufacturing. Obviously, the two manufacturing -- the two entities, Industrial and Automotive, because the customer needs are different and the macro drivers are different, the manufacturing processes also tend to be different. Automotive has a large batch sizes with s

mall and medium-sized bearings. So few customers, OEM customers, but a large number of bearings being supplied to them as the number of vehicles produced is very high, too.

Focus is on automotive assortments and application-specific offerings, with a defined customer base, not a large customer base. Cost efficiency because operational efficiency and economies of scale is very important in manufacturing these bearings. There's also an opportunity for us because these are large batch productions and bearings are small, much more opportunity for automation, less variety.

Now if we switch to Industrial on the right-hand side, Industrial has a very wide product portfolio because every industry is slightly different. And the sizes range from small but a much larger chunk of medium and large also. This requires flexible channels or flexible manufacturing lines to serve the medium and small customers volumes as well as the larger customers, which require

the large bearings. We also have to develop many more customized solutions depending on the application, maybe within the same industry itself, there will be multiple applications. Just as an example, within a cement plant, one cement plant there are probably 30 different applications we have identified, each with different kinds of bearings, just one cement plant.

And finally, because there is a large assortment of bearings, we have to leverage not just the manufacturing footprint, which we have within SKF India, but also the regional manufacturing footprint. So it will be a combination of manufactured and traded for SKF India to actually serve the customer demand. So that's the difference in the manufacturing focus, which also is a reason for why this demerger makes sense. alkF

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So to summarize, macro drivers are different. Customer drivers and innovation is different; and third, the manufacturing itself, the process of manufacturing itself is very different, what will make us most efficient and help us serve the customer needs.

With that, I'm going to move to the pro-forma financials and hand it over to our CFO, Ashish Saraf.

Ashish Saraf: Thanks, Mukund. So I'm going to share the pro-forma financials for both the businesses, Automotive and Industrial. Please note that these financial statements reported are unaudited and have been prepared with assumptions and with best knowledge available with the management. These financial statements do not represent or guarantee the future performance of both the businesses.

The total revenue of SKF India for financial year '23, '24 was around INR 45.7 billion. And the sales, including exports have been split between Automotive and Industrial as well as profitability has been calculated based on both the businesses based on certain assumptions.

The fixed assets and liabilities have been allocated between the two businesses based on management estimates and accordingly the return on capital employed has been calculated for both businesses. We believe both businesses will create two focused and stronger listed entities and below future drivers will enable us both companies to drive strong financial performance.

Now I'll talk about the automotive future drivers. If you look at the Automotive driver, I think one of the key aspects would be targeted value-driven product innovations and sales initiatives for low-friction bearing, which is going to address the emission challenges and the safety challenges which the Automotive business is going to encounter. Plus the last mobile connectivity, which is the LCVs, which are light commercial vehicle business, which is going to help us reduce and enable the automotive business to serve the market in an effective manner. Our Automotive business will continue to work with large OEMs to jointly develop products which are best fit for our market and which will enable us to be competitive and h

ave preferred

pricing with our customers. Automotive business will continue to leverage manufacturing footprint in India and continue to expand its operations. Lastly, Automotive business will continue to prune its low profit businesses, look at product portfolio and work with our customers to drive cost reductions, get price increases as well as, in some cases, exit the business to drive future profitability for the business.

As I move to the Industrial business, if you look at, I think one of the key drivers would be value selling. Industrial business is going to focus on upscaling its sales organization as well as the large distribution network in terms of really selling the value of the products to our customers so that we can really drive value to the customers as well as focus on critical applications, which will give us better pricing and which helps us improve profitability for the business.

If you look at services, the Industrial business will continue to invest in the services business, some of these services like remanufacturing, like condition monitoring, as well as REP, which is Rotating Equipment Performance, will continuously help us to increase the overall uptime of the customer and improve the productivity for the customers where we can get better value. alkF

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Industrial business will continue to focus on the overall reach, which is increasing the distribution network, expanding the distribution network as well as investing in the retail channel of the distributors so that we can continue to expand in this market. We will continue to leverage our regionalization as well as localization to drive competitiveness in the market. We are already almost 30% to 35% localized and we will continue to leverage our regionalization and increase our localization in this market to be more competitive.

Lastly, we will continue to optimize our pricing with our customers, continue to prune our customers and we have done -- taken a lot of action in last year and we will continue to do this in this dynamic and challenging environment. These future drivers both for automotive and



industrial will help us continue to deliver strong performance for both these companies.

Lastly, I think it's important that we understand that the demerger will not adversely impact the shareholding of the public shareholders. The new company will mirror the shareholding of the existing listed company with each shareholder of SKF India receiving one share of SKF Industrial as a consideration of the demerger. Upon completion of the demerger, the shares of SKF Industrial will be listed on both the stock exchanges.

I'll move to the next topic, which is demerger status and timeline. So, if you look at the overall time line, the overall timeline for demerger is around 12 months to 15 months. We already started the process in last year, Q4 '24. Currently, we are in end of Q1 where we have already received observation letters from stock exchange as well as SEBI and we are in the process of filing an application with NCLT.

We are expecting approvals by end of Q3 from NCLT and we are targeting listing of the industrial business by end of Q4, subject to everything going as per the overall plan. As of now, we are pretty confident of achieving the overall demerger timeline. Thank you. I think with this, I'll hand it over to the host for any questions that we might have from the team.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Viraj from SiMPL. Please go ahead.

Viraj: Yes. Hi, thank you for the call and thank you for the presentation. First is just a request, I think you've just given a pro - forma numbers for both entities for FY '24, but if you can also give a much more longer historical data, say, last 3 years or 5 years for us to kind of understand the unit economics in each of o

ur business, that will be very helpful. So that's a request.

Just had a couple of queries. In the past, we've been communicating about capex of about INR 150 crores annually and that run rate to sustain for the next few years. Given that both the businesses will now be split, how should we understand the capex spend in each of the businesses for next couple of years. And this is a backdrop of the regionalization, which the parent keeps on talking about, looking at increasing the rationalization rates in India and other attractive markets. So that is one.

Second is on the Industrial business, if I look at our different segments which we participate in the major ones, which we have shown. And if we compare the portfolio of the parent, there are still quite a few categories, applications where we are not there. So any thought process in terms of SKF India Limited

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of how we're going about bridging the portfolio gap and our play in those categories, either in India or globally?

And third is on the portfolio pruning on a price correction part, both industrial and automotive.

We have been talking about price correction, portfolio pruning for the last 1 or 2 years. Can you just give us some perspective of how much we have done, where are we in the journey and what more is for the -- if you could just give some color on this?

Mukund Vasudevan: All right. So I'll let Ashish take the question, Go ahead, Ashish.

Ashish Saraf: So I think the first question was on historical data. So again, what we have currently shared is the unaudited financial statements for financial year '23, '24. The historical financial statements would be shared with all the shareholders as a part of the shareholder notice when they are given invite for the shareholder meeting. So we would share the same at that time. Then the next question was on capex.

So on capex, if you look at we have -- historically, we have communicated that we would spend around INR 150 crores annually. We believe that both companies would definitely continue to spend around INR 150 crores going forward as well. Having said that, -- currently automotive business is running out of capacity and space.

We are internally evaluating additional investments that we need to make for both automotive and industrial businesses that they can further grow the business in this market. So there would be more investments, but we would share more information once we have detailed information available around the additional investments that we intend to make.

Ashish Saraf: Sorry, what was your third question?

Mukund Vasudevan: Yes, I think on the portfolio pruning, that's more of a financial question, not relevant to the demerger. We'll continue to do that continuously. So I would say let's hold that question for one of our regular investor calls around financials. It's not that relevant to the demerger. It's a regular exercise which we do both on Automotive and Industrial. And we continue to do it. We are seeing results from it. Yes.

Viraj: Just one last question. On the Auto business, as you also mentioned in the presentation, that it's a very -- it's a business where the localization is quite high. There's a large-scale automation already. So when you talk about drivers for margin improvement, this is not really a quarter or year kind of outlook. But if one is to understand on a mature basis, can you just elaborate a little bit more in terms of what is the kind of stable state, mature margin this business can earn?

And what will really drive it? I mean, so when you say targeted value, low friction, what kind of a content change we can see or just if you can just dwell a little deeper because you already have the localization on your side, the utilization is also quite high. So just trying to understand what further would drive the margin?

Mukund Vasudevan: Yes. I think it's a combination of things, right? And the

first is there is always room for more efficient manufacturing, whether it be on -- and this could be procurement-related. It could be SKF India Limited

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the manufacturing process related. The number of bearings you can produce from a line as you get more efficient, reduce the setup times or increase the cycle times, so on, right, or reduce the cycle time, sorry, you can get more bearings out of the same line. There's always room.

And I would say there is opportunity there's continuous opportunity there. I believe the other angle is, of course, both on pricing as well as value selling. So there's opportunities to -- as we improve our let's say, our ceramic bearings as we spoke about, our energy-efficient bearings, we should be able to price that at a premium, because it adds overall value to the customer, to the OEM.

So I would say while the margins are typically relatively thin, we would hope that we can get at least 2 to 3 more points on our EBITDA going forward. So we don't have -- at this point, we're not giving forward-looking statements, but I'd say we would hope that we can do that both on Industrial as well as Automotive.

Viraj: Thank you very much and good luck.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Sir, firstly, on the demerger side, any thought, I mean other than what you mentioned in the presentation about the opportunities in both Auto and Industrial. Also, do you think being a separate entity now, will there be opportunity to do more M&A or anything on the product expansion line, which can happen? Any thoughts around that, sir?

Mukund Vasudevan: So I can't give specifics on M&A, right? But I can say that's something which because there is more focus in both businesses on specific customer needs and the industry dynamics and better capital allocation possible, I would say it should spur more opportunities on both sides. I can't give any specifics at this time, but it should spur more opportunities on M&A as well as investments. I think the previous gentleman had asked a question around capex. It should spur more opportunity to do capex as well as M&A.

Mumuksh Mandlesha: Got it, sir. And sir, to Ashish sir, any thought -- any decision-making has been taken for the division of the plants or the operations, sir?

Ashish Saraf: We are currently in advanced stage of planning. Once we have more concrete information available at our end, we would share the same with everyone.

Mukund Vasudevan: And just to add to that, I think as Ashish said, we do need more capacity, especially in Automotive, but also in Industrial. So there will be additional investment, irrespective of the demerger, there will be additional investment. And it will probably time well with what we do with our plants also.

Mumuksh Mandlesha: Broadly to say, it would be, capital input would be...

Moderator: I'm sorry to interrupt, sir. Could you please come back in the queue for further questions?

Mumuksh Mandlesha: Sure. alkF

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Moderator: Thank you. The next question is from the line of Chinmay Parikh from GPSPL. Please go ahead.

Chinmay Parikh: My question is, can you give a breakup of exports between Automotive and Industrial? And given all that's happening in the global front, what is your sort of outlook on the export markets for both Automotive and Industrial?

Ashish Saraf: Yes. So if you look at, again, broadly, the exports, depending on -- again, we've looked at the historical data and we have kind of split the exports based on to which customers we have supplied those products, right? And accordingly, we have allocated the exports between the two businesses, Industrial and Automotive.

In terms of future plans, currently, our strategy for SKF India is purely I

ndia focused. We are

focusing on how we're going to grow our business in the India market. Definitely, we leverage exports, wherever possible. But right now, any expansion plans or growth plans would be predominantly focused on growing the business in the India market.

Mukund Vasudevan: And just to add to that, right, the export portion is relatively small right now. And so -- and we

see enough opportunity in India. And so our focus, as Ashish said, is going to be on India on both the businesses.

Chinmay Parikh: Okay. Thank you. Mod

erator: Thank you. Ladies and gentlemen, this will be the last question. It's from the line of Krupashankar NJ from Avendus Spark. Please go ahead.

Krupashankar NJ: Just one question. I wanted to understand the estimated Gross Block split between the 2 segments, if that is available. And given that you had highlighted that about INR 150 crores of capex would be incurred, are you revisiting is it going to be INR 150 crores for each segment? Is that how you plan to incur it going ahead?A

shish Saraf: No. So the INR150 crores capex investment is all put together. That's the historical spend that SKF India has done, right? So that's what we are saying that we will continue with that investment. Having said that, we are looking at additional investment opportunities for both the companies, right? Coming back to your initial question sorry I forgot, what was the initial question?

Krupashankar NJ: Gross Block split.

Ashish Saraf: For the Gross Block, again, we are still in the process of finalizing -- our assets allocation between the 2 companies. So that is -- because that's predominantly manufacturing that we are working on. Having said that, manufacturing, given that Automotive is more localized, there are going to be higher assets and gross block for Automotive. And that's where you see that the return on capital employed for Automotive was slightly lower than Industrial.

Krupashankar NJ: Okay. So if your calculation on the capital employed on which you calculate the ROCE, is there a proportion of Gross Block of that capital employed, anything indicative which you can give us? alkF

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Ashish Saraf: Yes. So I think let's wait for the additional information because a lot of these things are currently under discussion, right? So we don't want to share a specific number with you, I would say just wait for a couple of months. I think once we have the final decision on the infrastructure and the allocation, then we would be able to share more information around this.

Krupashankar NJ: Thank you.

Moderator: Thank you. Ladies and gentlemen, since the call duration was for 45 minutes, that was the last question. On behalf of SKF India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited for readability purpose)

alkF

## Call: May 2025

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 23rd May 2025

National Stock Exchange of India Limited,  
Exchange Plaza, 5th Floor, Plot No. C-1,  
G Block, Bandra- Kurla Complex,  
Bandra (East), Mumbai – 400051,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001, Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code - 500472

Subject : Transcript of Analyst/Institutional Investor meeting held on 19th May 2025

Reference: Our intimations dated 12th May 2025 and 19th May 2025.

Pursuant to Clause 15(b)(ii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6)&Regulation 46(2)(oa)of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR") and SEBI Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155 dated 11th November 2024, please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on Monday, 19th May 2025 at 9:30 a.m. (IST). The same will soon be uploaded on the website of the company for convenience of the shareholders.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer  
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"SKF India Limited  
Q4 FY 2024, '25 Earnings Conference Call"  
May 19, 2025

MANAGEMENT : MR. MUKUND VASUDEVAN – MANAGING DIRECTOR –  
SKF INDIA LIMITED  
M R. ASHISH SARAF – CHIEF FINANCIAL OFFICER --  
SKF INDIA LIMITED  
M R. RANJAN KUMAR – LEGAL DIRECTOR, COMPANY  
SECRETARY AND COMPLIANCE OFFICER – SKF INDIA  
LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the SKF India Limited Q4 FY 2024, '25 Earnings Conference Call.

For the smooth conduct of the meeting, all participants are in a listen-only mode. A brief question and answer session will follow the formal presentation. Should you need assistance during the conference call, please press star then zero on your touchtone telephone. As a reminder: This conference is being recorded.

I would now like to hand it over to Ashish Pruthi, Head, Marketing and Communications, from SKF India Limited. Thank you. And over to you, sir.

Ashish Pruthi: Good morning, everyone. Thank you for joining us today. With us, we have SKF India's Managing Director, Mr. Mukund Vasudevan; our CFO, Mr. Ashish Saraf; and our Legal Director, Company Secretary and Compliance Officer, Mr. Ranjan Kumar.

The purpose of today's call is to share an update on our ongoing demerger, our Q4 results and our overall financial year's performance. Before I turn the call over to the management, I would like to remind you that, in this call, some of the remarks contain forward-looking statements which are subject to risks and uncertainties; and actual results may differ materially.

Such statements are based on management beliefs as well as assumptions made by and on the information currently available to the management. The audience is cautioned not to place undue reliance on these forward-looking statements and making any investment decision. The purpose of today's call is to purely educate and bring awareness about the company's fundamental business and the financial quarter under review.

Let me now turn the call over to Mr. Mukund Vasudevan.

Mukund Vasudevan: Thank you, Ashish. This is Mukund Vasudevan. And I will be walking through very briefly the presentation which was shared with each one of you. And if you have not had a chance to look at it: It will mainly be a review of our Q4 and full year results for FY 24 -25.

And I will do this presentation supported by Ashish Saraf, our CFO. And after the 15 minutes, we will go into the Q&A. In the presentation, I will cover a very quick update on the economy, which I think is all of you are well aware of how the economy is doing, but we'll talk about relevant sectors. I will then talk about quarter, the Q4 '25; and then the full year -- FY 24 -25. We'll also talk very briefly about an update on our demerger, which we have promised to do in each one of our investor calls, as we continue the process on our split of the automotive and industrial business into 2 separate legal entities. And finally, we'll end with Q&A for around 30 minutes.

So let me jump right in and start talking about the -- a very quick update on the macro economy. As all of you know, we are -- the GDP has been strong, 6% plus. We continue to expect that to SKF India Limited

remain for the next few -- next year at least. So for the full year, it was. And Q4 was around -- just over 6%, with inflation below 4%.

In terms of the sectors, the major sectors, I would say the overall industrial production index came down a bit from third quarter to fourth quarter but nothing significant. It's still hovering around the 4% range. Automotive production for passenger vehicles and commercial vehicles, especially smaller commercial vehicles, grew.

Two-wheelers and three-wheelers came down just a little bit, but again, it's fairly robust. Iron and steel production growth actually came down a bit -- or actually came up a bit, but the capacity, additions actually came down. And then construction actually came down significantly in this quarter. But overall a solid economy.

And we expect the trend to continue, barring any headwinds related to tariffs and other things, other macroeconomics, but for now we expect the economy, especially in the relevant sectors,

ors,

to continue to be in the 6% to 7% range GDP growth. I will now switch to quarter highlights, and I'll talk through some of the shared pages. I'm now in Page 7 of the shared presentation, and let's talk about Q4 '25.

So it's a mixed bag this quarter. Our sales grew at 1% year-on-year. And this is -- while the quarter seemed a little muted, we would say the right way to look at this is for the full year, where we actually grew fairly well at around 8%. And if you look at where the growth came from -- or the degrowth came from, I'd say, exports came down significantly by almost 13%,

related to the macro economy in -- both in Americas and Europe.

But industrial grew at 2%, automotive 1% year-on-year. And that is -- again, while the quarter was a little muted, that is partly related to a very strong Q3. We had very strong Q3, so that was -- it was a natural dip in Q4, but if you look at the full year, it was a really solid 8%-plus growth, which I think is very commendable.

The reason I said this is a mixed bag slightly is that the margin actually grew tremendously.

Margin grew from -- so if you look at profit before tax: It grew from 11.9% to 23.3%. Now this is partly related to our cost-saving efforts, our gross margin improvement related to cost-saving efforts, but it's also related to a catch-up on transfer pricing.

If you remember, last quarter, the margin was relatively low compared to historical, 11.9%, but the transfer pricing was being adjusted to manage -- has been adjusted this quarter to ensure that there is a margin in the 16 -- in this range. 16% to 19% range is where we want it to end, and that is where we are ending the full year. There is some impact also, in the margin, of FX, but that is fairly limited. The big -- while the -- the change is in the -- just the catch-up on transfer pricing. So that is on Page 8.

On Page 9. If you look at cash flow and net working capital for the year -- sorry, cash flow for this quarter, you will see that the cash flow is down a bit, the net cash flow. And that's mainly due to a change in net working capital towards the end of the year, more sales, more inventory involved and so the change in net working capital impacted the cash flow, but nothing to worry about. This is a onetime.

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If we switch to Page 11, which is around the full year, you'll see that there is really solid growth of around 8%. We grew from almost -- INR4,487 crores to INR4,831 crores, which is excellent, good growth across the segments. Industrial grew very well at 10%; automotive, 6%; and exports a little muted but again economy related, 3%. The mix of our business, as you know, is industrial 52%, automotive 40%. And exports is around 8%. But across the board, good growth for the full year, something which I think the team has done a wonderful job on. The growth has come from across many sectors, and we can talk about that a little more in detail.

If I switch to Page 12, which talks about profitability. The profitability: While in absolute numbers the PBT grew at around 3%, if you look at PBT margin, it actually came down a little bit, by around 0.6 percentage points, again in range of what we were expecting. In the range of just under -- 16% to 19% is where we are expecting. It's broadly in that range.

There's GM expansion, but I think we got impacted a little bit with higher depreciation costs related to investments and also some other expenses related to employee costs. Cash flow, again mainly related to -- cash flow was down from last quarter and from last year, mainly related to the net working capital change.

All right, that is a very quick update on full year and the quarter. And if I were to summarize this, I would say a good full year, 8%, ending of -- in the INR4,830 crores range of sales; profit before tax down just a little bit but broadly in line; cash flow down mainly due to net wo

rking

capital change in this quarter, but it will -- we expect that to come back strongly by next quarter and next year.

Okay, in terms of the quarter, 1% growth, but that's largely because Q3 was very strong and the sales growth in Q4 tended to be a little muted. Also exports were down significantly, related to global macro economy. And then profit -- but profit before tax was really up, related to strong operational performance but also related to catch-up on the transfer pricing. So overall, mixed bag in terms of financials.

Let me now quickly switch and talk a little bit about the demerger. And this will be a brief update on what we have spoken about previously. We're still continuing on the demerger process. As you remember, the overall -- the reason for the demerger is we are creating 2 fit-for-purpose independent company, which will accelerate both growth and profitability in both companies. Both companies have different macros -- or both these businesses have different macros, have different customer needs and have a distinct manufacturing focus, so I will say that the logic for the demerger is largely related to that.

And the way we are doing this demerger is we are creating 2 independent entities which will have better management focus, independent management focus, better value proposition for the customers; will create innovation specifically for automotive and specifically for industrial.

Increased agility and responsiveness, increased manufacturing efficiency.

The 2 entities will have different kind of manufacturing philosophy, 1 more batch processing, large batch processing; 1 more shorter cycle times, shorter cycles, smaller batches but more innovative products. Tailored capital deployment, which is very important also between the 2

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entities; and finally, just more visibility for the -- our investors, all of you, to be able to see the performance of the 2 entities independently. So that's the logic of the demerger.

The quick update and -- we wanted to give you was, as we are continuing to do the split, we have more clarity now in the manufacturing plants. So we're looking at Page 16 now. And what we see there is that the manufacturing entities which will -- manufacturing plants which will go to automotive are Haridwar, which will fully go to automotive. Bangalore, almost 80% to 85% will go to automotive.

A few channels will move to industrial, to a different plant. Pune, a part of the plant will go to automotive. A part of it will go to industrial. So that's the split. And Pune: So there will actually be a new factory setup for just industrial, next to the current automotive one. So that's the plan broadly in terms of split of our manufacturing facilities.

In terms of process, where we are right now. That's we're -- I'm in Page 17 of the presentation. We are broadly on track. Q2, which is this -- of calendar year '25, which is now, we have filed with the NCLT. We're waiting for the final approval. And then we'll take it to shareholders, and we'll have a creditor meeting also. So broadly on track to finish the listing by Q4 calendar year of this year or Q3 calendar year 25-26, okay. So that's the broad update on the demerger. I hope -- at this point, I'd like to hand it back to the moderator for Q&A.

Moderator: Thank you very much. Our first question comes from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Solid margin performance. And thanks for the detailed presentation. Sir, firstly, can you, I mean, share demand outlook for next year across the key segments? And just on the demerger side, if possible to share, for FY '25, how were the numbers for the EBITDA margins and the PAT for the auto and the industrial segments?

Mukund Vasudevan: Okay, I'll let Ashish Saraf, our CFO, answer the second part of the question, right, which is the

EBITDA and PAT for the 2 entities, but I will just answer one piece of that, that going forward with the 2 entities, we expect to see continued improvements in both EBITDA, PBT, yes; as well as higher growth with the demerged entities. That's the medium- to long-term aspiration we have and our expectation also.

The first part of the question, in terms of different segments and the growth, I would say that we are -- I'll tell you what we are seeing right now. And I think this trend will continue for some time. Let me start with automotive.

Automotive is seeing some fairly strong growth in commercial vehicles, especially smaller commercial vehicles, driven partly by the e-commerce and the quick delivery. So a lot of increase in commercial vehicles. We are also seeing good growth in tractors, which is -- which I think will continue. Given the good monsoon we are predicting, I think it will continue.

Also the -- in the passenger vehicles, the larger passenger vehicles, which is the SUV growth, is continuing to increase. And the last piece is the EVs. EV trend is -- EVs is very small still, but SKF India Limited

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it is continuing to grow. And we have a solid presence there. So I would say, automotive, these are the major areas of good growth. In the industrial, I would say we're not expecting a huge amount in steel, in capex investment, but the production should continue, barring any challenges on pricing -- steel prices related to China or anything related to tariffs. But in general I would say flat to slightly up on steel.

In terms of other sectors, I think food and beverage will continue at GDP rates. In terms of wind and renewable, we would say again it's going to continue at the rate it has been. It hasn't been a very good year for wind, but I think next year will be slightly better, maybe a 3% to 4% growth there. And then railways, again, is continuing to do well with some of the build-outs happening both in freight, passenger and in metro. So we see more and more -- the continued presence there.

And especially in passenger and metro, our strength is -- we are very strong. Last one I would say is around if you look at this infrastructure growth and the government spending on infrastructure. That continues to be robust. And so I think we'll see a ripple effect of that also on our industrial side okay? Ashish, do you want to add something on the PBT and EBITDA?

Ashish Saraf: Sure, Mukund. So again, for FY '25, the numbers are still being worked out for the carve-out financials for automotive and industrial. However, we expect the margins to be in line with FY '24. So if you look at FY '24, our EBITDA margins for automotive was around 18%. And industrial was around 17%.

So we kind of expect similar numbers for FY 24-25. And similarly, PBT was in the range of 16% for both the businesses. We are expecting similar margins for FY '25, but the numbers are still under finalization. - we just closed the audit for financial year '25 for the consolidated entity.

Mumuksh Mandlesha: Got it, sir. So is it possible to share the revenue breakup for FY '25, sir?

Ashish Saraf: Between industrial and automotive...

Mumuksh Mandlesha: Yes, yes.

Ashish Saraf: Yes. I thought -- okay, that's already shared as a part of the presentation...

Mumuksh Mandlesha: I mean sub-segments. Like generally we share the two-wheeler, PV, tractor, railway, general machinery, wind. If possible to share, sir?

Ashish Saraf: For FY '25.

Mumuksh Mandlesha: Yes, yes.

Ashish Saraf: Okay. So for FY '25, if you look at -- the overall automotive share was around 40%. And industrial was around 52% and exports was around 8%. And if I talk about the major segments, which is -- two-wheelers, it was 13% out of the total 100%. And the other big one was cars, which was around 5%. And power transmission was also around 5%. On the industrial side, distribution was around 23%. And rail was

around 7% and general machinery was around 9%.

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Mumuksh Mandlesha: Sir, in automotive aftermarket, how much was...

Moderator: Sorry to interrupt, Mr. Mumuksh Mandlesha. May I request you to...

Ashish Saraf: Yes. Automotive was around -- aftermarket was around 10%.

Moderator: Our next question comes from the line of Harshit Patel from Equirus Securities.

Harshit Patel: So my first question is on the margin front. In the last quarter earnings commentary, when you explained, we were under the impression that those margin -- those gross margin levels were sort of normal levels wherein there was already some adjustment to the transfer pricing of those traded goods.

And we had earned maybe somewhat higher-than-usual margins in FY '23 and FY '24, which was normalized in FY '25, so we are very surprised with the margin performance that we have posted in the fourth quarter of FY '25: why, at all, there is this positive catch-up on the transfer pricing. So if you could explain on that, that will be very helpful.

Ashish Saraf: Yes. So again -- just to correct you, right. So what we said last time was that there was some correction which was made on account of transfer pricing in the previous quarter, but we haven't fully corrected the transfer pricing adjustment. So a significant chunk of the adjustment on account of transfer pricing was done in this quarter, which led to the uplift in the overall margins for the financial year.

If you look at the overall margins for current financial year or if you look at the overall EBITDA, right, the overall EBITDA for the current financial year is around 17.5%, whereas last year was around 18.1%, right? And the slight dip is predominantly on account of the price increases and the portfolio pruning that we were able to do in financial year '24, whereas in '25 is the -- most of the growth was driven on account of volume growth, right? Hope that clarifies.

Harshit Patel: Yes, sure, sir. So just a follow-up to that. So now all the transfer pricing adjustment or the catch-up, that is completed. Or...

Ashish Saraf: For the financial year, it's completed, yes. For the financial year, it's completed.

Harshit Patel: Understood, perfect, sir. And sir, my second question is on the capex. While you have highlighted which all plants would go to the automotive entity and which all plants would go to the industrial one, including the new greenfield plant near Pune -- so what will be the broad capex for both these new companies for the next couple of financial years? That will be my last question.

Ashish Saraf: Yes. So what we said in the presentation is that we would be setting up a new plant in the Pune location, all right, for the industrial legal entity. And we expect -- our current capex is in the range of around INR130 crores. We expect the capex to double at least in the next 2 to 3 years.

Moderator: Our next question comes from the line of Viraj from SiMPL.

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Viraj: First, just a clarification. You said the capex rate to double over next 2 to 3 years, so around 250 crores to 270 crores is what we'll be looking to spend for next 2, 3 years. Am I right?

Ashish Saraf: That's right.

Viraj: And how would that change the localization or the content, especially in the industrial business?

Ashish Saraf: Yes. So if you look at industrial, we are currently localized at around 30% plus. At an ISEA level, we are localized 50% plus. And in the long term, we want to be localized close to 70% at an ISEA level, right? So that's how we kind of expect the overall localization to go up.

Viraj: Okay. And second question is...

Mukund Vasudevan: And if I may add -- sorry. If I may just add. This is Mukund. If I may just add that part of the capacity expansion is -- or part of the plant investment, the capex that we are making, is for



capacity itself, right, not necessarily

localization. As the demand is growing, we need capacity.

So it's not related completely to localization. Both industrial and automotive also need more capacity, but part of it is also localization.

Viraj: Right. Second question is on the margins. You -- in the press, you commented about margins in the range of 16% to 19%, which is what we are looking at in FY '26. And at the start of the call, you also talked about us having similar margins as FY '24 in auto and industrial in '26. So when you say margin, does that include the operating income -- sorry, other income? Because if I exclude other income, FY '24, we are somewhere close to 15.7% EBITDA margin. So just trying to understand. When we say margin, does that include the other income? Or that is excluding.

Ashish Saraf: So that includes -- so I think what Mukund communicated. 16% to 19% is overall PBT margin including the other income.

Viraj: Okay. And the bump-up in other income which we saw in the current year, was there any one-off in this?

Ashish Saraf: So it's predominantly -- the bump-up in the other income is driven on account of the cash that the company is sitting with, right, that kind of results in higher interest income. Plus we have also income coming from one of our sister companies, right, which will continue till 2029. So that's where you'll see a full year impact of that in the current year.

Viraj: Right. Just one last follow-up. When you say 16% to 19% PBT margin, if I do the "back of the envelope" calculation for operating margin, we would still be around '24 levels on the -- despite the investment and capacity modernization and localization we will be doing in '26 further. So just trying to understand what factors you think can drive the higher end of the margins for you...

Ashish Saraf: So it really depends -- sorry, Mukund. Go ahead, yes.

Mukund Vasudevan: If I may -- sorry. If I may just add one -- a couple of things. One, while we do expect the margins to be broadly in that range, right, there is always efforts we are putting in, in operational efficiency and -- which is cost management but also in terms of portfolio pruning and pricing and things like that. So all that makes a big difference, but the other thing we should mention is

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that, due to capex investments, which are likely in the next few quarters, right, we would see a slightly higher depreciation.

As we mentioned, we are putting in that, but in spite of that, we are trying to maintain similar margins or grow it beyond. In the long term, the 2 entities -- or medium to long term in the next -- within the next 3 years, we should start seeing some margin expansion on both sides. Ashish, you wanted to add something to that...

Ashish Saraf: No. I think what you clarified is good.

Moderator: Our next question comes from the line of Pramod Amthe from InCred Equities.

Pramod Amthe: Can you be more elaborate on in terms of transfer pricing adjustment? And when you say that this year is settled, what's really happening in that line item?

Ashish Saraf: So again I'll just kind of again explain, right? The transfer pricing adjustment which has happened in the current quarter is driven based on the transfer pricing guidelines and rules which are set by an international body. And we have to follow that for all related party transactions, right? So for any financial year, since these are related party transactions, we have to support a margin which is acceptable to the local tax authorities as well as Swedish tax authorities.

Now when we looked at the financial year '25, our year-to-date transfer pricing margins was trending at a relatively lower end compared to what it should be. And that is where we had to take an adjustment in the current quarter to align the transfer pricing margins for the financial year. And that's where you see a big uptick in the margins for the current quarter to

-- but as I

said, the overall margins -- which kind of aligns the overall margin in line with what we have seen in the previous years as well.

Pramod Amthe: And that will reflect in the purchased goods line item. Am I right?

Ashish Saraf: That's right. That's right, "purchase of traded goods" line item.

Pramod Amthe: Sure. And this adjustment will keep on happening going forward. Or this year, it's done and adjusted once...

Ashish Saraf: So this year is done. And now it's the start of a new financial year, so we will see how the new year -- how the new -- like how the margins develop in the upcoming year.

Pramod Amthe: Sure. The second one is with regard to the net working capital. So if I had to look at your inventory, it has been rising throughout the year and looks to be more first half loaded as compared to second half. What is really happening? And what gives you confidence -- why it has gone up. And what gives you confidence to bring it down?

Or is it anything to do with the way you are aligning your production for demerger? That's one.

Second, I think, if I had to look at -- your receivable days have also gone up drastically. So what

is leading it at the end market? Or it's your policy related to the same.

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Ashish Saraf: Yes. So if you look at receivables. The receivables are pretty much in-line. It might have gone up by few days recently, but I would say that's pretty much temporary and it should kind of come back to normal levels. Now if you look at inventory, the predominant reasons for inventory is purely the buildup which we have done on the automotive side to support our OEM customers, right, in the subsequent quarters. Plus, since it was the end of the financial year, we were expecting higher demand to come in. And because of that, the inventory has been built up, but we expect that to normalize pretty much in the next 2 quarters.

Pramod Amthe: Sure.

Mukund Vasudevan: So just to add to what Ashish just said: not related to the demerger at all, not at all. So this is purely -- as we mentioned, we do need capacity. We're short of capacity, especially on automotive, so we built up some inventory to satisfy that demand, but also I would believe that on industrial side there were some customers, especially railways, etcetera, where we felt that the orders are going to come in, so we built up some inventory.

We do have orders in hand actually, but those are just -- will be sold, will be invoiced over the next few months. The one other thing I will say is that overall we can get better at inventory.

We're continuing to work on that through a more advanced forecasting and S&OP process and looking at how we can tighten our policies to make sure that inventory is managed better. I think that's an area of improvement for us, so it's a good point.

Moderator: Our next question comes from the line of Yash Goenka from Awriga Capital Advisors.

Yash Goenka: Okay. Exports for the year are 390 crores. Can you split it for auto and industrial?

Ashish Saraf: We currently do not split exports into auto and industrial. It's just reported as because we have currently consolidated manufacturing operations, so currently I don't have the split.

Yash Goenka: Okay. And on the transfer pricing, while the adjustment is done for the full year, will we continue to see volatility in the margins? And then you'll normalize it at the end of the year.

Ashish Saraf: So again, internally, we are trying to -- and we are also kind of talking to our auditors to see how we can minimize these volatility, especially on the traded products margins, but what I can tell you is that, in case you see future volatility, it will -- from a financial year perspective, corrected as it has been corrected for this financial year.

Yash Goenka: Okay. And on the capex front, will the large part of capex will -- be for industrial or auto?

Because you just said th

at there is shortage of capacity in auto.

Ashish Saraf: Yes. So there will be investments on the auto side as well, but in terms of -- significant chunk of the investment is industrial, right, because we are setting up a new factory for industrial.

Yash Goenka: Okay. If I just could slip: I think export would largely be auto, if I'm not wrong.

Ashish Saraf: No, not necessarily, because when we...

Mukund Vasudevan: Not --really .

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Ashish Saraf: Because when we export, we mostly are -- because we have a lot of common products between industrial and automotive. And when we are exporting these bearings, mostly they are -- or a significant chunk of it is also for industrial as well.

Moderator: Our next question comes from the line of Ravi Purohit from Securities Investment Management Pvt. Ltd.

Ravi Purohit: So this capex that you're putting up in Pune, is it on our existing facility? Or we have bought new land parcels in Pune to set up this new factory for industrial bearings. And second is we also have -- the parent has an unlisted subsidiary which has a fairly significant manufacturing presence in the State of Gujarat. Would it make sense in future to have 2 separate entities both focusing on industrial bearings? Would it not make sense to actually merge the 2 industrial entities into 1? Which will kind of align with what we are trying to do globally also, right?

Mukund Vasudevan: So I can take that. So the first part of the question is, no, we're not getting in -- looking at acquiring any land in Pune. We have land and we have space available. Provided we get all the required approvals, etcetera, we are looking to build that plant in our existing land.

Ravi Purohit: Okay.

Mukund Vasudevan: The second part of the question. You're right. We do have a facility in Ahmedabad, but that is largely for a different kind of -- it is -- you're right. It is industrial, but it's largely for a different kind of bearing, much larger bearings. And it is a global plant. It supplies globally. The intention is for us to supply globally, including India, so we feel that is the best way to kind of keep those separate. At this point, there is no plan to merge the 2 entities.

Ravi Purohit: Okay, okay. And sir, the other thing is if you look at our global parent's presentations with

respect to the demerger, right? And they have kind of called out the margins between -- the difference in margins between auto bearings and industrial bearings globally, right? And in that scale and size, the industrial bearings makes about 18% to 20% EBITDA margins, right? And I think, in the previous call, we had said that our industrial bearing piece is still making about 13%, 14% EBITDA margin. Would it be fair to say, over the next 3 to 4 years as this localization drive kind of takes shape and size for the industrial bearings space, our industrial margins will align with the bearings industrial margins?

Mukund Vasudevan: Ashish, do you want to take that...

Ashish Saraf: Sure, Mukund. So see. Broadly the margins should align, right? We -- because as I said, we are already operating at -- we -- for FY '25, we shared the results in our previous call. And we -- our EBITDA is around 16%- 17% for the industrial business, right? Broadly our margins should come in line with what the group would report.

Yes, we would -- industrial, as of now, our plans is to be around 70% localized, right, in the region, so we will still buy a significant chunk of our products from other SKF companies, right?

So to that extent, you will see some impact on the overall margins, but yes, broadly we should be pretty much in the range of 16%- 17%.

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Moderator: Our next question comes from the line of Vipul Kumar Shah from Sumangal Investments.

Vipulkumar Shah: So my question is regarding our new facility for industrial's at Pune.

So will it largely be an

import substitute product, sir?

Mukund Vasudevan: I think it will be a combination. It's not going to be -- as I said, it's the -- part of it is just capacity to meet the existing demand. So what was -- the demand for the kind of bearings which were made in the current Pune -- which are being made in the current Pune facilities, with some small variations, are required both in automotive and industrial. So we're just expanding capacity, but part of it will also be import substitution.

Vipulkumar Shah: And sir, you said capex of 250 crores to 300 crores over next 2 to 3 years, right, cumulative. Or is it for current financial year?

Mukund Vasudevan: We are expecting -- so roughly -- sorry. Go ahead, Ashish.

Ashish Saraf: No. So I was also saying the same. So we are basically saying that we're going to double our current capex. Our current capex is INR130 crores to INR150 crores. We are expecting that to double in the current financial year and continue with that with for -- probably for the next 2 years.

Vipulkumar Shah: So with this increased capex, how much more capacity we are adding in terms of percentage in both segments, if it is possible to quantify.

Ashish Saraf: So I think that details are still being worked out, right, in terms of how much additional capacity. Because as we've said, there is going to be additional infrastructure investment plus new capacity, both for industrial and automotive.

Vipulkumar Shah: And sir, my last question is regarding how would you physically split Pune plant. I mean, is it possible to physically split the Pune plant between both the industrial and automotive?

Mukund Vasudevan: So the idea is not to physically split. It's literally to build a new plant; and then move some specific lines which are more industrial focused to the new plant; and then add on -- as required, add on capacity on both sides.

Moderator: Ladies and gentlemen, since the call duration is of 45 minutes, this will be the last question that we will be taking. Our last question comes from the line of Lakshmi Narayan from Tunga Investment.

Lakshmi Narayan: A couple of questions. Sometime back, I understand, that -- the senior management evaluation had a higher weightage on the operating margins of the Indian entity. My question to you is that how is the senior management evaluated on 3 different vectors? One is revenue growth. One is the margins, and third is exports.

Now when it comes to margins, what margins senior management has evaluated in terms of all these 3 things, which is domestic operating margins, revenue growth and exports? And what is the composition? That is my first question. Second question is that how have we progressed on new business lines in the last 3 years, particularly in the industrial bearings.

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And the third is more a number question, which is essentially when I look at the export. What is the mix of exports? Which sectors the exports cater to. These are the 3 questions. Just to recap: How is the senior management evaluated across 3 vectors, growth, margins, exports? Second, how have we progressed on the new business lines in the last 3 years, particularly in the industrial? And third is the mix of exports in terms of different business lines?

Mukund Vasudevan: So I'll take the first one. And if we have time, we'll take the next 2, right? The first one: Yes, we are not separately evaluated on -- all senior management is not separately evaluated on exports. It is evaluated on growth and margin only and not on -- not specifically on exports. I think that is the philosophy of our company and we intend to continue doing that...

Lakshmi Narayan: Sir, when you said margins, this is pre royalty and post royalty. Or what is in margin? Is it PBT or EBITDA?

Mukund Vasudevan: It's operating margin, right, so -- yes. So it's clear.

Lakshmi Narayan: Okay.

Mukund Vasudevan

: Yes.

Lakshmi Narayan: Has there been any change in the evaluation in the last 3 years? Or it remained the same what it was earlier.

Mukund Vasudevan: Ashish, you'll have to answer that. I don't think there have been any changes.

Ashish Saraf: None, yes. There hasn't been any change. It's always been sales growth and operating margin.

Mukund Vasudevan: And we can take the second question. And then we'll run out of time probably. So what is the second question? Can you repeat again?

Lakshmi Narayan: And -- yes. In terms of the new business lines the last 3 years, in particular on the industrial side, what are the business lines we have actually got into? Either it could be a segment or it could be a horizontal. I just want to understand that.

Mukund Vasudevan: So I can mention a couple of them which we'll -- got into more aggressively in the recent times. And then we can -- yes. So I think one is in the services business, which is the -- not just the aftermarket sale of bearings but to remote monitoring, remanufacturing, et cetera of bearings; as well as kind of tying it to reliability and uptime to industrial production and customers. So services is a new line of business which involves a lot of sensing and analytics and predictive failure analysis. So that is a new line of business which, while it's existed before, we have got more aggressive at it.

The second is in the -- we have launched some new products for the metals segment which are more competitive and much more efficient than what we had previously. So in the metals segment, where we were primarily gold at flats, we're trying to get better in the long kind of products, especially in steel. And that is in a line of new business which we have launched. I would say that's two -- top of mind are those two right now, in the last 1.5 years at least. I can't talk before that, but in the last 1.5 years...

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Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. On behalf of SKF India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Jul 2025

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 04th July 2025

National Stock Exchange of India Limited,  
Exchange Plaza , 5th Floor, Plot No. C-1,  
G Block, Bandra - Kurla Complex,  
Bandra (East), Mumbai – 400051 ,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001 , Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code -500472

Subject : Transcript of Analyst /Institutional Investor meeting held on 30th June 2025

Reference: Our intimation s dated 25th June 2025 and 30th June 2025 .

Pursuant to Clause 15(b) (ii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6)&Regulation 46(2) (oa)of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR") and SEBI Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155 dated 11th November 2024 , please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on Monday , 30th June 2025. The same will soon be uploaded on the website of the company for convenience of the shareholders .

Audio Link is the aforesaid meeting is available on the company's website and same was intimated on 01st July 2025.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer

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"SKF India Limited Investor Meet Conference Call "

June 30, 2025

MANAGEMENT : MR. MUKUND VASUDEVAN - MANAGING DIRECTOR ,  
SKF INDIA LIMITED & PRESIDENT FOR INDIA ,  
SOUTHEAST ASIA AND AUSTRALIA FOR SKF GLOBAL  
MS. RANJITA KULKARNI - VICE PRESIDENT , SKF  
INDIA LIMITED  
MR. SHAILESH SHARMA - DIRECTOR FOR OPERATIONS  
AND WHOLE -TIME DIRECTOR , SKF INDIA LIMITED  
MR. RANJAN KUMAR - COMPANY SECRETARY &  
COMPLIANCE OFFICER , SKF INDIA LIMITED  
MR. ALAGESAN THASARI – DIRECTOR , AUTOMOTIVE  
BUSINESS , SKF INDIA LIMITED

SKF India Limited  
June 30, 2025

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Ranjan Kumar : So I will start again. Welcome all. Good afternoon and welcome all to this Investor Meet .  
As I indicated before, this call has been fixed primarily for giving you more insight on the demerger process we are on currently. We would not be discussing the quarterly performances which has not been still being made public. This, I mean the length of this call would be broadly around 45 minutes. The way we have structured is initial 20 minutes or 15 -20 minutes we have a small presentation for you all which would again be primarily focusing on the de merger where we have some of the financials. We would not be going more deep on the forward looking statement. It would be directional. You can make out from the presentation. The presentation has already been uploaded on the stock exchange, and we will not be discussing anything on that. It is in public domain now. So, that is how we have structured that, but before getting into this, a quick intro from our side.

Mukund Vasudevan: This is Mukund Vasudevan, I am the Managing Director of SKF India Limited, also the President for India, Southeast Asia and Australia for SKF Global.

Ranjita Kulkarni: Hey, good afternoon all. I am Ranjita Kulkarni, the Vice President at SKF taking care of finance for India and operations controlling.

Shailesh Sharma: Hello, I am Shailesh Sharma. I am Director, Operations for India and Southeast Asia and Whole - Time Director in SKF India Limited.

Ranjan Kumar: Hi, I am Ranjan Kumar. I am Company Secretary & Compliance Officer for SKF India. Legal council for SKF India 2.07. So with this , we move on to the Presentation . We will take a two minute pause. I will not read the disclaimer. Just request you to read that disclaimer. We will just take two minute pause to read this and then we will move on to the content of the slides. If done, we can let's move on.

Mukund Vasudevan: So this is Mukund. We will go through SKF India as it stands today. Just a quick glance on '24-'25 results. And then we will cover the rationale for the demerger, which you have seen, but go a little bit deeper into how we are allocating assets across the two. We will talk about the automotive and the industrial business separately, something we haven't done before, in more detail, and then finally end with demerger timeline.

Everybody please just note your questions, and then at the end, raise your hand if you have a question so that we can kind of go in the order you placed in .

Next page. So as you can see, '24-'25 results , we have always been and will continue to be a strong performing company. We are on Rs. 5,000 crores with delivering 17.2% EBITDA and 11.5% PBT. Good cash flow as well as return on invested capital or return on equity, 29% ROCE and 22 % ROE.

We've been in the country since 1923, one of the oldest bearing companies in India. 1923 initially as a trading company and then we set up three plants over time starting in 1956. We've set up SKF India Limited

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Pune, Bangalore and Haridwar. 1700 employees and we have great market coverage over 550 distributors about retailers, mechanics and the tens of thousands.

Next page. And if you look at our historical performance, we've always been a solid growth and margin company, 10% growth over the last CAGR over the last 4 years. EBITDA also continued to be in the range of 16 % to 19%.

Participant : Can you just, the presentation is not moving for me. Can you just flip the presentation also?

Mukund Vasudevan: Is it the same for others?

Participant: Yes, same here.

Mukund Vasudevan: I think we are not sharing the presentation.

Ranjita Kulkarni: Can you see the screen?

Participant: I can see the disclaimer, the SKF disclaimer. It hasn't moved.

Ranjita Kulkarni: Is it moving now?

Ranjan Kumar : It's not moving but you can download

it from BS E actually.

Participant: Yes, we can do it.

Ranjan Kumar : That's better because we have also uploaded that on the stock exchange . You can download and look for that.

Mukund Vasudevan: Do we have page numbers?

Ranjan Kumar : Let us try to fix that in one minute otherwise let us just off for that.

Participant: No hazards, you can go ahead. Now it's seen. Yes, now it is. Thank you.

Mukund Vasudevan: Okay. Alright. We are on page 5 in case you are looking at it, but these are the bar charts on historical performance. Okay, everybody is able to see this ?

Participant: Yes, I can.

Mukund Vasudevan: So as you said, strong historical performance, 10% CAGR in topline over the last 4 years.

EBITDA is also steady. I wouldn't say it has grown tremendously, but it has been maintained in the 16% to 19% range as is PBT. But solid growth story with good margins.

Next, cash flow has also been good last year. '25 was down a bit because we had to build up inventory, primarily because there was some new lines which are being installed and upgraded.

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So we had to build up inventory towards the end of the year. That's the primary reason you are seeing cash flow, but we expect that to return and be in line with other years going forward. And ROCE has also been strong, as I said, in the 28 % to 29% range and ROE in the 21 % to 22 % range.

Primarily share gains in Heavy , Metals and railways offset a little bit by Wind customers who we had to some of which we had to drop because of the low margin profile. But we expect to kind of gain that back over time. Margins has been in the range meaning they were higher, lower margins, a little bit of a timing issue on this, but otherwise we expect in the 16 % to 19 % range of EBITDA.

Next page. Now if you go to the demerger rationale, which is the next section, so now we spoke about historical, but why we even, we are doing well, we are still growing well as a company, we are also getting good margin. We are also getting good margin and good ROCE . But so why create a demerger at all in this situation? The key drivers are external, different macros. If you think about industrial, it's driven a lot by the infrastructure spent. It's also driven by China Plus One, things like that. If you look at automotive, it's driven by EVs, CAFÉ norms etc.

Customer needs are also very different. Industrial is a lot of many, many customers, actually, many different kinds of segments, industrial verticals. And a steel plant is very different. And the needs of a steel plant are very different from a wind plant, are very different from a motor manufacturer, small motor manufacturer. So those are all common in industrial. So very different needs compared to automotive, who require a lot more customized offering. And they require a product which lasts much longer and is much safer. Uptime is a need in industrial and sometimes in automotive it's reliability which also leads to, given the different customer profiles, different manufacturing focus on both. One is large batch sizes, large volumes and more efficient manufacturing of those same similar products. Industrial is smaller batch sizes, smaller lots , but we would need quicker resetting time to switch between different customer requirements which leads us to what do we need to do to create two high performing, high growth businesses which can accelerate both growth and profitability.

The first on the top left is the independent management focus. So it's two independent teams who are , two independent management team to two independent operations, which will, which can focus on what is required in their respective businesses, both from a customer perspective, as well as a macro perspective or a manufacturing perspective. The second is manufacturing efficiency as I go clockwise around the table, manufacturing efficiency. Manufacturing

e

efficiency is different for industrial and as is for automotive. One requires, as I said, industrial requires shorter resetting times, shorter changeovers, whereas automotive requires more efficiency and better cycle times in just manufacturing each product so that we can manufacture more. Tailored capital deployment, we can now kind of make decisions based on what's needed

for the business, whether it is capacity expansion or it is around any other capital which we are deploying, what is required in each business.

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Obviously for financial investors, all of you, we want to create more visibility, which will drive our behavior also into the two businesses. Agility and responsiveness will be higher. And finally, innovation is very different. The innovation and sales cycle in automotive is much longer. Innovation has to be much more rapid in industrial, but also tailored to different industries. Just to give you an example, the needs, as I said, of a motor manufacturer is very different than auto OEM. So we have to kind of tailor our innovation and our manufacturing to suit that. So, but at the end of the day, we want to create two businesses which are growing faster and better margin.

If you look at now getting into details of Manufacturing, Land and Manpower, how we intend to split. There are three main plants, as we said, Bangalore, Pune and Haridwar. Bangalore, today there are 10 lines that will be split in the ratio of 70 to 30. 13:20 (Audi o disconnect ) Bangalore will also become 100% of automotive will remain there. The three lines of Bangalore will actually move to Pune. Land is split in the ratio Bangalore 85 -15, Pune 52 -48 and Haridwar 100% and Manpower roughly in the ratio of 55 -45 between automotive and industrial.

Next page. And we'll talk a little bit more in detail about the Automotive and Industrial business.

I will hand it over to Alagesan to talk about the automotive business.

Alagesan Thasari: Thank you, Mukund. So in automotive industry, we are at the exciting times. As you may see in the road, less polluting vehicles and every second car is an SUV. Again, the favorable demographics is helping us to grow in the automotive sector. In the regulations, there is both pollution as well as fuel efficiency. And it's a noise regulation and it's going to save (Inaudible) 14:35. So in all this four, bearings play a very major role, both in terms of friction, stiffness, and low weight. And we are helping all of the OEMs to build very efficient vehicles. And in the TCO, mainly the commercial vehicles, as you know, in India, the logistics cost is nearly about 40% of the GDP. And currently coming out with lot of regulations and to lower the cost and one of the major cost is keep the driving time up and that need meaning the lower service cycles and lot of overbearing digitized which is sealed for life need not be open in service. So we are helping them in the so-called path of ownership. These two on policy on accelerating electric vehicles and that also improving the last-mile mobility mainly in the 3 -wheeler and light commercial segment where their need is more of high speed, high-tech more reliable things and very much part of the ecosystem.

We will move on with the financials of revenue mix and the segmentation from '22 to '25. We are OEM player nearly about 65% to 70 % and that's the main stake in the future as well. Since the customer concentration is estimated at 60 %, which is very much aligned with the industry as well. The top 5 automotive players have this 60% share, and we were aligned with the automotive industry. But if you look at the distinct change between 2022 to 2025 on 2 -wheeler and 3 -wheeler, we gained share, nearly about 8% share and this is primarily share gain and also new product plateaued mainly in the 3-wheeler and share gain in terms of the 2-wheeler customer. A

and we introduce some new products in the passenger vehicles wheel end that increased from 19% to 22%. And you can see here there is a significant reduction in commercial

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vehicles wheel ends. I am not talking about powertrain wheel ends, this is mainly pruning in Wind where we are loss making (Inaudible) 17:08. So then brought down the share from 21 to 15 and a similar fashion for the powertrain programs from 13% to 10 %.

What is it for SKF? As I said, we are very much in every portfolio of what is required for the automotive ecosystem and for OEMs we continue to offer the application specific offerings. It's a longer cycle, but we can build very efficient vehicles for our OEMs. That will in turn to help us increase the revenue per vehicle and control of 3 -wheeler and light commercial vehicles to passenger cars. We are also working on new technologies based on the safety regulations both crash as well as on the ABS which has been announced recently. So we are working on developing products which can help with ABS as well as high stiff bearings to achieve the (Inaudible) 18:26.

On the aftermarket, we are expanding the portfolio beyond bearings and we are also developing service kits which goes along with bearings on the mechanics or in the service centers and we are using our digital backbone to expand our retail network connecting distributors, retailers and



mechanics all over India which is very much important for us to get penetration into Tier-2, Tier-3 and rural areas of the market. So, these drivers, the growth drivers brings in the need for capacity. As Mukund earlier said, the three factories largely dedicated for Automotive ; Bangalore, Pune and Haridwar. So, we would increase for 10 % capacity in Bangalore, nearly about 30 % capacity in Pune and about 50 % in Haridwar, which would be the range of about Rs. 500 to Rs. 600 crores CAPEX between '25 to '30. So it will fulfill the requirements of the automotive course. Over to you, Mukund .

Mukund Vasudevan : I will talk a little bit about the Industrial business. Similarly, we'll talk about the external drivers, what we are doing to grow, as well as the manufacturing footprint. Industrial, as I mentioned before, it is primarily driven by infrastructure , the China Plus One , renewable energy . And in infrastructure , the steel and cement industries will gain directly from it. Indirectly , we will gain from pumps, motors, conveyors which will be built to serve those industries. If we go down the line China Plus One is continuing to make some drive the Make in India. We are seeing that in our factories but also in other parts, other companies who are our customers. But obviously that will play out with tariffs , we'll know soon.

Renewable energy, wind is a big segment which industrial serves. That will continue to be a big portion of our business. Mining, oil and gas, other metals driven by power and infrastructure will continue. Railway, both freight as well as faster trains like Vande Bharat will continue. And then finally, there will be the consumption driven industries, which will include food and beverage, agriculture, and some other industries, which will grow at GDP. But overall, we expect very positive macro environment in industrial.

Next. And if you see this split of business as we look from '22 to '25, as you remember, overall, the industrial business is around Rs. 3,300 crores right out of the Rs. 5000 crores. OEM to aftermarket is largely remaining unchanged. The split on the left hand side pie chart. OEM just for your benefit is both OEM as well as end users, which where we have a service business and SKF India Limited

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that in the future we expect that to grow a little bit more , right, the service business . On the right hand side is how the OEMs are split up or where we have direct sales. You can see

general

machinery is the biggest there , again at around 43% today. General machinery includes agricultural, electrical, pumps, motors etc. and many smaller industries. The next biggest is railways driven by the freight and the faster passenger trains. Heavy, wind, and metals , the change you'll notice is from '22 to '25 where wind percentage is dropped, primarily due to pruning, but railways and heavy have grown a little bit more driven by infrastructure spend. Our customer concentration, as I mentioned, in industrial is quite small, given the diversity of industries we serve.

And what are we going to do to continue to expand industrial as expanding the reach. We are now getting into Tier-2, Tier-3 cities with smaller retailers stocking our bearings. We are augmenting our service offering, especially to heavy industry where uptime is critical. New products driven by not just localized manufacturing, but also fit for purpose innovation. But that also given the nature of the business requires a faster product development cycle. We are now beginning to launch 2 to 3 new products every year based on innovation requirements of industrial. And internally, both manufacturing and sales, we are building competency to improve our efficiency, but also our effectiveness. How do we sell value? How do we manufacture , fit-for-purpose products.

This is an important slide on capacity expansion in industrial. Today, as you mentioned, there's two main plants, Pune and Bangalore. Haridwar was 100% automotive. Pune, we will be setting up a new plant, fully industrial, for industrial, making primarily DGBBs, which are deep groove ball bearings, tapered roller bearings, and unitized bearings, which are UCs. There'll be a brand new plant set up for that. Bangalore, three new lines, three lines will move to Pune and Bangalore will then become 100% automotive. The capacity expansion over the next 5 years will be not just the new plant which we spoke about, but also channel expansion, meaning additional lines to serve the capacity, the demand of India, but also exports. So over the next 5 years, we expect to spend Rs. 350 to Rs. 450 crores on just channel expansion or lines, additional lines in Pune, but also setting up the new plant, which is another Rs. 450 to Rs. 500 crores, which will be done by 2028. So Pune will have 2 plants, one automotive, one industrial. Bangalore will become 100% automotive. Haridwar will remain 100% automotive.

And as we look forward the next 3 years, our overall guidance is it's primarily a growth story still. Next 3 years till '28, we expect growth in automotive to be in the 10 % to 12% range, industrial to be a little lower, 8% to 10% range. But beyond '28, we expect to see as we have finished the new plant construction and we are seeing more localized product , we expect to see faster growth in industrial . Margins , we continue to over the next 3 years, we will continue to

maintain a strong 17 % to 19 % profile. That's the direction we are heading. If macros improve or market conditions change, obviously that's the change we can't account for. But today, given as things are, this is where we stand.

I will now hand it to Ranjan to quickly talk over timelines.

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Ranjan Kumar : So demerger process is going as per the schedule which we shared before. Currently , we are at the stage where we have filed the application with NCLT. NCLT has ordered to convene the shareholders meeting which is on the 14th of July. The process we expect to conclude somewhere in October November, subject to for sure there is approvals which we need to take and like NCLT approval as you know it is not in control so if that deviates the time also deviates along with that. But our internal target you can say is somewhere October -November we get the NCLT approval and by December we want the new entity to get listed also. That'

s the high level

target time we are taking in our mind, and we are working towards that target. But overall we seem to be in time in the process. That's idea.

So with this , we are done and with your permission , Mukund, we can open up the questions now?

Mukund Vasudevan : Can you just raise your hand for questions so th at we know who's raising hands.

Ranjan Kumar : Starting with the room if someone has any questions.

Participant : Can I ask a question? So in the new plan, you also mentioned TR B. So we are not so much present in TR B. So it's a completely new line of present for us?

Mukund Vasudevan: No, we are present quite a lot in TRB. Obviously more in automotive today, but even industrial, we are in TRBs, but we expect that to grow both in several industries but also exports.

Participant: Can you quantify the potential or revenue potential once this expansion is done in terms of CAPEX ? What could be the asset turn we can look at both on the auto side and the industrial side for the new capacities which you are setting up?

Mukund Vasudevan: He is asking the revenue..

Participant: Revenue potential for the CAPEX which you are doing i t either would do .

Mukund Vasudevan: Ranjita, would you..?

Ranjita Kulkarni: Yes, so revenue potential in terms of the capacities what we are expanding. See, over the period when I say I think in one of the slides we did present from the automotive house the CAGR we are looking forward to and from the industrial point of view also what we are looking forward to. Now, industrial, you saw that we have put together a story from 2025 to 2030 , right. So we will be adding , we are looking forward to add multiple lines over there and product lines have already been mentioned. So that would help us push our existing capacities almost by in the range of 1.3 to 1.5x.

Participant: And this expansion is completely what you mentioned is in the listed entity, not in the SKF...

Ranjita Kulkarni: Yes, it would be in the SKF listed industrial.

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Shailesh Sharma : In TRB business just to elaborate a little bit, the agri business which used to be part of tractor for example, used to be part of our (Inaudible) 28:57 . So, that is why (Inaudible) 29:04 in bearing be there, it will be still there.

Ranjan Kumar: Any questions from the people on Zoom?

Participant: Hi, can I ask a question? One is we have seen some margin volatility in the last 2 quarters, 3 quarters , right in SKF India listed entity. I just want to understand how does this entire transfer pricing works and why this volatility and what should we expect going forward?

Mukund Vasudevan: As I mentioned , we are expecting the margin to remain in the 16 % to 19 % range especially in industrial that is why the most trading happens . The reason for the volatility is in the margins is primarily because there is a little bit of while norms require us to maintain a certain margin between the trading entity, the seller and the buyer, certain margin, then it just as per rules, regulations on transfer pricing. There's a little bit of quarter -on-quarter change, which we finally catch up at the end to make sure the year is normalized. That's the reason for the volatility you are seeing. We are trying to set up processes to make that more steady . But if you look at a year -on-year, you'll see a more steady profile in general overall, and that's what we are intending to maintain 16 to 19 is what we intend. But we'll probably lower the band . The second thing I will say is on industrial especially, we expect that in the '20 to '25 to '28, there'll be more capacity expansion. Beyond '28, we will hopefully see an improvement in that margin profile because by then all the new plant capacity expansion will mostly be done. And then we should see the

benefits of more localized content by then.

Participant: Just one follow up. So

there was no change in the policy , transfer pricing policy?

Mukund Vasudevan: There is no change at all.

Ranjita Kulkarni : No change in the policy.

Participant: And this transfer policy applies to both our outside India entities as well as our Ahmedabad entity?

Mukund Vasudevan: Yes, exactly.

Ranjita Kulkarni : It is regulated by standard norms of transfer pricing. Only thing is we are trying to make it more steady, straight in terms of full year it should remain . Quarter -on-quarter volatility that is the effort how do we make it straight.

Participant: And second , one more thing , I think you also touched upon here in the previous call also that you want to increase localization over a period of time , right? I mean there are two ways to think about localization. One is that whether it will happen in the listed entities or you already have unlisted entity in India because you buy from both of them. So when you say localization, you are talking about listed entities increasing localization or from the India ...

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Mukund Vasudevan: Both. Both will go up, listed and unlisted , just driven by the whole macro. But you have to realize this is a trade -off you are making here today we have capabilities for larger bearings and the understated entity in Ahmedabad . Different kind of bearings in different plants across the world, different capabilities, right? And Pune has a capability in certain things, right? Again, think of that as we are expanding capacity in Pune, we are increasing product range in Pune to serve the global need also, not just India, right? Similarly, other plants will do the same. So the localization content in both will grow and that should , and the decision on what to localize where is driven by what capability and machinery exists there.

Participant: But overall the listed entities over the next 3-5 years as you are giving us the charting out the plan, the localization percentage will continue to go up or it will happen first in the unlisted part and then it will...

Mukund Vasudevan: No such plan, both will continue to go up.

Participant: Earlier SKF used to have a policy global level that manufacturing in the local markets rather than having these manufacturing hubs based out of India, China or any other local. But now you are saying that we look more for the exports.

Mukund Vasudevan: I didn't say more, both are important. The primary need is the region. Primary need is how do you satisfy the region. I think because of all the macro drivers with China plus one other things , there is an increased need to do this in India for exports.

Participant: So you are doing a large CAPEX in the industrial side. So is there a kind of a support from the parent, okay, we will buy it ?

Mukund Vasudevan: Yes.

Participant: Any line shifting from the global factory here?

Mukund Vasudevan: That will also probably happen. Can't give you all the details, but it will probably happen.

Ranjita Kulkarni : We have Mr. Lakshmi Narayan.

Mukund Vasudevan: Yes, Mr. Lakshmi Narayan. Please go ahead.

Lakshmi Narayan: Yes, this is Lakshmi Narayan from Tunga Investments. Thank you for the presentation. I have a few questions. One is that if you just look at your slide, there is something called PDE, in automotive, what is that? It is powertrain or what is that?

Mukund Vasudevan: It is a powertrain variant.

Lakshmi Narayan: Okay. Now, the second question is that , the nomenclature split which is happening globally in terms of what will go to industrial, what will go into automotive , is that the same thing that is

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happening in India or there is some kind of change there? Is it in line with the global thing or any minor changes?

Mukund Vasudevan: Yes, it's largely in line with the global, right? The only change which Shailesh a

iso mentioned

is the business which was going into tractors globally is now moving into industrial from automotive. In India, it was being looked at as part of automotive. Globally, it was always a part of industrial . Now, it's a small portion, but not that significant. But there will be a split move from agriculture, which was part of automotive, will become a part of industrial.

Lakshmi Narayan: Okay, because your earlier thing was at 67 % industrial and around 13 %-14% is tractor. Now that will get rejigged as it will move to the automotive.

Mukund Vasudevan: That's right. I don't know what the exact numbers, but yes, the split is , that's the only change in India, which is slightly different from global.

Lakshmi Narayan: Got it. Now in terms of catalog products ...

Mukund Vasudevan: Sorry, Lakshmi Narayan, I just want to mention one thing. The reverse is also true, meaning automotive had some electrical pumps and motors which was part of automotive. It's now being transferred back to industrial to make it in line with global. So there's a little bit of back and forth on that.

Lakshmi Narayan: Got it and a ny reason why that automotive will have off the road vehicles like this globally does not?

Alagesan Thasari : So, Lakshmi, we will not have this off highway vehicles as part of automotive that was the global segmentation. India will align to that segmentation , so the tractor.

Mukund Vasudevan : Yes, off highway was always a part of off highway is like if you look at mining and construction right , was a part of industrial even in SK F India Limited . The tractors are the part which is shifting back and forth.

Lakshmi Narayan: Okay . Now, if I look at industrial, there is some of them are catalog products, some of them are solution driven products, right? So for us, what percentage of revenues come from solutions where it is not built to print or something like that? So, I mean, how is it in automotive and how is it in industrial? What is the mix?

Mukund Vasudevan: Alagesan can answer maybe. Automotive .

Alagesan Thasari : Automotive in the range of 50% to 60 % is 60 to 65 is engineered order , it's all customized for our automotive industry .

Mukund Vasudevan: Industrial is probably a little ...we could come back to you with the exact numbers, but I would say it's probably less, it's probably 25 % to 30 % or maybe even 25. The intention is to try and grow that a little bit more, engineered products. Would you agree, Shailesh ?

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Shailesh Sharma : Yes.

Lakshmi Narayan: And currently, if you look at the Ahmedabad plant, which is the SKF Technologies, in India, are the other unlisted businesses you have? There is some lubrication business or something which is there in Bangalore, if I am not wrong. Can you just elaborate a bit on which are the other businesses which are in the unlisted space or B) which are globally there has been a takeover but in India we don't actually have that particular product line ?

Ranjan Kumar : So if you look at SKF Engineering, it's out of the listed company and out of the agenda but I think for sure gives you the high level portfolio that it manages. So that managed first the Ahmedabad factory, second is we have a global technical center which stays there. Besides that , we have one lubrication factory and one sealing factory , that is in Mysore . So these are the largely 4-5 portfolios which have been managed by the funds ....

Lakshmi Narayan: Just one last question. See globally SKF, which are the areas like there is a India allocation of capital expenditure which is you actually outlined in your presentation. In which other locations?

Ranjan Kumar : This is the last question , Mr. Lakshmi Narayan .

Lakshmi Narayan: Yes, this is the last question. So in one of the other locations where SKF is actually increasing capacity o r CAPEX or is it only India?

Mukund Vasudevan: I think like any other industrial company, we are increasing capacity in Eastern Europe. Given how trade tariffs go, I think America could also change. So I don't know right now. Nobody knows. But I would say India, Eastern Europe are two areas where there is a little more drive to increase capacity right now.

Shailesh Sharma : Yes, yes and this also include s some shifting of capacity here and there in addition to additional capacity.

Lakshmi Narayan: Thank you .

Ranjan Kumar : Thank you, Mr. Lakshmi Narayan .

Participant: Industrial business growth expectation s are above what you've reported for the past few years .

Which segments do you see contributing more towards this higher growth expectation?

Mukund Vasudevan: So if you remember the split of business was almost 50 % general industrial that I think will grow with just GDP or a little above as we gain share . I think the other sectors heavy, wind, railways will be a little bit more higher growth. Railways tends to be a little lumpy, it goes up and down because of bids and cycle of bidding. But again, I'd say those are the three where we see more growth coming in. Heavy includes cement, mining, construction. And Metals, they're going through a little dip right now in capacity expansion but between our aftermarkets and services business as well as future capacity expansion that we continue also . So if you I ook at long term trends, it's the top half of the pipe which is heavy , metals , railway and wind .

Participant: Is it true that these sub segments are higher margin sub segments compared to general machinery? Is that right to say? The wind, rail, heavy?

Mukund Vasudevan: I would probably say not. If you think about it, I mean, just from, I don't know the exact numbers, I can come back to you, but there's a reason why I am here. I am not giving you an exact answer as one. It's a little clouded between direct business and aftermarket business. So the OEM business and the aftermarket. Aftermarket tends to be a little higher and then we don't know that exact split because it's going through distributors or others and then landing up. So the exact margin we don't, we can't bi-segment, we can't kind of confirm. The second is that there are some, there's higher customer concentration in the railway, wind and heavy. OEM concentration is very high. So if you think about it, the buying power shifts there. Whereas general machinery is a bunch of many, many, many small customers. So our ability to kind of extract the premium is a little higher in general machinery. Very general statement, but I am pretty sure that's kind of directionally right. And also railways is L1.

Participant: Lastly, a couple of businesses you were pruning, CV, wheel ends, wind in industrial. Is that process over, a)? And b) is there a quantifiable benefit that you can mention or call out?

Mukund Vasudevan: Yes. I mean, yes, quite. You can talk about automotive.

Alagesan Thasari: So commercial vehicle, we continue to review. I think the maximum pruning happens. But still, we are pruning because it is also the reflection of the material input. So, we continue to negotiate and make sure we maximize that --

Mukund Vasudevan: Same with industrial, I would say it's an ongoing process. We do this every quarter, every month, right? But it's also, you have to look at life cycle margin in a way. So you can take a lower margin on direct business, but then if you are willing to get a lot of service business or aftermarket, it's still worth it. So you have to look at life cycle. So it's a little more complex exercise. We try to continue to do that. And then the quantifiable benefit, I think between, we can tell you, we don't have exact numbers right now, but I can get back to you with, but there's clearly been a benefit, a margin improvement has

happened. Now, things fluctuate because of other reasons, material prices could be one, it could be based on becoming competitive prices, pricing change, so on, but purely from pruning we have that benefit.

Participant: Similarly for industrial as you highlighted for automotive what are the growth drivers? CV you said that we will still be pruning. So where would that growth be coming from? Any particular segments that we are focusing on? Is it EV revenue driven or program that we are going in and over there?

Alagesan Thasari: So as I have shown you the revenue growth will happen in all segments, not only concentrate on particular segments, but the average revenue per vehicle will happen more from PV and CV because of the content as well as value we provide to those segments.

Participant: And how is the development on the EV front going for us in order means over there?

Alagesan Thasari: We are holding very healthy market share in EV. But as you know the penetration of EV 2-wheeler is just less than 5 % and less than 1 % in 2-wheeler and less than 4 % in PV and CV where we have seen large growth in 3-wheeler and light commercial vehicles and we have a very healthy market share.

Participant: Last question in terms of what could be the disruption because of plant shifting that we are going to undertake, how will that pan out and what could be the disruption or cost of doing that, any indication of that?

Shailesh Sharma: So, we have done this all simulation. There will not be any significant escalation in cost because we are preparing well accordingly, we are running some projects also and in terms of disruption also we have good plan of management of inventory. So, I do not think any big disruption will happen.

Participant: But this will happen by the timeline of December when you will see the ...

Shailesh Sharma: No, the plant shifting will be in 2028. So two years we will need for construction of new plant. Till then there will be some kind of training.

Moderator: We will take last two questions from Ajox.

Ajox: Hi sir, thanks. This is Ajox from Sundaram Mutual. Sir, thanks. My question is on the industrial CAPEX. So priority will be towards localization in the initial stages and then a new product launch. How does that work? So which segments will we be focusing on with the new CAPEX?

Mukund Vasudevan: I think the segments... So the priority is catching up with demand in the industrial business, but

also new products as well as exports. So at a macro level from in the new plant , so any new lines or as well as new plant in Pune will be driving these three things. One is catching up with demand. Second, any new products we will be launching in the similar range as well as exports. With segments, it's the smaller range of bearings, smaller bearings in DGBBs, TRBs and UCs and some CRBs . This will primarily be in the general industrial and F&B, food and beverage , agri, say those are the main ones and then aftermarket in general, right? So that also is generally industrial.

Ajox: Okay. Noted. That's it from me. Thanks.

Kiran: Hi, can I go ahead? Kiran from Franklin.

Ranjan Kumar : Please.

Kiran: This industrial margins, right , about 1 8%. Has it always been this good or it has gone up in the recent past?

Mukund Vasudevan : I'd say it's been in this range. So Ranjita , you can say, you can comment, but it's been in this range of 16 % to 19 % or 16 % to 18%. As I said before, over the next three years, as we are

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expanding capacity, localizing more, we expect it to remain in the same range. But beyond that, we expect to see a little bit of increase because the impact of all that localization and increased or the impact of increased CAPEX will start showing.

Kiran : Right. And can you give

us some, so right now how much of the industrial sales is localized as opposed to traded?

Mukund Vasudevan : So I'd say it's roughly in the range of 30 % and that will go up around 5 to 10 percentage points, by the next 3 to 5 years.

Kiran : Okay. And the second thing is, so historically, you were not exporting much of industrials, but that is fundamentally changing, right? So you want to export out of India .

Mukund Vasudevan : That is right, and export will also grow. I think today we are at around 8 % that will grow by at least around 5 percentage points.

Kiran : 8% of industrial is export ?

Mukund Vasudevan : Yes, that's right.

Kiran : And that would go up by 5 percentage points ?

Mukund Vasudevan : Yes. Right.

Kiran : In 3-4 years ' time?

Mukund Vasudevan : Yes.

Kiran : Secondly, in terms of management, how are you planning for the two separate entities after the three year horizon ? Is it s eparate focus given to the auto business or?

Mukund Vasudevan : Yes, definitely separate focus, starting from a separate board to a separate leadership, separate sales team, separate manufacturing team . Everything will be different.

Kiran : And when will all these things fall in place?

Mukund Vasudevan : Ideally before the listing, sorry.

Ranjan Kumar : As a process we have to get ready with the demerger . Kindly read the effectual date. We have to be ready with all two independent companies.

Kiran : Right.

Mukund Vasudevan : So we should go up to the last question.

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Kiran : Thank you.

Ranjan Kumar : Mr. Lakshmi Narayan.

Lakshmi Narayan: I have two questions. First is that, I understand that earlier the KRAs for the senior management especially the CEO and the one down predominantly based on the operating margin of the company. I think that's what I am told a couple of years back. And therefore, has there been a change in the way in which it is going to be given that export focus is coming? So just want to understand how the senior management will get evaluated. And second, whether it is going to change in the next two-three years , is it possible to give ? That is the first question. The second question is that if you look at the SKF Tech in Ahmedabad, what percentage of SKF Tech actually comes to the Indian listed entity and what percentage is actually exported out of that and what kind of capacity utilization the SKF Tech Ahmedabad is running. So the two questions, one is on the management KRA, second on the SKF Tech ?

Mukund Vasudevan : I think management KRAs is still work in progress. We haven't yet finalized it, but my expectation is that it will be going towards a lot more growth than margin. Margin, obviously

there will be margin also.

Lakshmi Narayan: The question is whether the exports is also part of the KRA because earlier it was a part I've told .

Mukund Vasudevan : Yes. We haven't reached any decision on that yet , right? So tough for me to say, right? But all I can say is growth will be a big portion. The second question was around Ahmedabad. How much is Ahmedabad selling to the traded entity? I'd say a majority. I think less than 9 % or around 9 % is the exports from Ahmedabad. But we expect that to grow in the future, right? Again, as I said, that might grow from around 9 to around 13 % to 15 %. Expect that to grow down the --

Lakshmi Narayan: And that's a mutually exclusive capacity that something which is manufactured in Ahmedabad cannot be made in Pune or Haridwar or Bangalore ?

Mukund Vasudevan : Yes. So it can't because the machines are different. The capability is also different. It's very make versus buy decision to say, it make more sense to trade or put up more capacity in something like Pune? But then you won't get the return on invested capital.

Lakshmi Narayan: Thank you.

Mukund Vasudevan : Thank you.

Ranjan Kumar : Thank you all. I think we can sign o

ff now.

Mukund Vasudevan : Thank you all for the time. You can reach out independently if you want to Ranjan, you are all welcome to visit the plant at any time, Pune or Bangalore and we can show you around. Thank you.

Ranjan Kumar : Thank you so much.

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Ranjita Kulkarni : Thank you.

## Call: Aug 2025

SKF India Limited

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CIN: L29130PN1961PLC213113

Date: 13th August 2025

National Stock Exchange of India Limited,  
Exchange Plaza , 5th Floor, Plot No. C-1,  
G Block, Bandra - Kurla Complex,  
Bandra (East), Mumbai – 400051 ,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001 , Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code -500472

Subject : Transcript of Analyst /Institutional Investor Meeting held on 07th August 2025

Reference: Our intimation s dated 31st July 2025 , 07th August 2025 , and 08th August 2025 .

Pursuant to Clause 15(b) (iii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6) & Regulation 46(2) (oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR") and SEBI Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155 dated 11th November 2024 , please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on Thursday , 07th August 2025 at 10:30 am. The same will soon be uploaded on the website of the company for convenience of the shareholders .

Audio Link is the aforesaid meeting is available on the company's website and same was intimated on 08th August 2025.

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar  
Company Secretary & Compliance Officer al F

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"SKF India Limited  
Q1 FY '26 Earnings Conference Call"  
August 07, 202 5

MANAGEMENT : MR. MUKUND VASUDEVAN – MANAGING DIRECTOR –  
SKF INDIA LIMITED  
MR. ASHISH SARAF – CHIEF FINANCIAL OFFICER --  
SKF INDIA LIMITED  
MR. RANJAN KUMAR – LEGAL DIRECTOR , COMPANY  
SECRETARY AND COMPLIANCE OFFICER – SKF INDIA  
LIMITED  
MR. ASHISH PRUTHI – HEAD OF MARKETING AND  
COMMUNICATIONS – SKF INDIA LIMITED



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aE  
SKF India Limited  
August 07, 2025  
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Moderator: Ladies and gentlemen, good day, and welcome to the SKF India Limited Q1 FY '26 Earnings Conference Call. For the smooth conduct of the meeting, all participant lines are in the listen - only mode. A brief question and answer session will follow the formal presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone telephone . As a reminder, this conference call is being recorded and will be of 45 minutes duration.

With this, I now hand the conference over to Mr. Ashish Pruthi, Head of Marketing and Communications from SKF India Limited. Thank you, and over to you, sir.

Ashish Pruthi: Thank you. Good morning, everyone. Thank you for joining us today. With us, we have SKF India's Managing Director, Mr. Mukund Vasudevan; our CFO, Mr. Ashish Saraf; and our Legal Director, Company Secretary and Compliance Officer, Mr. Ranjan Kumar.

Before I turn the call over to the management, I would like to remind you that in this call, some of the remarks contain forward -looking statements, which are subject to risks and uncertainties, and actual results may differ materially. Such statements are based on management beliefs as well as assumptions made by and on the information currently available to the management.

The audience is cautioned not to place undue reliance on these forward -looking statements and making any investment decision. The purpose of today's call is to purely educate and bring awareness about the company's fundamental business and the financial quarter under review. Let me now turn the call over

to Mr. Mukund Vasudevan, who will give an overview of the company's business activities and developments for the quarter, Q1 FY 2025 -26. We will then open the call for Q&A.

Mukund Vasudevan: Thank you, Ashish. This is Mukund Vasudevan, Managing Director of SKF India Limited. I will be going through a few topics, which I'm sure has been shared with you also in the presentation. I will go through a quick economic update of the macro in India, talk about the quarterly highlights for Q1 financial year 2026, a quick update on where we are on the demerger process and then end the call with a quick summary, and then we can go to Q&A. So if we talk about the economy, I will start there, right? Overall, GDP, as you all know, is still -- in India, still growing at 6% with the inflation, 6% plus with inflation at around -- with a manageable level at around 3%. Still the growth in the GDP has primarily been coming from government spending and has been coming from services.

The manufacturing -related GDP has actually slowed down a little bit. If you look at major sectors, the IIP has actually shrunk a bit in this quarter, dropping to 1.8%. So that is obviously driven a little bit by power, electricity, coal, et cetera, but other sectors are also relatively muted.

Automotive has been flat in growth in million units produced. Slight growth in passenger vehicles, very minimal, but decline in both 2 -wheelers and then, to some extent, in commercial vehicles. SKF India Limited

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vehicles overall. Light commercial vehicles growing a little bit more than the heavy commercial vehicles. Iron and steel production has grown, driven by the construction. It's -- but new capex projects have actually slowed down in iron and steel. And in construction, we're seeing, again, a slight uptick driven by both real estate as well as the government -related megaproject, infra projects. And that all these has a ripple effect on us. We've seen average growth kind of in line with GDP in our business. But there are sectors which have been up and

sectors which are down.

If I now switch to quarterly highlights, our net sales, as I said, has grown at around 6% year-on-year, primarily driven by a stronger Industrial growth, we have grown 13% in Industrial year-on-year, which is excellent growth driven by railways, wind and some of the heavy sectors. Automotive, on the other hand, has actually declined or is almost flat by around 0.4%. As you know, the Industrial business is 53% of our business, so Automotive is 39% of our overall business in terms of sales. And the exports is another 8%, which is again declined by 0.9%, so around 1%. The Automotive decline has come from some changes in models with some of our larger 2-wheeler customers, but also an overall decline in both commercial vehicles and passenger vehicles.

The Industrial growth, as I said, has come from mainly the heavy wind and railway sectors, and we expect this -- the Industrial growth to continue. Exports is down partly due to tariffs in some of the sectors, but also partly down due to specific industries in Southeast Asia or Americas being down.

Our margin this quarter has come down by almost 530 basis points. The reasons for this are related to, one, demerger-related costs, onetime costs, both IT as well as IT-related costs as well as consultants. Now some of this may continue in the future as we -- over the next year, year and a half as we're expecting this demerger to continue until the point we are -- the demerger is fully done. The other reasons for increase in costs have been the employee-related costs, which have gone up due to annual increments.

We have also started our process of investing more in our factories, so the depreciation costs have actually also gone up. And finally, FX has also had an impact on our business because of the weaker rupee. So all these are contributors.

In addition, we also have slightly higher traded volume, which is at a lower margin, and that is creating the mix issue.

Net working capital is -- and cash flow are the next topic I will cover. In net working capital, we have actually reduced a bit the net working capital from quarter-on-quarter, but up a bit from full year, primarily driven by accounts receivable, higher volume of business, but also partially the decline from fourth quarter '25 to now has come from a decline in our inventory. Cash flow continues to improve. We have a 13% improvement in our net cash flow. I will now talk a little bit about the demerger and so that we can kind of give you a quick update on where we stand on the demerger. As you know, we are trying to create 2 fit-for-purpose independent companies here, both of which can accelerate growth and profitability independently.

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We believe the reasons for the demerger are the different macro environment in the Automotive versus Industrial, different customer needs from what Automotive needs given the macro situation and given what various Industrial customer needs. And second and last, the difference in manufacturing style or manufacturing philosophy of the 2 entities.

All these together have been the reasons why we are creating 2 fit-for-purpose companies, which will have independent management focus, increased manufacturing efficiency on both sides, tailored innovation, capital allocation more efficiently done, more agility and responsiveness. And finally, more visibility for our investors in terms of how the 2 businesses are doing independently.

As we announced in the demerger call, we are also now at a point where we know which manufacturing lines will go where. In manufacturing lines in Bangalore, where we have 10 lines totally, 7 will go to Automotive, 3 will remain with Industrial. In Pune, where we have 22 lines, 12 will remain with Automotive and 10 will go to Industrial. Haridwar, 4 lines, all will remain with Automotive. In terms of land, we are roughly split 85% to 15% in Bangalore, 85% for Automotive. 52% Automotive and 48% Industrial in Pune, and Haridwar will be 100% Automotive.

And in terms of manpower, it's 55% to 60% will go to Automotive and 40% to 45% will remain in Industrial. These are rough numbers for the land and manpower, but directionally in the right -- it's what we expect. Finally, in terms of the timeline, we have now filed with the NCLT, and we are expecting the shareholder meeting to happen later this quarter. And we will -- hopefully, once the NCLT approval is done, we should be -- in the fourth quarter of this calendar year, we should be ready to list and trade as 2 separate entities.

All right. Ending call, ending kind of summary. As I said, good 6% plus growth year-on-year. Industrial doing very well at 13%. Automotive slight decline or flat this quarter year-on-year. Excellent cash flow generation, 13% year-on-year increase.

Margins have been soft year-on-year, 530 basis points drop -- sorry, not percent, 530 basis points drop, 5.3%, PBT percent drop, primarily driven by demerger costs, some employee costs and FX. The demerger costs and the employee-related costs, which is the annual appraisal, will continue for the next year and a half. The others, hopefully, it's a onetime which will adjust

like FX.

That's it from my side in terms of the presentation. I will -- just one other comment. The shareholder meeting for the demerger is -- has -- was done on 14th July, and they have approved the scheme as the demerger scheme. So -- and NCLT has noted that also, and the we should hear back from on the decision in the month of September. Thank you from my side. I now hand it back to the moderator.

Moderator: Thank you very much. We will now begin with question and answer session. Due to call duration, we request you to limit your questions

to one per person. Anyone who wishes to ask a question may press star and one on the touch tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets alkF  
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while asking the questions. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Yash Goenka from Awriga Capital Advisors Limited. Please go ahead.

Yash Goenka: Hi, am I audible?

Moderator: Yes sir, you are audible, please go ahead.

Yash Goenka: Okay, hi. This is on the Ahmedabad plant where you blend around INR 150 crores and owned it as deemed capex. So my question is, what is the quantum of capex and how it should benefit the listed company?

Mukund Vasudevan: Okay, Ashish, if you could answer this question.

Moderator: I am so sorry to interrupt. May I request you to please mute yourself after asking the question to avoid the background noise, please?

Yash Goenka: Sure.

Moderator: Thank you.

Ashish Saraf: Thanks, Yash, for your question. Again, I don't have offhand the capex numbers for -- specifically for Ahmedabad factory as it is not part of the listed company. But principally, the investments that we are making in Ahmedabad, Ahmedabad factory would continue to sell to the industrial company which is SKF India and SKF India would in tune -- will continue to sell to the market, right. So any investments that we are making in Ahmedabad is effectively benefiting SKF India in terms of creating a better product availability, localizing the product and ensuring lower cost for SKF and in tune, helping SKF win a better market share in India and abroad.

Yash Goenka: So any time line on when the plant will commission if you cannot quantify the quantum of capex?

Ashish Saraf: Sorry, can you come again with your question?

Yash Goenka: Can you comment on when the plant will be commissioned the Ahmedabad plant?

Ashish Saraf: The Ahmedabad plant is already commissioned, right. They are already operating in the unlisted entity. There are additional investments which have been planned, and most of the investments should materialize in 2.5 to 3 years. So sometime by end of 2027 is when we expect all the capex to materialize and production to start.

Mukund Vasudevan: If I may just add, if I may just add. As Ashish said, any investment in the region, right, and it could be Ahmedabad, could even be in Southeast Asian country or could even be in China, if it makes sense, right, it makes us more cost competitive in the Indian market. So the idea is we will continue to invest where it makes sense, whether it is in the listed entity or in any of the factories of SKF AB. alkF

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And if it is competitive to sell in the Indian market, we will sell it, and that will help us grow. So growth and margins should see an impact from any investment in Ahmedabad. At the same time, we are continuing to invest in the listed entity in both -- primarily in Pune, both for capacity enhancement as well as localization.

Yash Goenka: Okay. If I could just squeeze in one last. What kind of asset turns you're expecting from the investments you'll be making in Auto and Industrial?

Mukund Vasudevan: Sorry, what is the question? Asset turns?

Yash Goenka: Yes.

Mukund Vasudevan: Is that -- sorry, is that return on assets or...

Yash Goenka: No. The top line.

Mukund Vasudevan: Okay. Ashish, maybe you can answer that?

Ashish Saraf: So again, offhand, I wouldn't have the number in terms of the asset turns. But what we -- in terms of return on the investments that as a company we look at is, at a minimum, the return on

assets has to be -- or a p

payback has to be within a period of 5 years or less. Any investment as a company that we make, we target to get a return on our investments in 5 years or a lower period, both for Automotive as well as Industrial market.

Yash Goenka: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Harshit Patel from Equirus Securities, please go ahead

Harshit Patel: Thank you so much for the opportunity. Sir, you had guided for 8% to 10% revenue CAGR in FY 28 for the Industrial business in your last demerger discussion. Is this because of muted market conditions or is it not having the sufficient capacities as fresh capacities in Pune will only come on board after FY 28?

Mukund Vasudevan: Yes. So as you're seeing right now, I mean, if you take a 5-year CAGR on our Industrial business, year-on-year, we are growing almost 15% year-on-year CAGR over the last 5 years.

So we -- while in the recent past, we have had a little bit more muted, in the Industrial business where we have had a little bit more muted growth primarily due to portfolio cleanup, meaning we have dropped customers or products which are not profitable, we are -- we expect that growth to come back, right, in -- and then we're being cautiously optimistic here when we say 8% to 10% long-term growth.

To your point, the main reason for that will be -- will -- one of the main reasons is more localized production both in the Ahmedabad plant and in the Pune plant. So that growth top line will make us more competitive and we'll get top line growth. And most of those are getting online in '27 and '28. That is one of the reasons. alkF

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The second is we are also working on the -- on new product innovations and creating fit-for-purpose products, both in terms of by segment in the Industrial but also in what will fit market conditions in India. So we're creating more engineered products, not just replicating products which are global, but creating more engineered products for India.

And then the last reason is that we have significantly expanded our commercial excellence efforts, which includes everything from our distributor network or our after-sales network, whether it is mechanics in Auto or it is retail stores or distributors in Industrial. It also includes how do we value sell better, how do we include services in addition to the product sales. All these together, we expect our business to reach that double-digit growth in Industrial at least.

Harshit Patel: Understood. Sir, in Automotive business as well, we have gained market share in both 2-wheelers and 3-wheelers as well as PVs over the last few years. Do you think we will continue to gain further market share or we will now broadly grow in line with the industry growth over here?

Mukund Vasudevan: Our aspiration is to grow above industry, continue to gain market share. And I believe with capacity expansion, one of our biggest bottlenecks in Automotive has been a lack of capacity.

And what OEM customers look for is committed capacity in the long term. We expect that, that will -- we will expand capacity in, again, in the '27-'28 time frame, and that will help us expand more rapidly than our competitors and hence gain share.

Harshit Patel: Understood, Thank you very much for answering my questions and all the best.

Moderator: Thank you. The next question comes from the line of Krupashankar from Avendus Spark, please go ahead.

Krupashankar: Good morning and thank you for the opportunity. My first question would be on the growth, what you had highlighted during this quarter coming in from the Industrial business. And you had primarily highlighted that railways, wind and some of the sectors were driving this growth. Can you expand a little bit more on it? Because you had highlighted in the earlier call -- one of the earlier calls that wind

was not a market which we are focusing on. Has it come into flavor?

And anything more on the Industrial piece, which gives us confidence on continued growth in this segment? Second is more of a bookkeeping question. I just wanted to get an understanding on what is the one-off cost due to demerger during this quarter?

Mukund Vasudevan: Yes. Sure. I'll let my CFO, Ashish, answer the second question, specifics on the demerger costs. I can answer the where is the industrial growth coming from? First, if I think there may be a misunderstanding that wind is not a focus. Wind has always been a focus, one of our top 5 priorities, and it will continue to be. What we have done in the past is we have sold all applications in wind. There are many, many applications in wind -- not many, 3 or 4 main applications in wind, which all of it were not profitable.

And so we just cut off unprofitable applications and focus on the applications where we thought -- where we believe we can be profitable and we can offer better value to the customer. And with that focused strategy, we have actually gained more share. Partly, it's a alkF

focus, but partly also the fact that we have got a better manufacturing footprint, both in the region as well as in Ahmedabad for making these products. So we have gained share in wind, but specific applications. So it is a misunderstanding to say it is not a focus.

It is a focus. It will continue to be in India, but we will pick and choose the applications within wind that we want to play in. Other sectors which have grown well in Industrial are, as I mentioned, railways with some of the high-speed rail projects, we are continuing to do well there and metros. In the heavy industry, we are primarily seeing some expansion in metals, mainly in aftermarket, not new projects, but aftermarket. So growth has been there. We have also seen some expansion in general machinery, which is everything from pumps, drives, gearboxes, etcetera. We're seeing some expansion there. And overall, our distribution market has actually -- it's not as much as the 13% average growth we've seen, but it's continued its steady growth of around 8% to 10%.

Ashish Saraf: So just to add to or respond to the question on demerger costs. So if you look at our current quarter, cost of demerger was around INR184 million. A significant chunk of that cost was on IT implementation, which is as we are going through a demerger between Automotive and Industrial businesses, a significant spend has been made in creating and deploying SAP as well as other softwares that we use within SKF.

Apart from that, ensuring that we have a separate data infrastructure in place both for the Automotive business as well as for the Industrial business. So that's where a significant amount of cost has been incurred on IT.

And similarly to support the whole demerger process, we had to engage with or take support of consultants in terms of ensuring that it is being done in a compliant manner. And that is where you see a significant amount of cost incurred on consulting. We expect this cost to continue until first half of next year sorry First half of next financial year is when we kind of expect this cost to continue.

Krupashankar: Apologies. Just I couldn't hear the exact quantum of the cost because there's some disturbance on the line. Can you repeat just the quantum?

Ashish Saraf: Yes. So the total cost was INR 184 million.

Krupashankar: Okay, thank you. One last question if I may

Moderator: Sorry sir

Krupashankar: Sure, sure, I'll get back to you

Moderator: Sure, thank you. The next question comes from the line of Gokul Maheshwari from Awriga Capital Advisors LLP.

Gokul Maheshwari: Sir, in the past few annual reports, you've mentioned your -- more business which you're doing

with particularly Indian OEMs like Mahindra, etcetera. Can you just give an update with SKF

respect to what kind of business have you won, whether you've been getting business with the new models and your progress with respect to the share of business?

Mukund Vasudevan: So we are continuing to gain business with Mahindra, particularly in their SUV segment, and we supply what we call the hub units for them. In terms of market share, I'll have to come back to you specifically as to what is our market share with them. Ashish, if you have any insight into that, you can. But I would say it's still -- I would come back to you on the numbers.

The one other thing I will mention is Mahindra, we are also working with Mahindra Swaraj on the tractors, and we have been gaining business with them also on the tractors business.

Anything, Ashish, you would add on share? I don't think we report this publicly, but I can come back to you with the numbers.

Ashish Saraf: Yes. I don't have the numbers, as of now you can come back.

Gokul Maheshwari: Great and secondly, just on the you mentioned

Moderator: Sorry to interrupt. May I request you to join the queue for a follow-up question, please? Thank you. The next question comes from the line of Mayank Bhandari from Asian Market Securities, please go ahead.

Mayank Bhandari: Sir, just checking, you have given earlier margin guidance of 16% to 19%. And now this demerger cost will be continued for at least next couple of quarters. So what kind of margin we should anticipate for this particular year?

Mukund Vasudevan: Ashish, if you could answer that? We are -- I mean, if you could answer that for the next -- I would say the demerger costs will continue for the next 1 year, right? So I would say, 4 quarters, and we're being cautious here because there, we expect that some of this will continue, not just IT but other costs related to the demerger.

And then beyond that also, we will have some additional capex . So the depreciation will -- the new factories in Pune come on, the depreciation will start hitting us also, right, while we are taking actions to offset this as much as possible, right? We are -- I would say, we are expecting slightly muted margin. 16% to 19% range is what we'll get to in the 2028 onwards time frame. So Ashish, if you can comment in more detail on this.

Ashish Saraf: Yes, sure, Mukund. So I think as Mukund said, this demerger cost is going to continue till H1 of next financial year, right? And this demerger cost is going to impact around 1.5% to 2% on the margins. So you could expect at least a couple of percentage adverse impact on the margins on account of the demerger cost.

Apart from that, there could be some additional cost which the industrial company might incur in first half of next financial year with respect to stamp duty and registration cost for the transfer of assets. That could also additionally impact the Industrial business margins in the first half of next financial year.

Mayank Bhandari: Okay okay , and just one question regarding the alkF

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Moderator: Sorry to interrupt. May I request you to join the queue for a follow-up question, please? Thank you. The next question comes from the line of Rahul Kumar from Nuvama , please go ahead .

Rahul Kumar: My question is on the export side. Could you say the share of Auto and Industrial in export?

Mukund Vasudevan: Yes. Ashish, if you could comment on that?

Ashish Saraf: Yes. So the overall exports that we have within SKF is around 8% of our total revenue. And a out of the 8%, almost 5% -5.5% is pertaining to Industrial and remaining 2.5% - 3% is pertaining to the Automotive.

Moderator: The next question comes from the line of Vipulkumar Anopchand Shah from Sumangal Investments , please go ahead .

ead .

Vipulkumar Shah: Would you comment on the service part of the business where we are looking after maintaining the plants? That business sort of started a few years back, but there is no comment in your presentation or on con call s for that.

Mukund Vasudevan: Fair point, right? I think we can -- maybe we can send you some information or in the next investor call, we can talk a little bit more about it. But I'll give you the highlights. There's 3 portions which we do in service. And overall, that business has been doing quite well, right? It's been growing in double digits quite consistently. The 3 portions of the business are, one, what we call condition monitoring, which is both products and services related to monitoring of bearing performance. So this measures vibration and this measures noise, this measures speeds, et cetera.

And we have probably the best -in-class analytics software to say what is the reason -- what is - is this -- can we predict failure from the sound patterns and let a customer know that there is a likely failure had to happen, right, so that they can replace the bearing or lubricate the bearing or realign the bearing before there is an actual failure and then you have downtime in the plant. That is condition monitoring.

The second one is what we call remanufacturing, where we do business with some heavy industries and railways to remanufacture bearings. What we do is we disassemble and finish -- refinish bearings, right, whether it's the components or overall so that we can reinstall it with a guarantee of the same level of performance, quality. And this kind of ensures that we have -- it's faster turnaround time, plus it's lower cost for the customer. So we do remanufacturing. We have 3 remanufacturing centers across India, one in Pune, one in Ahmedabad and one in Jamshedpur, where we do remanufacturing.

And the last business is what we call reliability services, where we take on the entire asset of the customer and we help ensure its reliability or uptime. So the contract is structured in terms of reliability and uptime where we will either ...

Moderator: Sir, sorry to interrupt, there is some audio break. alkF

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Mukund Vasudevan: Okay. All right. So I don't know until what point you heard, but 3 kinds of businesses we have under services. One is condition monitoring, one is remanufacturing of the bearing and the third is overall reliability of an asset for the customer. So , we take on entire plant or a portion of the plant and ensure uptime.

And we do that by either replacing the bearing or maintaining the bearing, whatever is required, lubricating the bearing. We take care of everything for the customer in a kind of comprehensive contract. All of these are growing and they're growing well in high double digits so -- or high teens, sorry.

Vipulkumar Shah: What is the revenue contribution from service business?

Moderator: Sir, sorry to interrupt. May I request...

Vipulkumar Shah: This is just a follow -up question.

Moderator: Sir, you can come back in the queue for a follow -up question, please.

Mukund Vasudevan: I believe it's around -- Ashish, you can comment on this, but I think it's around 15% right now or maybe a bit less.

Ashish Saraf: It will be a bit less. Just one sec, I'll tell you .

Mukund Vasudevan: Our aspiration anyway is to grow that to around 20% of the business.

Ashish Saraf: Yes. So out of the total revenue of SKF, it's relatively small. It's around 3%. But look at it from industrial business perspective because most of the service s are industrial

Moderator: Sir, sorry to interrupt, the audio is breaking.

Mukund Vasudevan: Ashish, we can't hear you.

Mukund Vasudevan: Just answer in terms of Industrial, how much it is, and then you can...

Ashish Saraf: Yes. In terms of Industrial, it's around 6%.

Moderator: The next question c

omes from the line of Shagun Beria from Anand Rathi.

Shagun Beria So I just wanted to ask, in the Q1 results, there's a forex loss of INR136 million. So which line item is it a part of? Next is that in the earlier July '25 Investor Meet PPT, there is an outlook that you have shared for 3 years on Auto and Industrial, where we see the growth in Auto is expected to grow at around 10% to 12% and -- which is more than the Industrial growth that you expect of around 8% to 10% in contrast to the trend that we are seeing currently where Industrial is growing double digit led by heavy machinery and railways.

So I know that you have mentioned the drivers of the Industrial business, but I just want to understand the thought process as to why the Industrial growth is just a high single digit, which alKf

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is a bit lower than the Auto growth that you expect. Also, in the demerger numbers, how is the split of other income? And any indicated return ratios numbers for both segments?

Mukund Vasudevan: Okay. I'll let Ashish answer the question on forex and which line item it is in, right? I will answer the growth question. So the reason we had said for the next 3 years, Industrial will be a little more muted is we are trying to localize more in more manufacturing in Industrial. And we expect all that localization to come in line only in late '27, early '28. So that is the main reason we have projected muted growth in Industrial.

I think the last quarter should not be taken as a reference. The Industrial business also tends to be lumpy in terms of we win a few project orders and the next quarter, the same projects may not be there. Automotive tends to be a little more steady from that perspective. So don't take 1 quarter's trend as a prediction of the future.

Automotive this quarter was muted for various reasons, but we do expect that growth to ramp up quickly as we build up capacity, and we are expecting a few other new market share gains in the near future. Ashish, on forex ?

Ashish Saraf: Yes. So the foreign exchange income or loss is basically part of other expenses, right? So there is a line in the P&L called other expenses, it's part of that.

Mukund Vasudevan: And then there was a follow -up question on other income.

Ashish Saraf: So other income that you see in the financial statements, these are manpower services, which SKF India is providing to other SKF companies. And that is the income that we have reported in other income or we continue to report in other income as a part of our financial statements.

Moderator: The next follow -up question comes from the line of Gokul Maheshwari from Awriga Capital Advisors LLP.

Gokul Maheshwari: Yes. Just my question was on that you mentioned that there are certain fit -for-India products, which you are planning on the Industrial side and Industrial business being as a wide spectrum.

But if you could just highlight certain growth drivers within subsets of Industrial business, which you are going after for more from a 3 to 4 year perspective?

Mukund Vasudevan: Okay. So the Industrial business is roughly -- the way we look at it, at least the way we are structured is, it's roughly 50% aftermarket where we are selling to the end customer directly and that is through distribution, mostly. And the other 50% is to OEMs where we do -- we sell to manufacturers of equipment, which go into specific segments.

The aftermarket growth will continue across a wide variety of industries because this is an installed base of bearings where replacement is needed. So that growth is going to be driven by us, of course, locally manufacturing more, but also ensuring availability of that product near to the customer.

So with our distribution channel expansion, our last -mile presence of the bearings or availability of the bearings, we will see growth in that. And that is kind of more a

excellence effort as we said. Whether in the project orders or what we sell to OEMs, the key segments, which we will continue to focus on are industries driven by infrastructure growth, and this could be cement, steel and other metals, mining.

In addition, we will also see -- we will also continue to focus on renewables, as we said, and wind and in rail as the rail network expands. Rail, we are also trying to penetrate. In addition to passenger and high speed, we are also trying to penetrate the freight market through more localized engineering. General machinery, which is pumps, drives, etcetera, will also be a focus.

Moderator: Ladies and gentlemen, we'll take this as the last question for today as the duration of the call is completed. On behalf of SKF India Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. alkF



## Call: Aug 2025

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Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code -500472

Subject: Intimation – Transcript of 64th Annual General Meeting held on 06th August 2025.

Reference: Intimation dated 08th August 2025 - Video link of 64th Annual General Meeting held on 06th August 2025

Dear Sir/Mam,

Pursuant to Clause 15(b)(ii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6) & Regulation 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR") and SEBI Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155 dated 11th November 2024, please find enclosed herewith transcript of 64th Annual General Meeting held on Wednesday, 06th August 2025 at 02:00 p.m. IST. The same will be available shortly on the website of the company for the convenience of the shareholders at the below -mentioned link: <https://www.skf.com/in/investors/shareholder-information>. The above is for your information and record. You are hereby requested to disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Ranjan Kumar

Company Secretary & Compliance Officer a/f

File Name: SKF INDIA AGM 2025

Duration : 01:26:10

Gopal Subramanyam

Good afternoon, dear members, I welcome you all to the 64th Annual General Meeting of SKF India held through video conferencing. It's our pleasure to meet you virtually again.

On behalf of the Board of Directors, I'd like to thank all the shareholders for joining this meeting through electronic mode from different locations. Your support, confidence and encouragement strengthen our efforts to make SKF stronger. I am Gopal Subramanyam, Chairperson, Independent Director of your company. I am the Chairperson of Stakeholder Relationship Committee and Risk Management Committee, I am also a member of the Audit Committee, NRC and CSR Committee. I am participating in this meeting from Bangalore, Karnataka.

Before I begin, I'd like to introduce the Board of Directors and KMPs of your company present at this meeting, Anu Wakhlu.

Anu Wakhlu

Hello, I am Anu Wakhlu, Independent Director of this organisation. I'm the Chairperson of the Audit Committee, the Nomination and Remuneration Committee. Apart from this, I'm a member of the Risk Management Committee, the Stakeholders Relationship Committee and the Corporate Social Responsibility Committee. I'm attending this meeting from Pune, Maharashtra.

Gopal Subramanyam

Thank you, Anu, Mr. Mukund Vasudevan.

Mukund Vasudevan

Good afternoon, everyone. Hello, I'm Mukund Vasudevan, Managing Director of your company. I am the Chairperson of the CSR committee and member of the Stakeholders Relationship Committee and Risk Management Committee. I'm participating in this meeting from Bengaluru, Karnataka.

Gopal Subramanyam

Thank you, Mukund. Mr. Karl Robin Joakim Landholm, joining from Sweden.

Karl Robin Joakim Landholm

Hello, everyone. I'm Joakim Landholm, Non-Executive, Non-Independent Director of the Company, and I'm also member of the Nomination and Remuneration Committee. And I'm attending this meeting from Sunne in Sweden.

Gopal Subramanyam

Thank you, Karl. Mr. Shailesh Kumar Sharma.

Shailesh Kumar Sharma

Hello, everyone, I am Shailesh Kumar Sharma, Whole-Time Director of the Company, I am the member of Risk Manag

ement Committee of your Company. I am participating in this meeting from Vidisha, Madhya Pradesh.

Gopal Subramanyam

Thank you, Shailesh. I now invite the KMPs, I start with Ashish Saraf.

Ashish Saraf

Hello, everyone, my name is Ashish Saraf, I am Chief Financial Officer of your Company. I am the member of Risk Management Committee of your Company as well. I am attending this meeting from Bangalore, Karnataka. Thank you.

Gopal Subramanyam

Thank you, Ashish. Mr. Ranjan Kumar.

Ranjan Kumar

Good afternoon, everyone. I am Ranjan Kumar, the Compliance Officer and Company Secretary of your Company. I am attending this meeting from Pune, Maharashtra, India.

Gopal Subramanyam

Thank you, Ranjan. Thank you, Board members and KMPs. Ms. Kerstin Enochsson, Non-Executive, Non-Independent Director, could not join this meeting due to her preoccupancies.

The company has made all possible efforts under the current circumstances to enable the members to effectively participate in this meeting through the video conferencing facility and to vote electronically.

Now, I would request, Mr. Ranjan Kumar, our Company Secretary and Compliance Officer, to check and confirm the quorum of this meeting and also share some of the important information about this meeting with the shareholders. Over to you, Ranjan.

Ranjan Kumar

Thank you, Honourable Chairman. After looking at the number of members present in this meeting, I confirm that the requisite quorum as required under the law for this meeting is present. The members may please note that the shareholders who have joined this meeting through video conferencing have been considered for the purpose of determining the quorum of this meeting, and this is in line with the circulars issued by Ministry of Corporate affairs and SEBI from time to time.

Now, I would like to record and confirm the presence of authorised representative of our auditors. So we have authorised representatives from M/s Deloitte Haskins & Sells, our Statutory Auditor, from M/s J. B. Bhavé & Co, our Secretarial Auditor; and M/s. Joshi Apte and Associates, our Cost Auditors. All the representatives of these auditors are present in this meeting through video conferencing.

Now, a brief announcement for the convenience of the shareholders. All shareholders who have joined this meeting through video conferencing have been put on mute from the back end. This is just to ensure a smooth running of this meeting and to avoid any background noise coming from the shareholder side.

The shareholders who have registered themselves as speakers will be allowed to speak when the name is announced with a request to speak, and once the name is announced, the audio and video of the shareholders will be opened accordingly.

The shareholders may further note that the recorded video of the proceedings of this meeting along with the transcript of it would be uploaded on the website of the company. It would also be sent to the stock exchanges where shares of the companies are listed, which is BSE Limited and National Stock Exchange of India Limited in due course, I mean as per the prescribed time given to the law. With this I'll refer back to Honourable Chairman for setting the meeting order since we have the quorum.

Gopal Subramanyam

Thank you, Ranjan. On the requisite quorum being present at this meeting, the-meeting is now called to order.

Now, I hand you back to Ranjan Kumar to make some more announcement to the shareholders.

Ranjan Kumar

Thank you, Honourable Chairman. Some quick information about the inspection of the statutory Records, shareholders may please note that all requisite statutory records as has been required by the law has been made available electronically for the inspection of the shareholders, which includes the Register of Directors and key managerial personnel, including the shareholding as being maintained by the company under Section 170 of the Companies Act 2013,

the Register of Contracts

and Arrangements as being maintained by the Company under Section 189 of the Companies Act and all other documents which have been referred to either in the Annual Report or in the notice and explanatory statement of this meeting. All these documents have been uploaded on the website of the Company and the shareholders are requested to visit the website to inspect these documents electronically.

Now, members may further note that the Annual Report along with the notice of this meeting was sent to the shareholders electronically on the 9th of July 2025. Now, these electronic notices were sent to all those shareholders who had uploaded or updated their email IDs with the registrar and share transfer agent of the company by the 4th of July 2025. So, all those shareholders who had uploaded or updated their email IDs, an email containing these documents were sent to them on 9th of July 2025. These documents have also been uploaded on the website of the Company and a letter indicating the web link to these documents were sent to rest of the shareholders on 10th of July 2025.

So, with this, I'll refer back to Honourable Chairman to share his outlook on the business environment of the Company. Thank you, shareholders.

Gopal Subramanyam

Thank you, Ranjan. Dear shareholders, good afternoon, ladies and gentlemen. It's my honour and privilege to welcome you all to the 64th Annual General Meeting of SKF India Limited. On behalf of the Board of Directors and the entire SKF India team, I extend our deepest gratitude for your continued trust and support.

FY 2024-25 was a year of decisive progress for us, a year marked by disciplined transformation and a reaffirmed belief that progress is best measured by how effectively we reduce friction, not just in machines, but in decisions, systems and everyday operation. Less waste, less complexity and more impact guided our action and sharpened our execution.

Navigating change, delivering progress: We are witnessing a decisive shift in global manufacturing. Mega trends such as localisation, electrification and digitalisation are now imperative to remain competitive. Supply chains continue to be disrupted by global and regional geopolitical challenges, requiring enterprises to operate with agility, resilience and clarity. At SKF India, we view these challenges not as obstacles, but as opportunities.

FY2024-25 was a year in which we embraced change as a catalyst reimagining our operating model, sharpening our strategy, and strengthening our ability to deliver impact at scale. Our performance this year is a testament to our ability to thrive in a complex environment while remaining aligned with our long-term purpose.

Performance with purpose: SKF India closed FY 2025 with solid financial results that reinforce the strength of our business fundamentals. Revenue grew to INR 4919.9 crores, reflecting a 7.65% increase over the previous fiscal year. Profit before tax rose to INR 763.1 crore, an increase of 3.71%. These outcomes were driven by broad-based industrial demand, especially in sectors like wind energy and railways, alongside healthy growth in the automotive segment.

Our two-wheeler and passenger vehicle businesses continue to perform well and we saw strong traction in the aftermarket. Despite inflationary headwinds and an evolving product mix. We maintained pricing discipline, optimised our portfolio and continued with traded product rationalisation, all of which helped mitigate-margin pressure.

Operating cash flows remained strong, return ratios were healthy and we continue to invest in future focused initiatives. These results reflect our ability to deliver sustainable growth and generate value for all stakeholders.

Transformational Realignment: FY2024-25 was also a year of strategic repositioning. The announcement of our demerger, which is separating the automotive and industrial businesses into two focused publicl

y listed entities was a significant milestone. This move is designed to sharpen our business focus, improve execution agility and enable deeper customer alignment across both the segments. Each entity will now be better equipped to pursue growth strategies tailored to its market dynamics and customer needs. This strategic realignment positions us to capture emerging opportunities and create long-term value with greater clarity and speed.

Localisation: Our localisation efforts made strong progress during the year. Over 80% of the components for SKF India are now sourced locally. In the automotive segment, 95% of production is localised while industrial operations are scaling up from a base of 40%. These efforts have improved supply chain resilience, reduced lead times and enabled us to better respond to regional market needs.

Localisation is not just a cost lever, it is a strategic advantage bringing us closer to customer and enabling faster innovation, adaptability, and delivery.

**Innovation:** We continue to invest in technology and product innovation aligned to future needs. Our portfolio now includes energy-efficient bearings, EV-specific components, digital condition monitoring system, and AI-powered maintenance platforms. These innovations are driven by collaborative R&D hubs, global knowledge sharing and strong academic partnerships.

In FY 24-25, we launched sensorised hub units for electric two-wheeler and three-wheeler vehicles, enhanced railway and motor bearings, intelligent lubrication system, and our proprietary CO2 calculator tool for environmentally conscious product selection.

We also filed five new patents and co-developed five others underscoring our position as a trusted innovation partner.

**Commercial Excellence:** Commercial excellence remained a key focus throughout the year. We refined our go-to-market strategy by strengthening channel partnerships, enhancing pricing effectiveness, and leveraging data-driven customer segmentation. Programs like Value Edge help deepen engagement with our distributor ecosystem through loyalty rewards and digital enablement. In the aftermarket. Platforms such as SKF on WhatsApp, Digi Connect, and Xylem Dealer Management System improved transparency, service, and fulfilment. These efforts enhanced customers' stickiness, boosted order visibility, and increased distributor confidence, leading to stronger outcomes across segments.

**Services:** Our service business continued to grow as we expanded predictive-maintenance, condition monitoring, and customised asset management solution. By integrating digital technologies and improving field response times, we delivered more value added service that improve uptime and lower total cost of ownership for our customers. These initiatives are also helping us build recurring revenue streams and deepen long-term customer relationship, thus transforming SKF from a component provider into a holistic solution partner.

**People Experience:** At the heart of our success lies our people. We continue to invest in capability building and workforce empowerment through initiatives like SKF College and the Lifelong Learning Framework. Leadership programs such as Transcend, She Leads, Power the Future, and the Leadership Accelerator Journey help shape future-ready talent across levels.

Our diversity, equity, and inclusion efforts delivered measurable progress with gender diversity rising to 17.5% from 10.4% and women shop floor representation doubling to 16.2%. Flexible work policies, mentoring platforms, and a strong focus on well-being further deepened engagement and retention. Recognitions such as top employer and most preferred workplace for women validated our efforts to create a progressive and inclusive environment.

**Manufacturing Excellence:** FY 2024-25 was a year of momentum across three-manufacturing hubs. Each site advanced on the pillars of lean, clean and digital operations. We expanded capacity,

increased automation and streamlined processes to operate smarter, faster and more sustainably. Our localisation initiatives directly contributed to manufacturing resilience and agility.

As we transition to a dual entity structure, our manufacturing roadmap is evolving. Automotive will focus on automation led high throughout production while industrial operation will adopt modular & demand responsive-models. Together, they will enable each business to operate with sharper alignment and greater responsiveness .

**Driving Sustainability:** Our commitment to sustainability continue to shape our actions. We reduced Scope 1 and Scope 2 emission by 28% over the previous year. More than 95% of our energy now comes from renewable sources supported by solar installations and virtual power purchase agreements across key sites. We remain aligned with science based targets and are on track to fully decarbonize our manufacturing by 2030 and achieve net zero emission by 2050.

Our supplier emission reduction goals 15% by 2025, 32% by 2030 are being pursued through collaboration, particularly with forging and steel suppliers under Steel Zero initiative. Water stewardship also remained a key priority. In FY2024-25 we reduced specific water consumption by 31% and created over 1,55,700 cubic meters of water storage capacity benefiting over 65,000 rural residents. Across locations, we continue to improve waste-management through reconditioned oil plants, sludge compactors, and waste reduction initiatives aligned to circular economy principle.

**Community and Inclusion:** Progress means little if it is not shared. Through our CSR initiatives we impacted more than 78,000 lives across 10 states. WeGyaan enabled over 10,700 students to pursue STEM learning. Our Udaan scholarship program supported 568 students, including 30 specially-abled beneficiaries helping them access education and job placements. The YES programme trained 1,934 youth of which 74% secured employment or launched entrepreneurial ventures.

Our support for water infrastructure and inclusion in sports exemplified by our athlete's performance at the Gothia Cup further highlights our commitment to inclusive development.

**Safety, Remind and Non-Negotiable Priority:** We recorded a 33% reduction in recordable accident and launched a dedicated safety skills centre while proactive reporting rose by 25%. These outcomes reflect a heightened culture of awareness, accountability and care.

**Our Brand Reimagined:** FY 2024-25 was also the year we refreshed our brand identity, anchoring it in the promise. Less friction, more progress. This message captures our role as enablers of

transformation. Reducing barriers, simplifying movement and delivering value with clarity and speed. It's not just new look, it reflects how we think, act and deliver. Our voice is now more human, bold and direct, mirroring our customer first mindset and future ready culture. This refresh reaffirms our purpose. Together, we reimagine rotation for a better tomorrow.

Governance with a Purpose: We continue to strengthen governance with enhanced Board independence, rigorous compliance systems and responsible business conduct across value chain. Our governance framework supports effective decision making, risk management and long-term alignment with stakeholder expectation. Ethical, transparent and accountable conduct remains a core tenet of our value creation journey.

Looking Ahead: As we close an exceptional year, we look to the future with sharper focus, renewed ambition, and an unwavering belief in our purpose. Whether we are designing intelligent solutions, advancing decarbonisation or nurturing communities, our direction is clear to make-movements smarter, industries more efficient and society more inclusive. SKF India is poised to lead through change with bold strategy, a talented team and a deep commitment to innovation and sustainability, we are confident of unlocking new

growth and delivering enduring value.

Our Purpose: Together, we reimagine rotation for a better tomorrow will continue to guide and inspire us.

I'd like to conclude by thanking our employees for their resilience and commitment, our customers and partners for their collaboration and trust, and our shareholders for your continued belief in our vision. The journey ahead holds immense promise and together we will continue to reduce friction and create progress that matter. Thank you and good luck.

I would now like to invite- Mr. Mukund Vasudev to make a presentation to the shareholders.

Mukund Vasudevan

Thank you, Chairman. It is my pleasure to now share with you the performance and our strategy for SKF India Limited.

Next page, during this presentation I will cover a little bit about SKF India how we are, our purpose, our values and our strategy, we will then talk a little bit about the demerger which is in progress, and we will talk about how we are creating two world class fit for purpose companies. Then we'll talk a little bit about SKF India and the key drivers in the business today, and we'll close the presentation with a summary of all the things we have discussed.

Next page. So, let me start a little bit about SKF India. As you know, we have been a trusted name in Motion Technologies in 1961 and with our parent company in Sweden established in 1903, we were one of the earliest bearing companies to be established in the world, and in India.

We offer innovative solutions to reduce friction and extend reliability across the industries we serve.

Today, we have three state of art manufacturing facilities in India. We have over 441 distributors, four office locations and 1,727 employees. All this has helped us deliver great shareholder value and continue to perform at the level we have been in the past.

Next page. As honourable Chairman, sir, said, our purpose today is together we reimagine rotation for a better tomorrow, but underlying that purpose is our strategy and leadership, and all of us together live by the values of care, collaborate, curiosity and courage. That is what propels us forward in a frictionless manner.

Next page. Let me talk a little bit about performance in the financial year 2024-'25. As our Honourable Chairman, sir, said, but here is a little-more detail. We have delivered strong top line growth of 7.65% in revenue. That leads to INR 4,919 crore of business of top line. At the same time, we have also improved our profit before tax by 3.7%, INR 763 crore is what we have delivered and our earnings per share has gone up 2.5% year-on-year to INR 111.4 crore.

I think this performance would not be as possible without all of your support and a strong team which has delivered around all fronts whether it is sales, marketing, manufacturing, HR, PX, customer service, R&D. All of these together have delivered this top line and bottom line performance with support from the Board and all the shareholders.

Next page. As you can see we have consistently delivered this performance, it's not just one year. If you look over the last five years we have grown at a compounded annual growth rate of almost 16.4% and the top line in revenue and our profit after – profit before tax has grown at 17.4% annually over the last five years. This is outstanding performance. As they say, world-class companies deliver at least 2x GDP and that is exactly what we have done and that speaks volumes for our execution discipline, but also a strong team. Our earnings per share has also grown at around 17.5% annually over the last five years. So, great job and we consistently continue to perform at these levels.

Next page, I will now talk a little bit about our demerger strategy.

Next page, as we have said in the past and I would reiterate, this is about unlocking the power of two; building two high growth highly profitable companies. What it means for the automotive business is that

we will enhance our position in e-mobility where we are a market leader, we will accelerate OEM as well as end customer innovation, we will also make faster decisions and quicker

launches in taking -- to taking products to market, not to mention quicker decisions in expanding capacity for the Indian and export market.

What it means for the industrial business is that we will grow even faster, we will deliver solutions tailored to each industry vertical, and we will strengthen our position in a global framework. All this will lead us to two powerful fit for purpose profitable growth companies in the future and that is the purpose of this demerger.

Next page, if we look at the timeline we are well on our, are on the journey we have. We are now in Q2 of calendar year '25 and we have filed with NCLT. The shareholder meeting is what will happen next, sorry we're in Q3, shareholder meeting is due to happen this month and our journey to transform into two fit-for-purpose companies is well on track and if everything goes according to plan we should be looking at listing and trading by Q4 of 2025, calendar year 2025.

Next page. As we had always promised, we will share more detail with you as and when the details are available. And one of the things we would talk or like to talk about is how we are splitting our manufacturing lines, the land and manpower, our hard assets as well as manpower, how we are splitting it between the automotive and industrial business.

Today, in terms of manufacturing facilities, the manufacturing lines we have. We have 10 lines in Bangalore, seven will go with automotive business, three will go with industrial business; in Pune, 12 will remain with automotive business and 10 will go the industrial business; and Haridwar, all four lines will remain with the automotive business.

In terms of land it is roughly in Bangalore 85% to 15%; in Pune it's 52% to 48%; and in Haridwar, it's 100%. And in manpower it's around 55% to 60% of our manpower will remain with automotive while 40% to 45% will go to industrial.

Once again, we are creating two fit for purpose companies here. We're creating two companies which are stronger, faster and better.

Next page. Let me talk a little bit about some of the key drivers and what we have done in the recent past against those key drivers.

Next page. So the key drivers of our business as you can imagine are how we serve our customers better, how we innovate to not only enhance customer value but also keep ahead of competition, how we operate more efficiently or our manufacturing excellence, how we care and develop and nurture our people, how our commitment to environment and the community we live around us. I will talk a little bit about each one of these to highlight some of our recent accomplishments. Let me start with customers.

Next page. In customers around, in our industrial customers, I would like to talk about four areas where we have been working. One is that commercial excellence and that is to sell more value to our customers and our business partners. This includes how we work, partner with our distributors, our channel partners to bring product to market to make it available for our customers. This also includes how we sell more value to our customers, how we constantly look for adding more value to our customers operations, not just our operations, and it also includes how we are making our product available at a shorter lead time.

If we talk about innovation on the top right, we co-create innovative solutions tailored to the Indian OEMs whether it be in wind, whether it be in railways, whether it be in the heavy industries like steel, zinc, cement, construction. We co-create innovative solutions and offer it to them to bring down their cost of ownership or so that they can launch products, which are more suited for the Indian market.

In the bottom left, we talk about our after-sales services, how through our bea

ring and associated

technologies, we don't just sell our bearings, we also digitally monitor them to ensure less unplanned downtime in our customers. Unplanned downtime creates, increases the cost, the total cost for the customer, and by predictive analytics, we are able to predict this through vibration checks, noise checks, speed checks, etc., we are able to predict it and deliver this value to our customers.

And finally, as Honourable Chairman Gopal Sir said, we are also localising more, and we are doing that by manufacturing more in India. We do that to reduce the time to market or increase the availability of our products, but also to make us more competitive. These are the pillars of how we serve our customers better in industrial.

If you now talk about automotive, next page. Then again, we are partnering with pretty much all the top OEM customers, whether it be two-wheelers, passenger vehicles, commercial vehicles, we are partnering with all of them to develop solutions for them. Solutions, which help reduce friction, help reduce their manufacturing cost overall and enhance value for them as a customer.

We're also strengthening our aftermarket services through digital tools, but also by expanding our network of how many mechanics we serve. These digital tools are now available with all the mechanics who buy our products. We also made significant strides in enhancing product quality and delivering real time benefits to our customers in the automotive sector.

Next page, if we talk about innovation, I would like to highlight a couple of innovations we have launched in the recent past. The first is for converters in steel mills. Here we have launched an end-to-end solution, which includes a full set of bearings, which are the main bearings in the caster, but

also the end bearings, which work in tandem along with our digital monitoring to improve the operating performance of these converters in working in very, very harsh environments. The real-time visibility on operating cycles and reduced downtimes are two of the advantages we offer. Similarly, in the wind energy we have offered, we have launched a cutting-edge solution to enhance lifetime reliability of these wind turbines. These wind turbines are very, very expensive to repair or to maintain, especially because they're installed in remote areas, but not only remote areas, very high areas. It's very expensive to get the right kind of machinery, cranes, and manpower to actually maintain these bearings. What we do is provide an end-to-end monitoring of these wind turbines, predictive diagnostics to say there is a potential of failure in the future as well as detecting these failures early so that it can be maintained without unplanned downtime and reducing the amount of renewable energy, which can be generated. Overall, this is all done to reduce the cost of ownership for our end customers.

Next page, the third pillar I would like to talk about is manufacturing excellent -- excellence. Here we follow our operations, manufacturing strategy, which includes lean, clean, and digital. The words are self-explanatory. Lean is about eliminating waste, digital is about creating smart factories of the future, and clean is about reducing environmental impact, but it is all underpinned by the people we have and how we make them future-ready.

If I talk about each one of these in specific. Lean, we have expanded our manufacturing footprint as we spoke in the previous page for both wheel end and for cylindrical roller bearings, which have applications both in automotive and industrial. We have also improved our lean maturity, which means we have reduced waste, all kinds of waste in a factory, which has brought down our manufacturing cost and enhanced our capacity utilisation.

If I talk about digital, we have now introduced smart manufacturing and digital infrastructure so that all our operations can be monitored digitally and again we ca

n look at, we can use this data to

predict any kind of unplanned downtime, also to improve our position in our performance in both cycle time of manufacturing as well as cost of manufacturing and quality.

In parallel, we have also implemented digital systems to manage our energy and water consumption, which ties to our third point on clean. All our sites are now decarbonized Scope 1 and 2 with 100% renewable energy, we have also had a 31% reduction year-on-year on water consumption and 59% waste recycling rate reduction.

Next page, people, as he said, this business would not be possible without people. While we have done a lot of things around how to attract, retain and nurture our people or develop our people. I'd like to highlight two specific things, which we have done which is outstanding. First, is around diversity, equity and inclusion, and I would like to talk about our gender diversity. Today, 39% of all our new hires are women. Shop floor women has gone up from single digits to 16.2% in one year, and across all the shop floor as well as other functions, our gender diversity now stands at 17.5%, which is excellent and we will continue to work on this excellent improvement year-on-year, but it's still not where we want to be, we'll continue to work on it and get better.

The second priority for us, for all our employees is that they remain healthy and safe. We've had a 33% reduction in accidents thanks to our workplace safety initiatives. We have also increased proactive reporting of unsafe accidents, unsafe areas, or near misses. So, proactive reporting increase of 25%, which builds the base of the pyramid, which in turn reduces accident.

These are just some of our accomplishments, but as a result of some of this and several other initiatives we have taken, SKF India was recognised as a top employer by the Top Employers Institute and we were also among the most preferred workplaces for women. So, excellent job done by the entire team to achieve this.

Next page. Our focus is also on the environment. We care for the environment and we would like to not just deliver bearings which reduce friction and hence the carbon footprint but also make sure that in our own footprint we have the least carbon footprint.

So, climate transformation, as I said, there's been a 28% reduction in Scope 1 and Scope 2 emissions over the previous year and approximately five metric tons of CO2 has been reduced through biogas, plants and other initiatives. 59% of our water is now recycled, which is excellent, creates more circularity.

And finally on the compliance, our target is to get to a zero non-compliance situation and we're continuing to ensure that through ethical, transparent and sustainable operations. Not just for ourselves, but for our business partners also.

Next page. Last but not the least is our commitment to community. We will not be where we are without our community partnering with us, and I wanted to talk a little bit about the community efforts we are doing, the CSR efforts where we have impacted over four lakh lives. We have four main pillars and many other smaller ones. But four main pillars we work on are WeGyaan, which is STEM education for children, which is around the science and mathematics field; Udaan scholarship for girls; and Divyang related to girl education, also, girl child education. YES, which is the Youth Empowerment at SKF where we do skill development for mechanics and other industrial functions and water sustainability, which where we do water body rejuvenation and water conservation in villages around our factories.

We are proud of this work. We are proud of the fact that we as we have volunteered to kind of make this possible, and we are really proud of the fact that we are impacting over 400,000 lives in India through these efforts.

Next page. Let me now end again with the results. If you go to the next page. As I said, we continue to strengthen our p

erformance through consistent revenue and profit growth. 7.65% revenue from operations growth year-on-year, 2.5% increase in profit after tax, and 2.5% increase in earnings per share. We have achieved this through execution, excellence and a strategy which is driven by intelligent, clean and customer centric behaviour.

Finally, we are well on our goal to transform ourselves into two fit for purpose organisations so that we can unlock more value. Two organisations which can grow more profitably in the future.

Thank you once again all of you for your support in achieve and I want to congratulate the entire team for this performance in the financial year 24-25.

Finally, as requested by our shareholders, several of you, we are arranging a plant visit to our Chinchwad plant in Pune. Details will be provided by our Company Secretary Mr. Ranjan Kumar and Compliance Officer Mr. Ranjan Kumar during and we will give these details either during this meeting or shortly after.

With this, I would like to thank everybody for your support and the confidence shown in us by our shareholders.

Now I'd like to hand it over to the Honourable Chairman again to continue this AGM.

Gopal Subramanyam

Thank you. Thank you, Mukund, for a very good presentation.

Now, I wish to appraise the members about Statutory Financial Audit Report and Secretarial Audit Report of the company for the year FY 2024-25. I'm happy to share that there is no qualification, observation, comment, disclaimer or adverse remark in the audit reports of your statutory auditors and secretarial auditors for the year FY 2024-25.

May I now request Mr. Ranjan Kumar, Company Secretary to brief the members about the voting facilities available to them. Over to you, Ranjan.

Ranjan Kumar

Thank you, Honourable Chairman. A quick information about the voting process and few other important aspects.

I would like to inform the shareholders that in compliance with the provisions of law which is Companies Act, 2013 and various circulars issued by Minister of Corporate Affairs and SEBI, the shareholders were provided the facility to cast their vote through remote e-voting platform. This facility was extended to the shareholders, which was kept open from 2nd August 2025 9:00 am Indian Standard Time, and it was open till 5th of August 2025 5:00 pm Indian Standard Time.

The facility of casting e-vote is also available during this meeting. The members who have who are present in this meeting and have not casted their vote using electronic remote electronic e-voting facility, they can cast their vote during this meeting. The e-voting facility is currently open and it will remain open till 15 minutes from the conclusion of this meeting. If a shareholder has already casted his or her vote using remote e-voting platform, he or she will not be entitled to cast the vote in this meeting.

The members may please note that only those shareholders are eligible to cast their vote whose names were appearing on the register of Member as on the cut-off date and the cut-off date which was fixed for the voting was 30th July 2025. Further, since this meeting is convened through video conferencing, there will be no voting by show of hands.

Now, I would like to appraise the shareholders about the scrutinisers. Your company has appointed Mr. Jayavant Bhavne from M/s J. B. Bhavne & Co, practicing Company Secretaries as scrutinisers to scrutinise the votes casted either during this meeting or through remote e-voting platform in a fair and transparent manner. They are also attending this meeting through video conferencing.

The combined results of the remote e-voting and e-voting casted in this during this AGM will be declared by the company after receipt of scrutinisers report. The results of voting along with the scrutinisers report will be uploaded on the website of the company which is [www.skf.com](http://www.skf.com) as well as on the website of NSDL, which is [www.evoting.nsdl.com](http://www.evoting.nsdl.com)

It would also be sent to the stock

exchanges where shares of the companies are listed which is BSE Limited and National Stock Exchange of India Limited within the prescribed timeline.

As informed by Mr. Mukund Vasudevan, our Managing Director, your company has organised a plant visit for its shareholders at our Chinchwad plant located in Pune on 10th of September 2025.

Shareholders those who wish to participate in this visit are requested to send the confirmation by email to our registered email id, which is [investorIndia@SKF.com](mailto:investorIndia@SKF.com) by including your name, by indicating your name, your demat account or folio number, your email ID and mobile number, putting a subject as if Factory Visit SKF India, Chinchwad, Pune. A detail of the requirement would be shared soon with the shareholders as well as would be sent to the stock exchanges. We look forward to receive your confirmation on this matter.



Now, registered shareholders of the Company as on 1st August 2025 shall be entitled to receive the invitation for this plant visit and as I said, a detailed requirement of the visit would be communicated soon probably to by tomorrow to the shareholders as well as stock exchange in this respect.

Considering the capacity constraints, only limited number of members will be allowed for this plant visit, and, therefore, the selection will be done purely on first come first serve basis. The shareholders may please note that no unpublished price sensitive information will be shared during this plant visit. Though this visit has been planned on 10th of September, any change in this schedule, if at all it occurs will be communicated to the shareholders at due course.

So, this was about the plant visit and now a quick information about the voting again. Now, before requesting the Chairman to take the resolution up, I would like to reiterate the process of taking your queries and questions as was already included in the notice of this meeting. This being a virtual AGM, the following members will be eligible to share their views or ask their questions. The process was anyway explained in the notice of this AGM. So, the shareholders who have already registered themselves as speakers on or before 26th of July they will be entitled to speak and ask questions. And second, the shareholders who have expressed their views and have shared their questions in advance on our registered email id on or before the 26th of July they will be entitled to speak and ask questions during this meeting. For others, if you have any questions, feel free to send those questions to our registered email id which is investorIndia@SKF.com, we will try to reply and answer your questions over email unless the same has already been covered or answered in this meeting.

With this I'll refer back to Honourable Chairman for taking up the resolutions.

Gopal Subramanyam

Thank you, Ranjan. Dear Members, as the notice is already circulated to all the members, I take the notice convening the meeting as read.

Now, I would like to take up the resolutions as set forth in the notice dated 15th May 2025 of the 64th Annual General Meeting of the Company. There are three ordinary businesses listed as agenda number one to three and six special businesses listed as agenda item number four to nine. For draft resolution, explanatory notes and other details, the shareholders are requested to refer to the notice of this AGM. The objective and implication of each resolution is to ensure compliance with the provisions of the Companies Act, 2013 and the rules made thereunder.

I would now start with the ordinary businesses and request the members to cast their votes if not done already on each agenda items. The facility of e-voting is available to the members till 15 minutes after the conclusion of the proceedings of this AGM.

So, I take up the agendas. Ordinary Business, Agenda number one for adoption of audited standalone and consolidated financial

statement of the company for the financial year ending 31st

March 2025 together with reports of the Board of Directors and Auditors thereon.

Agenda number two, ordinary resolution for declaration of final dividend of INR 14.5 per equity share of INR 10 each for financial year ending 31st March 2025, which is 145%, which has been approved and recommended by the Board of Directors of your Company.

Agenda number three, ordinary resolution for appointment of director in place of Mr. Karl Robin Joakim Landholm who retires by rotation and being eligible, offers himself for reappointment.

I now turn to special businesses. Now, I'll take up the Special Businesses agenda number four to nine of the AGM notice. Agenda number four ordinary resolution for approval of material related party transaction with SKF GmbH Germany, a fellow subsidiary.

Agenda number five, ordinary resolution for approval of material related party transaction with SKF Asia Pacific Pte Ltd., a fellow subsidiary.

Agenda number six, ordinary resolution for approval of material related party transaction with SKF Engineering and Lubrication India Private Limited, a fellow subsidiary.

Agenda number seven ordinary resolution for appointment of M/s J. B. Bhavé & Co, practicing Company Secretary as the secretarial auditor for the company for a period of five years, that is from the financial year 2025-26 to financial year 2029-30.

Agenda number, 8 to rectify the remuneration to cost auditor for the financial year 2025-26.

Regarding agenda number nine, I would request Ranjan, Company Secretary, Ranjan Kumar to read the same. Over to you, Ranjan.

Ranjan Kumar

Thank you, Honourable chairman. Agenda number nine is a special business and ordinary resolution, which talks about approval of remuneration payable to Mr. Gopal Subramanyam, Non-Executive Independent Director in excess of 50% of the total annual remuneration payable to all Non-Executive Directors of the Company for the financial year 24-25.

Back to Chairman.

Gopal Subramanyam

Thank you, Ranjan. With this, we have gone through all the agenda items of this AGM. Thank you members for participation in these agenda items.

I will now request Mr. Ranjan Kumar, Company Secretary to invite the members who are registered

themselves as speakers. On announcement of the name, the audio and video facility of the respective member will be opened. I would now request members to summarise their views and question in less than two minutes so that other members may also get suitable opportunity of expressing their views and raise their questions. Questions raised by the speakers shall be addressed once all speakers have spoken. Over to you, Ranjan.

Ranjan Kumar

Thank you, Honourable Chairman. In the interest of time and for the benefit of other shareholders, I'll keep a time check, and I'll request shareholders again to summarise their views or questions in two minutes.

With this, can we move to our first speaker shareholder Ms. Smita Bharat Shah? Can we have her on screen please, Ms. Smita Bharat Shah?

Smita Bharat Shah

Hello. Hello. Chairman, Sir, can you hear me?

Ranjan Kumar

Yes, ma', am. We can hear you.

Gopal Subramanyam

Sure.

Smita Bharat Shah

Chairman, Sir, due to some network issue, I am not able to do video, so I will talk through audio.

Gopal Subramanyam

Sure.

Smita Bharat Shah

Okay. Thank you so much. Greetings, Chairman Saab, Mr. Gopal Ji; MD Saab, Mr. Mukund Ji, I salute Smita Shah from Mumbai. And Chairman Saab, I thank Mr. Ranjan and his team, Mayuri Ji for their very good investor service, today by sending me the link, you gave me a chance to talk with you, and you also called me and gave me a chance, so while appreciating the very, very good investor service, I thank Ranjan Ji, Mayuri Ji, the entire secretary team and congratulate them for the good work. And Chairman Sir, in your speech, you told a lot about the company and Mukund ji himself d

id very

well with his presentation, so many, many thanks.

Today, in our 64th AGM, first of all I congratulate all of you. Our company is growing with good, excellent work and Chairman Saab, next year is our 65th AGM. First of all, I congratulate all of you that under your wonderful leadership the company is growing with excellent work and you have also launched your two-wheeler, three-wheeler in the market, so Chairman Saab, how much appreciation are you getting and what next year,

it is our 65th AGM, so Chairman Saab, I definitely request you for the bonus, and I want to ask when was the last bonus given by the company, and I am also your old shareholder for years, whenever our physical AGM used to be held, even then in (Audio disconnect), we used to join Joshipura Ji, our Bhandari Ji, Company Secretary but today it became a little difficult to join due to the VC's presence, but I have met you after a long time, so I congratulate you all for the good work and thank the CS team for joining.

And Chairman Sir, you, Mukund Ji, have arranged the visit of our Pune plant today and you have also arranged it on 10th September, first of all I thank you all for the visit. I was about to ask for the visit already, but you heard us first and fulfilled our request for your visit, so many, many thanks.

And Chairman Sir, I just have one request that I am coming from Bombay, so our shareholders of Bombay, please do some car investment for them, last time also our Joshipura ji had arranged a visit, it was through this that car investment was done, so you have also arranged car investment for us and another request is that whichever shareholders have joined today, give them first preference, whatever you have done of first come first serve, Ranjan Ji, sir, but whoever has joined today, please be kind to give their chance first to them.

I thank you for the dividend and as a shareholder sister I also extend my best wishes to you that Raksha Bandhan festival is also coming on 9th August, so I extend my best wishes to you with blessings that you always remain healthy, have fun and no matter how many drops of this rain fall on this earth.

Ranjan Kumar

Madam, please confine to two minutes. Thank you so much.

Smita Bharat Shah

Chairman Sir, keep it going and I fully support all of today's resolutions and Chairman Saab, it was taking a lot of your time too, but now give some time to the shareholders too. Bharat Saab is talking, keep it going, Chairman Saab keep it going.

Respected Chairman Ji, MD Ji, sir, I will talk for a minute, not more than that. Respected Chairman Ji, MD Ji, and other respected directors, I have been a shareholder since the time of the issue, whenever your AGM used to take place in Bombay, I used to join it, sir, and the company is running very well, you are giving good returns, I thank you very much.

In the coming year, Sir, if it can be done, I request for a bonus and if there are future programs then do let me know, Sir, and you have declared a factory visit, it is very good that you did this, Sir, in the

last visit, MD brother Shishir Joshipura himself had come to Pune and had booked a bus from Bombay, Sir, this time I request you also to join MD Sir with us in the visit and today the meeting that I have joined, the AGM that I have joined, I request them to give them all a chance first Sir and I had booked a bus from Bombay last time, I have requested for keeping such transport facility and the Company Secretary, our Company Secretary, Ranjan Kumar Ji and his team's Mayuri Kulkarni And I thank the entire CS team a lot, I congratulate them, they are providing the best investor service, they always respect shareholders, (Audio disconnect), so I thank the entire CS team, I congratulate them and may your health and wealth continue to be good, may the company do great, pray to God, all the information, Sir. Thank you very much, Sir. Jai Hind. Vande Mataram, Sir.

Gopal Subramanyam

Tha

nk you.

Ranjan Kumar

Thank you very much, Mr. and Mrs. Shah. So, we are done with speaker number one and two together. Can we have the speaker number three now, Mr. Lingaraj Mishra.

Unidentified Speaker

Sir, this shareholder has not joined the meeting.

Ranjan Kumar

Then let's move to the speaker number four, Mr. Hiranand Kotwani. Can we have him on the call, please? Mr. Kotwani, can you hear us?

Hiranand Kotwani

Yes. Are you audible?

Ranjan Kumar

Yes, sir. You're audible. Please go on.

Hiranand Kotwani

Namaste. Namaste (Audio disconnect) to join you from Kalyan. I'm Hiranand Kotwani from Kalyan. It's a great company, but certainly the growth is mute. I expected a double-digit growth. You are answer all the questions, which I bring to raise. This is Vasudevan, and you double dime this professor teaching two lecture of same topic, but certainly we want the growth and prospect to be increased faster. What is your call in this round? How are you going to enhance because your words are well taken and your compliance is also good. Nothing will be asked for the sake of question. Do not wasting time as you already visited. That is a good thing. So, I am also interested in that, but you should optimise the portfolio. While the new portfolio will come. When demerger will be completed, what are the ratio, which two company will be, the one was industrial, one will automatic. If you can elaborate that, when this will be open. How shares will come to us? If you got 100 share of SKF there, how many share will come of the both company? You elaborate that only. But innovation cultivator builder. How the-market will improve in a wind turbine. If you can elaborate the market today and how we are going to improve it particular energy level because you just go. We want more growth and more prosperity ahead. Thank you and good luck.

Ranjan Kumar

Thank you. Thank you, Mr. Kotwani.

Gopal Subramanyam

Thank you.

Ranjan Kumar

With this can we move to our fifth speaker shareholder which is Mr. Kaushik Sahulkar. Kaushik Shahukar.

Unidentified Speaker

Sir, he too is not present in the meeting.

Ranjan Kumar

Okay, let's move to our sixth speaker, Mr. Prakashini Shenoy. Can we have.

Prakashini Shenoy

Hello. Am I audible, sir?

Gopal Subramanyam

Yes.

Prakashini Ganesh Shenoy

Thank. Thank you, sir. So, I'm Prakashini Ganesh Shenoy from Bombay. Respected, honourable chairman, other dignitaries of the Board and my fellow shareholders, good afternoon to all of you. I received the AGM report well in time, which is colourful, informative, transparent, and contains all the information as for the corporate governance. I thank Mr. Ranjan and Ms. Joshi for the same. I should not forget to thank her once again for reminding me of today's meeting without which I won't be in a position to speak. Thank you, Ms. Joshi.

The Chairman and the MD has given a beautiful picture regarding the company and it's working in all parameters. Sir, you have not left any room for me to ask any questions. All my questions are answered in your speech. So, thank you and congratulations once again. At the outset, I'm thankful to the Board recommending dividend for the financial year 24-25. I'm also glad to note that the

company is doing outstanding work in the field of CSR activities.

Chairman, sir, last but not the least, my honest request to you. Please continue with VC so that people all over will have an opportunity to express their views. I wish the company good luck for a bright future and pray God that the profits of the company shall reach the peak in due course. Sir, I strongly and wholeheartedly support all the resistance put forth in today's meeting. Thank you,

Chairman, sir.

Gopal Subramanyam

Thank you.

Ranjan Kumar

Thank you, Ms. Shenoy. Can we have our seventh speaker shareholder online, Mr. Bimal Kumar Agarwal?

Bimal Kumar Agarwal

Hello. Can you hear me, sir? Hello.

Gopal Subramanyam

Yes. Yes, we can

.

Bimal Kumar Agarwal

Good afternoon to you, sir. Good afternoon, good evening, good night, and good morning to other shareholders who have joined from different part of the world. Sir, already you have explained everything in your speech. I got no question to ask. You have kept no stone untouched to ask any question. Sir, if you have already arranged a plant visit on 10th September. If you can postpone it to October, that will be better. If you don't mind, that's okay, 10th also, but if you don't mind, October will be better because all shareholders attend the meeting during that time. As Ms. Prakashini Shenoy has said that, please continue with video conference always. That's all from me. Thank you very much. Please continue. I thank Company Secretary and Mayuri Kulkarni also. That's all from me. Thank you very much.

Ranjan Kumar

Thank you. Thank you. Mr. Agrawal, can we have our next speaker shareholder, Mr. Yashvee Kotari? Mr. Yashvee Kotari Sir, this shareholder is not present in the meeting.

Ranjan Kumar

Okay, let's move on to the ninth speaker shareholder which is Mr. Himanshu Trivedi.

Himanshu Trivedi

Hello, sir. Am I audible? Audible? Can you hear me, okay? Yes. Respected chairman, Gopal Subramanyam, and other Board of Directors sitting on this, myself Himanshu Trivedi from Vadodara, Gujarat State. First of all, I'm thankful to our Company Secretary for sending me a soft copy of the AGM report well in advance, which is a pool of information and fact figure entries, which is easy to follow and easy to understand. So I am thankful to you and your entire secretary. Report is nicely prepared with a beautiful photograph with a colourful, with excellent print, or full of detailing and including all parameter of all sector. I don't have much question because I have full faith on Board and their working. Sir, I am support all the resolution item. Sir, I sent all my question and query through the email well in advance.

This will be reduce the time of the AGM and give the opportunity to speak my rest of the speakers shareholders. Sir, still I have few question. Sir, my first question who is our main competitor, and who is my best customer. My second question let me know in how many country reporting exporting our product in India, as well as, in out of India recently company think over, think of launching a plant and machinery, what is the market share we have domestic as well as international market, sir, what will be the effort of the small unorganized sector? Sir, I wish good luck and bright future for coming financial year. Thank you to allow me to speak. Thank you, sir.

Ranjan Kumar

Thank you. Thank you, Mr. Trivedi. Can we have our next speaker shareholder, please, Mr. Jehangir Batiwala.

Jehangir Batiwala

Can you hear me, sir?

Ranjan Kumar

Yes we can hear you.

Jahangir Batiwala

Okay, sir. Sir, nothing much we have to say, it has all been covered in his opening remarks, sir. Good. Good morning, good afternoon, good evening and to all the dignitaries on the (Audio ).

Ranjan Kumar

Sir, we are losing you.

Jehangir Batiwala

One or two questions like.

Ranjan Kumar

Yeah, please go ahead.

Jehangir Batiwala

What is the capex that you're looking at for the next year? The roadmap for the next two years and what are your plans for further growth, and please enroll my name for factory visit, sir. Thank you very much. Thank you for patient hearing.

Ranjan Kumar

Thank you. Thank you. Thank you, Mr. Jehangir, can we have our next speaker shareholder? Ms. Lekha Shah.

Lekha Shah

Hello, am I audible Sir? Thank you, sir.

Ranjan Kumar

Yes.

Lekha Shah

Respected Chairman, sir, Board of Directors, and my fellow members, good afternoon and regards to everyone, myself Lekha Shah from Mumbai. First of all, I would like to thank our Company Secretary Ranjan Bhai especially Mayuri Behen for giving me this opportunity and smooth process where I'm able to talk in front of

you all in AGM. I found the AGM notice and I'm delighted to say it's so beautiful. Full of colours and facts, and figures in place.

Chairman, sir, your opening remarks were so insightful and comprehensive that you have already addressed everything I had in mind. Sir, may all your upcoming festivals be filled with joy and blessings. Sir, I am proud to be a shareholder of this company.

Chairman, sir, I have complete trust and faith in Board of Directors and Chairman, sir. Where there is stress there is no question, sir. Sir, I totally agree with my previous speaker Prakashini Shenoy from Mumbai. Please continue video conference meeting in future. So, I would like to say I strongly and wholeheartedly support all the resolutions for today's meeting. Thank you, sir.

Gopal Subramanyam

Thank you.

Ranjan Kumar

Thank you, Mr. With this we move to our last speaker shareholder Mr. Apsi Basania, can we have him on call?

Unidentified Speaker

Sir, he isn't present in the meeting.

Ranjan Kumar

Okay. Do we have any other shareholder present who have enrolled themselves for this session?

Unidentified Speaker

No, sir.

Ranjan Kumar

Okay. So with this we have concluded all the speaker shareholders. We have heard the question from all the speaker shareholders, back to honourable chairman.

Gopal Subramanyam

Thank you, Ranjan. Thank you shareholders, for your views and questions. I would now request Mr. Mukund Vasudevan, Managing Director, and the management team to answer the questions received from the shareholders during this session. Over to you, Mukund.

Mukund Vasudevan

Thank you, Honourable Chairman. Sir, I will now take the questions one by one and answer them. Ms. Smitha Shah and Mr. Bharat Mulchand Shah asked or suggested had a few suggestions. One was around a physical AGM. Second was around car arrangement from Mumbai, and the third was around bonus. I think we will physical AGM is something which is getting more and more difficult, difficult with our expanded shareholder base, but we will definitely note your point and we will take this into consideration. Car arrangement again, we will try and pool cars and see if we can do something that can be done, especially from Mumbai. And then as far as bonus is concerned, we will definitely note your point. We will definitely look into it. The next two years are going to be a little CapEx heavy with the investments we are planning related to the demerger and setting up more capacity for growth. I'm sure all of you will agree that it is, it will be a good idea to reinvest in the business to expand growth and correspondingly give you more returns, but we have definitely noted your point and we'll come back to you.

Mr. Hiranand Kotwani asked a question around growth and profit. Why is it muted, and what should we do? So, I'll answer this question in a few parts. First of all, if you look at our long-term horizon, as I said we have been growing at almost 17% every year over the last five, five years on average. And I think that is outstanding performance. Some years will be down or up. The growth may not be as much but 17.5% long-term growth is outstanding by any standards international or India. This year in particular, 24-25, we did do a little bit of portfolio pruning, which basically means we stopped doing businesses with either customers who are unprofitable or we dropped products, which were unprofitable, and that is one of the reasons top-line has dropped. So we don't expect that to repeat,

and hopefully we will get back onto the growth track.

What do we need to do to enhance our growth even more in the next few years? I'll address that in two parts. First, we need to expand our manufacturing footprint in India, localise more, but also to expand capacity to just meet demand. In both in Pune and Bangalore factory, we are short of capacity to meet the existing demand. So, we will be setting up more capacity to meet the demand itself, and that its

elf will create growth, but it will also help us localise a larger portion, especially in industrial, to help us meet the competitive price requirements in the region.

The second piece is, as I mentioned, part of our core, part of our strategy, is innovation. And now with two demerged entities, we will be able to innovate better and set up a more fit-for-purpose manufacturing line both for industrial and for automotive, and that is part of the reason we are doing the demerger. To grow and to improve our profit in the future.

The last and final thing is around commercial excellence, which includes everything from our market coverage through our distributors and mechanics for the aftermarket. It is also our market coverage through retail shops for small industry SMEs. It is also the right pricing strategy. It is also how do we deliver or communicate the right value proposition to our customers so that they are willing to stick to us and pay a premium for our better quality bearings. All that is commercial excellence. So, all these put together I believe will create the growth in the future.

The second question from Mr. Kotwani was around how will the shares be delivered and how many? I'd now like to hand it to Mr. Ranjan Kumar to answer that question.

Ranjan Kumar

Sure. So Mr. Kotwani, I mean this split, this demerger is happening on one is to one share allocation, which means that if you have one shares in SKF India Limited, once the demerger concludes, you will get one share of equal value in the new entity as well, and the new entity also, the shares of the new entity also is expected to get listed with the stock exchanges, which is BSE and NSE. So that's how the allocation of shares will happen. And the tentative timeline for that, as indicated in Mr.

Mukund's presentation, we expect to get the new entity listed by Q4 '25 subject to receipt of all necessary approvals, which is required to be taken in the process.

Mukund Vasudevan

Thank you, Mr. Ranjan Kumar. The next question was from Ms. Shenoy and she had requested for a continue of this VC AGM. Point noted and we will hope to continue it.

Then Mr. Bimal Kumar Agarwal requested for a postponement of a planned visit to October Sir, I think that would be difficult to do at this point, but we will continue to organise in the future. So if you missed this, you can definitely visit in the next such visit.

Question from Mr. Himanshu Trivedi, who is our main competitor? Which countries do we export to, and our market share in domestic and international? Our top three top three competitors in India, our top two competitors are Schaeffler and Timken. In terms of market share, we are the leader in this field of bearings and bearing seals, and if you include after-sales services also around that we are the leader with a market share of give or take a few, around 20% to 25% in the bearing space. We continue to compete with them through all the strategies I mentioned, which is around localising more product, innovating more and ensuring that our commercial excellence is world-class.

How much do we export? Approximately 9 to 10% of our businesses export. To which countries? I would now like to invite, Mr. Ashish Saraf to answer that question.

Ashish Saraf

Thanks, Mukund. So, I think our exports we continue to do exports to Europe, to Southeast Asia as well as Americas. I think one of the big markets that we have is Germany, France in Europe, and in Southeast East Asia again we kind of continue to expand and grow as we continue to localise more in India.

Mukund Vasudevan

And finally the question was around from Mr. Himanshu Trivedi was market share. I mentioned in domestic international also is in the same range in the range of around 20%. Again, we are market leaders amongst in the bearing space.

Okay, Mr. Jahangir Batiwala had a question around CapEx in the next few years what is our CapEx investment, and also around plans for f

urther growth. I think I spoke about the plans for further growth. I'd like-Mr. Ashish Saraf to comment on CapEx next year and the roadmap for the next two next two years.

Ashish Saraf

Yeah, so, I think in. In one of our earlier calls we had communicated our investment plans both for the automotive business as well as for the industrial business. If you look at our current CapEx investments our current CapEx investments is in the range of around 130 to 150 crores annually. We are expecting that to significantly increase as we create two strong fit for purpose companies and we expect that to be in the range of around 250 crores to go up to around 250 crores on an annual basis, and over a period of next five years we expect the investments to be in the range of around

1,200 crores.

Mukund Vasudevan

Okay. Thank you, Mr. Ashish Sharaf. And last comment was from Ms. Lekha Shah to just continue the VCs. Point noted and we hope to be in touch with you through these VCs. Thank you.

Now back to Mr. Gopal Subramanyam, Honourable Chairman.

Gopal Subramanyam

Thank you, Mukund and the entire SKF India management team for answering most, almost all the question comprehensively. It seems we have covered the views and questions from the members.

However, if we have missed any of your questions please send them to our registered email id, which is investorIndia@SKF.com , I repeat investorIndia@SKF.com We'll try to reply over email unless the same has already been covered or answered here.

Thank you, members. I'm sorry, the company has tried to respond to all your questions to the extent possible and in case you have any further queries, please feel free to write to the company and company will address the same.

The e-voting facility will remain available for 15 minutes after conclusion of the meeting to enable the shareholder to cast their vote. The resolution as set forth in the notice will be deemed to be passed today subject to the receipt of requisite number of votes. The result of e-voting will be declared within the prescribed timeline from the conclusion of the meeting, and the same along with consolidated scrutinisers report will be placed on the website of the Company, on the website of NSDL, and website of BSE Limited and National Stock Exchange.

Now, since the agenda items have been appropriately dealt with, I declare the conclusion of this meeting. I take this opportunity on behalf of the entire Board and the management team to thank all of you for your effective participation, useful suggestion, and encouraging words. We look forward to your continued support. Thank you, and Jai Hind.

## Call: Aug 2025

SKF India Limited

Registered office : Chinchwad, Pune 411 033, Maharashtra, India

Tel: +91 (20) 6611 2500, Fax no: +91 (20) 6611 2396, Web: [www.skf.com](http://www.skf.com), Email id: [investorIndia@skf.com](mailto:investorIndia@skf.com)

CIN: L29130PN1961PLC213113

Date: 21st July 2025

National Stock Exchange of India Limited,  
Exchange Plaza, 5th Floor, Plot No. C-1,  
G Block, Bandra - Kurla Complex,  
Bandra (East), Mumbai – 400051,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001, Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code -500472

Subject: Intimation for transcript of NCLT Convened Meeting of Equity Shareholders held on 14th July 2025 at 11:30 AM (IST).

Reference: Our Intimation dated 15th July 2025 for Video link of NCLT Convened Meeting of Equity Shareholders held on 14th July 2025.

Dear Sir/Mam,

Pursuant to Clause 15(b)(iii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30 (6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR"), please find enclosed herewith transcript of NCLT convened meeting of Equity shareholders held on Monday, 14th July 2025 via VC/OAVM at 11:30 AM IST. The same will be available shortly on the website of the company for the convenience of the shareholders at the below -mentioned link: <https://www.skf.com/in/investors/shareholder-information>.

The above is for your information and record. You are hereby requested to disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

---

Ranjan Kumar  
Company Secretary & Compliance Officer

Mr. Kuldeep Kumar Kareer

Good morning , everybody and good morning to all the shareholders who are present online. I welcome you all to this NCLT convened meeting of equity shareholders of SKF India Limited. I would like to mention that this meeting has been convened through video conferencing and other audio -visual modes in compliance of the orders of the NCLT Mumbai bench passed on 04th of June 2025 for the purpose of considering the scheme of arrangement between SKF India Limited, SKF India (Industrial ) Limited and the respective shareholders and creditors as per the provisions of Section 230 -232 and other applicable provisions of the Companies Act , 2013.

I am Kuldeep Kumar Kareer . I have been appointed as chairperson of this meeting by the Honorable National Company Law Tribunal, Mumbai. Before beginning with the proceedings of the meeting, I would like to introduce the board of directors and other officers of the Company who are present online. I will call out their names and they will introduce themselves. Ms. Anu Wakhlu.

Ms. Anu Wakhlu

Namaste. I am Anu Wakhlu , Independent Director of the Company. I'm also the chairperson of the Audit Committee, the Nomination and Remuneration Committee, and a member of the Risk Management Committee, Stakeholder Relationship Committee, and Corporate Social Responsibility



committee. I am participating in this meeting from Pune, Maharashtra, India.

Mr. Kuldeep Kumar Kareer

Thank you , Ms. Anu. Mr. Gopal Subramanyam.

Mr. Gopal Subramanyam

Namaste, good morning to all of you. I am Gopal Subramanyam , Independent Director of your Company. I am also the Chairperson of the Board of SKF India Limited, the Risk Management Committee and Stakeholder Relationship Committee. Besides, I am also a member of Audit Committee, Nomination and Remuneration Committee and CSR Committee. I am joining this meeting from Pune, Maharashtra, India. Thank you.

Mr. Kuldeep Kumar Kareer

Thank you, Mr. Gopal. Ms. Kerstin Enochsson .

Please, uh...

Ms. Kerstin Enochsson

So once again, namaste and good morning. Kerstin Enochsson is my name. I'm President Automotive at

SKF. I'm Non-Executive and Non-Independent Director. I'm calling in from Sweden and I'm also member of the Audit Committee. Thank you.

Mr. Kuldeep Kumar Kareer

Thank you, Ms. Kerstin. Mr. Joakim Landholm.

Mr. Joakim Landholm

Hi everyone, my name is Joakim Landholm. I'm the group, I'm heading up group operations in SKF Group. I am a Non-Executive and Non-independent board member of SKF India. I'm also a member of the Nomination and Remuneration committee of the Company and I am attending this meeting from Stockholm, Sweden.

Mr. Kuldeep Kumar Kareer

Thank you, Mr. Joakim . Mr. Mukund Vasudevan.

Please check your audio.

Mr. Mukund Vasudevan

Here I go again. Good morning, everyone. Namaste. I am Mukund Vasudevan, Managing Director of your Company. I am the Chairperson of the CSR committee and a member of the Stakeholders Relationship Committee and Risk Management Committee of the Company. I'm participating in this meeting from Pune, Maharashtra.

Mr. Kuldeep Kumar Kareer

Thank you, Mr. Vasudevan . Mr. Shailesh Kumar Sharma.

Please check your audio, you are not audible.

Mr. Shailesh Kumar Sharma

Hello, Namaste.

Mr. Kuldeep Kumar Kareer

Yes.

Mr. Shailesh Kumar Sharma

I am Shailesh Kumar Sharma, Whole -Time Director of your Company. I am also a member of the Risk Management Committee of the Company. I am attending this meeting from Pune, Maharashtra, India.

Mr. Kuldeep Kumar Kareer

Thank you, Mr. Shailesh . Mr. Ranjan Kumar.

Mr. Ranjan Kumar

Good morning, everyone. I'm Ranjan Kumar. I am the Company Secretary and Compliance Officer of your Company. And I'm joining this meeting from Pune, Maharashtra, India.

Mr. Kuldeep Kumar Kareer

Thank you Mr. Ranjan. Thank you all of you. Mr. Ashish Saraf who is Chief Financial Officer of the company. He was also supposed to join but he could not join this meeting due to some personal exigency. The company has made all possible arrangements under the current circumstances to enable the members to effectively participate in this meeting through video conferencing facility and to cast their vote electronically.

Now I would request Mr. Ranjan Kumar, Company Secretary and Compliance Officer of the Company to please check and confirm whether the quorum for this meeting is there and also share , some vital information about this meeting with the shareholders. Over to Mr. Ranjan Kumar.

Mr. Ranjan Kumar

Thank you, Honorable Chairman. After looking at the number of shareholders present at this meeting, I confirm that the requisite quorum as required under the law for this meeting is present. As per various circulars issued by Ministry of Corporate Affairs and SEBI from time to time, the participation of the shareholders who have joined this meeting through video conferencing has also been considered for the purpose of computing quorum. Shareholders, please note that this meeting is also being attended by our statutory auditors, M/s Deloitte Haskins & Sells LLP; our secretarial auditors, M/s J.B. Bhawe & Co.; our cost auditors; as well as the Scrutinizer appointed by the Honorable National

Company Law Tribunal (NCLT) . Now a brief announcement for the convenience of the shareholders. All shareholders who have been joining, who have joined this meeting are being put on mute mode by default just to avoid any background noise and to ensure a smooth and seamless proceedings of this meeting. The shareholders who have registered themselves as speaker, they will be allowed to speak when their names are announced with the request to speak. Once the names are announced, their audio and video facility will be opened accordingly. Shareholders may further note that the recorded video of the proceedings of this meeting and the transcript of it would be uploaded on the website of the company. This would also be uploaded on the stock exchanges where the shares of the companies are listed, which is BSE Limited and National Stock Exchange of India Limited in due course. .

Now a quick information about voting inspection and speaker shareholders. I would like to inform the shareholders that in compliance with the provisions of the applicable laws, and various circulars issued by the Ministry of Corporate Affairs and SEBI, the shareholders were provided the facility to cast their votes through remote e -voting platform, which was open from 10th July, which was Thursday, 10th July 2025, which was Thursday from 9 a.m. Indian Standard Time till 13th July 2025, which was Sunday, till 5 p.m. Indian Standard Time.

The facility of casting an e -vote is also available to the members during this meeting. The shareholders who have not casted their vote using the remote e -voting platform but are present in this meeting can cast the vote during this meeting. E -voting facility is currently active and it will remain active till 15 minutes from the conclusion of this meeting. If the shareholder has already casted his or her vote, using remote e -voting facility, then he or she will not be allowed to pass their votes during this meeting. Shareholders whose name I mean this is about the shareholders who are qualified to cast their vote so the shareholders whose name appeared on the register of member as on the cutoff date which was 07th July 2025 as was indicated in the notice also. These are the people who are eligible to cast their vote for this business since this meeting is being convened through video conferencing. There will not be any vote by show of hands

Now, I would also like to apprise the shareholders about the Scrutinizer. The Honorable NCLT has appointed Mr . Kewal Mahindra Shah of M/s Kewal Mahindra Shah & Associates as the Scrutinizer for scrutinizing the votes cast by the shareholders in a fair and transparent manner. They are also attending this meeting through video conferencing. The combined results of the remote e -voting and the e -voting conducted during this meeting will be declared by the Company after the receipt of the Scrutinizer's Report. The results will be published on the Company's website, [www.skf.com](http://www.skf.com), it would also be uploaded on the website of NCLT at [www.evoting.nsdl.com](http://www.evoting.nsdl.com). It will also be sent to the stock exchanges where the shares of the company are listed, which is BSE Limited and National Stock Exchange of India Limited in due course within the prescribed time as given in the law.

Now we move on to take the resolution contained in the notice, but before requesting Honorable Chairman to take up the resolution, I would like to reiterate the process of taking the query and questions from the shareholders, which was anyway explained in the notice which has been circulated to the shareholders. This being a virtual meeting , only the following members will be entitled to share their views and questions as was explained in the notice as well. Number one, the shareholders who have already registered themselves as speakers as on a before 04th of July 2025 as per the process explained in the notice. And also, the members who have expressed their views and have shared their questions in advance on the designated email address which was included in the notice by 04th of July 2025. The process of both of the enrolments was given in the notice, which has been floated to the shareholders. For others, if you have any questions, please do direct those questions to our registered email ID, which is [investorsindia@skf.com](mailto:investorsindia@skf.com). We'll try to reply your questions over email unless the same has already been addressed in this meeting. With this, I would hand back, hand over back to honorable chairman for taking up the resolutions.

Mr. Kuldeep Kumar Kareer

Thank you, Mr. Ranjan. Now we would briefly discuss the agenda of this meeting. On the requisite quorum, which we have come to know from Mr. Ranjan that it is complete, so I declare the meeting

open and to order. The documents mentioned in the explanatory statement are open for inspection electronically on the website of the company that is [www.skf.com](http://www.skf.com). In accordance with the directions set out in the order of the Honourable National Company Law Tribunal and in compliance with the Ministry of Corporate Affairs circulars, the notice of this meeting along with the documents mentioned in the explanatory statement have already been sent through email to such equity shareholders whose email addresses were registered in the records available in the company as on 30th May 2025. The shareholders may further note that notice of the NCLT convened meeting along with its annexures was also sent to the members via email dated 07th June 2025. A copy of the notice and the accompanying documents were also placed and are still there on the website of the company, the website of NSDL , being the agency appointed by the company to provide e -voting facilities for the meeting and the website of the stock exchanges, that is BSE Limited and National Stock Exchange of India Limited on 07th June, 2025. The notice convening this meeting was duly published through an

advertisement in newspapers on 09th June 2025 i.e. Financial Express all editions, Business Standard Pune edition, Economic Times and Mint in English language and Lok Satta Pune in Marathi edition. That was also in compliance with the relevant rules and the directions of the Honorable NCLT. Considering the same, with your permission, the notice of the meeting and other company documents is being taken as read. Let me now briefly apprise you with the scheme of arrangement which we are considering through this meeting, which has been placed upon the shareholders for your approval in this meeting. This meeting is placed in pursuance to the provisions of Section 230 to 232 and other applicable provisions of the Companies Act and inter alia provide for the following. Demerger includes transfer and vesting of the demerged undertaking i.e. industrial business from SKF India Limited, the demerged company, into the SKF India (Industrial) Limited, the resulting company, on a going concern basis and issue of equity shares by the resulting company to the equity shareholders of the demerged company in consideration thereof in accordance with the provisions of the Companies Act, 2013 and Section 2, Subsection 19A of the Income Tax Act 1961 and to, various other matters consequential or otherwise integrally connected therewith. Including reduction and cancellation of the entire pre-scheme share capital of the resulting company. The rationale of the scheme is mentioned on page number 29 and 30 of the notice and explanatory statement which has already been circulated to you. The appointed date is the same as the effective date and or such other date may be mutually decided by the board of the demerged company and the resulting company. Effective date means the day on which the last of the conditions specified in clause 24, conditionality of this scheme is complied with or otherwise duly waived as applicable in accordance with this scheme. For the purpose of the demerger of the demerged undertaking from the merge company to resulting company, based on the share entitlement ratio report of M/S. PwC Business Consulting Services who are registered valuers and the report dated 24th December 2024. The resulting company will issue one fully paid-up equity share of Rs. 10/- each for every one fully paid-up equity share of Rs. 10/- held in the demerged company. M/S Saffron Capital Advisers Private Limited, an independent SEBI-registered merchant banker, in their fairness opinion dated 25th December 2024, has opined that the share entitlement ratio is fair and reasonable. Upon the effectiveness of the Scheme and subject to receipt of necessary approvals. The equity shares of

of the resulting company issued as consideration to the shareholders of the company in terms of the scheme will also be listed on BSE Limited and National Stock Exchange of India Limited. The scheme is subject to receipt of approvals from the Honorable National Company Law Tribunal and other regulatory authorities. So, the agenda item on which your vote today is required is to approve the scheme of arrangement between the company and the resulting company and their respective shareholders and creditors under sections 230 to 232 and other applicable provisions of the companies act 2013. With this, as we have gone through the agenda items of this NCLT convened meeting, I thank the members for their participation.

Now I will request the Company Secretary Mr. Ranjan Kumar to invite the members who have registered themselves as speakers. He will announce their names and on announcement of their names the audio and video facility of the respective members will be opened. I would like to request the members to be kindly brief and summarize their views and questions in just two minutes so that all the members get ample opportunity of expressing their views and raise their queries and questions. The questions raised by the speakers will be addressed once all the speakers have concluded with their queries. In interest of time, I request again to all the speakers to kindly confine their queries and questions only with respect to the agenda item which is there before us. That is the approval of the scheme.

Now I would request Mr. Ranjan to kindly facilitate the question-and-answer session and call the shareholders in order of their registration as speakers to raise their queries. Thank you and over to Mr. Ranjan.

Mr. Ranjan Kumar

Thank you, Honorable Chairman. In the interest of time and for the benefit of other shareholders, I'll repeat again. I'll keep a time check as well and request the shareholders to confine their questions and you in two minutes. With this, let's go to our first speaker shareholder, which is Ms. Prakashini Shenoy. Can we have her on the screen, please? Ms. Prakashini Shenoy. Ms. Shenoy, are you able to hear me? Ms. Prakashini Shenoy

Am I audible, sir? Am I audible?

Mr. Ranjan Kumar

Yes, ma'am. You are audible.

Ms. Prakashini Shenoy

Thank you, Thank you, sir. I'm Prakashini Ganesh Shenoy from Bombay. Chairman, sir, since we are meeting for the first time, I wish one and all happy, healthy, wealthy, and prosperous 2025. Respected Honorable Chairman appointed by the NCLT, other dignitaries on the board, and my fellow shareholders, good morning to all of you. I received the EGM report. EGM notice well in time, which is self-explanatory. I thank Mr. Ranjan Kumar, Company Secretary and Ms. Mayuri for the same. I should not forget to thank Ms. Mayuri once again for reminding me of today's meeting without which I wouldn't be in a position to speak. Thank you, Ms. Mayuri once again. The chairman has given a

beautiful picture regarding the company and its NCLT matter. Sir, thank you very much for the same. Sir, I have just one or two questions. My first question is what is the cost of whole merger process and how much time will it take to complete the process? My second question is what about the staff whether they will be allowed to continue or otherwise? And the last question is how it is beneficial to the shareholders? Chairman, last but not the least, my personal request to you, please continue with VC so that people all over will have an opportunity to express their views. I wish the company good luck for the bright future and pray God that the profit of the company shall reach the peak in due course. Sir, I strongly and wholeheartedly support all the resolutions put forth in today's meeting.

Thank you, Chairman Sir.

Mr. Ranjan Kumar

Thank you so much, Ms. Shenoy. We noted your questions. With this, we move to

the next speaker

shareholder, which is Mr. Bimal Kumar Agarwal. Can we have Mr. Agarwal on the screen, please? Mr. Agarwal, can you hear us?

Mr. Bimal Kumar Agarwal

Hello. Can you hear me?

Mr. Ranjan Kumar

Yes, sir.

Mr. Bimal Kumar Agarwal

You can hear me.

Mr. Ranjan Kumar

Yes, Mr. Agarwal.

Mr. Bimal Kumar Agarwal

Thank you. First of all, I thank the company secretary Mr. Ranjan Kumar and his team and also Mayuri Kulkarni for reminding us. Ms. Shenoy has told that she also just reminded 9.30 around. Thank you for that. And already my question was already raised by just now by Shenoy. I got no question to ask and I have already voted for the same. Thank you very much and I also agree that you continue the video conference in future. That's all from me. Thank you very much and try to arrange a plant visit if you don't mind.

Mr. Ranjan Kumar

Thank you. Noted your suggestion and we'll soon come back to you on that. Especially on the plant visit. With this, can we go to our next speaker shareholder, is Mr. Himanshu Trivedi.

Mr. Trivedi, can you hear us?

Mr. Himanshu Trivedi

Yes, sir. Yes, sir. I'm audible?

Mr. Ranjan Kumar

Yes, sir. You're audible? Yes, sir. You're audible. Please go on.

Mr. Himanshu Trivedi

Hello. Good morning. Respect the NCLT's chairman, Kuldeep Kumar Kareer, my fellow shareholders, myself, Himanshu Trivedi from Malhara, Gujarat State. Sir, first of all, I'm thankful to our company secretary, Ranjan Kumar, for sending me a soft copy of the NCLT report, which is full of information and fact-checking are in place, which is easy to follow and easy to understand. So, I am thankful to you and your entire secretarial team. Sir, I don't have much question because I have already faith on board and they are working. I support all the agenda items. I have sent my few questions through the email. Still, I have few questions which is, I have first query sir. What step would be taken new management for old employees of the company? And my second query is, sir, who paid legal and other charges? Rest, nothing, thank you for allowing me to speak. I support all resolution agenda item. I wish good luck and bright future for the coming financial year. Thank you, sir.

Mr. Ranjan Kumar

Thank you, Mr. Trivedi. Thank you so much. Then we move to the next speaker shareholder, which is Ms. Lekha Shah. Can we have Ms. Lekha Shah please on the stream?

Miss Shah, can you hear us? Mr. Lekasha, can you?

Ms. Lekha Shah

Sir, can I? Am I audible?

Mr. Ranjan Kumar

Yes, ma'am. You're audible. Please go on.

Ms. Lekha Shah

Thank you, Respect the chairman, sir. Board of Directors and my fellow members, good morning. And regards to everyone, myself, Lekasha from Mumbai. First of all, I would like to thank our company secretary, Mr. Ranjan Kumar Ji, especially madam Mayuri, for giving me this opportunity and for smooth process where I'm able to talk in front of you all in EGMs. I found the EGM notice and I'm delighted to say it's really useful with lot of information. Chairman sir, your opening remarks were so insightful and comprehensive that all the day address everything I had in mind. I have complete rest and faith in our board of directors, chairman, sir. There is no question, sir. Once again, I would like to

specially thank Mayuri Madam for being in touch always I am a regular speaker in the company, sir. Or I totally agree with my previous speakers, Bimal Kumar Agarwal, Prakashini Shenoy . Please continue video conference meeting in future. So , I strongly and wholeheartedly support the special resolution for today's meeting. Thank you so much .

Mr. Ranjan Kumar

Thank you so much, Ms. Shah . We noted your suggestion or request of plant visit and we'll organize that soon. Then we move to our next speaker shareholder, is Mr. Haritima Joshi. Can we have Mr. Joshi on the call, please?

Female voice

Sir, this speaker has not joined the meeting.

Mr. Ranjan Kumar

Okay. We move to the next speaker shareholder, which is Mr. Ravindra Purohit. Can we have him on call, please? Mr. Purohit, can you hear us?

Mr. Ravindra Purohit

Yes, I can. Am I audible?

Mr. Ranjan Kumar

Yes, sir, you're audible.

Mr. Ravindra Purohit

Yeah, hi. Good morning, gentlemen. And thanks for this. And first of all, we'd like to congratulate and have wholeheartedly supported this demerger initiative that SKF Group is undertaking. And also appreciate the initiatives that we've taken over the last one or two months where we've had a lot of con calls and analyst meets, and there are a lot of material already available. So just a couple of questions regarding this. So once this demerge r, our peer Schaeffler group actually merged everything into one single entity, whereas we are going the other way around. And of course, SKF group itself has decided on this breakup. we are totally OK with that. The question is, we will now have three entities in India. There is already an unlisted entity that we have in Ahmedabad, the SKF engineering and lubrication , right? And post this, you'll have two more entities. Does it really make sense when we are trying to uncomplicate structures globally? But in India, we will actually have three compani es and shareholders will always be kind of second guessing where , do you know, the company's interest lie, of course, the listed entity being the largest one, I'm assuming that will that's where the shareholder alignment and interest would also lie . But, it will just like life make life easier if , if there was more clarity on the structure and the path that the group is planning to take , right? And the second question was, you know, sir, between the six months back, right, when we had done a couple of con c alls and now

when at the time of demerger, there has been a significant change in in our CAPEX outlook. Right. I think earlier we were effectively doing about 100, 150 odd crore CAPEX, but closer to the demerger and the last two calls that we have had specific to demerger, we have significantly raised our guidance on CAPEX from about, you know, 150 odd crores over the last three -year average to now taking it almost to 350 crores to 400 crore per annum basis, right? And we've put out in our presentation as well. So , what has kind of happened between then and now for us to kind of, know, warrant this very large change in our CAPEX? If you could address both of these questions, that would be very helpful for us. Thank you. And once again, I completely support the demerger and we have kind of voted in favor of the same. Thank you so much.

Mr. Ranjan Kumar

Thank you. Thank you, Mr. Purohit. And we really noted your question and also the suggestion of bringing more clarity and structure. We'll go back to this question. With this we move to our last speaker shareholder which is Mr. Jahangir Batiwala . Can we have him on the call please?

Mr. Batiwala , can you hear us?

Mr. Jahangir Batiwala

Can you hear me?

Mr. Ranjan Kumar

Yeah, we can hear you now.

Mr. Jahangir Batiwala

Okay, sir. Nothing more to speak because already a has been spoken. Good morning to all the dignitaries on VC platform. Just one question is that now I was listening to the last speaker. Now, Schaeffler also is our group company. So now , what is the business model? What will be the business model? And how are we going to go ahead in the future? Like, we'll be holding shares of two companies. So kindly clarify this and if possible, a factory visit is if it is due. Thank you.

Mr. Ranjan Kumar

Thank you Mr. Batiwala . Well noted your request of factory visit and will speak about the clarity as to how would these two entities would look like you hold share in both entities. We'll address that now. Good with this. With this we are done with all sp

eaker shareholders. Ref erence back to under the chairman.

Female voice

So, speaker number five has joined the meeting.

Mr. Ranjan Kumar

Oh, that's great. Then let's let him be let him be on the call. Mr. Haritima Joshi, can we have him on the call please?

Mr. Joshi, can you hear us?

Mr. Haritima Joshi

Hello. Yeah, Mr. Joshi. Hi, this is Nikhil Upadhyay. I'm a joint account holder. I just had a couple of questions. One is on the structure, as one of the earlier participants highlighted, I think we have a range of other entities, group entities in India, and especially in industrial business. So, are there any thoughts in terms of simplifying the ownership structure and merging all under one single ownership? That is one. And secondly, if you look at in the auto also, you know, if you look at some of the other

group, other competitors in the space, over a period they've expanded and added several other product categories, bearing, bearing allied, allied products in bearing and then other product categories in the auto space. So, post restructuring, is there any thoughts on portfolio addition, you know, for, you know, the residual auto business under SKF? That is second. Third is, you know, can you just give some more color in terms of the market position in major end segments for us? Both in automotive and industrial, what kind of a market share we have now, you know, in major end applications or segments, be it industrial, automotive, versus three to five years back. So, parent in their presentation give out a very detailed market position, you know, be it an industrial, be it electronics, aerospace. So, for us, you know, can you give some sense, is our market position there? Other than that, I have a few questions on the aftermarket piece, whether it be auto and industrial. And the question here is, if I look at last three to five years, we have taken several initiatives, be it on distribution, network expansion or serviceability of product. If I look at the product segment growth, and if I compare to our competitive competitors, then we've seen some bit of muted performance there. So just trying to understand, know, what really transpires is pricing limitation for us or is it longer led times? Because somewhere we also had a dedicated distribution center based in India, but growth service not picked up to the level where we think, you know, an added question is, you know, if we can elaborate on the value edge platform, which we have launched and how do it differentiate what is of other offering in the marketplace? And one more question is, if I look at a network, both be it automotive or industrial, how has it grown over the last three, four years, and how do we look to grow in coming years? In industry, if you look at parent, they were very leading positions globally in aerospace, defence, electronics, and semiconductor applications. So, for India, entity, do we have any presence in any of these segments? And if we do then what kind of revenue contribution these contribute currently?

And in the upcoming localization which we talk about, do we have any plans for localization for these segments? Last two questions I had, one is on the automotive. We talk about hybrid bearing, we also talk about advanced sensorized bearings now, especially in the solution offerings. So, what kind of a content we're talking about versus current product component sale of a bearing we would have to any OE. And are these localized? Last two questions were on the management. So, in terms of incentive structure for the top management, what would that be? Is there any ESO P plan for them? And what would be the KRAs these link to?

And last is on the cash. How would the cash be distributed between the two entities? So just one more. Parent has established recently a global competency center in India for IT and digital solutions. So,

will

that be a part of the listed entities? These are the questions I just request you to answer each of them in detail.

Mr. Ranjan Kumar

Thank you. Thank you, Mr. Joshi. So, with this, we concluded all speaker shareholders who got themselves registered for the questions or sharing their views. I hand over back to you, Mr. Chairman.

Mr. Kuldeep Kumar Kareer

Thank you Mr. Ranjan and thank you all the shareholders who took time to raise very pertinent questions. Now I would request the Managing Director Mr. Mukund Vasudevan to kindly respond to the questions raised by the shareholders.

Mr. Mukund Vasudevan

Thank you, Honorable Chairperson and thank you all shareholders for your questions. I will do my best now to answer these questions and I would request support from Mr. Ranjan Kumar and Mr. Shailesh Kumar Sharma to support me in some of these where they will have additional information to share.

The first question I have listed down is what is the cost of this whole demerger and the timeline. I'd request Mr. Ranjan Kumar if he could briefly touch upon this.

Mr. Ranjan Kumar

Sure. Sure. I'll start with the timeline. The way this was presented even in the last investor call as well, we are still targeting to conclude the process of demerger when we need to obtain the approval of NCLT by the by Q4 2025. We seem to be on track at this point of time. But as you know, NCLT process

is something which is not in the control of the company. So, all the estimation, all the targets are subject to the approvals, which we expecting from NCLT. So, on a high -level timeline, we expect to the NCLT approval somewhere September and October months post which we go for the listing and we want to conclude the whole process before Q4 2025. That's the high -level target we have taken as a management team and we seem to be on track on that. Now coming on the cost of team merger, we are still in the process of accumulation. As you know, it's a complex project primarily because the businesses both automotive and industrial, they are so deeply integrated that having two independent businesses is a complex process. We are still in the process of really quantifying the cost of the demerger, but we'll soon come back to the shareholders when we have some clear data around that. Mukund, back to you.

Mr. Mukund Vasudevan

Yeah. So, the second question was, how will this be beneficial to shareholders, this demerger? As you all know, and we have stated in our calls with investors and the shareholders and with to Sebi, the purpose of this demerger is to create two fits for purpose companies, are independently world -class companies. So, both the automotive and industrial, the idea is that we will create two companies which are tuned to serve the market needs or the customer needs, tuned in their business model to serve the automotive or industrial segments. And also, the internal manufacturing processes will be tuned so that we can serve our customers better. And finally, even innovation will be tailored to what the customers want in industrial or automotive.

The net result of all of that, our aspiration is that we will create two companies which are more profitable and can grow faster. So that is the overall intention and that as a result should create more shareholder values to both the automotive and industrial shareholders.

If I move on, Mr. Bimal Agarwal didn't have any questions. Mr. Himanshu Trivedi had two questions. I'll take the second one first. Who will be paying for the legal charges for this demerger process? Mr. Ranjan Kumar, if you could answer that one.

Mr. Ranjan Kumar

No, sure. So currently what we are doing is the whole cost is being built by the SKF India Limited because it's the demerger is being initiated by the listed entity. However, since it doesn't matter where does the cost exist, be it in automotive or industrial entity, th

e reason being the shareholders are getting one is to one. So technically with the same ownership, we are splitting the businesses too. But just to answer your question, currently the costs are being built in the listed entity, which is SKF India Limited, which is in the process of demerger.

Mr. Mukund Vasudevan

Thank you, Mr. Kumar. And the first question from Mr. Trivedi was what steps will new management take for the old employees through the process of this demerger? As you know, SKF is a company which cares deeply for all its employees and values their contributions. As we said, in India, we are trying to create two companies which will grow faster and become more profitable. So, the intention here is to make sure that the employees are taken care of. are split in who is working with automotive and who is work ing with industrial. And they will take the company forward. And we really make sure that the two companies are fit for purpose and work towards what the customers need. There is no, I think the

caring nature of the company towards its employees will continue whether it is automotive or industrial.

Okay, Ms. Lek ha Shah did not have any questions other than continue with VCs and factory visits and encouraged for factory visits, which we will continue to do. Mr. Ravindra Purohit had a question that there will be once the demerger is done, there will be three entities. Does it make sense? And is there any plan in the future to merge these entities?

The suggestion from Mr. Purohit was merging them will create some clarity in structure and also clarity on where the interests of the company lie. At this point, we are going through the demerger process. As you know, this is very complex process. are, especially because we are also splitting factories into automotive and industrial. So, we do not want to complicate this, any kind of the process at this point. We want to go through the demerger. Any future decisions on merging entities will be made at a later date once the demerger process is completed. But at this point, the demerger is the focus. There are no other thoughts to merge the entities. That said, we will come back to you if something, our thought changes on that. But at this point, there is no such intention.

As far as where our interest lies, our interests clearly lie with the shareholders and we intend to continue to do that with both automotive and industrial shareholders in the future. will continue to work towards, our management will continue to work towards making sure that we build these two fits for purpose companies and we are aligned with our shareholders in where we want to take the companies.

The second question from Mr. Purohit was there's a significant change in CAPEX outlook from around 150 crore a year going up to almost 400 crore a year. What has caused this change? There are two main reasons for this change. One is the macro in India where we believe we need more capacity to serve the growing demand, whether it is automotive demand or industrial demand. The infrastructure needs or the consumer needs or the commercial vehicle needs, all these are driving more demand and

we need more capacity. So, one of it is purely capacity expansion, which we are accelerating. The second is that we are building a second factory for the industrial business and that itself will involve a little bit of... Starting 27-28 will increase the amount of CAPEX. So that will be as I said a fit for purpose industrial factory tailored specifically for industrial. So those are the two main reasons for the CAPEX Delta or the increase URC.

Okay, Mr. Jehangir Batiwala had asked two questions. One is, what is the business model going to be like in the future? connected with that was, since all shareholders will be holding two shares in two companies, will the business model be different? And the

answer to the question is, the business

model will become more, as I said, fit for purpose, will become tailored more to automotive, tailored more to industrial for the two shares, for the two entities. So as, which means the business model includes everything from how do we, how do we manufacture? Automotive has, is larger batch sizes and more lean manufacturing. Industrial does a lot more different segments, different industry verticals, smaller batch sizes. So again, manufacturing processes will be different. Innovation in automotive is now tailored towards a lot more. As we see the macro industry trends there, electric vehicles are growing. The last mile delivery with commercial vehicles is growing.

So those are macro drivers in automotive, whereas macro drivers in industrial are driven by infrastructure growth, which has a ripple effect on all the cement, steel, power. And again, there will be fit for purpose bearings, which will be created and manufactured for these industries. So, the business model should be slightly different. While we have been tailoring to both these industries, the business models will evolve to make both the entities world class and high performing.

All right, I will then switch to Mr. Nikhil Upadhyay, who is representing Mr. Haritima Joshi. The first question was around the structure, and I think we have already answered that. Is there a thought to merge into one? The second question was automotive. Is there a plan to add more product categories

in automotive? Yes, there is. We are continuously looking at what additional product categories do we want to add in automotive. And I believe through this demerger, we will have more opportunity to look at it more closely and say, what else can we add to the portfolio in automotive so that we can add more value to our customers. Third question was around market share and how are we doing three years ago to now? I don't have specific figures right now to share, but happy to discuss this more. Overall, our data based on BMI, is the Bearing Manufacturing Index, it tells us that our market share has been fairly steady in India over the last three years. There are pockets where we have grown and pockets where we have probably not grown as much. But those are conscious calls. We have walked away from business where the profitability was not high. We have also gained business where we have localized more content and localized more manufacturing. So would say across all our major segments, we have been, we have taken conscious calls, but overall, if you look at it, our market share has been fairly steady, both in automotive and in industry over the last three years.

Okay, aftermarket growth was the next question. Both on auto and industrial and the question was why has the growth been picked up or not? I think we have done a lot in both industrial and automotive and value edge, which was the next question was one of them in industrial. So, the value edge program is a program which encourages our distributors, our channel partners to do the right thing, which is to make sure that we are selling value to the customer and not just trading product that enables us to get premium, also to retain a customer, and also to make sure that our distributors are partners in this process. So, there are lots of examples of how Value Edge has actually helped convert or helped us gain market share or convert away from competitors to us, to SKF. It also ensures that the secondary sale is happening in the right way, not just based on price. Our aftermarket has obviously been growing well, driven by two things. One is our coverage of the market. Both in automotive and in industrial, we have added several new distributors to cover the market fully. But we have also added secondary distributors or retailers. We have an IPS program in industrial, which is retail shops

, which sell into

industrial markets. We have a mechanic program in automotive. So, we've added thousands and thousands of both IPS retail stores, as well as mechanics to our bucket to expand the aftermarket. And that has ensured a good coverage of the market. That is number one.

The second is connected to Value Edge. How do we partner with our channel partners, whether it is the IPS or it is mechanics or it is our distributors. We partner with them with joint accountability, joint targets, but also sharing incentives and loyalty reward programs so that we can encourage them to do the right thing for our business. Overall, our growth has been good. Can it be better? Is there room for improvement? There is always room for improvement.

Next question was around aerospace and defence. Do we have a plan to localize more? We do have some defence products being manufactured in India, defence related products being manufactured. Is there a plan to localize more? We are continuously evaluating that and seeing what else we can do to kind of localize. Aerospace has been less of a demand in India because most OEMs are outside of India. But that said, this is something we will continue to look at. And if, when the time is right, and if we believe that the investment is justified, we will definitely look at it.

All right, incentives for management were the next question. So, this was around what kind of



incentives do the managers have for SKF, the managers in the two demerged entity, what kind of incentives they have. All our managers are driven by growth and profitability. And while global does play a role in it, there is large content of local growth and profitability and networking capital. So those will continue to be a priority, which is, I believe, aligned with our shareholder interests. And the last question was around cash distribution. Ranjan, if you could take this question.

Mr. Ranjan Kumar

Sure. Sure. I mean, in the process of Demerger, as you know, we have created the cardboard financials for both entities separately and each of the P&L item and balance sheet items have been addressed with a very logical principles of allocation. So, cash allocation, have largely gone for last three years

profit which these two businesses have made and based on the last three -year profits we have evolved the principles of allocating cash also. So, for each of the P&L and balance sheet items there's a very logical principle which has been evolved with the help of the experts to split each of the elements.

Yeah.

Mr. Mukund Vasudevan

Thank you, Mr. Ranjan Kumar. I think I have covered all the questions. I now hand it back to Mr. Ranjan Kumar.

Mr. Ranjan Kumar

Thank you. Mukund, one last question. think the last speaker also requested for a plan of localization, if you can speak something around that with automotive and industrial.

Mr. Mukund Vasudevan

So, both industrial and automotive, we are continuing to work on localization. Automotive is already around 95 % localized. Industrial is a little less and that is one of the reasons we are continuing to invest. You remember the CAPEX increasing. Industrial is localized to around 50%, a little less than 50%, but that we expect to continue to grow in the next three years and bring it back up to around 70% localized. It does not make sense to localize around 100 % because it's a trade -off between how much you invest versus what's the payoff you get for that investment. So , it may sometimes it makes sense to keep manufacturing else where and to trade the product through the listed entities in India.

Mr. Ranjan Kumar

Thanks. I think one question was also asked about the R &D center which has been set up in India. This demerger is of the listed company that R &D center continues to be with SKF engineering which is the non-listed entity of the promoter. So , no cha

nge is proposed in that. It was existing in SKF engineering

which was the non -listed entity. It continues to stay there. So, I think with this we have covered all the questions which was raised by our speaker shareholder. If you still feel some questions have not been answered appropriately, please feel free to write us back on the assigned email ID. We'll try our best to respond to your questions in more detail if you feel that has not been covered in that most detail for you. With this, thank you all shareholders. I will hand over back to Honorable Chairman .

Mr. Kuldeep Kumar Kareer

Thank you, Mr. Ranjit Kumar and Mr. Vasudevan, for responding to the question of the shareholders. I think all the questions have been reasonably answered and the company has tried to respond to all your questions to the extent possible and if you have any further queries, please feel free to write to the company and the company will definitely respond and address the issues raised by you.

Now we are coming to the voting part of the meeting. The e -voting facility is already open and will continue to remain open for 15 minutes after we conclude this meeting to enable the shareholders to cast their votes. The resolution as set forth in the notice will be deemed to be passed today, subject to the receipt of the requisite number of votes.

As we already noticed and declared that the quorum for the meeting is complete. Now I authorize the scrutinizer to declare the results of voting as per the prescribed timelines. The result of e -voting will be declared within two working days from the conclusion of the meeting today. And the same along with the consolidated scrutinizer's report will be placed on the website of the company, on the website of NCLT and also on the website of BSE Limited and National Stock Exchange of India Limited. The company will also display the voting results on the notice board at the registered office of the company. So why once again, I thank all the board members of the company, shareholders, team of management and all the invitees for sparing their valuable time for attending this meeting.

Since the business of the meeting is now complete, I declare this meeting as closed. However, the e -voting facility will continue for another 15 minutes. Thank you. Thank you everyone. Thank you very much.

## Call: May 2026

SKF India Limited

Registered office: Chinchwad, Pune 411 033, Maharashtra, India

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CIN: L29130PN1961PLC213113

Date: 26th May 2026

National Stock Exchange of India Limited,  
Exchange Plaza , 5th Floor, Plot No. C-1,  
G Block, Bandra - Kurla Complex,  
Bandra (East), Mumbai – 400051 ,  
Maharashtra, India BSE Limited,  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort  
Mumbai – 400001 , Maharashtra, India  
NSE Scrip Code – SKFINDIA BSE Scrip Code -500472

Subject : Transcript of Analyst /Institutional Investor Meeting held on 21st May 2026

Reference: Our intimation s dated 14th May 2026 and 21st May 2026 .

Pursuant to Clause 15(b) (iii) of Schedule III, Part A, Para A read with Regulation 30 (2), Regulation 30(6) & Regulation 46(2) (oa)(iii) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time) ("SEBI LODR") and SEBI Master Circular No. HO/49/14/14(7)2025 -CFD -POD2/I/3762/2026 dated 30th January 2026 , please find enclosed herewith the transcript of Analyst / Institutional Investor meeting held on Thursday , 21st May 2026 at 11:00 am. The same will soon be uploaded on the website of the company for convenience of the shareholders .

Audio Link is the aforesaid meeting is available on the company's website and same was intimated on 21st May 2026 .

We request you to take the above information on record and disseminate the same on your respective websites.

Thanking you,

Yours faithfully,  
For SKF India Limited

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Mayuri Kulkarni  
Company Secretary & Compliance Officer

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"SKF India Limited  
Q4 and FY '26 Earnings Conference Call"  
May 21, 2026

MANAGEMENT : MR. SHAILESH SHARMA – MANAGING DIRECTOR –

SKF INDIA LIMITED  
MR. MAYANK HOLANI – CHIEF FINANCIAL OFFICER –  
SKF INDIA LIMITED  
MR. GIRISH KUMAR – HEAD, STRATEGY AND  
BUSINESS DEVELOPMENT – SKF INDIA LIMITED  
MS. AASHI ARORA – INTERIM CHIEF FINANCIAL  
OFFICER – SKF INDIA LIMITED  
MS. MAYURI KULKARNI – COMPANY SECRETARY –  
SKF INDIA LIMITED  
MS. CILVINA PEREIRA – HEAD, MARKETING AND  
COMMUNICATION , AUTOMOTIVE BUSINESS – SKF  
INDIA LIMITED

SKF India Limited  
May 21, 2026  
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Moderator: Ladies and gentlemen, good day, and welcome to SKF India Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.  
I now hand the conference over to Cilvina Pereira. Thank you, and over to you, ma'am.  
Cilvina Pereira: Good morning, everyone. Thank you for joining us today. With us, we have SKF India Managing Director, Mr. Shailesh Sharma; our CFO, Mr. Mayank Holani; our Strategy and Business Development Head, Mr. Girish Kumar; former Interim CFO, Ms. Aashi Arora; and Company Secretary, Ms. Mayuri Kulkarni.

The purpose of today's call is to share our quarter 4 results and our overall financial year's performance. Please note that financial information of previous years as reported in the presentation shared has been extracted from consolidated financial statements of erstwhile combined entity and may involve some assumptions by the management pertaining to the demerged industrial undertaking.

These are prepared in accordance with the Appendix C of Ind AS 103 business combinations by using the financial information maintained by the SKF India Limited. Before I turn over the call to the management, I would like to remind you that in this call, some of the remarks contain forward -looking statements, which are subject to risks and uncertainties, and actual results may differ materially.

Such statements are based on management beliefs as well as assumptions made by and on the information currently available to the management. The audience is cautioned not to place any undue reliance on these forward -looking statements and making any investment decisions. The purpose of today's call is to purely educate and bring awareness about the company's fundamental business and the financial quarter under review.

Let me now turn over the call to Mr. Shailesh Sharma. Over to you.

Shailesh Sharma: Thank you, Cilvina, and good morning, and welcome, everyone, to this Q4 financial year 25-26 investor call. I'm Shailesh Sharma, Managing Director of SKF India Limited. Let me start with the agenda, which is on Slide number 3. I'm sure you must be having our presentation. You can refer to Slide number 3.

We will cover a quick executive summary, then we'll talk about macro sector updates followed by quarterly and annual financial highlights. And last but not the least, our strategy going forward and some success stories. In the end, we will take your questions.

We can move to executive summary, which is Slide number 5. Here, as you can see the results, we are glad to inform our investors that we had positive sales growth this quarter, which is about 3%. We will focus more on quarter -on-quarter comparison as stated in the introductory SKF India Limited

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statement. So here, we are comparing Q3 of financial year to Q4 of this financial year. So January to March 2026 is being compared with October to December 2025.

As I said, we had a sales growth of 3% with INR 5.6 billion of the sales. We had 770 basis points drop in our profit before tax, which is about 9% due to previous quarter performance, including certain one -off gains leading to a higher profitability, which includes gain on forex transaction, higher income from fixed deposits and reversal of some employee cost provisions.  
Moving to our net working capital. It increased by about 4.6% due to one -off factors and this

same is expected to normalize as we move forward. If you look at our full year performance sales growth. It sales grew by solid 12.8% to amount INR20.3 billion. However,

profit before

tax dropped by 694 basis points, which was due to a variety of factors, including mix, discounts as well as the reasons explained in the introductory statement. For the full year, net working capital improved by 3.7% year -on-year.

Moving to Slide number 7, which talks about macro key indicators. IIP growth since last 3 quarters has been stable and was 4.1% for Q4 2026. Manufacturing PMI growth stood at 53.9 for March '26. Automotive production has been an upward trend during last quarter for the passenger vehicle, commercial vehicle as well as 2 and 3 -wheelers. Iron and steel production was highest during Q4 financial year 2026 with 9.7% year -over-year growth. So these were some macro key indicators.

Now I will request our CFO, Mr. Mayank Holani, to take us through the detailed financial performance.

Mayank Holani: Good morning, everyone. Happy to be connecting to you and speaking about our financial performance. Now we move to quarterly performance highlights in Slide 9. We achieved highest quarterly sales of INR 5.55 billion for this financial year with a quarter -on-quarter growth of 3% and year -on-year growth of about 14.8%, which was primarily driven by higher growth in cars, 2-wheelers and powertrains, partly offset by a drop in distribution business.

In terms of mix, original equipment manufacturers accounted for about two -third of our sales, that is about 66%, while distribution sales were about 20%, exports 8% and SKF Industrial share stood at 6%. Primarily quarter -on-quarter and annual growth was driven by volumes.

Moving on to Slide 10 now. Here, we'll talk about the profitability for the quarter. Our profitability for the quarter dropped to about 9%, which is primarily impacted by one -off factors, and these factors are expected to normalize as we move forward. It was lower mainly due to one-off gains in previous quarter, which is quarter 3 of financial year '26 related to interest on fixed deposits, forex gains and employee cost provision reversal .

Now talking about year -on-year change in profit before tax, again, there were certain one -off factors, including costs related to demerger , mix impact as well as the comparability issue, as mentioned in the introductory statement.

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Now let's move to Slide 12 and focus on our full year performance. Sales for financial year grew by about 12.7% and mainly it's contributed by OE sales, which grew by a strong 20%, while exports and distribution dropped a bit.

Moving to Slide 13 on profitability. Profitability for the year dropped to about 12.3% due to a mix of reasons . As mentioned earlier, similar reasons here also impacted full year profitability. Let's move to Slide 14 on cash flow. Our cash flow for the year stood at INR 4.05 billion, which represents a cash conversion ratio of about 85%. Cash flow during the year was also impacted by certain one -off factors related to the demerger and these are expected to smoothen as we move forward, and we look forward for the next financial year. This brings us to the end of financial part of the presentation.

And now I'll request Mr. Girish Kumar to talk about our strategy and success stories. Over to you, Girish.

Girish Kumar: Thank you, Mayank. Now I draw your attention to Slide number 16 , and we call the strategic priorities as a RACE strategy. It's an acronym of the full value chain in our focus, basically starting with products that are meant to help customers build efficient vehicles, new energy vehicles and also the vehicles which are now being designed into new environmental and emission standards. Accelerate growth through commercial excellence. The purpose here is to really sharpen the efficiencies, both on the top line and the bottom -line performance as well, and it is driven through a number of full value chain actions.

And also, the capability and the ca

capacity development across the full value chain. Last but not the least is about execution of the strategy with speed, agility and attentiveness. Holistically, this is addressing the complete the SKF India automotive business basically. So, these are the 4 pillars under which various initiatives are being driven that directly addresses the financial performance of the company.

Next, I draw your attention to Slide number 17. This strategy needs to work and the indication is basically the portfolio of the wins that we are having across 3 verticals, 2 -wheeler, 3 -wheeler, passenger vehicles and commercial vehicles. The character of the wins that we are having in quarter 1 is reflecting the market shift to EVs as well and the OEMs going back to the drawing board to redesign their drivetrain subsystems to new emission norms that are coming in, mainly

the BS -VII and the CAFE norms as we II.

And some of the listing that we have done here is primarily the wins that we have with electric motors and also some of the wheel hub bearings, primarily the new launches that are upcoming into the '26 -'27 financial year. So, this represents quite a strong portfolio and the order book going up to about 2030, basically.

Customer awards as well. The shift and the focus and the drive that we have in sustainability initiative on the operations, the supply chain and also the product advocacy is gaining recognition across our supply base and also the customer grouping. Out of 3, what you see is basically a clean energy champion among the supply chain partners of TVS Motors. This is a prestigious award, which basically signals that we are the leaders in the market as recognized by SKF India Limited

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TVS, which sets us an expectation to really add more value to TVS in their future development as well.

In a similar way, our environmental initiatives have been recognized by Honda Motorcycles, again, a prestigious award. And the third one is essentially the business performance from Suzuki Motorcycles. This is in recognition of the top of the line excellent delivery performance through the year that we basically had. So these are the high level customer recognitions that we got in the quarter 1. So now we come to the end of the presentation.

Now I hand over to Cilvina Pereira. Over to you.

Cilvina Pereira Thank you. Now we open the forum for question -and-answer session. Moderator, kindly let us know who is the first one in the queue.

Moderator: Thank you. Our first question comes from the line Krupashankar NJ from Avendus Spark. Please go ahead.

Krupashankar NJ : My first question is a bookkeeping question. Just wanted to get a sense around what would be the mix of end segments, which is 2 -wheelers, passenger vehicles and EVs for the quarter and FY '26? And would you be kind enough to break up between what would be the percent of exposure we would have to engine transmission and wheel end in our entire portfolio?

Shailesh Sharma: We don't comment on the sub -segments per se, Krupa. But our portfolio on wheel end dominates the transmission, if you're talking about passenger vehicle and commercial vehicle.

Transmission is following the second fiddle there.

Krupashankar NJ : Got it. So, you would not be sharing the end segments of 2 -wheelers, passenger vehicle revenue mix from them?

Shailesh Sharma: No.

Krupashankar NJ : Okay. Got it. Second question would be more on margin profile. What we have seen, of course, is a deterioration on a Y -o-Y basis. Just wanted to get a sense around what would be the one -off costs relating to the demerger in the fourth quarter of FY '26 and FY '26? And with respect to margins, what can be the sustainable margin expectation going ahead into FY '27?

Mayank Holani : See if you look at -- in quarter 4 of financial year, there were not too much of demerger -related costs. And if you look at the one -off cos

ts, which I mentioned in the Q3 , rather one-off gains in

Q3, if we remove them, it was more or less at par. Now talking about the sustainable margin, we could be looking at 11 -12% kind of margin in the near future, while obviously in long term, the focus would be on improving it further, but the sustainable margin will be that.

Krupashankar NJ : Got it, sir. But looking at FY '25 performance and what you have shared, I think the margin profile over there were far more robust at close to about 20-odd percent. Just want to get a sense around what is driving this sort of guidance of 12% going ahead? And is it more of a traded proportion, which is increasing in our overall RM mix, probably throw some light on that, sir?

Mayank Holani: Sorry, what percentage you mentioned?

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Krupashankar NJ: So what I meant was the EBITDA margin last year was close to about 20 -odd percent in FY '25. Mayank Holani I was not talking of EBITDA margin. I was talking about the PBT.

Krupashankar NJ Understood, sir. So , from a gross margin standpoint, what I was also looking at is that given that automotive business is largely localized, the purchase of traded goods in the third and the fourth quarter has been quite high at around 15% to 20% of revenues. So just wanted to get a sense around what is exactly that we are buying? Is it primarily from SKF India sorry, industrial? And how long is it expected to continue?

Shailesh Sharma: Okay. So , in Q4 or before that, actually, this is largely from SKF India Industrial Limited. From automotive perspective, we have almost more than 90% localized products. So, we don't trade.

We don't bring too much of our bearings from overseas and sell it. So, for automotive, it is fairly localized. But industrial, yes, that is continuing, and I'm sure you must have seen the results of industrial separately. Did I answer your question or if there is anything?

Krupashankar NJ : Yes, sir. I just wanted to know when is it expected to continue until our new plant in Haridwar and Pune ramp up? Or are we expecting this to be ongoing on a continuous basis?

Some light around that.

Shailesh Sharma: As I said, in automotive, our focus is on localization. It's already more than 90%, and that is going to continue. Industrial, if you are a little bit confused with the industrial mix, that is not going to sustain. Of course, over a period of time, it will go away. Industrial will be separate things and automotive will be highly localized.

Krupashankar NJ : Understood. Last question from my side, if I may. Just wanted to get a sense around EV piece of business, while you did allude to new business wins from the EV motors bearing side of things. I wanted to get a sense around, given that we have seen a certain scale up over the last 2, 3 years on EVs, have you seen the content per vehicle being similar to the ICE in EVs despite the number of bearings coming down? And going ahead, would you want to call out anything on the EV -related contribution to your overall revenue proposition? The margin accretive will it be margin accretive vis-a-vis to your existing business?

Shailesh Sharma: So, the number of bearings in EV are less than ICE engine and growth as of now is going in 2-wheeler mainly. But the...

Mod erator I'm sorry to interrupt you, sir. I'm really sorry, but your voice is muffling, sir. We're not able to hear you.

Shailesh Sharma: Is it better?

Mod erator Yes, sir, it's better now. Thank you, sir. You may proceed.

Shailesh Sharma: So, what I was saying is, yes, number of bearings in electric vehicle is lesser than ICE engine. And as of now, we are going in both the situation. But in 2-wheeler, especially in EV, our share of business is 50% around. But as you see the adoption, or EV adoption has still not caught up

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the pace which was anticipated earlier. But giving you a specific number, Girish, maybe can you add the numbers on it?

Girish Kumar : Yes. I mean the current 2-wheeler is about 6% and then the passenger vehicles is about 4%.

Krupa, specific to what you mentioned, certainly the performance of the electric vehicle products is much, much higher than the ICE vehicles.

And if you are referring to any kind of margin erosion due to the reduction in volume and other things, for sure, more positions are getting opened up in terms of, let's say, the motor bearings and also the electric insulation, high-speed bearings, which are multifold in terms of its pricing that will offset some of the losses that we might have in the revenue there. But otherwise, much of the assortment what we see as a high-value bearing would remain common between ICE and EV, especially on the chassis and the wheel bearings.

Krupashankar NJ: Thank you.

Mod erator Thank you. Our next question comes from the line of Mumuksh Mandlesha from Anand Rath Institute of Institutional Equities.

Mumuksh Mandlesha : Thank you. Sir for the opportunity, firstly, on the cost side. In Q4, how much was the demerger-related impact in the other expenses? And going ahead, I mean, do you see further impact due to demerger-related costs, sir?

Mayank Holani : We don't have much of the demerger-related costs in Q4 and going forward also, we don't see any demerger-related costs specifically to be in our future.

Mumuksh Mandlesha : Got it, sir. Sir, we're seeing a lot of raw material prices going up. So just want to understand how are the pass-through happening in both aftermarket and OEM? How are kind of price hikes are being taken, sir?

Shailesh Sharma: So that is on the way starting with the aftermarket. And as per agreement with OEM, whatever increase in steel price and something happens, we get it. As of now, we have taken only from a couple of customers and similar discussions are happening with some other OEMs.

Mumuksh Mandlesha : Got it. So even aftermarket price hikes have started, right, sir?

Shailesh Sharma: Aftermarket is a little bit different game altogether and that is also expected. And this is the existing information, but yes, it is started, that I can give you.

Mumuksh Mandlesha : Got it. So maybe in transitory, sir, there could be slight more gross margin pain with the lag in the pass-through right, sir?

Shailesh Sharma: Sorry, come again.

Mumuksh Mandlesha : Just because the pass-through would happen with a lag, sir, on the cost inflation, so in near term, there could be pressure on the gross margin side.

Shailesh Sharma: Yes, that's true.

Mumuksh Mandlesha : Got it, sir. Sir, this year, we've seen exports and distribution being down Y-o-Y for full year. Any reason why both those areas are down, sir?

Shailesh Sharma: I'm not sure which number you are saying, but listen, automotive, our aftermarket business is slightly down, yes, that's right. If we talk about volume, somehow, we are keeping it flat. But on a net sales point of view, it is a little bit down because of the discounts we offered to remain in the market and to beat the competition. Export is more or less steady, I'm not sure.

It is slightly lower with two reasons. One is India for India, our focus is first to serve our domestic customers, and there is a huge demand coming from all of our customers, so capacity is limited. For overseas customers, we are trying to fill that demand from the nearby factories to the customer. But it is not very significantly dropped off also.

Mumuksh Mandlesha : Got it, sir. Sir, for the FY '27, what kind of capex is expected, sir?

Shailesh Sharma: So, from '26 to '28, we have around INR 500 crores investment, which will go through each year. This year, '26, will be around INR 200 crores.

Mumuksh Mandlesha : Calendar year '26

you're saying that, right, or FY '26-'27?

Shailesh Sharma: '26 to '28, yes, up to INR 500 crores.

Mumuksh Mandlesha : And INR 200 crores already spent in FY '26 you are saying, sir?

Shailesh Sharma: It's going to be spent, which will spill over to '27 a little bit in the first quarter. So, you can say in the financial year '26-'27 is around INR 200 crores.

Mumuksh Mandlesha: Got it Thank you so much for the opportunity.

Shailesh Sharma: Thank you.

Moderator Thank you Our next question comes from the line of Viraj from SiMPL . Please go ahead

Viraj : I have 2, 3 questions. Sir, just trying to understand on the gross margin piece a bit more in detail.

Sir, if I look at our annual basis, the aftermarket, as you share, has not degrown. I mean, as such it has not degrown significantly. And if you look at our overall provision, right, we are already at 90%, 95% plus level, that is be it aftermarket or the OE things, right? So, what explains the drop in gross margin, say, from 25% to 26%. So, it has dropped from, say, around 55%, 60% level, now we're talking about 46%, almost 9 to 10 percentage point drop. So that is one question. And similarly, if I look at other expenses, which is excluding the demerger, we have been seeing an increase in other expenses in last 2, 3 quarters. So, what are the key elements in other expenses, which is driving this increase? So that is one question.

Mayank Holani: So, when you say aftermarket sales have not dropped much, you're right, but the growth, if you see, has all come from OEM. So, the full year, if you see, it's almost 20% growth coming from OEM which the margin again, there is a big difference between aftermarket and OEM. Now coming to other expenses and its comparison to previous years, I'll refer you to the opening

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statement that we made because the previous year numbers at all places may not be exactly comparable because we split it from the combined entity.

It is typically more expected to realize and you will see from last quarter onwards when after separation, it will be more clear because you will have stable performance.

Viraj : Sir, just to follow-up on this. See if I look at pre-demerger also and if I look at if I compare about other industries, in auto given high localization and healthy mix of distribution, 16% to 18% in terms of EBITDA margin and gross margin, of course, of 55%. And this is what we had also pre-demerger earning in the auto business, right? So, I am just trying to understand that how should one look at the margin structure in our business going forward? You know what is the sustainable margin one should look at and what to drive? So that is one.

And second is, can you explain a little bit in detail what is the arrangement with SKF Industrial?

So, what product segments or application we buy from them and what we sell to them? And similarly, any payout in terms of royalty or service charge to them?

Mayank Holani : So, on margin, I already answered earlier in response to another question that we are looking at in terms of PBT about 11-12%, which is what we expect in the near future. And probably I will request Shailesh to answer about the other question.

Shailesh Sharma: So, what kind of product we deal? So generally, these are two very different businesses.

Industrial makes larger size of bearings and automotive is slightly on lower size, when I'm talking about size range. But yes, there is some certain overlap in between where we are because of the kind of assets we have around both the companies, still we have certain amount of trading from each other, largely from industrial to auto because of certain product line like medium -

sized DGBB and tapered roller bearings.

The capacity is a little higher side or I must say the demand and capacity point of view, we are short of, in automotive, we are short of little capacity.

ty. So, we are buying from Industrial. So, it is not a particular application for certain things. It is about basically what we can get from there and some of the customers.

Viraj : And is there any other payout in other expenses which we would have to pay to Industrial or we receive from Industrial in terms of any manufacturing service charges or anything?

Shailesh Sharma : Yes, yes. Because our plant is common as of now and this plant belongs to SKF India Limited. And right now, industrial assets are lying in this plant until the new factory of industrial comes in until then we receive rent from industrial. Also, there are some certain service charges, which we get from industrial.

Viraj : Can you quantify what is it on an annual basis?

Shailesh Sharma : No as of now. We don't have that exactly and this whole case started from last October, so it is too early, but that is there.

Moderator: Our next question comes from the line of Varun Jain from Dolat Capital .

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Varun Jain : So, my first question was on customer concentration. So, can you tell us what percentage of your sales come from top 5, top 10 customers? And who are the top 1, 2, 3 customers?

Girish Kumar : Okay, Varun. The top 5 customers typically represent about close to 50%. If I had to name top 3 customers, basically in the 2-wheeler segment, Bajaj is our number 1 customer, followed by Mahindra in the passenger vehicle and Tata, both the entity combined, the commercial vehicle and the passenger vehicle combined.

Varun Jain : And sir, top 10?

Girish Kumar : Top 10, we'll have the remaining OEMs, the likes of Royal Enfield, Honda and some of the Tier 1 companies as well.

Varun Jain : Sir, my question was what percentage of your revenue would they constitute?

Girish Kumar : Top 10, I would rather say it could be close to about 70%.

Varun Jain : Okay. And sir, my second question was on the capex plan, which you laid out. So this INR500 crores, once it's all on the ground, so what is the revenue potential it has?

Shailesh Sharma : So, we have our see, there are two things which we are trying to do. One is to reduce trading from industrial, so some capacity will go into our own automotive capacity, which will not essentially add to our revenue because anyway that revenue is there as of now, the only thing is through trading. And the second is looking into our growth, which is about 6% to 8% growth.

So, Girish, do you remember the number by 2028, what's the number we are talking?

Girish Kumar : I need to check. I do not have it right away.

Shailesh Sharma : Yes, but you can consider around 6% to 8% CAGR.

Varun Jain : 6% to 8% revenue CAGR you are telling?

Shailesh Sharma : Yes.

Moderator: Our next question comes from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan: I just want to have one question. As management, what are the 2 or 3 strategic priorities you are working for the next 1 to 3 years? And how you yourself to be measured or how you are measured in terms of sales growth or in terms of margins, so that as investor, we can also use the same lens to track the company.

Shailesh Sharma : Okay. Girish, maybe you can take through our strategy.

Girish Kumar : In terms of the strategic priorities, the focus is basically to shift portfolio significantly to energy efficiency and the emission norms addressing value propositions to the customers across vehicle segments. That would be the single most priority. And certain manufacturing capabilities will have to be invested upon, and the investment amount that you heard is also going in terms of not only capacity, but also upgrading some of these capabilities as well.

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And significant portfolio shift will happen towards passenger vehicle and commercial vehicle. In proportion, these 2 segments have a high

potential for us to grow and also the premiumization in the market that is happening is driving certain product value propositions that are in the sweet spot for SKF to really do well in those segments, so that's number two. Number three is to amplify the value selling, that means close partnership with customers



because much of the OEMs new launches that have been announced since last year and into this quarter as well is to be in close coordination with customer R&Ds, and we already see major partnerships already developing there. So, these are the 3 priorities that we are invested in, and we are building our, let's say, capabilities and capacities, both on the supply base, also on the manufacturing capabilities. And this is how we basically look at it.

And as Shailesh was mentioning, this kind of strategy, we believe, will give us an edge in the value propositions that are likely to give us a bit of a pricing power. And that's where we believe in the next quarter that follows on the industrialization and the vehicle launches really happen; we should be in a position to really see a better business performance on that.

Lakshminarayanan: Sir, and in terms of how you measure the company's performance in terms of top line growth, how do you benchmark either with the industry or with your peers or competitors? And in terms of margins also, what is the kind of thing which you like to measure because some companies use operating margins, some companies use PBT margin, some of them would say that we want to grow 8% more than the automotive growth. Some color as to that so that we can also look at a fact the company in the same lens.

Girish Kumar : The color that I can give you is, of course, the cash is more important to us. So, we are more driven on quality of earnings that we basically make. Certainly, not the top line is the number one priority. But of course, we need to really win the space that we believe we have an advantage, and that's what actually I mentioned, the premiumization that is happening is a sweet spot for us to really do well. And to that extent, we will try to focus there. And as I mentioned, the focus would be on margin improvement.

Lakshminarayanan : Because you mentioned the PBT margin of 12% or thereabouts, if I heard it right. Is that something which you kind of which band of margins the company is most comfortable to operate where you would not go below it? And I just want to understand that particular bit? And this margin, PBT or operating or pre -cash or post -cash income?

Mayank Holani : Sir, can you repeat your question?

Lakshminarayanan: I heard you saying that 12% margin at the start of the call, and I think again, you mentioned this. So as a management, what are you calibrating yourself on as the band of margins you like to operate? And is the band of margin should be evaluated at the PBT level or at the operating margin level? And what is that band, is it like 9% to 15% I mean some kind of spectrum would be very helpful.

Shailesh Sharma: This 11%, 12% margin range we gave you is the kind of average, but yes, within the different products and market segments, the margin remains healthy, that would vary between distribution, exports and OEMs. But 11%, 12% is at the group level, company level is what we

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would be looking at. And then obviously, within the product range, there are multiple factors which we have to use and we will use it already, like the mix of new products or different segments.

Lakshminarayanan: Sir, your voice is not clear. I think even the earlier participant questions, I had some difficulty hearing you, while the other participant appeared clear. There seems some issue in your line, I guess. Can you just repeat?

Mayank Holani : I'm just saying is it better now?

Lakshminarayanan: Yes, slightly better, sir. If you can just come closer to the...

Mayank Holani : See, 11%, 12% is what we are overall margins PBT percentage is what we are looking at. Now within that, different segments have different margins. OEMs will have different margins, aftermarket will have different margins, exports will again have different kind of margins. But overall, as a bouquet of products and market segments, 11% to 12% is what we would be looking at in the near term.

Lakshminarayanan: Got it, sir. My last question is that I've been either owning or tracking the company for the last decade or so. So, there has always been a practice of you sharing the industry mix of OEMs broadly in terms of 2 -wheelers and passenger cars and commercial vehicle. At an aggregate level for the full year, can you just help me understand what is the mix of revenue across the 3 segments because this is something, which you always give.

Girish Kumar : Not sure about it. But what we can actually say is about the retail and the OEMs. I think that's what we provided in the beginning. It's about 20% or rather even if you exclude the export, about 28% is the distribution and the rest is on the OEM side. But what I can actually share is, of course, 2 -wheeler is by far very dominant volume contributor to us, followed by passenger vehicle and commercial vehicle.

Lakshminarayanan: And this is the white space you have identified because you are strong in DGBB. But in terms of the other areas, you just put a matrix across different segments and different types of bearings. Which are the areas where you think you can really you are putting your effort on to win the markets? What are the white spaces? Can you just elaborate?

Girish Kumar : White space for us is the unitized bearings for the wheel application in the SCV segment and also in the light commercial vehicle, if I had to call out those as an area that we can do significantly well, and we are doing well there. And specifically, the new generation transmissions that are coming in for the CAFE -3 norms with our portfolio of low friction, low - weight assortment, that's a space that we are relaunching ourselves to be a dominant player there. These two are standing out as a significant white space for us.

Moderator: Our next question comes from the line of Ravi Purohit from Securities Investment Management Private Limited.

Ravi Purohit: Sir, generally, I would like to share that we've been tracking just like the earlier participant was saying that we've been tracking your company for more than 10 years. And the Investor  
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Communication under Mr. Manish Bhatnagar was very transparent and very articulate. So, we were able to kind of understand where our margin structures are, what the gross margin levers are, where the new product introductions are? Increasingly, our post demerger, what we are realizing is that the investor communication and the disclosures have dropped substantially. And there is absolutely no clarity amongst investors, both for the industrial company as well as for the auto bearings industry. So, what the normalized margins were premerger, what they are today, they look significantly lower than what they were premerger. Is it because we have started paying out more royalties to the parent? Is it because of the transfer pricing arrangement between SKF Industrial and SKF India auto?

And in the last 6, 7 years, if you see our average EBITDA margin used to be 16% and 17% of the combined entity. And today, it looks like both the entities are much lower than that. So is there something changed during the demerger, which the shareholders should be aware of, but they are not being made aware of?

I will really appreciate if you could kind of share some thoughts about this and at least share this concern with SKF parent also that there was a lot of efforts being taken previously doing meetings and all for the demerger vote. But since the

now, the communication has dropped,

disclosures have dropped, and there's absolutely no clarity as to what the long-term sustainable margins for SKF because SKF is a global leader by far?

In India, SKF trades at a 50% to 70% discount to its peers from a market valuation point of view. From a margins point of view, its margins are probably 200 to 400 basis points or even 500 basis points lower than the peers. This does not look like market leader's attributes.

So just wanted to share this feedback. I missed the Industrial call, so could not share it with them. We are already existing shareholders, but we thought we should kind of air our views on this aspect. And we will really appreciate if you could kind of help us understand the numbers, overall numbers and margin structures better. And if you could just answer if there is a significant increase in royalty that has happened premerger and post demerger?

Shailesh Sharma: Okay. Just before Mayank talks about, thanks for feedback. If you think so, that's good feedback for us. But I can just assure you, we would like to remain transparent as it was earlier, and we are very committed to that. SKF as a company always value our investors, our customers, our community and everything. So, we have no intention to hide anything. But if you feel so, that's a feedback. We will work on it. But in particular, if some information which you need, maybe if it's not kind of confidential in nature, we will be happy to share. Mayank, maybe...

Mayank Holani: Okay. So, your feedback is well taken, and we'll see how to further improve the communication so that your this feeling goes away. We'll make effort towards that. Now as far as royalty is concerned, there is no change in any royalty or trademark fees from the earlier settlement. So, it remains the same, how it was pre-demerger.

Ravi Purohit: So, is it fair to assume because pre-demerger when we had spoken on con calls, when the con calls were held and the meetings were held in the run-up to demerger, what was communicated  
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to us was the Auto on its own makes about 16% to 18% EBITDA margin, right? In fact, higher EBITDA margins as compared to the industrial business because it is 95% localized in India. Now if I take the average of the last 5, 6 years, the EBITDA margins used to be 16% to 17%. And if Industrial is basically 60% of the revenue and the margins of Industrial are significantly lower than the average because it is predominantly a trading business as of now, then logically, mathematically, the auto bearings margins should be closer to 18%, 19% EBITDA level.

So, if it is 18%, 19%, as of now, since the demerger, we've not seen those kinds of numbers. Can

you help us or if you could kind of break it down for us as to when do we see those kinds of margins coming back? When does this arrangement between us and industrial kind of change on the transfer pricing or whatever contract manufacturing that they are doing because they hold the land on which our line is kind of located or set up?

Shailesh Sharma : In fact, it's other way around. It is SKF India land where Industrial is we have given on kind of rent to Industrial. SKF India Limited, the demerger, which happens at group level, the carve -out or in India, it's a reverse carve -out. Generally, automotive has come out of industrial. Overall, at group level, automotive is close to 30% of total revenue. In India, it is slightly higher. It is slightly 34%, 35% from revenue point of view. But in India, it is a reverse carve -out where industrial has gone out. So SKF India Limited remains as automotive division.

Mayank Holani : The EBITDA margin, which you mentioned, okay, so last financial year, if you look at it, it's about 15.3% . So okay, slightly lower than the previous year, what 16%, something you were mentioning for automotive. But we hope it we should be ba

ck to the level very soon.

Shailesh Sharma : And this is a kind of transition, which is happening, onetime cost sitting here and there slowly, so maybe you may be seeing, but we are very hopeful and we are confident about going forward, maybe after a couple of quarters, we will become stable and we will be back to normal.

Ravi Purohit: Sir, if I can just take this point forward. If someone from your team can actually read the transcripts of the con calls, which happened in '24, right, in '24 and maybe early part of '25 and '23, right? And if you see, particularly when the demerger was announced around that time, if you see the con call transcripts and if you see the numbers, right? And if you analyze the last 5 years, so 16% was the average of both the businesses combined. And Industrial is actually lower margin business, and it is a 16% business, total revenue business.

So automotive business, and it was this was on record set by Mr. Mukund, right, that we will basically move back to 16% to 19% EBITDA margin range, right? And in the earlier calls also, he had mentioned auto is significantly more profitable in India because it is fully localized, right?

And sir, just also on this trade manufacturing contract manufacturing, on this year's P&L that we have reported for the results, there is a very large amount of purchase of traded goods. So, I'm assuming there must be something that the industrial piece is also manufacturing for us, right?

Shailesh Sharma: Yes, yes, of course. Industrial, as I said earlier, industrial is definitely breaking and because of capacity shortage in automotive, after GST cut, we are seeing a huge growth in all sectors, all segments. And we have limited capacity, which we are anyway working on, as I said, already SKF India Limited

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two new product lines are coming in our Haridwar this year only. And some things are also in pipeline. So, because of that, Industrial is we are kind of trading from industrial.

About EBITDA, see, this is true that in automotive, we have more localized product. But if you see automotive, it's very price -sensitive market, especially OEM. And distribution market, both in industrial as well as in automotive works on more or less in the same margin. But yes, maybe because of the cost, import cost, maybe the margins somewhat get impacted in Industrial. But overall, as per me, Industrial is a little higher margin business than automotive.

At a global level, if you see for any automotive industry, outside India, if you see 8% operating margin is considered to be very good margin for automotive, including OEMs. But in India, we work, of course, our plan is always to remain in double digit. And there may be some compression because of all this transition, and we are confident , we will go back.

Ravi Purohit: So, sir, from next quarter onwards, if we can actually include in our presentation, right, the breakup of the cost or the margin compression, right? And this is because of one -off or merger -related costs, right? Or even this transfer contract manufacturing -related costs between industrial and us. So, it will help us understand and appreciate what our true business margins are, right . Because if you compare us to our peers like Schaeffler India or Timken, they are at much, much higher margin levels. They are your competitors. They sell products at a discount to SKF India's price because SKF India commands premium. SKF globally also commands a premium more Schaeffler and Timken, even if the premium is 2% or 3%, right .

The point is, if they are making 20% EBITDA margins, and if we have communicated in the past, just a year back, if someone can actually read the con calls and understand and see the numbers and see the commentary that was provided to us in the run -up to de merger, it was very clearly communicated that our margins are going to be significantly higher once

we localize

more and auto already makes a significantly higher margin ?

So there seems to be like a very, very distinct difference between the communication post demerger and pre demerger. So just a very, very sincere feedback, please have someone in the

team to read the transcripts or the communication or the information that was provided to shareholders pre -demerger , and what we are communicating today. Is there a significant difference between the two? And if yes, can someone take the effort and initiative to bridge that gap?

Shailesh Sharma: As I said, feedback taken. We will try to give even more detail. But just to extend the answer, first of all, after post demerger, if you see, we really don't have somebody to benchmark because now Industrial is purely industrial and Automotive is purely a automotive. Timken and Schaeffler, both are still combined, the industrial plus automotive. So earlier, there was a good comparison, but now it is no more actually.

Even if you want to compare, there is not a single listed company, which is bearing purely for automotive. There is no such company exist where we can compare. And probably same thing goes with industrial also. So, I'm just giving you a little bit heads up , so that you can think about it. It is not apple -to-apple comparison.

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About localization, as I said, if Mukund has said, yes, there are a lot of investment which have been made in even an Ahmedabad factory and even in Pune factory for industrial, but I should not talk about industrial as such, if you must have attended that call.

So, the statement which was made, that is true. We don't want to go back and we don't want to say, okay, that was not true. Everything is true, what we said. It's maybe a matter of time. It's just a transition time, which we are going through.

Ravi Purohit: And please, I really appreciate if you could include some more information and data points on the margin breakup and one -of related demerger -related costs in the subsequent presentations that we make for the quarter.

Shailesh Sharma: Okay.

Moderator: Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for the closing remarks. Thank you, and over to you, team.

Shailesh Sharma: Okay. Thank you very much for your question and continued trust in SKF India. This year has been one of the transformations in SKF. While restructuring costs temporarily impacted our profitability, our strong revenue growth, robust demand across automotive and strategic focus on electric mobility and sustainability gives us confidence for the future. The demerger positions us to unlock greater value by enabling sharper focus and agility in our business.

We remain committed to renovation , operational excellence and delivering consistent shareholder return. As we move forward, our priorities are clear margin recovery, sustainable growth and strengthening partnership with customers and stakeholders. We appreciate your support and look forward to continue this journey together. Thank you very much.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of SKF India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.